

A TIMELESS LEGACY

TOUCHING LIVES





A LASTING LEGACY

In honour of the late Deshamanya D.H.S. Jayawardena, we reflect on the legacy of a pioneering entrepreneur whose leadership shaped the success of Aitken Spence Hotels. Since becoming Chairman of Aitken Spence Hotel Holdings PLC in 2003, Mr. Jayawardena's foresight, entrepreneurial spirit, commitment to excellence, and attention to detail were the driving forces behind the company's expansion and diversification. His strategic expansion in the Maldives and investments in Oman and India strengthened the position of the Hotels Sector, and solidified Aitken Spence Hotels as a leading name in hospitality, making it the Sri Lankan hotel chain with the largest international footprint, expanding our reach and influence across borders.

In the Maldives, he was instrumental in the acquisition of the Vadoo Island resort in 2008, and in 2019 personally oversaw and launched the first Heritance property overseas, with the introduction of Heritance Aarah. His involvement in every facet of the development, from the choice of contractors to the selection of construction materials, to minute determinations on design was characteristic of his hands-on approach to business.

In Oman and India, Mr. Jayawardena saw the opportunity to diversify ASHH's portfolio, securing multiple management contracts in both countries. He subsequently worked to strengthen the Group's position in these new markets. In 2015, he advocated for the acquisition of Turyaa Chennai, capitalising on the city's rapidly developing IT corridor, and in 2016, was instrumental in acquiring the Group's first property in Oman, the Al Falaj Hotel.

In Sri Lanka, Mr. Jayawardena was a fearless advocate for the country's tourism potential. At his direction, the Group began the development of Heritance Negombo and partnered with RIU Hotels to deliver RIU

Ahungalla, both of which opened in 2017. His vision for Sri Lanka's hospitality sector will endure, continuing to bring growth and prosperity to the island for years to come.

Mr. Jayawardena's legendary work ethic, legacy of transformation and resilience continues to guide us. His ability to foresee global opportunities and invest in them, even during seasons of turbulence, remains a cornerstone of our success.

Mr. Jayawardena's leadership extended beyond business strategy. Although, a strict disciplinarian, he deeply valued every Spensonian, Heritonian, Turyaan and Adaaran member believing they are the heartbeat of our company. During challenging times, he recognised the importance of supporting our associates, ensuring their well-being and inquiring about the safety of their families during natural disasters. He was a strong believer in providing cross-exposure, always encouraging our team to sharpen their knowledge and skills. He beamed with pride as our Chefs progressed in their training, and whenever news reached him of our team's many culinary achievements in competitions over the years. His eagerness to see someone develop and progress, combined with his care for people nurtured a culture of ownership and dedication, enabling individuals to grow within the company and contribute to its long-term success.

Dynamism and bold decision-making were the essence of his leadership, and his legacy continues to have a lasting impact on the Company and inspire our journey forward. We are profoundly grateful to him for this. As we move forward, we are committed to carrying his vision with us, remaining steadfast in our pursuit of service excellence and creative innovation in the hospitality industry.

A TIMELESS LEGACY

TOUCHING LIVES

For 50 years, Aitken Spence Hotels has nurtured a legacy of hospitality that transcends borders — geographical, cultural, and emotional. Ours is not merely a story of service, but of connection, where every welcome is heartfelt and every farewell leaves a mark.

Across generations, we have redefined the art of hospitality—crafting immersive local experiences and indulgent escapes that resonate with authenticity and care. It's about more than creating comfort; it's about creating memories that stay with our guests long after they leave.

At the heart of our journey lies a commitment to touching lives - inspiring the hearts of travellers, uplifting the communities we serve, and safeguarding the environments that host us. From the warmth of our teams to the depth of our impact, we believe true hospitality lives in the moments that make people feel seen, valued, and at home—wherever they are.

Our heritage is a testament to the power of human connection—one that bridges divides and fosters belonging.

We're fostering a future in which all life can thrive.
We're celebrating a legacy of touching lives.



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OVERVIEW



A LASTING IMPRESSION

Our transcendental hospitality across the years has empowered our stakeholders to embrace the glory of being alive and to seek out experiences that, like Aitken Spence Hotels, leaves a lasting impression.



We are pleased to present our 14th Integrated Annual Report which is the primary publication to our shareholders and other interested stakeholders. In this report, we provide a concise and balanced view of the progress made towards achieving our strategic objectives and the value created for our stakeholders in the past year. The report also provides relevant information on the operating environment, corporate governance practices and risk management, while reflecting on our plans for the future.



REPORTING PERIOD

The report follows an annual reporting cycle for both its financial and sustainability reporting and covers the financial period from 1st April 2024 to 31st March 2025. It builds on our most recent report for the year ended 31st March 2024, for which comparatives are presented where applicable. Material events subsequent to the reporting period and up to the Board approval date of 12th June 2025 have also been included in this report.

SCOPE AND BOUNDARY

The report covers the operations and activities of Aitken Spence Hotel Holdings PLC ("Aitken Spence Hotels" or the "Company"), its subsidiaries and interests in equity accounted investees (collectively referred to as the "Group"). The reporting boundaries for both financial and non-

financial information are aligned and extends to include developments in the external environment and along the Group's value chain.

The financial information presented on pages 176 to 282, and the discussion of financial aspects in the narrative report present a consolidated view of the Group unless otherwise stated, while the non-financial information is limited to the 15 properties owned by Aitken Spence Hotels in Sri Lanka, the Maldives, India, and Oman; it excludes the managed properties.

There were no significant changes to the structure, supply chain or material restatements of information nor changes to our reporting boundary during the year.

Integrated Reporting Boundary



Operating environment, external stakeholders including customers, value chain partners and communities.



<https://www.aitkenspencehotels.com/about-us/investor-relations.html>



Our Annual Report is also available online. Please visit our website at <https://www.aitkenspencehotels.com> to access the report.



GRI 2-5

MATERIALITY

This report provides information on material matters that can significantly impact our ability to create value over the short, medium and long term. (Refer Determining Material Issues on page 52 for more information)

COMBINED ASSURANCE

The credibility and integrity of this report is ensured through a combined assurance model which includes assurance from our management, internal audit and third-party external auditors.

Internal Assurance	External Assurance
Consistent monitoring of financial reporting by the Audit and Risk Committee and Internal Audit Function. Dedicated sustainability units at both Aitken Spence Hotels level and parent entity level (Aitken Spence PLC) ensure the accuracy of the non-financial information.	External assurance on the financial statements have been provided by Messrs. KPMG and is available on pages 176 to 179 of this Report. External assurance on the Group's sustainability reporting and Integrated Reporting practices has been provided by Messrs. Ernst & Young in accordance with the Sri Lanka Standard on Assurance Engagements (SLSAE) 3000 (Revised). The assurance opinion can be found on pages 302 to 305.

REPORTING PRINCIPLES AND FRAMEWORKS

We have moved beyond regulatory compliance to incorporate international best practices into our reporting process. The following principles and frameworks have been adopted in preparing:



Financial Reporting

- ◆ Sri Lanka Accounting Standards (SLFRS/ LKAS) issued by CA Sri Lanka.
- ◆ Sri Lanka Accounting & Auditing Standard Act No. 15 of 1995.
- ◆ Companies Act No. 7 of 2007 and the amendments thereto.



Narrative Reporting

- ◆ Integrated Reporting Framework of the International Integrated Reporting Council (IIRC).



Corporate Governance

- ◆ Continued Listing Requirements of the Colombo Stock Exchange.
- ◆ Code of Best Practice on Corporate Governance issued by CA Sri Lanka (2017) as amended in 2023.
- ◆ Securities and Exchange Commission of Sri Lanka, Act No. 19 of 2021 and the amendments thereof preparing this report.



Sustainability

- ◆ In accordance with GRI standards issued by the Global Reporting Initiative.
- ◆ ESG Reporting Guidelines issued by the Colombo Stock Exchange.
- ◆ Sustainable Development Goals (SDG) of the United Nations.
- ◆ Gender Parity Reporting Framework issued by CA Sri Lanka.
- ◆ SASB® Standards, IFRS Sustainability Disclosure Standards.

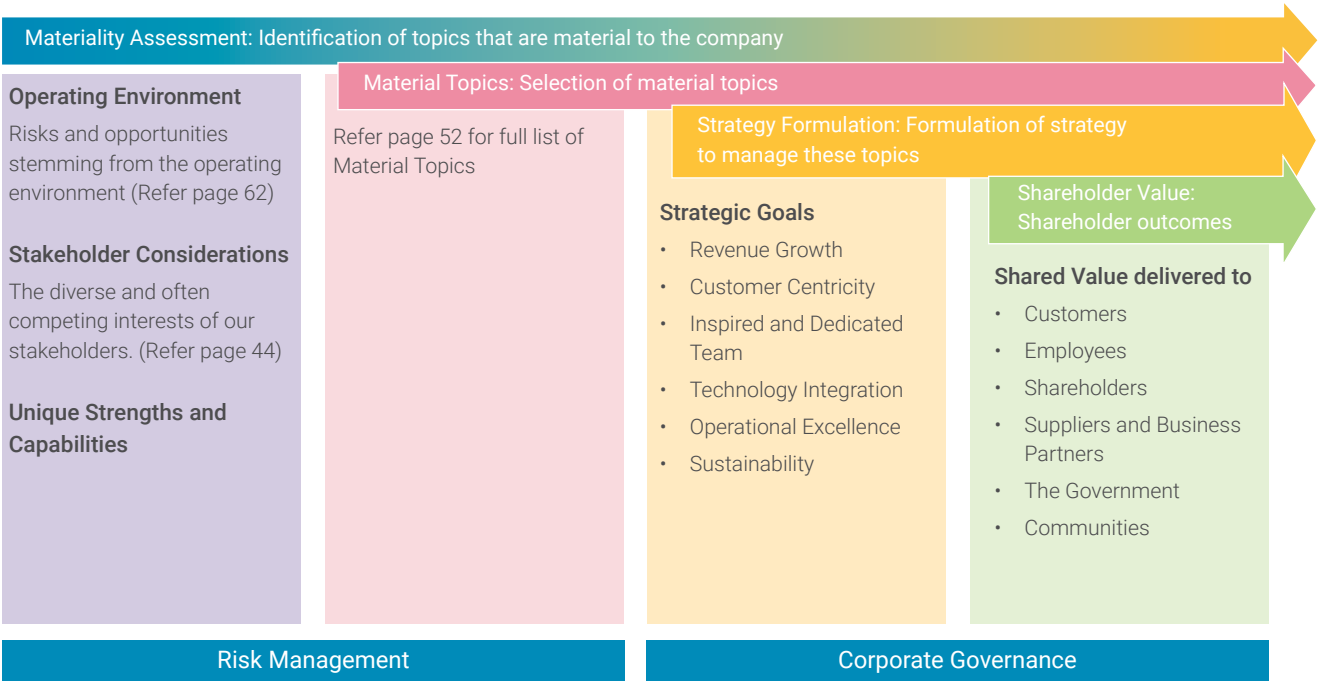
FORWARD-LOOKING STATEMENTS

Forward-looking statements included in this report may involve an element of uncertainty as they pertain to events, outcomes and impacts beyond our control. This could lead to actual results differing from the stated projections. We do not undertake to update or revise these statements publicly in the event of a change of circumstances.



OUR APPROACH TO INTEGRATED REPORTING

We have applied the seven Guiding Principles of the International Integrated Reporting Framework in preparing and presenting our Annual Report. Our integrated approach to corporate reporting reflects the integrated thinking that has been embedded across the organisation in formulating strategy and engaging with stakeholders. This entails clearly identifying capital inputs, assessing resource allocations and tradeoffs when implementing strategy and driving stakeholder value creation.



IMPROVEMENTS TO OUR REPORT

This years' Annual Report features the following improvements, reflecting our dedication to continuously enhancing the quality of our reporting.

- Simplified our reporting and disclosures to enhance the readability of our Integrated Report.
- Identification of key sustainability related risks and opportunities within capital reports reflecting our efforts to align with IFRS S1 and S2 sustainability related financial disclosures.
- Linkages to strategic priorities throughout the report.

Board Responsibility Statement

The Board of Aitken Spence Hotel Holdings PLC acknowledges its responsibility for ensuring the integrity of this report. We hereby confirm that the 2024/25 Annual Report fairly represents the Group's integrated performance and addresses all relevant material matters. We also confirm that the report has been prepared in accordance with the Integrated Reporting Framework of the International Integrated Reporting Council.

FEEDBACK

We value your comments and suggestions on improving the readability and relevance of our Annual Report. Kindly direct your feedback through the investor feedback form on pages 321 to 322.

Our contact details are:



info@aitkenspence.lk

Group Business Development Unit- Aitken Spence PLC



This annual report is also available online.



NAVIGATION ICONS

CAPITALS



Financial
Capital



Manufactured
Capital



Human
Capital



Social and
Relationship
Capital



Intellectual
Capital



Natural
Capital

STAKEHOLDERS



Investors



Business
Partners



Customers



Employees



Government &
Regulators



Communities

STRATEGIC PRIORITIES



Revenue
Growth



Technology
Integration



Operational
Excellence



Customer
Centricity



Inspired and
Dedicated Team



Sustainability

OTHER



Outlook and Way
Forward



Page Reference



OUR VISION

To achieve excellence in all our activities, establish high growth businesses in Sri Lanka and across new frontiers, and become a globally competitive market leader in the region.



OUR CORE VALUES

- ◆ Reliable
- ◆ Honest & Transparent
- ◆ Warm & Friendly
- ◆ Genuine
- ◆ Inspiring Confidence



WHO WE ARE

Aitken Spence Hotels is a leading Sri Lankan hospitality chain renowned for its diverse portfolio of properties across four countries: Sri Lanka, the Maldives, Oman and India, setting a precedence by introducing experiential travel adventures set against some of the most exotic landscapes in the world.

Each of the Group's unique properties is thoughtfully designed to cater to diverse client needs, offering options for various budgets while maintaining its global reputation for excellence. The Group's competitive advantage stems from its legendary service, inimitable hospitality and excellence in cuisine, offering a unique and memorable vacation for anyone and everyone.

As a subsidiary of Aitken Spence PLC, one of Sri Lanka's respected and diversified conglomerates with widespread business interests in maritime and logistics, strategic investments, services and tourism, the Group is supported by strong branding and operational synergies, enabling us to continuously elevate globally recognised performance standards across all properties.

OUR BRANDS

We have nurtured distinct brands to cater to different preferences and budgets, each providing unique and memorable experiences to our guests while maintaining high standards of hospitality.



Heritage is our flagship brand known for its iconic properties that seamlessly blends exquisite architecture with natural surroundings.



The Adaaran brand with properties located in the Maldives, redefines lavish boutique wellness, offering unparalleled luxury and blissful seclusion.

turyaa

The Turyaa brand is a reflection of the vibrancy of the destination, bringing a mixture of culture, art and adventure.



The Group's properties boasts a variety of architectural styles, reflecting both local culture and contemporary design principles. The portfolio includes unique and award-winning properties like the eco-friendly Heritance Kandalama in Sri Lanka and Desert Nights Camp in Oman. The onboarding of Rainforest Eco-lodge was a landmark addition to the portfolio during the year, enriching our product offering and ensuring alignment with evolving global travel values centered on sustainability, biodiversity and community upliftment.

EARNING THE TRUST AND RESPECT OF OUR STAKEHOLDERS

Our hotels are dedicated to pioneering sustainability efforts, providing guests with immersive experiences while implementing impactful environmental and community development initiatives. We remain at the forefront of driving sustainability by adopting a holistic ESG agenda, in line with the Integrated Sustainability Framework of our parent entity, thereby earning the trust and respect of our stakeholders.



Connecting with Local Heritage

Our hotels integrate with the culture of each locale by engaging with the local communities, celebrating diversity and nurturing a sense of belonging.



Commitment to the Environment

We endeavour to minimise our ecological footprint and safeguard the natural beauty of our surroundings through conscious environmental positive decisions.



Socio-Economic Empowerment

By nurturing relationships with a range of stakeholders including suppliers and the community, we significantly contribute to their socio-economic empowerment.

OUR GROWING FOOTPRINT

Aitken Spence Hotels is the only Sri Lankan company to own and manage an inventory of over 2,600 rooms spread across four countries. With 15 owned properties and 4 managed properties under its portfolio, the Group offers unparalleled experiences to guests.

The Group maintains a strong presence in Asia through its leisure hotels and resorts in Sri Lanka and the Maldives. Additionally, the Group was among the pioneering hoteliers to expand into Oman which is an emerging tourist destination.

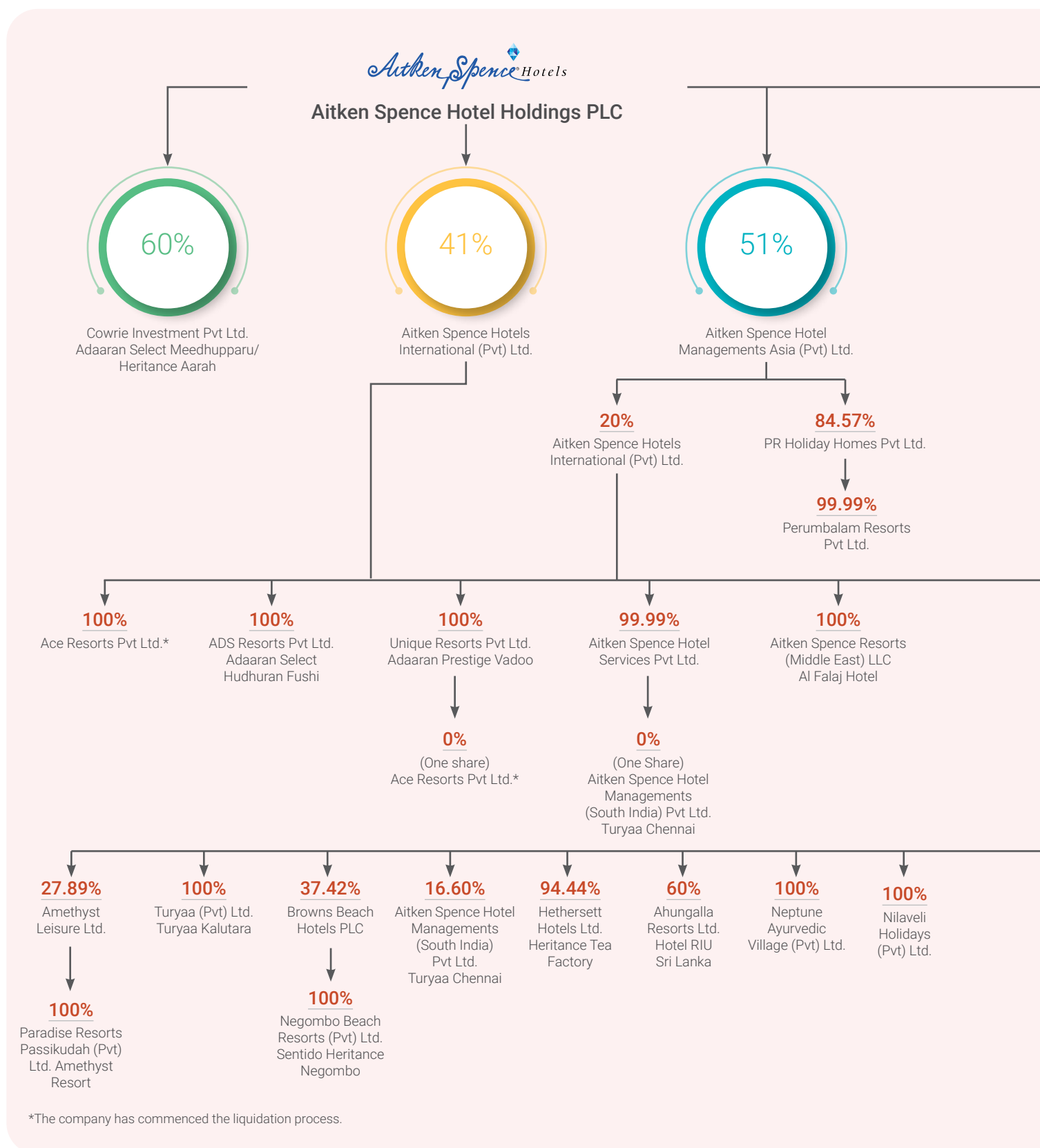
In India, the Group owns a hotel that caters to the rapidly growing business travel segment. Looking ahead, our growth strategies include expanding our footprint in high-potential markets and strengthening our brand presence globally.

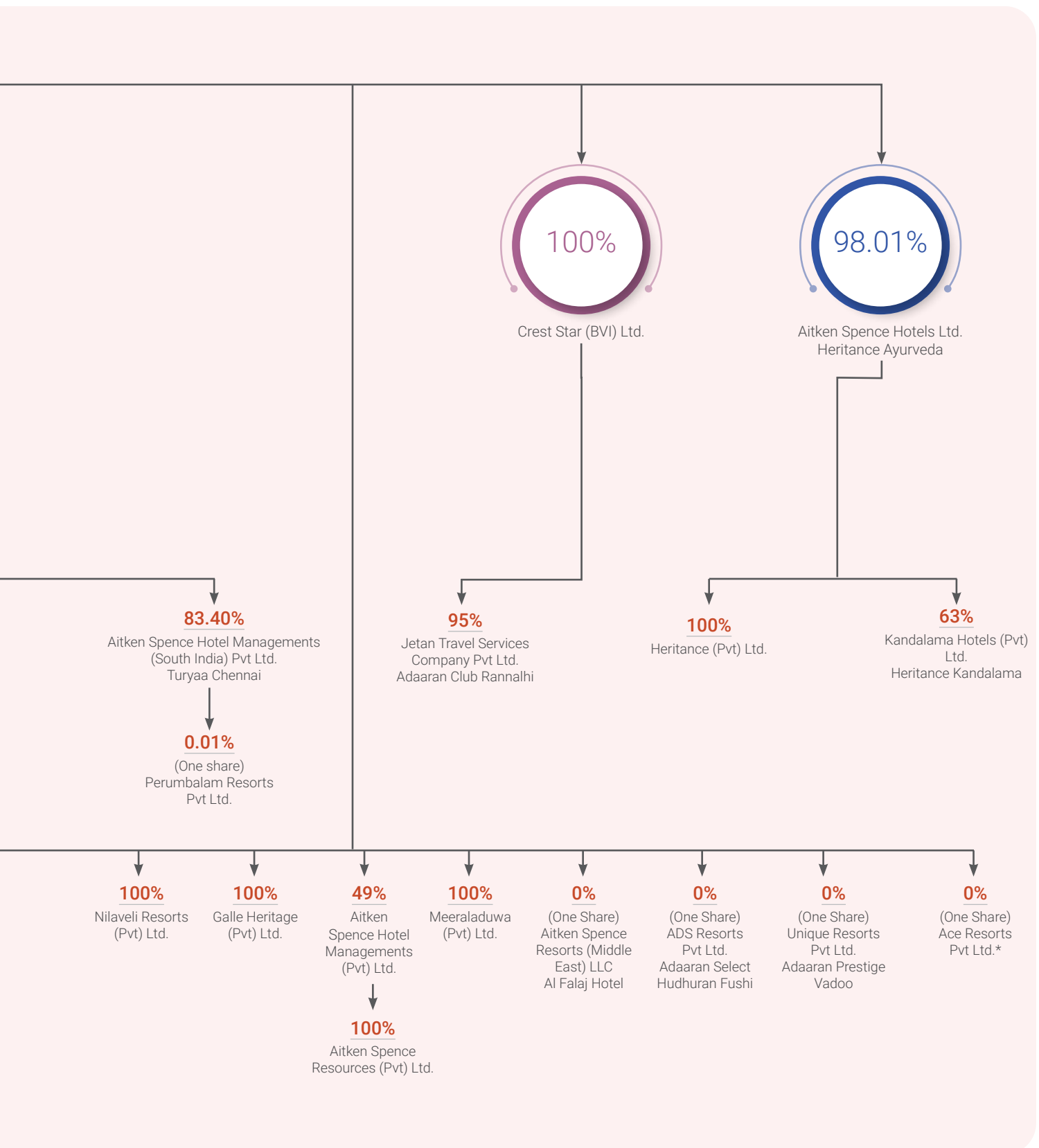


Our Prioritised SDGs

Through our operations and activities, we contribute to several of the United Nations Sustainable Development Goals (SDG's).









1973

INCORPORATES
AITKEN SPENCE
HOTELS LTD.

1978

INCORPORATES
AHUNGALLA
HOTELS LTD, AS A
PUBLIC QUOTED
COMPANY.

1981

COMMENCES
COMMERCIAL
OPERATIONS OF
TRITON HOTEL
WITH 126 ROOMS.

1986

TRITON HOTEL
IS AWARDED
5-STAR STATUS,
THE FIRST FOR
A BEACH HOTEL
IN SRI LANKA.

1993

- ◆ The Company acquires its first island acquired on 1st November 1993 in the Maldives, Bathala Island Resort, becoming the first Sri Lankan hospitality company to invest overseas.

1994

- ◆ The Company acquires approximately 97% of the share capital of Aitken Spence Hotels Ltd; thereby gaining a controlling interest in Neptune Hotel, Kandalama Hotel and Pearl Beach Hotel.
- ◆ Investment in Browns Beach Hotel and Hotel Hilltop.
- ◆ Kandalama Hotel commences operations.

1995

- ◆ The Company acquires a majority holding in Hethersett Hotels Ltd, the owning company of the Tea Factory Hotel.

1996

- ◆ The Tea Factory in Nuwara Eliya commences operations.
- ◆ The Company acquired its second Hotel Rannalhi Island Resort in the Maldives.



1997

- ◆ The Company changes its name to Aitken Spence Hotel Holdings Ltd.

2000

- ◆ The third hotel in the Maldives, the 215 room Meedhupparu Island Resort is launched in June 2000.

2004

- ◆ The Group acquires Earl's Regency hotel in Kandy for the management.

2005

- ◆ 20 Luxury Water Villas are constructed and launched at Meedhupparu, Maldives.

2006

- ◆ The Company's new 'Heritage Hotels and Resorts' brand is launched.

2007

- ◆ The Company ventures into India and is successful in securing management contracts for four resorts.
- ◆ Completes renovations and unveils Heritage Ahungalla.
- ◆ The Company acquires its fourth resort in Maldives, 'Adaaran Select Hudhuran Fushi'.





2008

- ◆ The Company made further investments in the Maldives through the acquisition of Vadoo Island Resort.
- ◆ The Group divested its investment in Bathala Island Resort.
- ◆ The Company ventures into Oman by securing management contracts for four hotels.

2009

- ◆ Adaaran Prestige Vadoo, the latest addition to the Adaaran Resorts commences operations.
- ◆ Secured a management contract for luxury desert camp in Oman.

2010

- ◆ The Company acquires ownership of Golden Sun Resorts, Kalutara.

2012

- ◆ Neptune undergoes a complete renovation and opens as a specialised ayurvedic resort – Heritance Ayurveda.
- ◆ The Company acquires total ownership of Hotel Hilltop, Kandy.

2013

- ◆ Golden Sun Resorts Kalutara is refurbished and rebranded as The Sands by Aitken Spence Hotels.

2014

- ◆ Entered into a joint venture agreement with Spanish Company RIU to construct a 501 room, 5-star resort adjoining Heritance Ahungalla.

2015

- ◆ Acquisition of a strategic stake in Amethyst Resort Passikudah.
- ◆ The Company made further investments in the Maldives through the acquisition of Aarah Island in Raa Atoll.
- ◆ The Group acquires a 143 roomed hotel in Chennai, India.



2016

- ◆ The Group acquires its sixth island in the Maldives, Raafushi in the Noonu Atoll.
- ◆ Launch of Turyaa Chennai, the first property in India under the Group's ownership.
- ◆ Turyaa Kalutara commences operations with an increased inventory of 199 rooms.
- ◆ The Group acquires 'Al Falaj Hotel' in Oman, making it the Group's first acquisition in the Sultanate.

2017

- ◆ Aitken Spence Hotels unveils Heritance Negombo located in proximity to the city and the International Airport, making it a popular hotel for travellers keen to be near the city and explore its attractions.
- ◆ Hotel RIU, Sri Lanka commenced operations, under the Group's collaboration with RIU Hotels, Spain.
- ◆ The Group divested its investment in Hotel Hilltop in September 2017.

2018

- ◆ The Group acquires Earl's Regent hotel in Kandy for the management.

2019

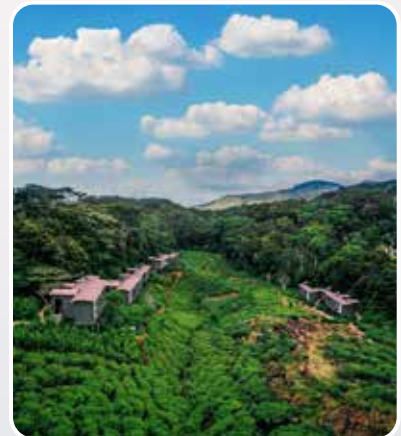
- ◆ The Group launched its first 'Heritance' property overseas, with the introduction of Heritance Aarah.

2023

- ◆ The Group divested its leasehold rights of Raafushi Island.

2024

- ◆ Aitken Spence Hotels marked 50 years of hospitality excellence.
- ◆ Heritance Kandalama celebrated 30 years as a global icon of sustainable creativity and visionary hospitality.
- ◆ The Group takes over the Management of Rainforest Ecolodge which is LEED (Leadership in Energy and Environmental Design) Platinum Certificated, the First Hotel in Sri Lanka, Fourth in Asia, and the Fifth in the World to receive this Accolade.



GROUP PERFORMANCE HIGHLIGHTS



FINANCIAL HIGHLIGHTS

		2024/25	2023/24	Change %
Financial Performance				
Gross Revenue	Rs.'000	48,741,023	47,258,528	3
Earnings Before Interest, Tax, Depreciation & Amortisation (EBITDA)	Rs.'000	14,090,961	13,436,133	5
Group Profit Before Tax	Rs.'000	4,929,560	3,006,151	64
Group Profit/ (Loss) After Tax	Rs.'000	3,588,462	1,864,687	92
Group Profit/ (Loss) Attributable to Equity Holders of Parent	Rs.'000	2,290,361	1,140,112	101
Earnings/ (Deficit) per Share (EPS)	Rs.	6.77	3.35	102
Depreciation, Amortisation & Impairment	Rs.'000	5,263,736	5,125,872	3
Cost of Finance - On financial liabilities	Rs.'000	3,654,599	4,875,190	(25)
- On lease liabilities	Rs.'000	668,531	791,478	(16)
Interest Cover	No. of times	2.13	1.54	39
Return on Equity	%	10.23	5.42	89
Financial Position				
Total Assets	Rs.'000	96,135,713	97,089,577	(1)
Long Term Interest - Bearing Borrowings*	Rs.'000	29,573,141	39,831,679	(26)
Total Equity*	Rs.'000	34,463,309	30,864,692	12
Number of shares in issue	Number	336,290,010	336,290,010	0
Net Assets per Share	Rs.	70.10	63.03	11
Gearing- Debt/(Debt + Equity)*	%	46.30	56.47	(18)
Debt/ Total Assets	%	30.76	41.03	(25)
Current Ratio	Times	0.64: 1	0.63: 1	1
Quick Assets Ratio	Times	0.59: 1	0.57: 1	3
Shareholder Information				
Market Price per Share	Rs.	80.10	66.20	21
Market Capitalisation	Rs.'000	26,936,830	22,262,399	21
Price/Earnings Ratio	Times	11.83	19.76	(40)

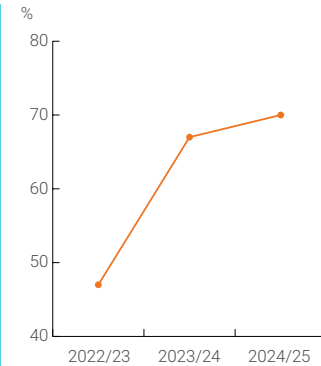
*Preference Share value is excluded from Total Equity and included in Long Term Interest Bearing Borrowings. Lease Liabilities are also considered as interest bearing borrowings.



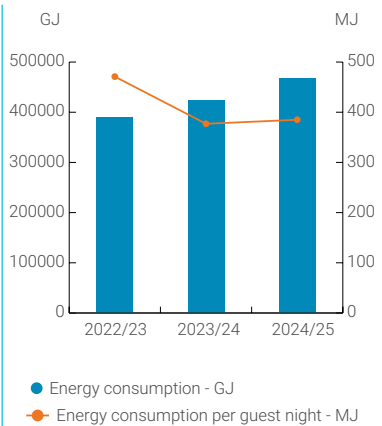
NON-FINANCIAL HIGHLIGHTS

	Unit	2024/25	2023/24
Social and Relationship Capital			
Average occupancy rate	%	70	67
Restaurants inspected by a food safety oversight body	%	100	100
Restaurants receiving critical violations	%	NIL	NIL
Business Partners			
- Tour operators	No.	835	963
- Registered travel agents	No.	1,386	1,214
- Registered corporate clients	No.	3,626	476
- Country representations	No.	40	21
Suppliers			
- No. of suppliers	No.	1,604	1,334
- Payments to local suppliers	Rs. Mn	22,336	22,415
Communities			
- Investments in CSR	Rs. Mn	8.0	1.1
- Employees from the local community	%	35	36
- Guest satisfaction rate at owned properties	%	93.1	92.22
Intellectual Capital			
Average length of Employee Service	Years	5.93	5.20
Certifications	No.	33	29
Awards received	No.	93	62
Natural Capital			
Carbon Footprint- Scope 1 and 2	tCO ₂ e	40,218	34,433
Carbon footprint per guest night	kgCO ₂ e	33	31
Energy consumption	GJ	466,804	423,550
Energy consumption per guest night	MJ	385	377
Water consumption	m ³	1,009,234	813,444
Water consumption per guest night	liters	831	724

Average Occupancy Rate



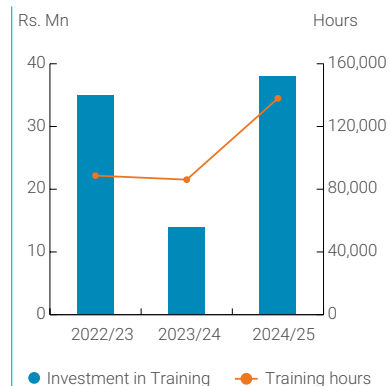
Energy



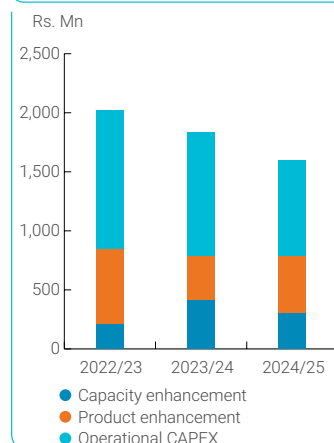


	Unit	2024/25	2023/24
Human Capital			
Number of Employees	No.	3,485	2,823
- Sri Lanka	No.	1,867	1,355
- Maldives	No.	1,317	1,197
- India	No.	154	149
- Oman	No.	147	122
Value added per employee	Rs. Mn	2.20	2.64
Training hours	Hours	137,945	86,104
Retention rate	%	61	48
Voluntary turnover rate for lodging facility employees	%	39	31
Involuntary turnover rate for lodging facility employees	%	0	0
Manufactured Capital			
Capital expenditure	Rs. Mn	1,603	1,838
- Capacity enhancement	Rs. Mn	301	407
- Product enhancement	Rs. Mn	481	375
- Operational CAPEX	Rs. Mn	821	1,056
Room inventory	No.	2,676	2,639
- Owned	No.	2,347	2,330
- Managed	No.	329	309

Training and Development



CAPEX





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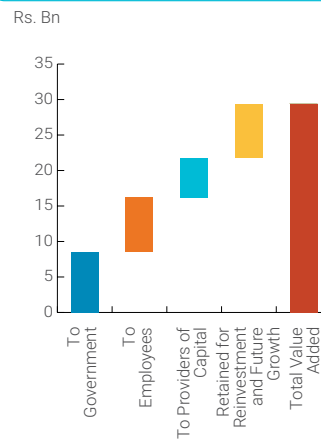
ECONOMIC VALUE ADDED AND DISTRIBUTED STATEMENT

	2024/25		2023/24	
	Rs. Mn	%	Rs. Mn	%
Revenue	48,741		47,259	
Operating Costs	33,487		32,786	
Total Value Addition	29,391		28,460	
Distributed as follows:				
To Employees: Salaries, wages & other benefits	7,677	26	7,468	26
To Government: Taxes	8,539	29	8,315	29
To Lenders of capital: Interest	5,621	19	6,391	23
To Shareholders: Dividends	-	-	-	-
Gross Value Retained	7,554	26	6,286	22
Total Distribution	29,391	100	28,460	100

During the year, value created increased by 3% mainly driven by the growth in occupancy rates at our properties, as the tourism industry recovered to pre-pandemic levels. The highest amount of wealth generated was distributed as government tax accounting for 29% of the total and 26% amongst the employees of the company, reflecting the importance we place in nurturing them and another 26% of value was retained by the Company for reinvestment and future growth while the rest was distributed to Lenders of Capital.

Distribution of Value Created

For the year ended 31st March 2025





BY FOSTERING A CULTURE ROOTED IN EMPOWERMENT AND ACCOUNTABILITY, WE CULTIVATE LEADERSHIP AT EVERY LEVEL, DRIVING INNOVATION, ADVANCING SUSTAINABILITY, AND SHAPING A BUSINESS DEFINED BY RESILIENCE, PURPOSE AND ENDURING GROWTH.



On behalf of every Spensonian, Heritonian, Turyaan and Adaaran member, I commence my message with a tribute to our late Chairman, Deshamanya D.H.S. Jayawardena, whose sagacity and forthright leadership were instrumental in transforming Aitken Spence Hotel Holdings (ASHH) into one of Sri Lanka's preeminent hospitality groups, expanding our footprint across four countries – Sri Lanka, Maldives, Oman and India. Renowned for his legendary work ethic, business acumen and precision he led the Group with foresight and calculated risk-taking over the span of 22 years with ASHH. From my earliest childhood, I was honoured to shadow this business icon on his many hotel and project inspections, team discussions, and business negotiations, which marked his journey as an entrepreneur.

His foresight, tenacity and acumen have left an indelible mark. He was a believer in harnessing the transformative power of technology to facilitate data driven decision making, drive higher productivity, efficiency and informed customer care. He was an early champion of sustainability, setting in place the framework to integrate environmental and social responsibility into our corporate strategy. His commitment to responsible stewardship embedded sustainability as our guiding principle, championing inclusivity and compassion in a sector that has had a significant impact on both local communities and the environment. In a dynamic industry, he integrated environmental and social

reporting into our corporate strategy, fostering a culture of transparency and accountability. At the height of the pandemic, and during the subsequent economic crisis, he embodied the Group's commitment to care—placing the health and safety of our guests and staff as the priority, ensuring vulnerable team members received continual support, and providing meals and other essential aid. He leaves behind an enduring legacy of accountability, integrity and a commitment to the pursuit of service excellence (setting the highest benchmarks) that will continue to define our hospitality sector and inspire our culture as we move into a new chapter.

As I step into the role of Chairperson, I do so with a profound respect for the 50-year history of Aitken Spence Hotels, as well as the rich heritage of Aitken Spence Group, spanning 156-years and the many distinguished Chairmen and hoteliers before me. I am humbled and honoured by the trust placed in me by the Nominations and Governance Committee, the Shareholders and the Board of Directors, to be a part of something truly unique - a company with an ethos of making champions and diamonds from the rough. I step into this role with a clear purpose, armed with the many nuggets of wisdom imparted over the years by the late Chairman and the Group Leadership. I have every confidence in the exceptional capabilities of our multi-generational, multicultural team of Spensonians, ably guided by the Board and the Management

Team. My career within the Group, which began as an intern, led to my decade long tenure as an Executive Director, Joint Deputy Chairperson and Joint Managing Director, which has afforded me invaluable insights into our operations and prepared my transition to Chairperson. I remain firmly committed to upholding our principles of strong governance, strategic clarity, and the core values that distinguish Aitken Spence Hotel Holdings. Together, we will continue to chart a course for sustainable, long-term growth and service excellence, whilst ensuring lasting value for all our stakeholders.

PERFORMANCE 2024/25

ASHH delivered an exceptional performance, recording a post-tax profit of Rs. 3.58 Bn, a 92.4% growth over the previous year. This significant milestone reflects the Group's strategic agility and the continued recovery of the tourism sector across its operating regions.

In Sri Lanka, the sector recorded a post-tax profit of Rs. 340.9 Mn—the first such result since the Easter attacks of 2019—marking a significant turnaround from the post-tax loss of Rs. 1.28 Bn recorded the previous year and underscoring the resilience of our domestic portfolio amidst improving macroeconomic conditions. The Group's portfolio of beach resorts recorded a notable turnaround and contributed positively to the overall performance of the Sector.



The South Asia and Middle East sector posted a 2.3% growth in profit before tax, an impressive outcome given intensifying global competition. In the third quarter the average appreciation reached 10.4%, though the year-on-year closing rates had a marginal appreciation of 1.4% of the Sri Lankan Rupee against the US Dollar. This performance highlights the region's underlying resilience and the Group's ability to navigate operational challenges in dynamic environments.

A well-defined marketing strategy, prudent pricing, and effective cost management in operating expenses and loan interests were key factors in achieving these results. Revisions in policy rates, successful renegotiation of loan interest rates, coupled with a reduction in debt contributed significantly to the overall profitability of the Group.

MILESTONES THAT REFLECT OUR VISION

This year marked several meaningful milestones that underscore our legacy and future. We proudly celebrated 50 years of Aitken Spence Hotels— an enduring testament to our commitment to pioneering hospitality across diverse geographies. Heritance Kandalama, our flagship in sustainable design, commemorated 30 years of setting benchmarks for eco-conscious tourism and the architectural integration with nature. In line with our continued commitment to sustainability, we also took on the management of Rainforest Ecolodge in the vicinity of the Sinharaja Rainforest; a UNESCO World Heritage Site—an initiative aligned with our broader vision to promote responsible travel and to showcase Sri Lanka's biodiversity and eco-tourism narrative. These milestones reflect both the strength of our foundations and the clarity of our aspirations.

VALUE TO SHAREHOLDERS

The ASHH Group recorded strong growth in earnings per share (EPS), reporting Rs. 6.77 in 2024/25, compared to Rs. 3.35 in 2023/24. Return on Equity (ROE) stood at 10.23%, compared to 5.42% the previous year.

Net assets per share rose by 11.19% to Rs. 70.08, supported by higher earnings and reduced debt. The share price increased from Rs. 66.20 to Rs. 80.10, reflecting renewed investor confidence in our destinations and the industry's evolving growth prospects.

GOVERNANCE

The passing of our visionary Chairman showcased the strength of our governance framework, set in place to ensure succession planning and the smooth transition of leadership, along with the delegation of authority. Mr. M.R. Mihular, formerly Independent Non-Executive Director, was appointed as Senior Independent Director upon my appointment as Chairperson of the company. We welcome to the Board Mr. Peter Englisch as an Independent Non-Executive Director and the reappointment of Mr. C.H. Gomez as a Non-Independent Non-Executive Director. Their appointments further enhance the diversity and depth of expertise of our Board with their wealth of multi-industry exposure and experience in international finance and capital markets.

In line with Listing Rule 9 of the Colombo Stock Exchange, ASHH PLC updated their Board composition, relevant committee structures, Terms of Reference, and related governance policies. The Aitken Spence PLC Group Supervisory Board, comprised of Executive Directors and the Corporate Management, has continued to play a pivotal role in reviewing the ASHH's strategic direction in conjunction with the ASHH Management Team to ensure effective delivery of its goals.

To support this framework, we have strengthened our risk oversight mechanisms to promote a risk-aware culture to better navigate market volatility. Prudent risk-taking remains critical to delivering value across the four countries in which we operate.

A PORTFOLIO VIEW

Our geographically diversified portfolio of nineteen properties, across four countries, remains a key asset of the Group, enabling it to navigate regional volatility, while offering a wide spectrum of curated travel experiences.

Sri Lanka

Sri Lanka's tourism sector continued its recovery trajectory in 2024, with international arrivals increasing by 38% to reach 2 Mn visitors, building on the 106% growth recorded the previous year. This growth reflects the restoration of political and economic stability, against the backdrop of two national elections. The momentum has carried into the first quarter of 2025, with growth rates beginning to normalise. As the base effect sets in, evident in the gradual moderation from 21% growth in January, to 9% in March, it marks the onset of the off-peak season.

Tourism earnings for 2024 rose by 53.2% to US\$ 3,169 Mn, reflecting stronger per capita spending by visitors. India, Russia, the United Kingdom, Germany, and China emerged as the top five source markets in 2024. Notably, between January and March of 2025, France replaced China at number five, reflecting evolving shifts in travel patterns.

Sri Lanka's standing as a leading global destination continues to improve. In 2025, the country was ranked among the BBC's Top 10 Places to Travel, and the Pekoe Trail—which culminates in Kandapola, Nuwara Eliya, home to Heritance Tea Factory—was named one of the world's most scenic trekking routes by the National Geographic Traveller in 2024. Additionally, Sri Lanka earned recognition as the World's Top Family-Friendly Destination for 2025 by the Conde Nast Traveller, underscoring the island's diverse and multi-generational appeal.

South Asia & Middle East

Despite economic headwinds, the Maldives recorded a 9% increase in tourist arrivals in 2024, reaching 2 Mn visitors. The country continues to hold strong global appeal, with numerous international brands expanding their footprints. While yields have declined compared to previous years, they remain above regional averages, highlighting the enduring value of the destination.

India sustained its growth trajectory, and the strategic relevance of Turayaa has been further enhanced by ongoing infrastructure



developments. Notably, the construction of a new metro line, with a station in proximity to Turyaa Chennai, is expected to significantly improve connectivity—offering efficient access to both the airport and the city centre, strengthening the hotel's competitive position in Chennai's rapidly evolving urban corridor.

In Oman, prevailing market conditions remain subdued due to regional security concerns, leading to stagnation in inbound arrivals. However, with the government's economic diversification strategy, and renewed focus on tourism, we remain optimistic about the medium-term potential of this market.

ECONOMIC REALITIES AND TOURISM TRENDS

Economy

Global GDP growth stood at 3.2% in 2024, with forecasts for 2025 and 2026 also at 3.3%—trailing the historical average of 3.7% (2000–2019), noted in the IMF's January 2025 update. However, subsequent tariff announcements by the United States in early 2025 led to downward revisions, with projected growth reduced to 2.8% for 2025 and 3.0% for 2026. These changes reflect growing trade tensions and rising policy uncertainty, which continue to test global resilience.

Consumer price inflation in advanced economies is projected at 2.5% for 2025 and 2.2% for 2026, reflecting a marginal decline from the 2.6% recorded in 2024. In developing and emerging markets, inflation forecasts have been adjusted to 5.5% for 2025, and to 4.6% for 2026. These projections continue to be shaped by a complex global landscape, where heightened geopolitical and geo-economic tensions present both upside potential and considerable downside risk.

THE GLOBAL TOURISM INDUSTRY

Global tourism continued its upward trajectory, with international arrivals rising by 11% over 2023 to reach 1.4 Bn in 2024—representing a recovery to 99% of pre-pandemic levels. The Asia Pacific region recovered to 87% of pre-pandemic levels, lagging behind other regions. The Middle East experienced a remarkable 32% growth above pre-pandemic levels, highlighting our optimism for the future demand of travel and leisure in this region.

Looking ahead, international arrivals are expected to grow by 3% to 5% in 2025, with nearly two-thirds of the UN Tourism Panel of Experts anticipating improved performance. However, challenges remain, with the UNWTO's January 2025 survey identifying rising transportation and accommodation costs, global economic conditions, geopolitical tensions, extreme weather events, and labour shortages as the top five factors impacting tourism recovery.

At ASHH, we recognise the urgency of these challenges. Our response has been proactive—embedding mitigation strategies that enhance resilience while preserving the guest experience. The growing global focus on sustainability has elevated expectations across the tourism value chain. With mounting concerns around climate change, overcrowding, and biodiversity loss, the call to action is clear: to protect the natural and cultural assets of our destinations while delivering meaningful, responsible experiences. As custodians of the destinations we operate in, we remain committed to safeguarding their unique environments. This demands not just operational shifts, but a deeper, collective mindset change—one that we are committed to leading.

OUTLOOK

Global tourism forecasts published prior to the United States' announcement of tariffs in April 2025, were broadly optimistic. However, the IMF's April 2025 World Economic Outlook accordingly revised global GDP growth downward and adjusted inflation forecasts upward. These upward revisions were more pronounced in developing and emerging markets, indicating pressure on disposable incomes and the potential for softer consumer confidence.

Amid this uncertainty, governments must continue to support tourism, given its critical role in foreign exchange earnings and employment generation—both direct and indirect.

Travellers in 2025 and beyond are seeking journeys that are immersive, meaningful, and restorative—whether through culinary exploration, wellness escapes, off-peak adventures, or responsible travel. These

emerging preferences signal a shift toward travel as a form of personal transformation and global connection.

In Sri Lanka, sustained international promotion and destination branding at global forums are essential to remaining competitive. Measures such as short-term visa-free travel for key and emerging source markets can further increase appeal. Maintaining political and economic stability will also be crucial in consolidating our progress.

As a biodiversity hotspot, Sri Lanka has a responsibility to regulate tourism growth to safeguard its unique cultural and environmental assets. A shift toward authentic, community-based travel experiences—as opposed to mass tourism—will better serve the long-term future of the industry and the nation. Infrastructure remains a priority. Expanding airport capacity and improving multimodal connectivity—by air, road, and rail—will continue to be vital in enhancing guest experience.

The Maldives is evolving beyond its traditional positioning as a beach destination, steadily transforming into a multidimensional tourism offering. Sustained investments in sustainability, sports tourism, wellness-led experiences and luxury developments are reshaping its appeal—attracting discerning global travellers seeking more meaningful, immersive journeys, while continuing to safeguard the nation's fragile ecosystems.

Chennai continues to emerge as a major economic centre, with significant investments in information technology, automotive, and medical infrastructure, positioning it as an attractive destination for business, healthcare, and leisure travel. We remain open to exploring opportunities that align with our strategic direction in other regions of India.

There is growing interest in Oman's unique blend of desert, coastline, and heritage-driven experiences—particularly among travellers seeking quieter, culturally rooted alternatives to traditional tourism hubs. As global preferences shift toward authenticity and low-impact travel, Oman's unspoiled natural landscapes and emerging wellness and eco-tourism offerings hold long-term promise.



Across all markets, three major trends continue to shape the future of tourism: sustainability, digitalisation, and experiential travel. These themes are reshaping how people travel, how they book, and how they engage with destinations. Travellers now prioritise low-impact, high-value experiences that support local communities and reflect a global push toward net-zero. Transformational travel—defined by personal growth, self-discovery, and cultural authenticity—is no longer a niche but increasingly mainstream.

It is also imperative to remain mindful of the wider impacts of geopolitical tensions and global economic shifts on tourism flows across the regions in which we operate. Agility, cross-border cooperation, and proactive destination stewardship will be essential to navigating volatile market dynamics.

PARTNERSHIPS FOR GROWTH

Tourism thrives on collaboration – with tour operators, destination management companies, online aggregators, and airlines playing a critical role in demand generation and capacity management. We take pride in our robust global network of representatives, which enables a wide-reaching distribution footprint. In parallel, we are seeing promising traction in emerging markets across the Asia Pacific, CIS, and East Asia regions—opening new avenues for growth while revitalising interest from more established source markets.

Our long-standing relationship with TUI spans several key source markets, while our partnership with Aitken Spence Travels—Sri Lanka's leading destination management company—continues to be a strategic strength. These enduring relationships have helped us address airline connectivity challenges and enhance our market presence.

STRATEGIC PRIORITIES

As we look ahead, the Group has identified the following strategic priorities:

SUSTAINABILITY

We carry forward a legacy of responsible stewardship, with many of our properties located in proximity to areas of high biodiversity. Our sustainability agenda continues to evolve through data-driven

decision-making aimed at minimising environmental impacts. We actively promote responsible tourism in collaboration with our partners, while safeguarding our heritage for future generations. ASHH has also reaffirmed its commitment to support the Parent Company Aitken Spence PLC's Net Zero ambition by 2030, aligning our actions and initiatives to contribute meaningfully to this goal. Business continuity is equally vital, and we remain focused on mitigating downside risks in a volatile global context.

DEVELOPING HUMAN RESOURCES

Hospitality is a people-centric industry. In a market constrained by a shortage of skilled talent, building future-ready teams is a top priority. We aim to harness multi-generational strengths, align aspirations of the next generation, and promote gender diversity by encouraging more women to pursue hospitality careers. Internship and Management Trainee programmes have been expanded to accelerate leadership development. We are also nurturing a culture of innovation to elevate our value propositions in the years to come.

DIGITALISATION

Digital transformation will be a key enabler of our future growth—enhancing guest experiences, streamlining operations, and boosting revenue. A seamless customer journey—from pre-stay to post-stay—is essential. Prioritising analytics and real-time insights will enable us to stay agile, make informed decisions, and deliver exceptional value to our guests.

While global dynamics remain volatile, we are optimistic about the opportunities ahead. With an experienced Board of Directors, a passionate executive team, and committed associates, we are confident in our ability to navigate uncertainty and create sustainable value for all stakeholders.

ACKNOWLEDGEMENTS

I am deeply honoured by the confidence placed in me to carry on the 50-year legacy of Aitken Spence Hotels, a company that has been instrumental in transforming our nation's tourism landscape and economy over the years. I look forward to leading ASHH, where I have had such an enriching and stimulating experience over the years, joined by a

diversely talented, multigenerational team. I am excited to generate meaningful careers, as we foster creativity, product innovation and service excellence in all we undertake. I look forward to implementing a long-term vision of transformation and sustainability amidst the ever-evolving tourism landscape that weaves a rich tapestry of untapped diverse experiences across the regions we operate in.

I wish to thank Mr. M. A. N. S. Perera for his contributions during his tenure on our board. I wish to extend my deep gratitude to an exceptional leader, Dr. Parakrama Dissanayake (Managing Director), Mr. Susith Jayawickrama (Executive Director) - a pillar of long-standing strength - as well as our passionate and multitalented team across four destinations, whose rich and diverse experience steered the company to deliver remarkable results. It is a testament to the enduring support, hard work and dedication in implementing the relevant strategies. I am also immensely grateful for the sound counsel, valuable insights and guidance imparted by our late Chairman, Deshamanya D. H. S. Jayawardena and the Members of the Board during the financial year under review.

On behalf of the Board, I also extend my sincere gratitude to our valued customers. Your trust, loyalty and continued patronage are the cornerstone of our success.

We are also grateful for the ongoing support of our strategic business and financial partners, governments and stakeholders whose collaboration and support continue to play a vital role in our journey. To our shareholders we are thankful for your continued trust and confidence. We will never take for granted the trust placed in us by all our stakeholders and together, we look forward to a future of prosperity built on the strong foundation of our collective efforts.

Ms. D.S.T. Jayawardena
Executive Chairperson

12th June 2025



AS A LEADER, YOU HAVE AN INCREDIBLE OPPORTUNITY TO CHANGE SOMEONE'S LIFE EVERY SINGLE DAY. LEADERSHIP IS NEVER ABOUT TEARING PEOPLE DOWN, IT'S ALL ABOUT HELPING PEOPLE BECOME THE VERY BEST VERSION OF THEMSELVES.



Dear Shareholders,

I am pleased to present the Annual Report for Aitken Spence Hotel Holdings PLC (ASHH/ the Group) for the financial year 2024/25. This year has been marked by significant achievements and progress, reflecting our commitment to excellence and our ability to navigate dynamic operating environments.

Our diverse portfolio of properties across Sri Lanka, the Maldives, Oman, and India delivered a robust performance. We have seen substantial growth in occupancy rates, driven by the recovery of the tourism industry to pre-pandemic levels. This growth has been instrumental in increasing the value created by our Company, which has been distributed among our employees, the government, lenders of capital, and shareholders.

FINANCIAL PERFORMANCE OF THE GROUP

The Group's performance was largely shaped by how the external environment unfolded. The Group's versatile strategy and the competence of the team ensured that the Group navigated these conditions in generating sound results to its shareholders, and stakeholders.

Aitken Spence Hotel Holdings PLC posted robust financial results for the financial year 2024/25, with consolidated revenue increasing by 3.14% to Rs 48.74 Bn. The Sri

Lankan sector particularly benefited from the surge in international arrivals, contributing to strong revenue growth and improved occupancy levels. The South Asian and Middle East sector, comprising properties in the Maldives, India, and Oman, also showed resilience, maintaining stable performance despite intense competition and geopolitical challenges. The Group's proactive approach to diversifying its revenue streams and focusing on non-accommodation revenue and other value-added offerings to guests significantly contributed to overall revenue growth. Operating costs were effectively managed, with Group Profit from operations recording an increase of 6.22% to Rs 8.82 Bn. The Group's finance expenses decreased by 23.71% to Rs 4.32 Bn, reflecting both a reduction in interest-bearing liabilities and the impact of tapering interest rates in the broader economy. Overall, the Group demonstrated a strong financial position, with pre-tax profits amounting to Rs 4.93 Bn, an increase of 63.98% compared to the previous year. The post-tax profits recorded an increase of 92.44% over the previous year, reporting Rs 3.58 Bn.

SEGMENT PERFORMANCE

Amidst a challenging operating environment, the Group remained focused on strategic priorities across its key markets. In Sri Lanka and the Maldives, efforts were concentrated on strengthening both leisure and MICE

(Meetings, Incentives, Conferences, and Exhibitions) travel segments. The India operation maintained its focus on business and MICE travel, while the Oman segment broadened its scope by expanding into F&B catering. During the year, the sector also embarked on a digital transformation journey aimed at enhancing operational efficiency. The implementation of Opera Cloud marked the first phase of this consolidation initiative. True to its leadership in sustainable hospitality, ASHH reaffirmed its commitment to support the Parent Company, Aitken Spence PLC's commitment towards Net Zero by 2030.

SRI LANKA

Leveraging the resurgence in tourist arrivals and a favourable outlook for the sector, the Sri Lankan operations recorded strong growth in revenue and profitability. The renewed momentum in tourism reinforced the country's position as a sought-after destination in global rankings. The sector also aligned closely with evolving travel preferences, with a focus on experiential tourism. Premium properties introduced curated offerings that enhanced guest experiences, driving higher yields and contributing to improved earnings.

MALDIVES

ASHH's operations in the Maldives demonstrated exceptional resilience in



the face of economic headwinds. Despite increased fiscal pressures, including higher taxes, mandatory currency conversions, and inflationary costs, the sector held its market share. Despite the Sri Lanka Rupee appreciation which impacted the reporting currency results, the team's ability to drive operational efficiencies and implement disciplined cost-management strategies enabled the sector to retain its profit contribution to the Group. The success underscores the strength of ASHH's brand positioning in the Maldives and its capacity to adapt swiftly to external challenges while sustaining profitability.

INDIA & OMAN

In India, operations recorded higher occupancy levels and increased revenue in the functional currency. However, due to the Sri Lanka Rupee appreciation the revenues recorded a marginal drop in comparison to the previous year. However, due to effective management, the sector achieved a growth in PAT in comparison to the previous year. Despite stiff challenges in Oman due to the depressed market conditions as a result of the security uncertainties in the region, the sector was able to report revenue growth and better operating performance. With the planned Government initiatives in hospitality infrastructure development in Muscat, we are positive on the prospects of the sector for the medium term.

ACCELERATING GROWTH

ASHH continued to accelerate its growth journey through regionally aligned strategies, impactful market partnerships, and a renewed focus on service excellence. By tailoring our approach to the nuances of each market, while cultivating a high-performance culture across the Group, we were able to create meaningful value for all stakeholders.

REGION-SPECIFIC STRATEGIES

ASHH tailored its approach in each region to reflect the distinct market dynamics and evolving travel behaviours. Aggressive marketing in traditional markets and penetration of non-traditional markets, particularly to sustain occupancies during the off-season is a strategy adopted to Sri Lanka

and the Maldives. Both markets will continue to promote MICE travel, capitalising on the return of international travel to pre-pandemic levels. India, with its expanding commercial landscape, served as a vital source market for business and MICE travel to Sri Lanka and the Maldives. Within India and Oman, our strategy embraces a hybrid model that addresses both business and leisure segments. In parallel, the Group will continue to explore supplementary revenue opportunities beyond accommodation, including curated experiences and value-added services, to further enhance performance.

EXPANDING MARKET ACCESS

We continued to strengthen our market visibility and diversify revenue channels through strategic collaborations. Partnerships with tour operators, travel agents, and global online aggregators expanded our reach across varied customer segments. To further scale digital customer acquisition, we are increasing our investment in online platforms and performance-driven marketing. Our longstanding alliance with TUI remained a key enabler in maintaining steady visitor flows from Europe while opening access to new markets. In Sri Lanka, we also leveraged the synergies of our parent company's destination management operations to sustain occupancy and optimise inbound travel.

TAILORED PROPERTY POSITIONING

In response to emerging tourism preferences, ASHH continued to strategically reposition several of its properties to align with evolving traveller expectations. Heritance Ayurveda maintained its allure to the global rise in wellness tourism by offering long-duration stays anchored in traditional Ayurvedic healing. Heritance Kandalama deepened its ecological mandate, evolving into a sanctuary for sustainability and biodiversity. Meanwhile, Heritance Tea Factory continued to stand out by delivering immersive experiences rooted in heritage and locality, offering guests an authentic and memorable stay. Strengthening our nature-based tourism portfolio, Aitken Spence Hotel Managements Pvt Ltd also entered into a management agreement with Rainforest Ecolodge—an eco-conscious

retreat designed to cater to the discerning traveller seeking meaningful engagement with Sri Lanka's rich biodiversity.

CULINARY INNOVATION AND LOCAL IDENTITY

Excellence in cuisine remained a defining element of the ASHH brand. Across Heritance properties, dining experiences were reimagined to reflect local culture and regional flavours. Menus continued to evolve, to highlight Sri Lankan classics and fusion dishes that showcase indigenous ingredients and culinary techniques. By prioritising local sourcing and integrating cultural narratives into the dining experience, we reinforced our commitment to authenticity and sustainable gastronomy.

EMPOWERING OUR PEOPLE

Our people remain at the heart of everything we do. With a workforce of over 3,400 employees spread across four countries, their dedication, skill, and passion are fundamental to delivering the exceptional guest experiences we are known for. The combined experience and diversity of our team continue to shape our success and strengthen our culture of excellence. Recognising the critical role of human capital, we sharpened our focus on human resources governance and employee engagement during the year. We introduced and updated several key policies to foster a more inclusive, supportive, and transparent work environment. New HR policies introduced included the Adoption Leave Policy and Flextime Work Policy. Policy revisions undertaken included the Whistleblowing Policy and Anti-Bribery and Anti-Corruption Policy.

INVESTING IN SKILLS AND DEVELOPMENT

We are committed to continuous learning and development as a strategic driver of performance. In 2024/25, we invested significantly in upskilling and reskilling our workforce, with employees receiving an average of 3.29 hours of training per person per month. This effort is aimed at equipping our teams with the competencies required to adapt, grow, and lead in an evolving hospitality landscape.



Aitken Spence Institute of Hotel Management is our flagship talent management initiative. Operating in collaboration with the TUI Care Foundation and the Sustainable Hospitality Academy, we run two dedicated hotel schools at Heritance Kandalama and Heritance Ahungalla. These institutions are instrumental in addressing the talent gap in the industry, particularly by empowering underprivileged youth through vocational training in food and beverage, housekeeping, and culinary services.

Students benefit from two months of intensive classroom learning followed by hands-on practical training at our hotel properties. Graduates are then eligible to join the Aitken Spence family or pursue careers elsewhere in the sector, thereby uplifting their communities while nurturing a new generation of hospitality professionals.

ASHH also remains committed to cultivating future leaders in hospitality through Heritance Rise - the Aitken Spence Hotels Management Trainee Programme. What sets this initiative apart is the unique opportunity it offers candidates to gain hands-on experience across a geographically diverse portfolio—including properties in Sri Lanka, the Maldives, India, and Oman. This cross-border exposure equips trainees with a well-rounded understanding of regional market dynamics, operational nuances, and guest expectations, preparing them to contribute meaningfully to the Group's long-term growth.

REINFORCING DIGITAL ENABLEMENT

Across the region, we will leverage digital platforms for marketing, bookings, and guest engagement. We are also strengthening our digital footprint in operations by implementing systems that personalise the guest journey and enable more agile service delivery. A unified digital strategy will enhance visibility, streamline processes, deepen customer relationships, and improve lifecycle value, positioning us to better anticipate and respond to evolving guest expectations.

SUSTAINABILITY AND EXPERIENCE-DRIVEN TRAVEL

Our long-term outlook is rooted in creating enduring value for communities, guests, and stakeholders. We believe that sustainable tourism, with a focus on wellness,

conservation, and cultural authenticity, will define the next era of travel. Each of our properties will continue to evolve into destinations that reflect their identity, offering unique experiences beyond traditional hospitality. This includes expanding our wellness portfolio, deepening our ecological and community initiatives, and investing in skills and service excellence.

WAY FORWARD

As we look ahead, Aitken Spence Hotel Holdings PLC is well-positioned to build on the momentum of 2024/25 by navigating a complex global landscape with agility, foresight, and a long-term view. While the broader economic climate is expected to remain volatile, particularly following recent US tariff announcements and uncertainties surrounding them, and rising inflationary pressure in key source markets, our diversified geographical footprint and disciplined strategy provide resilience and growth potential.

TOURISM OUTLOOK

As we plan for the year ahead, global and regional travel trends continue to shape our outlook. According to the UN World Tourism Organisation, international tourist arrivals grew by 11% in 2024, recovering to 99% of pre-pandemic levels. In 2025, global arrivals are expected to increase by a further 3% to 5%, with resilience driven by strong demand in key markets.

In Sri Lanka, arrivals rose by 38.1% in 2024, crossing 2 Mn visitors. Q1 of 2025 maintained positive momentum. The appreciation of the Sri Lankan Rupee and rising input costs present ongoing challenges, but the destination remains competitively positioned in global rankings.

In the Maldives, international arrivals also crossed 2 Mn in 2024, reflecting a 9% year-on-year increase. While yields have declined due to rising taxes and macroeconomic pressures, the destination continues to attract investment from global hospitality brands.

India remains a growth engine for intra-regional travel and MICE tourism, supported by infrastructure development and rising domestic demand. Meanwhile, the outlook for Oman is cautiously optimistic. Though

regional uncertainties have dampened performance, government-led leisure infrastructure developments are expected to stimulate medium-term growth.

As a Group operating across these four key destinations, we remain attuned to shifting travel patterns, evolving guest expectations, and emerging market opportunities—factors that will shape our commercial focus and regional strategies in the year ahead.

NAVIGATING GLOBAL HEADWINDS WITH REGIONAL STRENGTHS

In light of global economic uncertainties and shifting geopolitical dynamics, we remain focused on tailoring region-specific strategies that leverage the unique opportunities across our operating markets. Our presence in Sri Lanka, the Maldives, Oman, and India gives us a strong competitive edge and the ability to balance performance across markets with varying demand cycles.

- In Sri Lanka, it is imperative to sustain the growth trajectory through coordinated destination branding efforts, increased global visibility, and targeted promotion in high-value markets. The continuation of visa-free travel schemes, the development of authentic tourism experiences, and stronger regulation of growth are essential to protect the country's cultural and environmental assets while enhancing its global appeal.
- The Maldives continues to be a cornerstone of our portfolio. With the anticipated opening of the new airport in 2025, we expect significant easing of infrastructure constraints during the peak winter season. We advocate for the swift resumption of the government-led global destination promotion campaign, which has historically contributed to market stability and brand visibility.
- In Oman, the blend of leisure and business tourism continues to show promise. Our strategy will focus on deepening our penetration into niche segments, expanding our partnerships with regional DMCs and OTAs, and enhancing service personalisation through data-driven insights.



- India remains a key growth market, especially for MICE and business travel. We will continue to strengthen our brand presence through strategic alliances, curated corporate packages, and leveraging the evolving domestic travel demand.

APPRECIATION AND ACKNOWLEDGEMENTS

As we close another transformative year, I extend my sincere appreciation to all those who have contributed to our journey. My gratitude extends to our Board of Directors, whose timely counsel and foresight have supported prudent decision-making in a constantly evolving landscape.

We remain guided by the enduring legacy of our late Chairman, Deshamanya D.H.S. Jayawardena. His foresight and conviction reshaped the very landscape of Sri Lanka's hospitality industry. His ability to lead with clarity during times of uncertainty—whether in expanding across borders or embedding sustainability into our DNA—continues to shape our principles and progress. His leadership remains deeply respected and profoundly missed.

I would also like to extend my warmest congratulations to Ms. D.S.T. Jayawardena on her appointment as Chairperson. Her long-standing involvement with the Group brings both familiarity and a refreshing perspective to the role. We welcome her leadership as we embark on this next phase of our journey.

I take this opportunity to thank the Executive Management team of our management company, Aitken Spence Hotel Managements (Pvt) Ltd, as well as the dedicated teams across our four operating regions for their commendable performance. We deeply value the collaboration of our business partners and tour operators to reignite established markets, and gain access to new audiences. Their partnership remains integral to our growth and market relevance.

Finally, to our investors and shareholders, thank you for your continued trust and belief in our potential. Your confidence inspires us to push boundaries, uphold excellence, and deliver consistent value, year after year.

Together, we move forward, grounded in our values, energised by progress, and inspired by the possibilities that lie ahead.

Dr. M. P. Dissanayake
Managing Director



MS. D.S.T. JAYAWARDENA

Chairperson



DR. M. P. DISSANAYAKE

Managing Director



MR. C.M.S. JAYAWICKRAMA

Executive Director



MR. J.M.S. BRITO

Non-Independent, Non-Executive Director



MR. R.N. ASIRWATHAM

Non-Independent, Non-Executive Director



MR. N. J. DE S. DEVA ADITYA

Non-Independent, Non-Executive Director



MR.C.H. GOMEZ

Non-Independent, Non-Executive
Director



MR. M.R.MIHULAR

Senior Independent, Non-Executive Director



DR. R.A.FERNANDO

Independent Non-Executive Director



MR. P. ENGLISH

Independent Non-Executive Director



MS. D.S.T. JAYAWARDENA

Executive Chairperson

● Appointed in July 2014

● Qualifications and Areas of Expertise

Ms. Jayawardena is graduate of St. James' & Lucie Clayton College and Keele University in the United Kingdom, Emeritus Institute of Management, Singapore – and an Associate Alumni of University of Cambridge (Judge Business School), United Kingdom.

● Experience

Ms. Stasshani Jayawardena marks several milestones as the first female Chairperson of Aitken Spence Hotel Holdings PLC and of Aitken Spence PLC in its 156-year history with her appointment as Executive Chairperson in February 2025. She was the youngest and first female board member of Aitken Spence PLC, Aitken Spence Hotel Holdings PLC, Browns Beach Hotels PLC in December 2013.

With a career spanning over 10 years at Aitken Spence, she wields a fresh perspective in management and leads strategic business units across the Group. She leads several key strategic teams as the Chairperson of Aitken Spence Hotel Managements (Pvt) Ltd., Deputy Chairperson of Lanka Milk Foods (CWE) PLC., as a member on the Board of Directors of Stassen Group, Melstacorp PLC and Distilleries Company of Sri Lanka PLC.

Ms. Jayawardena was the youngest intern to work under US Senator Hilary Rodham Clinton and the Former US President Bill Clinton in 2003; and was appointed as the Sri Lankan Ambassador for EY NextGen Club from 2017 to 2019. She is also a member of the PwC NextGen Advisory Council since the year 2020.

Ms. Stasshani Jayawardena was appointed to the Executive Board of The Hotel Association of Sri Lanka (THASL) and represents THASL at the Ceylon Chamber of Commerce Committee since 2019. She is an Executive Committee Member at the International Chamber of Commerce in Sri Lanka since 2020 and a Steering Committee Member of the Ceylon Chamber of Commerce Tourism. She served as the Chairperson of the Employers' Federation of Ceylon (EFC) Hotels and Tourism Employers Group for the

financial year 2020/21. She was appointed to the Board of Directors of the Colombo International Arbitration Centre, Sri Lanka in January 2025.

Ms. Jayawardena represents the Company as the Ambassador from Aitken Spence PLC at the Target Gender Equality initiative of the UN Global Compact since 2020.

In recognition of her work and commitment to inspire, she was recognised at Top 50 Professional & Career Women Awards in Sri Lanka with a Gold award in the Hotel & Hospitality Sector in 2017, and in 2020 by Sri Lankan business magazine, Echelon, listing her among the most innovative and influential young leaders who have succeeded in business and shaping the future of Sri Lanka.

Ms. Jayawardena became the award recipient of the Expatriate Contribution Award – Gold category by Women in Management Maldives. The Professional and Career Women Awards Maldives 2022 presented this award to Ms. Jayawardena for her exceptional contributions and achievements in the field of Hotel & Hospitality.

Ms. Jayawardena was an award recipient at the Global CEO Leadership Excellence Awards 2024. The Global CEO Awards ceremony honoured 50 top-tier CEOs and their teams who met the challenges successfully in turbulent times.

DR. M.P. DISSANAYAKE

Managing Director

● Appointed in March 2019

● Qualifications and Areas of Expertise

Dr. Dissanayake is an Alumni of the University of Sri Jayawardenepura, NORAD, JICA, Business Alumni of the University of Oxford (UK). He has qualified as a Chartered Shipbroker (FICS) UK, Chartered Fellow (Logistics/Transport) FCILT UK and Fellow (CIM) UK. He has also pursued Executive Management Education at Harvard Business School USA and University of Cambridge UK.

● Experience

Dr. Parakrama Dissanayake is the Managing Director of Aitken Spence Hotel Holdings PLC, appointed with effect from 15th March 2019. He is also the Deputy Chairman and Managing Director of Aitken Spence PLC.

Prior to this appointment he was Secretary to the Cabinet Ministry of Ports, Shipping and Southern Development.

He was appointed as the first non-British International President of the Institute of Chartered Shipbrokers U.K. founded in 1911 and Royal Charter conferred in 1920.

Dr. Dissanayake has also held positions in the past that include, Chairman – Sri Lanka Ports Authority (two stints), Chairman – Chartered Institute of Logistics and Transport (Sri Lanka), Board Director Urban Development Authority and Board Director of Ceylon Shipping Corporation.

During the period June 2004 to May 2017, he served as a Director of Aitken Spence PLC and the Chairman & CEO of its Maritime & Freight Logistics sector.

He was inducted as a "Legend of Logistics" by the Prime Minister of Sri Lanka at the National Logistics Awards Ceremony.

He is also the Chairman of Elpitiya Plantations PLC, Aitken Spence Plantation Managements PLC, Co-Chairman/Professor CINEC Campus, Hon. Consul of Fiji Islands and served as a Professor in Maritime Studies (visiting) at Shanghai Maritime University, Dalian Maritime University.



MR. C.M.S. JAYAWICKRAMA

Executive Director

- Appointed in April 2005

● Qualifications and Areas of Expertise

Mr. C M S Jayawickrama is a Fellow of the Chartered Institute of Management Accountants UK.

● Experience

Mr. C M S Jayawickrama has had a career spanning over three decades with Aitken Spence and is the Managing Director of Aitken Spence Hotel Managements (Private) Limited, which manages all hotels of the Group. Mr. Jayawickrama serves on the Aitken Spence Group Management Council and on the Boards of most hotel companies in the Group including that of Aitken Spence Hotel Holdings PLC.

He has more than three decades of experience in senior management positions in the Group's hotel sector and the tourism industry in Sri Lanka and overseas. Mr. Jayawickrama is a past Vice President of the Tourist Hotels Association of Sri Lanka (THASL).

MR. J.M.S. BRITO

Non-Independent Non-Executive Director

- Appointed in July 2001

● Qualifications and Areas of Expertise

Mr. J M S Brito holds a L.L.B. degree from University of London, MBA degree from London City Business School and is a Fellow of the Institute of Chartered Accountants of both Sri Lanka and England and Wales.

● Experience

Mr. J M S Brito is an acclaimed senior professional in both the private and the public sector industries in Sri Lanka.

He is a former Chairman of DFCC Bank, Employers' Federation of Ceylon, Sri Lankan Airlines and has also served on the Board of Sri Lanka Insurance Corporation.

Mr. Brito joined the Board of Aitken Spence PLC in April 2000, with a multi-discipline academic background and a wealth of experience from a career counting over 40 years that includes experience working with several international organisations. He was then appointed as the Managing Director of Aitken Spence PLC, in December 2001 and Deputy Chairman in April 2003 which position he held until his retirement on 15th March 2019. After retirement, Mr. Brito continues to be a Non-Executive Director of Aitken Spence PLC and Aitken Spence Hotel Holdings PLC.

MR. R.N. ASIRWATHAM

Non-Independent Non-Executive Director

- Appointed in September 2009

● Qualifications and Areas of Expertise

Mr. Asirwatham is a Fellow of the Institute of Chartered Accountants of Sri Lanka.

● Experience

Mr. Asirwatham was appointed to the Board of Aitken Spence Hotel Holdings PLC, in September 2009 and served as the Chairman of the Audit Committee, Related Party Transactions Review Committee, Remuneration Committee and the Nomination Committee.

He was the Senior Partner and Country Head of KPMG from 2001 to 2008. Further, he was the Chairman of the Steering Committee for the Sustainable Tourism Project funded by the World Bank for the Ministry of Tourism and was also a member of the Presidential Commission on Taxation, appointed by His Excellency the President of Sri Lanka. He is a member of the Board of Trustees of the Lakshman Kadirgamar Institute of Strategic Studies.

He also serves on the Boards of Dilmah Ceylon Tea Company PLC, Aitken Spence PLC, Browns Beach Hotels PLC and several other companies.

On the 3rd of October 2023, he was conferred the Lifetime Achievement Award 2023 by the Council of The Institute of Chartered Accountants of Sri Lanka in recognition and honour of his outstanding contribution to the accounting profession and society.



MR. N. J. DE S. DEVA ADITYA

Non-Independent, Non-Executive Director

● Appointed in July 2010

● Qualifications and Areas of Expertise

Mr. Deva Aditya is a Fellow of the Royal Society of Arts FRSA established 1754, Research Fellow Loughborough University of Technology, Graduate Royal Aeronautical Society, Member Institution of Mechanical Engineers and holds a Bachelor of Technology Hons University of Loughborough, Professor Beijing University.

● Experience

The Honourable N. J. de Silva Deva Aditya (Nirj Deva) Fellow of the Royal Society of Arts, Deputy Lieutenant for the Lord Lieutenancy of Greater London representing HM King Charles III, Presidential Envoy of Sri Lanka to the EU and the Commonwealth of 56 Nations and Senior Advisor to the President of Sri Lanka, former Member of Parliament in the British House of Commons and Member of the European Parliament, joined the Board of Directors of Aitken Spence in September 2006.

He was the first Post War Asian born Conservative Member of the British House of Commons and served in Government as the Parliamentary Private Secretary to the Scottish Office after which he was elected as the first Asian born British Member of the European Parliament representing over 8 million, British people in Berkshire, Hampshire, Buckinghamshire, Oxfordshire, Surrey, Sussex and Kent for 20 years.

He was the Vice President of the International Development Committee for 15 years, overseeing the annual Euro 25 billion European Budget. He was the Chairman of the EU Korean Peninsula Delegation working towards a lasting peace with North Korea, Chairman of the EU China, EU Bangladesh, EU Indonesia, EU Myanmar and EU India Friendship Groups in the EU Parliament and was nominated by his political group ECR to be the President of the European Parliament and was the Chairman of the EU Delegation to the UN General Assembly. He is now the President of the Commonwealth Union; the largest cyber community encompassing the Commonwealth.

For his tsunami relief work he was made MEP of the Year by the European, a Chevalier of the Catholic Church and Vishwa Keerthi Sri Lanka Abhimani by the Buddhist Clergy of Sri Lanka and Gaurav Bharat by India. He is the Publisher of the <http://www.commonwealthunion.com> the global media platform, the first Commonwealth wide news and TV media reaching out to 2.6 billion people and seen regularly by 18 million. He was appointed Presidential Envoy and Senior Advisor in August 2022.

MR.C.H. GOMEZ

Non-Independent, Non-Executive Director

● Appointed in April 2025

● Qualifications and Areas of Expertise

Mr. C H Gomez holds a Financial Planning Certificate from the Chartered Insurance Institute.

● Experience

Mr. C H Gomez is a former Banker with over 40 years of experience in the finance industry. He has worked for major financial institutions including Barclays Bank PLC, Lloyds TSB Bank PLC and SG Hambros. He brings to the Company a wealth of experience in regard to international financial markets, financial services regulations, compliance and controls and it was through his intervention that major investors were brought into Aitken Spence PLC and to other business sectors in Sri Lanka. Mr. Gomez is a Director as well as a part owner of regulated financial services companies based in Gibraltar. He also serves on the Boards of foreign companies which have investments worldwide.

Mr. Gomez was appointed to the Board of Aitken Spence PLC, in 2002 and to the Board of Aitken Spence Hotel Holdings PLC, in 2010 and resigned from his position as a Director from these companies in 2024 in compliance with the Listing Rules of the Colombo Stock Exchange.

Mr. Gomez was subsequently appointed as a Non- Independent Non Executive Director to the Board of Aitken Spence PLC and Aitken Spence Hotel Holdings PLC in April 2025.



MR. M.R.MIHULAR

Senior Independent, Non-Executive Director

● Appointed in December 2024

● Qualifications and Areas of Expertise

Mr. Mihular is a Fellow of the Institute of Chartered Accountants of Sri Lanka and is a Fellow of the Chartered Institute of Management Accountants (CIMA) – UK.

● Experience

Mr. Mihular served as the Managing Partner of KPMG Sri Lanka & the Maldives from April 1, 2012 to March 31, 2022 and was the Chairman of KPMG's Middle East & South Asia (MESA) Regional Cluster during the period 1st October 2018 to 30th September 2021. Reyaz previously served a term as the Chief Operating Officer of the MESA regional office. He also served on KPMG's Europe Middle East & Africa (EMA) Board and on the Global Council of KPMG International.

Mr. Mihular is a Past President of the Institute of Chartered Accountants of Sri Lanka. He also served as the Chairman of the CIMA Sri Lanka Board. Riyaz has completed International Executive Education programmes at INSEAD, France, Harvard Business School and the London Business School, UK.

Mr. Mihular served as a Board Member of the International Accounting Standards Committee (IASC) from 1996 to 2000. Subsequently, he served on the IASC's Standing Interpretations Committee and as a Member of the IFRS Advisory Council of the International Accounting Standards Board. He also served as a member of the International Ethics Standards Board for Accountants (IESBA) from 2012 to 2018.

Mr. Mihular presently serves as Chairman of Watawala Plantations PLC and Bairaha Farms PLC and as an Independent Non-Executive Director of Aitken Spence PLC, Sunshine Holdings PLC, Melstacorp PLC, Balangoda Plantations PLC, Madulsima Plantations PLC, Sunshine Teas (Pvt) Ltd, Lonach Dairy (Pvt) Ltd, Agility Innovation (Pvt) Ltd, DAMRO Holdings Ltd and LTL Holdings Ltd. He also serves as a Member of the Stakeholder Engagement Committee of the Central Bank of Sri Lanka.

DR. R.A.FERNANDO

Independent, Non-Executive Director

● Appointed in January 2024

● Qualifications and Areas of Expertise

Dr. Ravi Fernando is an Alumni of the University of Cambridge having completed both a Post Graduate Certificate in Sustainable business in 2008 and Master of Studies in Sustainability Leadership in 2014. He has an MBA from the University of Colombo.

He holds a Doctor of Business Administration Degree from the European Business School in 2016.

● Experience

He completed the Advanced Management Program at the INSEAD Business School (France) and is an Executive in Residence since 2010. He is a Member of the Board of Study at the Post Graduate Institute of Management (PIM) since March 2023. In April 2020, he created the '21st Century Board Leadership Model-MasterClass'© for the Institute of Directors of Luxembourg.

In February 2023, he published '21st Century Leadership to Fight the Code Red for Business' (Archway Publishing USA). His career with multinationals spanned 1981-2007 with Unilever, Reckitt Benckiser, Smithkline Beecham International covering Africa, Middle East and Asia. He was the first CEO of the Sri Lanka Institute of Nanotechnology 2008-2011 and Operations Director of the Malaysia Blue Ocean Strategy Institute 2011-2016. He was the first UN Global Compact Focal point 2007 and set up the UNGC Sri Lanka Network.

He serves on the Boards of Global Strategic Corporate Sustainability Pvt.Ltd, Dilmah Ceylon Tea Company PLC, Melstacorp PLC, Distilleries Company of Sri Lanka PLC, Madulsima Plantations PLC, Balangoda Plantations PLC, Aitken Spence PLC, Browns Beach Hotels PLC, Elpitiya Plantations PLC, UN Global Compact, Ceylon Graphene Technologies Ltd.

In 2007 "Global Strategy Leadership award" was presented to him by Professor Renee Mauborgne of INSEAD at the World Strategy summit.

MR. P. ENGLISH

Independent Non-Executive Director

● Appointed in December 2024

● Qualifications and Areas of Expertise

Mr. Peter Englisch holds a Master's Degree in Economics and multiple certifications such as Certified Public Accountant (WP), US-CPA, and Certified Family Business and Family Wealth Advisor (CFBA / CFWA),

● Experience

Mr. Peter Englisch is a seasoned executive with over three decades of experience in the fields of family business advisory, assurance, and tax services. Mr. Englisch has established himself as a thought leader and trusted advisor in the industry.

Throughout his career, he has held significant leadership roles at prestigious firms like EY and PwC, where he led global initiatives and established centers of excellence for family businesses. He has also contributed to academia as an Executive in Residence at IMD Business School and founded his own consulting firm, Peter Englisch Consulting GmbH & Co. KG.

Mr. Englisch's expertise spans across supporting family-owned businesses with succession planning, NextGen development, governance, and growth strategies. He is also well-versed in advising High Net Worth Individuals and Family Offices on long-term investment strategies, impact investing, and philanthropy.

Recognised for his contributions, Mr. Englisch has been inducted into the Family Business "Hall of Fame" and named one of the Top 10 Global Family Enterprise Advisors by Family Capital Magazine. He is a regular speaker at international conferences and has co-founded the Center for Family Business at the University of St. Gallen.

CORPORATE MANAGEMENT TEAM



MS. D. S. T. JAYAWARDENA



MR. C. M. S. JAYAWICKRAMA



MR. S. N. DE SILVA



MR. M. D. B. J. GUNATILAKE



MS. D. R. ALEXANDER



MR. W. M. S. RATNAYAKE



MR. D. J. DE CRUZ



MR. P. G. S. PEREIRA



MR. R. KOHLER



MR. M. MAHDY



MR. S. DISSANAYAKE



MRS. N. M. PELPOLA



MR. C. ATHAPATTU



MRS. L. DIAZ



MR. P. L. WIJERATHNE



MS. N. MOHAMED



MR. T. A. E. S. RANASINGHE



MR. R. J. HASSIM



MR. S. M. A. L. GUNASEKARE



MR. K. A. KODIPPILIGE



MS. D.S.T. JAYAWARDENA

See Board of Directors profile

MR. C.M.S. JAYAWICKRAMA

See Board of Directors profile

MR. S. N. DE SILVA

Mr. Srinith De Silva is the Chief Executive Officer / Vice President of Aitken Spence Hotels Oman Sector. He is a Graduate of the Victoria University, Melbourne, and counts many years of experience in international hotel chains such as Raffles Singapore, Sheraton and Stamford Hotels and Resorts. He has over 29 years of experience in the hospitality industry in senior managerial positions handling operations and marketing in Singapore, Saudi Arabia, Australia, India and Sri Lanka.

MR. M. D. B. J. GUNATILAKE

Mr. Badhiya Gunatilake is the Chief Operating Officer/ Vice President of Aitken Spence Hotels Maldives Sector, operating Heritance Aarah, and the Adaaran Resorts. He also serves as a Director of Unique Resorts Private Ltd.

He is a Graduate of the Ceylon Hotel School and a professional hotelier counting over two decades of experience in the hospitality industry, including senior managerial positions, handling hotel operations in Sri Lanka, the Sultanate of Oman, and the Republic of Maldives.

MS. D. R. ALEXANDER

Ms. Dinali Alexander is the Vice President of Supply Chain, overseeing operations in Sri Lanka, the Republic of Maldives, India, and the Sultanate of Oman, as well as Corporate Merchandising and the Export Functions. In addition to her role, she serves as a Director of Local and Overseas Companies of the Group. With over 24 years of extensive management experience, Ms. Alexander has built expertise across various sectors, including Procurement, Administration, Human Resources, and Sustainability. She holds a Master of Business Administration (MBA) from the Cardiff Metropolitan University in the UK.

MR. W. M. S. RATNAYAKE

Mr. Maheesha Ratnayake is the Chief Operating Officer / Vice President of Aitken Spence Hotels Sri Lanka Sector and has a career spanning twenty-six years in the United States, United Arab Emirates, Jamaica, British Virgin Islands, Kingdom of Saudi Arabia and Sri Lanka.

He has worked with global brands including Le Meridien, Marriott Luxury and Autograph Collections, Nobu Hospitality, Compass Group North America, Relais & Châteaux & Sandals Resorts International.

He has an MBA from the University of Chichester, UK and a Bachelor of Science degree in International Business from Towson University, USA.

MR. D. J. DE CRUSZ

Mr. Darell De Cruz has had a career spanning over three decades with Aitken Spence, joining Aitken Spence Travels Limited initially in 1989, thereafter transferring to set up Ace Travels & Conventions in 1993. He continued his career at Aitken Spence Travels Limited till 2018 and re-joined the company in 2019 as the Vice President – Sales & Marketing for Aitken Spence Hotel Managements (Private) Limited. With over 34 years of experience in the tourism sector, he possesses a wide knowledge of the travel and hotel industry. Mr. De Cruz holds an MBA from the Open University of Sri Lanka, MA in International Relations from the University of Colombo, Sri Lanka and a Bachelor's Degree in Management from the Open University of Sri Lanka.

MR. P. G. S. PEREIRA

Mr. Patrick Pereira serves as the Vice President of Learning & Development and Rooms Division at Aitken Spence Hotels. In this role, he is responsible for overseeing all organisational development initiatives and providing strategic leadership for the Rooms Division function across all hotels and management offices in Sri Lanka, India, Oman, and Maldives. Mr. Pereira holds an MBA from Anglia Ruskin University in the UK and is a graduate of the Sri Lanka Institute of Tourism and Hotel Management. With over

twenty years of senior leadership experience in hotel operations, talent development, organisational development, strategic management, and brand deployment, he brings a wealth of expertise to his current position. Mr. Pereira is the President of Sri Lanka Hospitality Graduates Association and a Management Board member of Sri Lanka Institute of Tourism and Hotel Management.

MR. R. KOHLER

Mr. Ralf Kohler joined Aitken Spence Hotels in July 2023 as the Corporate Food and Beverage Director, bringing with him over two decades of international food and beverage and hospitality experience from across Europe, Middle East, South-East Asia, and South Asia. Mr. Kohler has previously held high profile roles in F&B Management in global chains such as the Shangri-La Group, Starwood Hotels and Steigenberger Hotels and in privately managed luxury hotels.

He has read for a degree in Hospitality Management from the Hospitality Management School, Munich, Germany and has a Master's Degree in Business Administration from the Edinburgh Napier University, UK.

MR. M. MAHDY

Mr. Mohamed Mahdy serves as the Assistant Vice President Administration in the Maldives Sector of Aitken Spence Hotels. Mr. Mahdy began his career with Aitken Spence in 1993 at Bathala Island Resort, Maldives and has since held various senior positions in the resorts in the Maldives and at the corporate office in Male'. He holds a Bachelor of Philosophy and a Master of Arts in Hospitality Management from Birmingham University, UK, an MBA from the Open University of Malaysia and is an ICF Certified Professional Coach.

MR. S. DISSANAYAKE

Mr. Suresh Dissanayake brings 20 years of experience in the hospitality industry, having worked with leading brands across Sri Lanka, the Maldives, and India. As the Assistant Vice President of Sales and Marketing for the Maldives sector at Aitken Spence Hotels, he



has been instrumental in driving the sales and marketing strategies for numerous pre-opening projects, including Heritance Aarah. Suresh's career includes a significant tenure heading sales and marketing efforts in India from 2009 to 2013. After a brief period in Sri Lanka, he assumed leadership of the sales initiatives for Aitken Spence Hotels in the Maldives. Suresh holds an MBA from Buckinghamshire New University, UK and a Bachelor's degree in Business Administration from the Open University of Sri Lanka. He is also a Fellow of The Chartered Institute of Marketing and a Postgraduate of the Institute of Certified Management Accountants, Australia. His professional excellence has been recognised with several prestigious awards.

In 2018, he was honoured as the Most Influential Sales and Marketing Professional in the Maldives. Most recently, he was awarded the title of Sales Personality of the Year at the Hotelier Maldives Awards 2024.

MRS. N. M. PELPOLA

Mrs. Namalee Pelpola is the Assistant Vice President Corporate Affairs & Compliance of Aitken Spence Hotels. She joined the Company Secretarial division of Aitken Spence Corporate Finance (Private) Limited in 2003 and has handled the Company secretarial function and corporate compliance for the companies in the Hotels, Travels and Shipping sectors within the Aitken Spence Group. Thereafter in 2008, she transferred to Aitken Spence Hotel Managements (Private) Limited overseeing the HR and Legal functions for all the hotels in the Group. Mrs. Pelpola is an Attorney-at-Law by profession and a Graduate of the Institute of Chartered Secretaries and Administrators (UK), with experience in Property Acquisitions and Sales, Joint Ventures and Shareholder Agreements, Human Resource Functions and Company Secretarial Practice.

MR. C. ATHAPATTU

Mr. Chula Athapattu is the Assistant Vice President of Engineering for Aitken Spence Hotel Managements with responsibilities in local and overseas properties of the Group. He has over two decades of experience in the hotels engineering sector. Mr. Athapattu is a Chartered Engineer and a Member of the Institution of Engineers, Sri Lanka. He holds a

B.Sc. Engineering Degree from the University of Peradeniya and an MBA in Infrastructure from the University of Moratuwa.

MRS. L. DIAZ

Mrs. Lucille Diaz is the Assistant Vice President for Branding and PR at Aitken Spence Hotels, where she draws upon her extensive experience of over two decades in travel & hospitality, financial services, advertising, and publishing. She holds an MBA in Marketing with a specialisation in Project Management from the Cardiff Metropolitan University, a Postgraduate Diploma in Marketing from the Sri Lanka Institute of Marketing and has achieved the Passed Finalist status with the Chartered Institute of Management Accountants. Additionally, Mrs. Diaz holds a Certificate in Design Thinking from the Massachusetts Institute of Technology (MIT) and is a Certified Practitioner of Design Thinking, which she employs as a framework for creative problem-solving.

MR. P. L. WIJERATHNE

Mr. Priyan Wijerathne is the Assistant Vice President / Cluster General Manager of Sri Lanka Sector. He serves as a Director of Aitken Spence Hotels Ltd/Amethyst Leisure Limited /Hethersett Hotels Limited and Paradise Resort Passikudah (Private) Limited. He is a Graduate of the Ceylon Hotel School, holds a Master of Business Administration offered by the Cardiff Metropolitan University and is a professional hotelier counting over two decades of experience in the hospitality industry, including senior managerial positions.

MS. N. MOHAMED

Ms. Nashitha Mohamed is the Assistant Vice President Finance for Overseas Hotels of Aitken Spence and is responsible for the Finance of the Maldives, Oman and India sector. She Joined the organisation in 2008. She holds a Masters in Applied Finance from the University of Sri Jayawardenapura, is a Fellow of the Chartered Institute of Management Accountants (FCMA), a Chartered Global Management Accountant (CGMA), a Member of CPA Canada, a Certified Management Accountants (CMA) Sri Lanka and a Fellow of the Association of Accounting Technicians (AAT) of Sri Lanka.

MR. T. A. E. S. RANASINGHE

Mr. Evan Ranasinghe oversees the financials as the Head of Finance / Assistant Vice President of Aitken Spence Hotels Sri Lanka Sector, where he draws upon his extensive experience of over twenty-three years in Destination Management, Financial Services, City and Resort Hotel sectors.

He is an Associate of the Chartered Institute of Management Accountants (ACMA) and a Chartered Global Management Accountant (CGMA).

MR. R. J. HASSIM

Mr. Ramish Hassim serves as Assistant Vice President – Culinary Operations for the Sri Lankan Sector of Aitken Spence Hotels Managements Pvt Ltd and overlooks the Sri Lanka sector culinary operations. He has been with Aitken Spence for nearly 25 years and contributed towards the culinary sector of Aitken Spence Hotels.

Hassim graduated from the Ceylon Hotel School in 1996 specialising in Professional Cookery and completed his industrial training at the Colombo Hilton. His experience thereafter included a stint at the Dubai Intercontinental, following which he joined Heritance Kandalama in 1999 as a Junior Sous Chef and progressed within the Group.

He has travelled to many countries for skills training as well as to participate in Sri Lankan food festivals; he has also won awards and accolades for Aitken Spence Hotels at Culinary World Cup competitions.

MR. S. M. A. L. GUNASEKARE

Mr. Lalith Gunasekera, a graduate of the Ceylon Hotel School Graduate Association is the Assistant Vice President for Culinary Operations of Aitken Spence Hotels in the Maldives. He has been with the Company for over 30 years and led the Heritance Aarah team in 2019 to win Best Hotel Culinary Team awards in Sri Lanka & Maldives, held by the Chef's Guild of Sri Lanka. In 2012 he was the winner of Best Chef of The Year Awarded by Sri Lanka Tourism, in 2020 a Gold Medal winner at the Culinary Olympics which was held in Stuttgart Germany & in 2022 he gave leadership to the Adaaran Prestige Vadoo team to win the Best Hotel Culinary Team award in Maldives by FHAM.

**MR. K. A. KODIPPILIGE**

Mr. Krishan Kodippilige, a graduate of the Sri Lanka Institute of Tourism & Hotel Management joined Aitken Spence Hotels in January 2024 in the capacity of the General Manager/Director of Turyaa Chennai.

He has a high level of exposure to both the Sri Lankan and Bangladesh leisure markets and was honoured with the Best Emerging General Manager's Award by the International GM Awards, Bangladesh in 2023. He currently serves as the Director of International Affairs and is an Executive Committee Member at the World Association of Master Chefs - Sri Lankan Chapter. He has also been recognised as an International Culinary Judge by both the World Association of Master Chefs and the Royal Bengal Master Chef Association.

MANAGEMENT DISCUSSION & ANALYSIS



AN ENDURING HERITAGE

As we engage in creating authentic experiences and in making Aitken Spence Hotels feel like home, we remain committed to providing stellar service across the board, with the strength of our team propelling us forward.

THE STRATEGIC REPORT



OUR PRESENCE IN THE VALUE CHAIN



Our Integrated Business Model

Our integrated business model demonstrates how key resources are transformed through the value creation process, to generate outputs and outcomes for key stakeholders. Key resources utilised are classified according to the six capitals defined by the Integrated Reporting Framework.

In addition to using financial resources to purchase goods and services, the Group relies on several other inputs to ensure our guests have a pleasant stay with us. These include the physical infrastructure comprising of our distinct collection of

properties, strategic relationships with channel partners who promote our hotels amongst tourists and potential guests, our team of skilled employees, the Group's ratings and certifications as well as natural resources including energy, water as well as the biodiversity and natural habitats surrounding our eco-systems.

We generate value by transforming these inputs through a holistic strategy underpinned by sound corporate governance practices and a robust risk management framework, coupled with a commitment towards impacting the communities in which we operate in, in a positive manner.

The Group's actions nurture and erode these capital inputs through the value transformation process, resulting in both positive and negative outputs and outcomes. Our value creation model illustrates how these long-term outcomes are connected to creating value for stakeholders, including shareholders, customers, employees, business partners, the government and the communities we serve.



OUR BUSINESS MODEL

GRI 2-6 GRI 2-27

OUR INPUTS (RESOURCES AND RELATIONSHIPS)

FINANCIAL CAPITAL



The financial resources which are used to meeting operational expenses and reaching strategic goals.

- ◆ Retained earnings: **Rs. 10.5 Bn**
- ◆ Shareholders' funds: **Rs. 34.4 Bn**
- ◆ Borrowings: **Rs. 40.2 Bn**

SOCIAL AND RELATIONSHIP CAPITAL



Mutually beneficial relationships that we have nurtured with our stakeholders underpin our reputation.

- ◆ Local and foreign guests
- ◆ Over **5,800** channel partners including travel agents, tour operators and country representatives
- ◆ A strong supplier network
- ◆ Relationships with the wider community

INTELLECTUAL CAPITAL



The tacit knowledge of our team, systems, processes and the Aitken Spence brand which underpin our performance.

HUMAN CAPITAL



The skills and attitude of our workforce, who support the delivery of our strategic objectives.

- ◆ **3,485** employees in **4** countries

MANUFACTURED CAPITAL



Our distinct property portfolio and supporting infrastructure in place is key to ensuring guest satisfaction.

- ◆ Property, Plant and Equipment: **Rs 62.9 Bn**
- ◆ **2,347** rooms across **15** owned properties

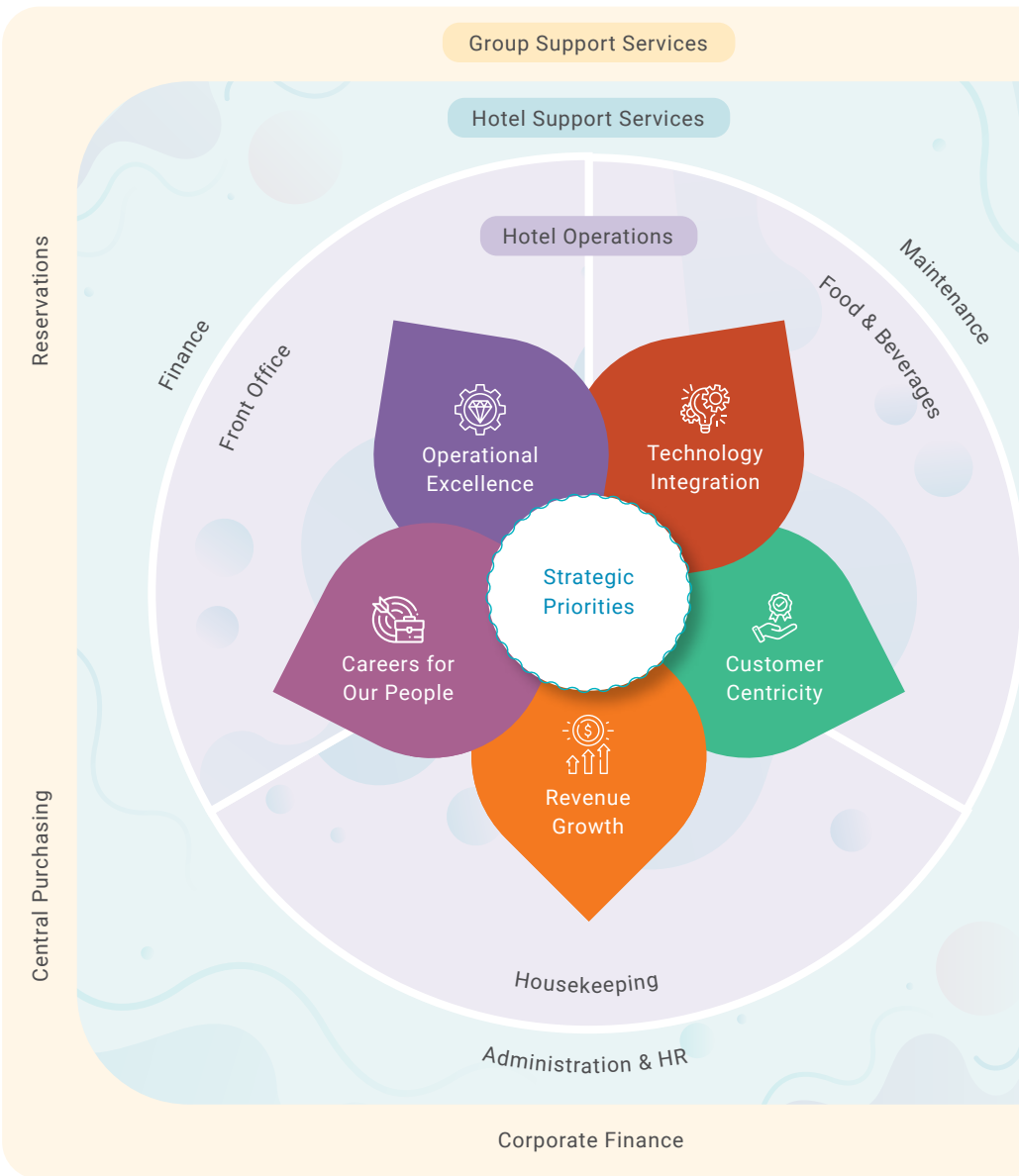
NATURAL CAPITAL



The natural resources we consume in the value creation process.

- ◆ Energy consumption: **454,748 GJ**
- ◆ Water consumption: **911,080 m³**
- ◆ Surrounding eco-system

VALUE TRANSFORMATION



ENABLED BY





Sales & Marketing

Engineering & Projects

OUTPUTS



Revenue
Generated:
Rs 48.7 Bn



Guest Nights:
1,213,406



Average Guest
Satisfaction
Score (owned):
93.1%



Offering unique
experiences to
enhance guest
satisfaction



Solid waste
generated
2,047 MT



Carbon
Footprint
43,310 tCO₂e

OUTCOMES

ECONOMIC



- ◆ Value Created: Rs. 29.3 Bn
- ◆ Employee Salaries and Benefits: Rs. 7.6 Bn
- ◆ Taxes paid to the Government: Rs. 8.5 Bn
- ◆ Foreign exchange inflows generated into the country: Rs. 9.9 Bn
- ◆ Dividends to Shareholders: Nil

FINANCIAL



- ◆ Profit before tax: Rs. 4.9 Bn
- ◆ Profit after tax: Rs. 3.5 Bn
- ◆ Earnings per share: Rs. 6.77
- ◆ Total capital expenditure: Rs. 1.6 Bn
- ◆ Return on equity: 10.23%
- ◆ Net finance cost: Rs. 3.9 Bn

SOCIAL



- ◆ 3,485 direct employment opportunities created
- ◆ Rs.37.4 Mn investment in learning propositions
- ◆ 137,945 hours of employee training
- ◆ Investment in community development and CSR activities: Rs. 8.0 Mn
- ◆ Payments to suppliers: Rs. 28.0 Bn

ENVIRONMENTAL



- ◆ 5.2% of direct energy consumed from renewable sources of energy
- ◆ 100% effluents treated prior to safe disposal
- ◆ Zero ecosystems adversely affected through our operations
- ◆ Promoting sustainable tourism

GOVERNANCE



- ◆ Zero instances of non-compliance with laws and regulations

STAKEHOLDER IMPACT

SHAREHOLDERS



Generated
sustainable
shareholder value

CUSTOMERS



Offering unique and
immersive guest
experiences

GOVERNMENT



Contributing to the
development of the
country's economy

EMPLOYEES



Providing
competitive rewards
and benefits in a
conducive work
environment

BUSINESS PARTNERS



Nurturing
partnerships for
mutual growth

COMMUNITIES



Driving meaningful
change



Stakeholder Engagement

Our ability to deliver consistent value to stakeholders lies in our capacity to manage stakeholder expectations and align strategic priorities to evolving market conditions. At ASHH, we prioritise stakeholders based on those who are affected most by our activities and those who have a significant impact on our value creation process, through a robust stakeholder engagement process. Stakeholder engagement is an ongoing process, carried out through formal and informal feedback mechanisms, thereby effectively responding to their concerns and expectations.

In the current operating environment, strengthening engagement with key stakeholders has been critical to ensuring sustainable value creation. A summary of our key stakeholders, their concerns and the ways in which we have engaged with them during the year is presented below.

	 Customers 1,213,406 Guest Nights	 Shareholder 74.49% Aitken Spence PLC and Subsidiaries 17.78% Institutional Investors 7.73% Individuals	 Employees 3,485 Employees	
Our Commitment	Continuously engaging with customers to understand their evolving needs and respond through innovative solutions, thereby supporting business growth.	Providing returns that correspond to risks undertaken by these stakeholders.	Managing employee relationships through an attractive proposition that includes providing them with a conducive work environment, fair remuneration and opportunities for career growth and development.	
Key Concerns	- Value for money - Rising prices and cost - Environmental impact - Quality of service - Employee awareness on health and safety - Personalised service - Unique and authentic experiences	- Return on investment - Interest rates - ESG considerations - Compliance - Ethical business conduct - Prospects for growth - Business continuity - Governance and risk framework	- Fair and equitable remuneration and benefits - Opportunities for training and career development - Safe and conducive workplace - Job security and career progression - Diversity and equal opportunity	
Common Channels of Engagement	Website Correspondence Print and digital media			
Channels of Engagement	- Feedback form (upon departure) - Through channel partners - Through front line staff (ongoing) - Customer satisfaction surveys (periodic) - Online reviews (ongoing) - Website and social media (ongoing) - QR Code tent cards - Brand blogs	- Interim financial statements (quarterly) - Annual General Meeting and Annual Report (annually) - Press releases (quarterly) - CSE announcements (continuous basis) - Corporate website (continuous basis) - One to one engagement (periodic)	- Performance appraisals (bi-annual and annual) - Regular meetings (ongoing) - Trade unions (ongoing) - Grievance mechanisms (ongoing) - Satisfaction surveys (periodic) - Intranet and social media	
Our Response	Delivering worldclass service to our customers by going the extra mile to meet their needs. (More on page 107 Social and Relationship Capital)	Maintaining top level engagement to investigate any grievances/ complaints and implement corrective action in a transparent manner. (More on page 75 Financial Capital)	Strategic management of HR processes. (More on page 89 Human Capital)	



GRI 207-3

**Business Partners**

835 Tour Operators
1,386 Travel Agents
1,604 Suppliers
40 Country Representatives
3,626 Corporate Clients

**Government & Regulators**

Rs. 8.5 Bn
 Taxes Paid

**Communities**

Rs. 8 Mn
 Investment in CSR

Ensuring a sustainable supply chain by maintaining relationships with reliable suppliers and business partners.

- Timely payments and ease of transacting
- Transparent dealings
- Constructive feedback
- Opportunities for economic development and business growth
- Profitable relationships
- Ethical business conduct

Ensuring compliance with legal and other regulatory requirements.

- Timely payment of taxes/ fees/ levies
- Creation of job opportunities
- Compliance to all relevant regulations, directions and guidelines
- Environmental and social sustainability
- Collaboration for knowledge sharing/ research

Nurturing relationships that uplift the surrounding communities.

- ESG considerations
- Infrastructure development
- Empowering livelihoods
- Employment opportunities

Meetings**Social media**

- Site visits and direct dialogue (ongoing)
- Contracts and agreements (ongoing)
- Supplier performance reviews (periodic)
- Seminars and workshops (periodic)

- Visits to premises (periodic)
- Direct dialogues (ongoing)
- Regulatory reporting (ongoing)
- Participation in forums (ongoing)
- Filing of returns

- Engagement with community representatives (ongoing)
- Workshops (periodic)
- CSR programmes (ongoing)

Leveraging synergies with supplier and channel partners through regular engagement.
 (More on page 107 Social & Relationship Capital)

Working closely with the government and relevant authorities in order to address identified concerns and support the tourism industry.
 (More on page 125 Corporate Governance)

Continuously engaging with the surrounding communities to address material issues while ensuring our operations are carried out responsibly.
 (More on page 107 Social and Relationship Capital)

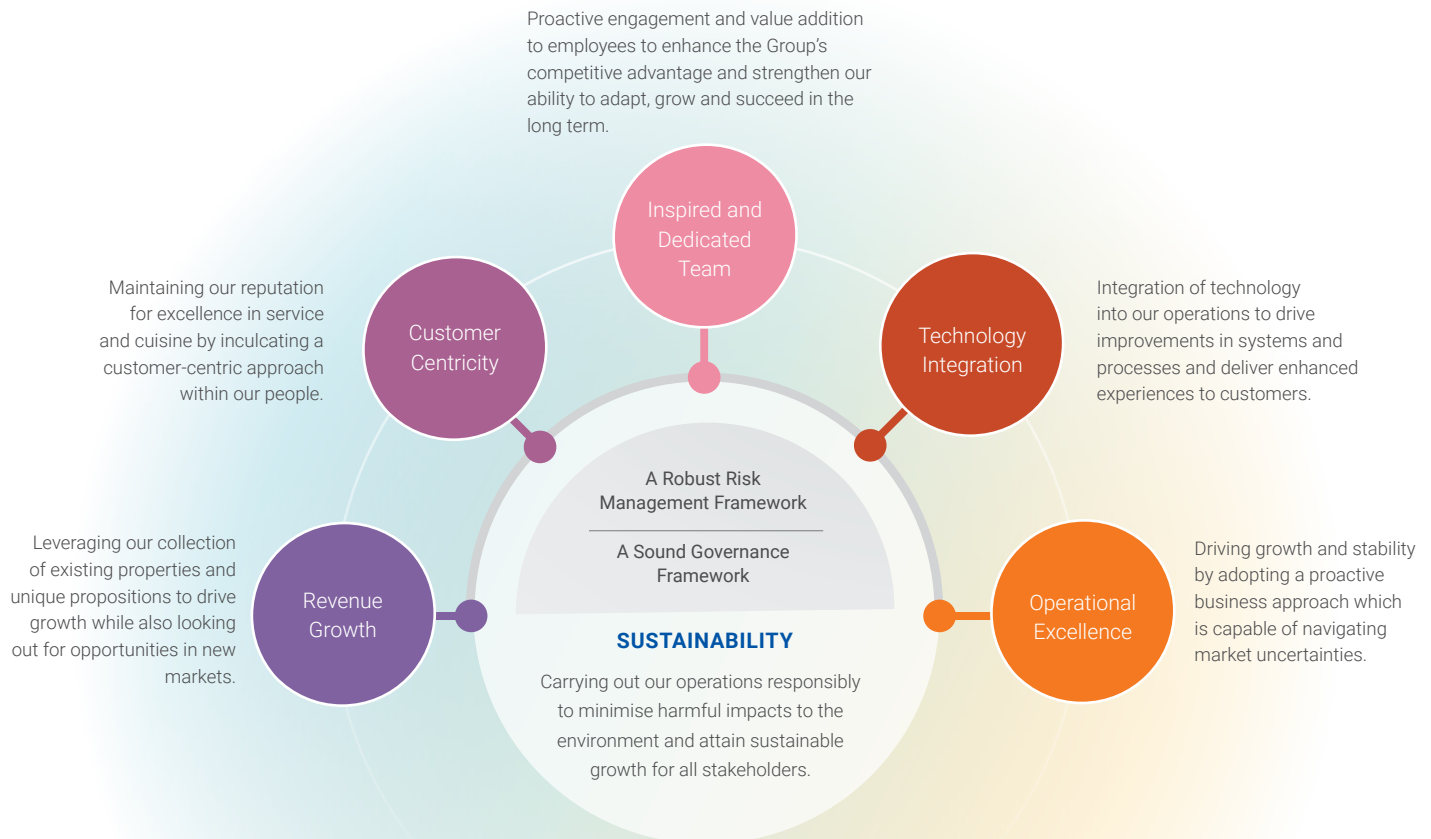


STRATEGY AND RESOURCE ALLOCATION



OUR CORPORATE STRATEGY

The Group's corporate strategy was developed by taking into consideration operating challenges and risks, emerging opportunities, stakeholder needs and our impact on society and the environment. Adaptability is central to our strategy as we operate in a dynamic business environment. We regularly conduct a review of our strategic priorities and adjust plans, modify objectives and reallocate resources as necessary to ensure it remains relevant in supporting the Group to achieve its long-term targets and overall vision in this evolving operating environment. With the previous year being a year of rebuilding and consolidation, this year, we gradually switched our focus towards driving growth, by capitalising on the stabilisation of the domestic economy as well as the growth in tourist arrivals from traditional as well as non-traditional markets. Our key strategic pillars are graphically presented below:



The subsequent pages provide an overview of resource allocation, initiatives pursued and the measurements of our progress towards achieving our strategic priorities during the year. Relevance to our business clusters and capitals are shown through navigation icons in the respective sections of the report.



Our Strategic Pillars	Highlights	Measuring Progress																		
Revenue Growth	- Pursuing opportunities for growth in new source markets - Selective investments to elevate our properties through refurbishments and renovations - Targeted promotions and pricing adjustments during the off-peak season to stimulate demand and maintain occupancy levels. - Maintained flexibility in cancellation policies. - Exploring different restaurant concepts and innovating new recipes - Driving adjacent revenue by leveraging onsite facilities and offerings such as excursions, spa and yoga facilities - Took over the management of Rainforest Eco-lodge	Revenue Sector Revenue <table><caption>Sector Revenue (Rs Bn)</caption><thead><tr><th>Year</th><th>Sri Lanka</th><th>South Asia & Middle East</th></tr></thead><tbody><tr><td>2020/21</td><td>5</td><td>5</td></tr><tr><td>2021/22</td><td>3</td><td>22</td></tr><tr><td>2022/23</td><td>6</td><td>40</td></tr><tr><td>2023/24</td><td>10</td><td>38</td></tr><tr><td>2024/25</td><td>12</td><td>38</td></tr></tbody></table>	Year	Sri Lanka	South Asia & Middle East	2020/21	5	5	2021/22	3	22	2022/23	6	40	2023/24	10	38	2024/25	12	38
Year	Sri Lanka	South Asia & Middle East																		
2020/21	5	5																		
2021/22	3	22																		
2022/23	6	40																		
2023/24	10	38																		
2024/25	12	38																		
Customer Centricity	- Maintained our reputation for service and excellence - Building our talent pool through targeted learning initiatives - Inculcating a customer-centric culture within our staff	70% Average occupancy rate 93.1% Customer satisfaction rate 137,945 Total training hours																		
Inspired and Dedicated Team	- Supporting employees with competitive salaries and benefits - Emphasis on learning and development interventions in order to upskill and re-skill young blood, especially at the grass-roots level - Grooming talent to support their career progression as part of our employee retention strategy - Inclusive culture promoting work life balance	Rs. 2.20 Mn Average benefits per employee 61% Retention rate																		
Technology Integration	- Invested in technology to deliver high quality service - Monitoring customer feedback through data analytics - Increasing our online presence through social media engagement and investment in digital marketing tools - Enhancements to the visual appeal and functionality of the website - Offering targeted promotions by leveraging data insights obtained from the Guest Management System	12% Increase in overall traffic to the website Rs. 1.3 Bn Direct booking revenue through our website																		
Operational Excellence	Driving improvements in margins through cost savings. Optimising group synergies through a centralised sourcing strategy Promoting local sourcing by establishing partnerships with local farmers and producers Finetuning internal processes to manage our operations efficiently Incorporating local ingredients to provide guests more authentic options	6% Increase in operating profit 3% Increase in occupancy levels																		



Resource Allocation	Capital Trade-offs	Way Forward
Rs. 1.6 Bn Capital expenditure 5,847 Channel partners	Prudent allocation of financial resources to enhance physical infrastructure ensures our continued growth and supports our ability to add value to all other capitals.	Short to Medium term - Carry out planned refurbishments and renovations - Re-positioning our properties to harness their full potential - Pursuing growth in non-traditional markets Long term - Strengthening the brand - Growth through pursuit of management of properties and expansion overseas
Rs. 37.4 Mn Investment in training and development propositions	Investing in developing employee skills helps us to maintain excellence in service, creating lasting memories for our guests.	Short to Medium term - Continuous focus on training and development propositions Long term - Creating Brand Loyalty
Rs. 7.67 Bn Benefits to employees 90 Students in hotel schools in Heritance Ahungalla and Heritance Kandalama	Motivating and developing our human capital allows us to benefit from higher productivity levels.	Short to Medium term - Continued focus on training and development propositions - Increasing talent retention by creating pathways for career progression - Increasing female recruitment Long term - Elevating the employer brand
Rs. 808 Mn Investment in digital infrastructure	Investing in new technology requires significant capital. However, it can lead to increased efficiency and reduced operational costs.	Short to Medium term - Consolidating our data through data mining tools to identify trends and gain better insights Long term - Incorporation of AI and related tools to enhance our operations - Digitisation and automation of processes
Rs. 22.33 Bn Payments to local suppliers 5,847 Channel partners	Prioritisation of financial resources to maintain physical infrastructure will in turn elevate the guest experiences.	Short to Medium term - Continuous enhancements to processes - Realignment of overhead cost structures to rationalise costs Long term - Emphasis on branding to capitalise on the demand for established hotels



Our Strategic Pillars	Highlights	Measuring Progress
Sustainability	Set the target to fulfil 12% of our direct energy requirements through renewable energy sources by 2030. Expanding our data gathering capabilities and monitoring systems to report on scope 3 emissions. Elimination of single use plastics at all resorts in the Maldives along with the establishment of glass bottled water plants. Investments in renewable energy sources and energy efficiency measures. 100% of wastewater is recycled and re-used in our operations. Property level CSR activities to maintain the cleanliness of beaches and surrounding areas.	5% Direct energy consumption from renewable sources 4% Increase in water consumption per guest night 9% Increase in energy consumption per guest night 17% Increase in carbon footprint per guest night



Resource Allocation	Capital Trade-offs	Way Forward
Rs. 7 Mn Investment in environmental initiatives Rs. 1 Mn Investment in community engagement initiatives	Utilising financial capital to protect natural resources which will ensure availability for future generations while ensuring the sustainability of our business.	Short to Medium term • Establish glass water bottling plants at the Sri Lankan properties. • Reporting on scope 3 emissions Long term • Supporting our parent entity to achieve net zero targets by 2030



DETERMINING MATERIAL ISSUES

Material issues are the issues that are likely to have the most impact on our stakeholders, supporting or deterring ASHH from achieving its strategic goals. By identifying our material issues, we are able to focus on what is most important in our value creation process over the short, medium and long term. The materiality topics thus identified drives our strategy, decision making, resource allocation and risk management.

01 Identification of Material Issues

- Assessment of external environment
- Internal and external stakeholder engagement
- Evaluation of internal strengths and weaknesses
- Discussions with the management team

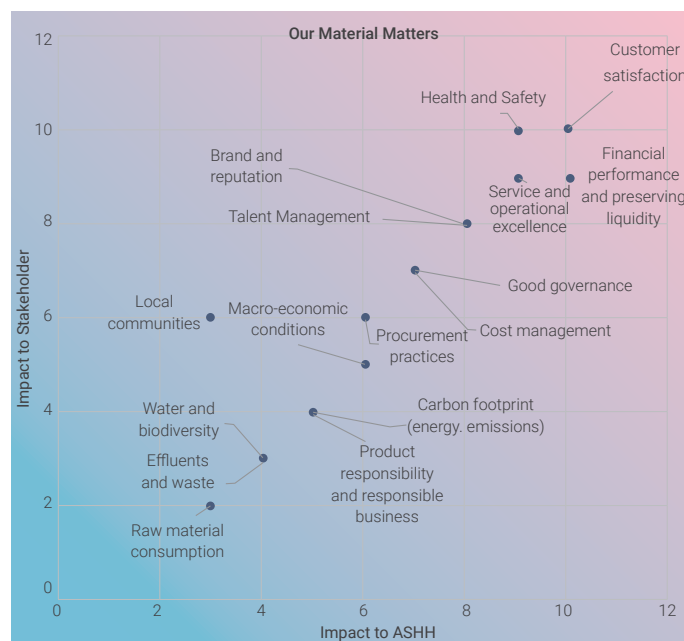
02 Evaluation of Material Topics

Identified topics are ranked using a double materiality lens based on the impact and significance to the company and its stakeholders.

03 Prioritisation

The topics are then mapped based on the overall ranking and prioritised for action. These topics are continuously assessed in order to ensure relevance.

ASHH's Materiality Map developed for 2024/25 based on the above process is depicted below:



Our Material Topics	Strategic Priority	SDG	Relevant GRI Topic	Management of Material Topic
Health and Safety	Operational Excellence, Customer Centricity		GRI 403: Occupational Health and Safety GRI 416: Customer Health and Safety	Page 89 Human Capital Page 107 Social and Relationship Capital
Macro-Economic Conditions	Operational Excellence			Page 62 Operating Environment
Cost Management	Operational Excellence		GRI 207: Tax	Page 75 Financial Capital
Financial Performance and Preserving Liquidity	Operational Excellence		GRI 201: Economic Performance	Page 75 Financial Capital
Service and Operational Excellence	Operational Excellence Technology Integration			Page 107 Social and Relationship Capital
Customer Satisfaction	Customer Centricity		GRI 410: Security Practices	Page 107 Social and Relationship Capital



Our Material Topics	Strategic Priority	SDG	Relevant GRI Topic	Management of Material Topic
Talent Management	Inspired and Dedicated Team	  	GRI 401: Employment GRI 402: Labour Management Relations GRI 404: Training and Education GRI 405: Diversity and Equal Opportunity GRI 407: Freedom of Association and Collective Bargaining	Page 89 Human Capital
Property Portfolio	Operational Excellence Revenue Growth		GRI 202: Market Presence	Page 80 Manufactured Capital
Brand and Reputation	Operational Excellence Sustainability		GRI 206: Anti-competitive Behaviour GRI 415: Public Policy	Page 101 Intellectual Capital
Product Responsibility and Responsible Business	Operational Excellence Customer Centricity		GRI 418: Customer Privacy GRI 201: Economic Performance	Page 107 Social and Relationship Capital
Carbon Footprint (Energy, Emissions)	Sustainability	   	GRI 302: Energy GRI 305: Emissions	Page 115 Natural Capital
Water and Biodiversity	Sustainability		GRI 303: Water & Effluents GRI 304: Biodiversity	Page 115 Natural Capital
Effluents and Waste	Sustainability		GRI 306: Waste	Page 115 Natural Capital
Raw Material Consumption	Sustainability			Page 115 Natural Capital
Procurement Practices	Operational Excellence		GRI 204: Procurement Practices GRI 308: Supplier Environmental Assessment GRI 414: Supplier Social Assessment	Page 107 Social and Relationship Capital
Local Communities	Sustainability		GRI 203: Indirect Economic Impacts GRI 413: Local Communities	Page 107 Social and Relationship Capital
Good Governance	Governance		GRI 205: Anti-Corruption GRI 406: Non-Discrimination GRI 408: Child Labour GRI 409: Forced Labour	Page 125 Corporate Governance Page 89 Human Capital



Risk management is critical for players in Sri Lanka's Tourism Sector as they are just emerging from a prolonged period of difficulty although the growth has been remarkable during the financial year 2024/25. It is important to note that the sector needed moratoria from 2019 till June 2022 when the moratoria ended amid the worst economic crisis Sri Lanka experienced post-independence. It speaks volumes for the resilience of Aitken Spence Hotel Holdings that it has regained its vibrancy within a short time, delivering value to shareholders.

The story of Aitken Spence Hotel Holdings reinforces the wisdom of evaluating both risks and opportunities from a long-term perspective as diversification has been a key strength of the Group. History has shown that shocks are inevitable and therefore, managing risks and opportunities must go hand in hand with building institutional resilience.

The debate around whether the recent escalation in uncertainties to global growth impact the tourism sector is one that needs close monitoring to identify early warning signs and respond with agility. For now, we remain positive and watchful, carefully monitoring risks and evaluating opportunities while building resilience to navigate potential storms.



Riyaz Mihular

Chairman Audit and Risk Committee

As uncertainties remain elevated, it is apparent that ASHH needs to strengthen efforts to not only manage risk but also build resilience for potential shocks. A focus on the future, capturing learnings from the past is necessary to navigate the complex landscape ahead as the tourism value chain spans the world, connecting countries and rural communities.

RISK LANDSCAPE

As the operating environment captures the risk landscape that prevailed during the year, we have re-oriented the risk landscape to understand the risks that lie ahead and how they are likely to evolve over time. In preparing this, we have looked at the World Economic Outlook published by the IMF and the Annual Economic Review 2024 of the Central Bank of Sri Lanka as well as the UN World Tourism Organisation database.



Geopolitical & Goeconomic Conflict

Geopolitical conflicts are a critical concern particularly as the Middle East is an international hub for long haul flights as well as being a key source market. Goeconomics is likely to affect global growth which may moderate demand for travel although this is still an ongoing debate.

Social Media Influencers

Growing influence of social media influencers has led to overcrowding in tourist hot spots. Leading to increasing attempts to control concentration.

Technology

Digitalisation, technology and AI provide significant opportunities.

The Road Ahead

The World Travel & Tourism Council's Economic Impact Research forecasts international visitor spending to reach a historic high of \$2.1 Tn in 2025 with a compound annual growth rate of 3.4% over the next decade, reaching \$2.9 Tn by 2035. Travel and tourism is expected to account for one in eight jobs and around 11.5% of global GDP.

Sustainable Tourism

There are significant opportunities to make tourism more sustainable, reducing its impact on the planet. This is a significant opportunity for differentiation for committed entities.

Affordability of Air Travel

Cost of air travel is forecast to increase as capacity constraints drive up prices set by dynamic pricing models and airlines face increased costs of re-routing to avoid conflict zones and increased staff costs although jet fuel prices are likely to decrease.

Growth of the Informal Sector

Increasing competition from informal sector and guest houses exerting pressure on price.

Climate Change

The frequency of extreme weather events can have a severe impact on destinations and results in damage to infrastructure. Chronic climate change can alter travel patterns as temperature and humidity impact biodiversity and the overall tourist experience.

RISK GOVERNANCE

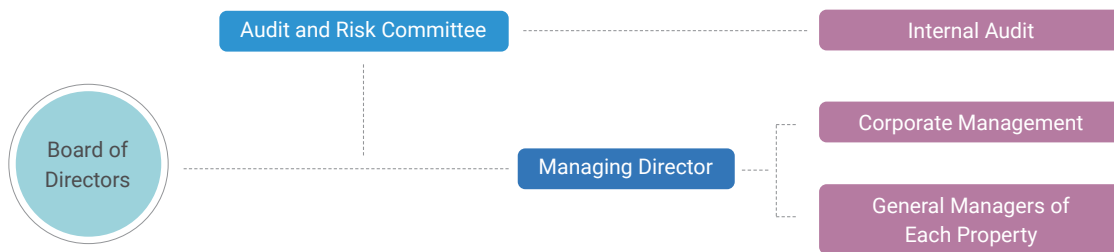
Previously, the parent company Audit Committee assisted the Board of ASHH with oversight of risk management. As the Group complied with Section 9 of the CSE Listing requirements to appoint its own Audit Committee, the oversight of risk management has been transferred to the ASHH Audit Committee with effect from 01.10.2024 Accordingly, the Audit Committee of ASHH met four times during the year and reviewed the risk reports prepared by the management at these meetings. The Supervisory Board and the Executive Risk Management Committee of the parent company play a critical role in implementing risk management processes, detailed review of risk management plans and evolving the function.

In compliance with the Listing Rules of the Colombo Stock Exchange, the Company has appointed its own dedicated Audit Committee to oversee the Company's audit functions. The dedicated Audit Committee of the Company appointed has also undertaken the risk management functions of the Company as provided for in Rule 9.13.1. of the Listing Rules of the Colombo Stock Exchange.

MANAGING RISKS AND OPPORTUNITIES



The Group's approach to risk management is based on the Three Lines of Defence model. The framework facilitates segregation of responsibilities, objective oversight by the Board and high levels of risk awareness by business owners.



OVERVIEW OF RISKS

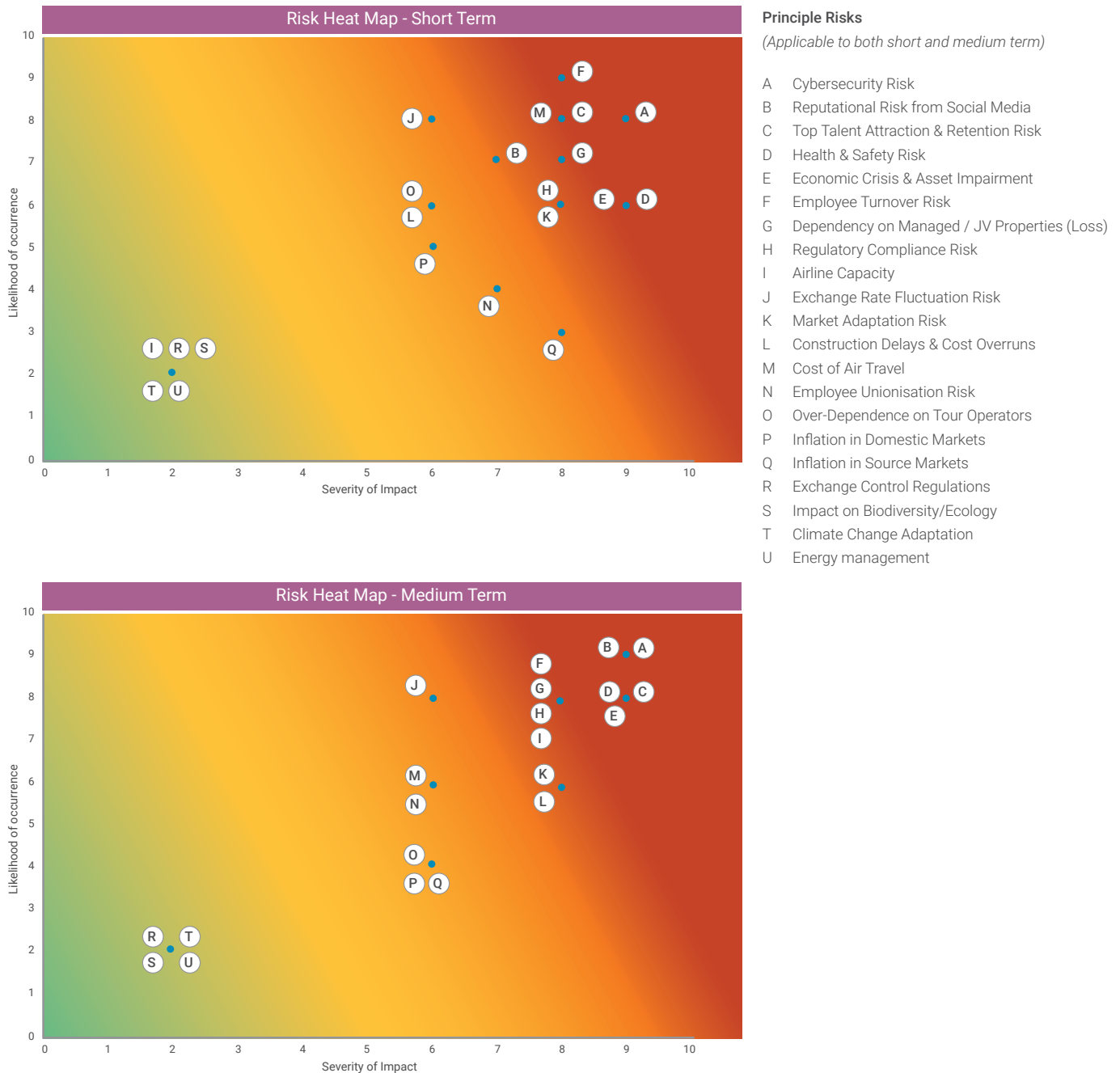
ASHH has adopted a structured approach to identifying and classifying risk to facilitate risk identification, measurement, monitoring, management and reporting as set out below.





RISK ASSESSMENT

The risk heat map below provides a high-level view of the principle risks the Group is exposed to.





RISK/ OPPORTUNITIES

Risk Category	Risk Description	Assessment		Mitigation Strategies
		Impact	Likelihood	
People	Employee Turnover Risk Staff shortages impact service quality, leading to poor reviews with potential loss in market positioning Risk Rank 01	Short Term		Attractive incentive schemes for employees.
		High	High	Succession Planning through Talent development and management plans.
		Medium to Long Term		Engagement with authorities and industry promotions.
		High	High	
	Top Talent Attraction & Retention Risk Top talent departure impacts service and continuation of systems and affects quality of service to customers Risk Rank 03	Short Term		Growth opportunities and succession plans.
		High	High	Talent development and management plans. (Heritage Rise, Heritage Lead, Beyond Basics & Heritage Ascend)
		Medium to Long Term		Brand and facilities enhancement to improve gender diversity within teams.
		High	High	Change in management mindset.
	Health & Safety Risk Safety incidents can damage reputation, lead to legal issues, and reduce guest confidence. Risk Rank 06	Short Term		Regular health and safety training.
		High	Moderate	Compliance with sanitary protocols and audits.
		Medium to Long Term		
		High	High	
	Employee Unionisation Risk Industrial Actions, Work to Rule and walk outs will cause service disruptions and reputational damage Risk Rank 15	Short Term		Number of employees joining unions.
		High	Low	Effective communication with better clarity.
		Medium to Long Term		Maintain cordial relations with Unions.
		Moderate	Moderate	Address employee grievances proactively.
Strategic	Dependency on Managed / JV Properties (Loss) Poor management performance can hinder growth, market expansion, and business continuity. Risk Rank 05	Short Term		Regular monitoring of management performance.
		High	High	Benchmarking against industry peers.
		Medium to Long Term		
		High	High	
	Market Adaptation Risk Failure to adapt to hospitality trends results in lost revenue and market share. Risk Rank 09	Short Term		Differentiating key properties to cater to niche tourism trends, improving margins.
		High	Moderate	Industry benchmarking via management company.
		Medium to Long Term		Investment in new hospitality projects.
		High	Moderate	
	Over-Dependence on Tour Operators Poor-performing operators can cause significant revenue loss. Risk Rank 12	Short Term		Regular communication and performance monitoring.
		Moderate	Moderate	
		Medium to Long Term		
		Moderate	Low	



Risk Category	Risk Description	Assessment		Mitigation Strategies
		Impact	Likelihood	
Information Technology	Cybersecurity Risk Cyber incidents can lead to data breaches, financial loss, and operational disruptions. Risk Rank 01	Short Term		Cybersecurity policies and frameworks.
		High	High	Regular IT security audits.
		Medium to Long Term		Collaboration with professional security firms.
Financial Risks	Construction Delays & Cost Overruns Delays in expansion or renovations impact guest experience and profitability. Risk Rank 12	Short Term		Close monitoring of project timelines and costs.
		Moderate	Moderate	Steering Committee oversight for major projects.
		Medium to Long Term		Digitisation for better tracking for proactive & effective measurements.
	Economic Crisis & Asset Impairment Economic downturns may reduce demand, lower revenue, and impair asset value. Risk Rank 06	Short Term		Prudent investment strategies for financial sustainability.
		High	Moderate	
		Medium to Long Term		
	Exchange Rate Fluctuation Risk Currency volatility affects financial performance and profitability. Risk Rank 09	Short Term		Hedging and treasury management strategies.
		Moderate	High	
		Medium to Long Term		
Operational Risk	Regulatory Compliance Risk Non-compliance results in legal fines, reputational damage, and operational shutdowns. Risk Rank 09	Short Term		Collaboration with local law firms.
		High	Moderate	Internal compliance monitoring groups.
		Medium to Long Term		Employee training on legal compliance.
Economic	Inflation in Source Markets Inflation in source markets reduces spending on vacations including overseas vacations, particularly those involving long haul flights. This results in lower demand and typically lower room rates. Risk Rank 16	Short Term		Change marketing strategies to develop alternative markets.
		High	Low	
		Medium to Long Term		Offer promotions in collaboration with 3rd parties, reducing overall cost of vacation.
	Inflation in Domestic Markets Inflation in countries where we have properties increase operational costs, impacting profit margins. Risk Rank 14	Short Term		Minimise waste.
		Moderate	Moderate	Focused cost management.
		Medium to Long Term		Revision of rates where possible.
	Exchange Control Regulations Restrictions on holding, conversion and repatriation of foreign exchange earned limits the ability to manage foreign currency exposures resulting in related losses Risk Rank 17	Short Term		Revisiting foreign exchange management strategies.
		Low	Low	Representations to governments on difficulties.
		Medium to Long Term		Consider overall attractiveness of market and long term prospects.



Risk Category	Risk Description	Assessment		Mitigation Strategies
		Impact	Likelihood	
Supply Chain	Cost of Air Travel Increased costs of air travel reduce demand for long haul flights. Risk Rank 03	Short Term		Factor forecast costs of air travel into marketing plans.
		High	High	
		Medium to Long Term		Develop regional markets.
		Moderate	Moderate	
Supply Chain	Airline Capacity The number of seats available on commercial flights into a country are limiting factors to expansion. Risk Rank 17	Short Term		Work with airlines to increase capacity from key source markets.
		Low	Low	
		Medium to Long Term		Work with tour operators to offer exclusive packages with charter flights.
		High	High	Align marketing plans to forecast capacity increases by airlines.
Reputation Risk	Reputational Risk from Social Media Negative online reviews can lead to loss of bookings and reduced brand trust. Risk Rank 08	Short Term		Continuous monitoring of social media.
		High	High	Crisis management plans in place.
		Medium to Long Term		
		High	High	
Environment Risks	Impact on Biodiversity and Ecology Our properties are located adjacent to areas of high biodiversity and loss of these surrounding will affect the attractiveness of these properties. Risk Rank 17	Short Term		Implement site specific Biodiversity Action Plans (BAPs).
		Low	Low	
		Medium to Long Term		Suspend any identified high risk activities and sourcing.
		Low	Low	Partner with Local Conservation Experts.
	Climate Change Adaptation Properties can be affected by chronic climate change impacts as well as extreme weather events. Risk Rank 17	Short Term		Identify potential impacts at individual properties and take remedial action where required.
		Low	Low	
		Medium to Long Term		Including remedial costs in budgets and strategic plans to ensure these are given due consideration.
		Low	Low	
	Energy Management Energy is a significant cost as well as a significant source of emissions for the ASHH Group. Risk Rank 17	Short Term		Investments in solar energy at 4 properties and a further 4 earmarked for the next year, reducing emissions.
		Low	Low	
		Medium to Long Term		Energy efficiency considered in procuring plant and machinery and consumables.
		Low	Low	



OPPORTUNITIES

It is widely recognised that risks and opportunities go hand in hand, and organisations must embrace risk to advance. Below are the opportunities identified within these key risk areas.

Opportunity to differentiate

ASHH has a portfolio of properties that can be transformed to cater to trending niche travel segments at need, maximising room rates.

Ex: Heritance Ayurveda

Premier destinations

Both Sri Lanka and Maldives where the majority of our properties are located rank high on traveller's lists.

Ease of obtaining visas in Sri Lanka and Maldives in visa free.

Green/sustainable funding

The Group's strong commitment to sustainability provides a solid foundation to raise funds through green/sustainable financing options.

Sustainable Tourism solutions

Opportunity to invest and create opportunities for sustainable tourism.

Strategic Partnerships

Strengthen existing partnerships and cultivate new relationships to drive growth.

Explore new markets through strategic alliances and leverage synergies within the Group to expand.

Technology driven growth

Embrace collaborative approaches and implement more efficient processes driven by technology.

Explore new business opportunities enabled by groundbreaking technologies.

Diversification

Expand into new geographical regions and industries to diversify revenue streams and capture new customer segments.

Corporate Social Responsibility (CSR) Initiatives

Integrate CSR initiatives into business operations to make a positive impact on society and enhance brand reputation.

Talent Management

Prioritise talent development initiatives to cultivate a skilled workforce capable of driving innovation and adaptation to market changes.



We continuously monitor developments in the operating environment in order to ensure the right strategies are in place to counter the risks, while making use of the opportunities. The following section discusses key developments in the operating environment and its implications for Aitken Spence Hotels during the year.

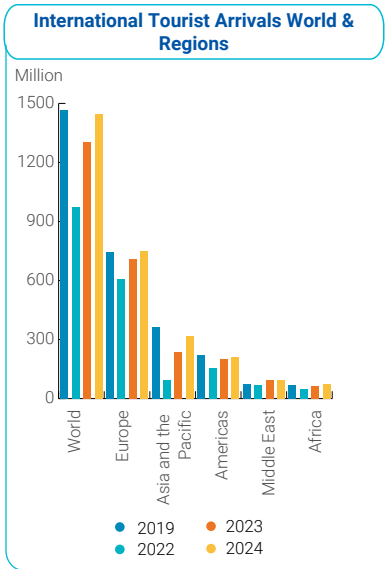
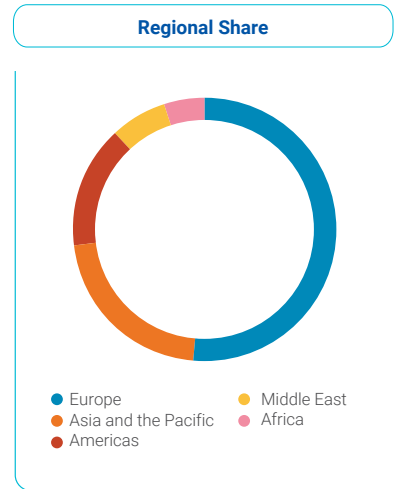
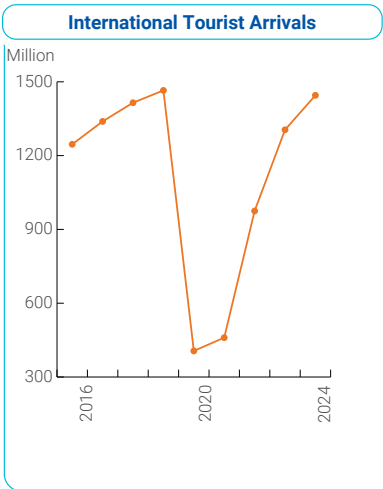
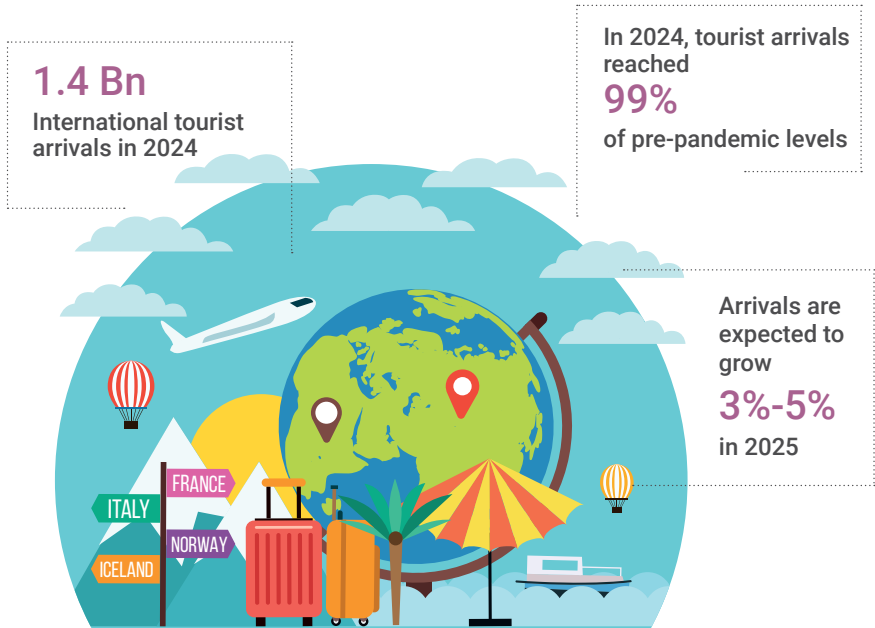
GLOBAL TOURISM:

A Year of Resurgence and Growth

Global tourism made a remarkable recovery in 2024, with international tourist arrivals recording an increase of 11% over 2023. This recovery was driven by strong post-pandemic demand, robust performance from large source markets globally as well as the ongoing recovery of destinations in Asia and the Pacific.

It was a year of consolidation for the industry, which was recovering from its worst crisis, following the outbreak of the COVID-19 pandemic, contributing to the socio-economic development of both mature and emerging destinations. This underscores our responsibility as a sector to drive transformation, prioritising both people and planet at the center.

Although international tourist arrivals are expected to grow, economic and geopolitical challenges continue to pose significant risks to confidence levels.



Middle East led the recovery, welcoming 95 million international arrivals in 2024, surpassing pre-pandemic levels by 32%.

Europe, the world's largest destination region, was supported by strong intra-regional demand with many subregions surpassing pre-pandemic levels.

Asia and the Pacific continued to experience a rapid recovery in 2024, though arrivals were still 87% of pre-pandemic levels.

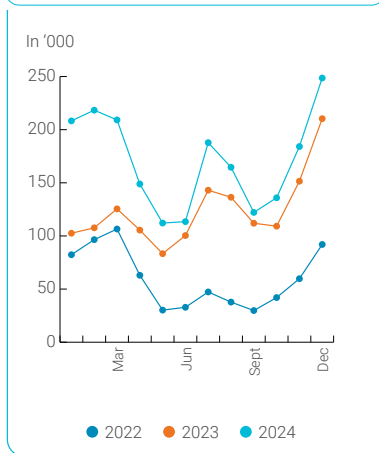


SRI LANKAN TOURISM SECTOR

The country recorded a 38% growth in tourist arrivals compared to 2023, welcoming 2.05 Mn visitors in 2024. This growth can be attributed to the easing of global travel restrictions, strong performance from large source markets and heightened interest in Sri Lanka as a preferred tourist destination in South Asia.

The surge in tourism supported the country's economic revival and growth momentum, with a positive ripple effect on various sectors, including accommodation, food and beverage services, transport and trade. The industry plays a crucial role in the country's economy, significantly contributing to its GDP and offering employment to a substantial number of individuals.

Tourist Arrivals by Month



Key Growth Drivers

- ▶ Targeted marketing campaigns
- ▶ Improved connectivity of air travel
- ▶ Catering to diverse interest ranging from luxury holidays to budget-friendly experiences
- ▶ The country's rich culture and traditions

With a thriving tourism sector, Sri Lanka is poised to benefit from the ongoing tourism boom, aided by global recognition for Sri Lanka's tourism and continued initiatives of the government and local hospitality sector to revive tourism.

The country's plans for 2025 include further diversifying the tourism portfolio, enhancing sustainability initiatives and expanding infrastructure to accommodate the growing number of travellers.

India retained its position as the top source market for Sri Lanka, accounting for 20.3% of arrivals in 2024 with 416,974 arrivals. India's leading position highlights the importance of geographic proximity, cultural ties, and strong bilateral relations in driving tourism.

Russia continued to be a key market, with Russian tourists showcasing growing interest in Sri Lanka's coastal retreats and wellness tourism.

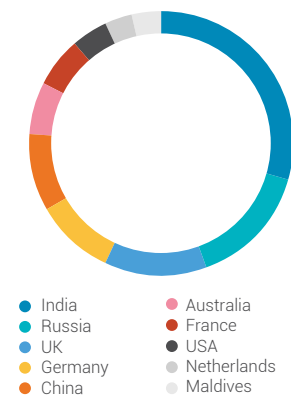
The European countries like UK and Germany proved to be steady contributors, accounting for a significant proportion of arrivals.

Meanwhile, China who was once a dominant market for Sri Lanka, re-emerged as a key player in 2024 with 131,681 arrivals.

In 2024, the SLTDA registered 4,519 accommodation establishments, which is a 4% increase from the previous year. Of these, only 169 were classified as tourist hotels, with 31 designated as five-star establishments.

The total room capacity for 2024 was 55,455, with guest houses contributing the largest share of 19,104 rooms, underscoring the critical role played by SMEs in the accommodation sector.

Top 10 Source Markets in 2024



	2022	2023	2024
Total rooms available	48,120	53,229	55,455
Average length of stay (nights)	9.34	8.44	8.42
Receipt per tourist day (US \$)	164.4	164.4	181.15



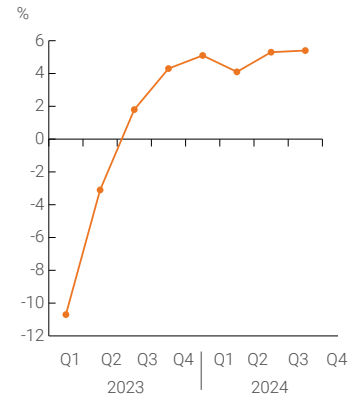
THE DOMESTIC ECONOMY: STABLE RECOVERY

Sri Lanka's economy demonstrated a robust recovery in 2024, fuelled by international financial aid and structural reforms, exhibiting clear signs of stabilisation after the severe financial downturn in 2022.

The recovery momentum that began in the third quarter of 2023 persisted into 2024, with the economy estimated to have grown by 5% in 2024. This growth was primarily fuelled by a resurgence in the industrial sector, particularly the construction industry and robust performance in the services sector. The services sector grew by 2.6%, supported by strong performance in IT programming services and tourism-related service sectors including accommodation, food and beverage services and transport. With GDP per capita increased to \$4,516, enhanced confidence in the domestic market is likely to propel consumer spending, particularly in tourism, by encouraging more domestic travel and greater expenditure on hospitality and leisure services.

Economic confidence was bolstered with the stabilisation of the exchange rate, buildup of foreign reserves and deflationary trend of inflation towards the end of 2024. However, sustaining this progress will require ongoing structural reforms, disciplined fiscal management and measures to strengthen the export sector, as elements of volatility and uncertainty still remain.

Economic Growth Rate



Completion of Debt Restructuring

The country's long-term foreign currency rating was upgraded from Ca to Caa1, following the successful completion of the External Debt Restructuring. This upgrade reflects an improvement in the nation's credit standing, reduced external vulnerabilities and lower government liquidity risks.

Improvement in the External Sector

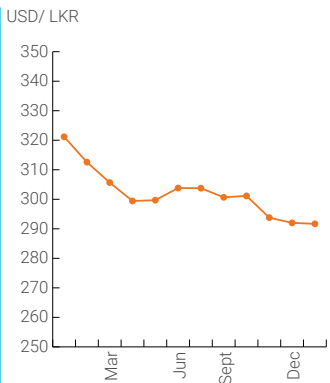
The country's foreign reserves were strengthened through financial account inflows, coupled with the ongoing suspension of debt servicing. Additionally, increased earnings from tourism and remittances strengthened inflows to the current account for the second consecutive year. By the end of 2024, the Sri Lankan Rupee appreciated by 10.7%, with the USD exchange rate settling at Rs. 292.5.

Subdued Inflation

Inflation remained controlled throughout the year, with headline inflation experiencing a deflationary trend towards the end of 2024. Downward revisions to electricity tariffs, fuel and LP gas prices and transport costs, along with declining food prices and strengthening of the currency contributed to the slowing of inflation and ultimately declining to -1.7% by the year end.

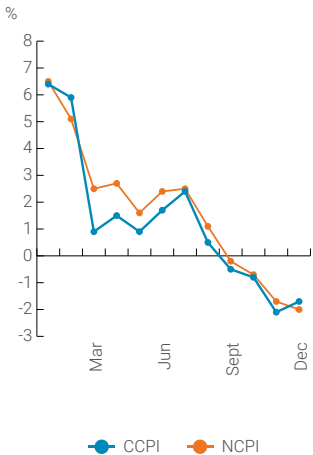
Exchange rates

Jan - 2024 to Dec - 2024



Inflation

Jan - 2024 to Dec - 2024





MALDIVIAN TOURISM SECTOR

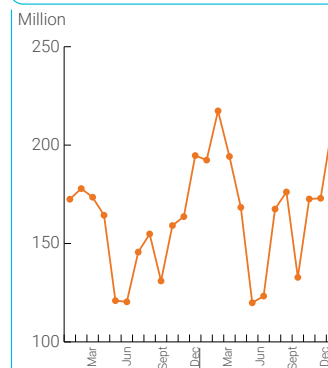
The Maldives continued to reaffirm its status as one of the world's most sought-after holiday destinations, recording 2.05 Mn tourist arrivals in 2024. This marks a 9% increase compared to 2023, as the Government continued to intensify efforts to attract more tourists into the country by enhancing tourism infrastructure.

China emerged as the largest source market for tourist arrivals to the Maldives following the resumption of direct flights which was halted due to the pandemic. Emerging markets in Europe, the Middle East and Southeast Asia, alongside strong performance from Russia, have also contributed to the country's growing global appeal.

The upward trajectory of arrivals highlights the country's adaptability to the evolving travel landscape. Renowned for its turquoise waters, pristine beaches, and exceptional hospitality, the Maldives consistently sets standards as a premier global destination.

Primary driver of growth in arrivals has been the expansion of direct flight routes, enhancing accessibility to the Maldives.

Tourist Arrivals in Maldives



	2022	2023	2024
Total beds in operation	57,254	61,562	61,739
Average length of stay	8	7.6	7.7
Occupancy rate (%)	58.9	57.4	59.1

INDIAN TOURISM SECTOR

Driven by targeted initiatives by the Ministry of Tourism, India welcomed 18.89 Mn international tourists in 2024, surpassing pre-pandemic levels with a 5.47% increase over 2019. Major source countries included Bangladesh, the US, the UK, Australia, Canada and Sri Lanka. An analysis of the purpose of travel revealed that the majority of tourists arrived in India for leisure and recreation purposes, while business and professional travel also ranked high.

India's tourism sector has positioned the country as a global tourism hub by focusing on infrastructure development, sustainable practices, cultural preservation and business-friendly reforms, paving the way for continued growth. These efforts will not only enhance the tourist experiences but also contribute to the nation's economic and cultural development.

OMANI TOURISM SECTOR

Oman's appeal as a travel destination continued to grow, with the country welcoming over 5 Mn tourists in 2024, marking a 24% increase from 2023. The country is easily accessible for travellers from its key source markets across the GCC due to regional proximity and strong transport links. The government's plans to enhance tourism offerings and promote Oman as a top destination for both leisure and business travellers, positions the country for continued growth from key source markets across the GCC, as well as Asia-Pacific and European markets.

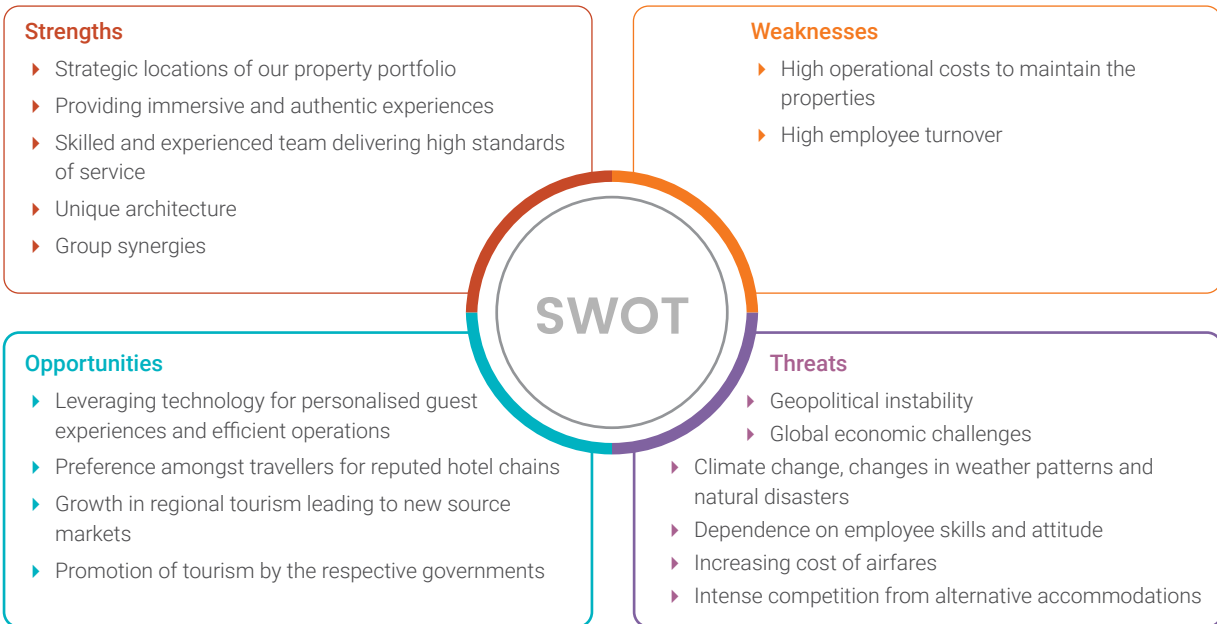


KEY TRENDS SHAPING THE INDUSTRY

The tourism industry is rapidly evolving, driven by changing preferences and behaviours of travellers as well as the advancements in technology. Key trends shaping the industry are mentioned below:

Sustainable Tourism		Integration of Technology
Travellers are increasingly seeking eco-friendly travel options and destinations that prioritise sustainable practices and responsible tourism, having understood their impact on the environment and local communities.		The adoption of the latest technology, including artificial intelligence and data analytics tools, plays a crucial role in elevating the overall travel experience.
Solo Travel		With customers increasingly using digital interfaces and booking directly through websites, hospitality businesses have started integrating these technologies into their operations, making travel planning and management more convenient.
There is a rising trend for solo travel, driven by a desire for independence, personal growth and adventure. Solo travel is supported by the availability of solo-friendly accommodations and activities, offering a unique and enriching experience, allowing individuals to explore the world on their own terms. Sri Lanka, widely recognised as one of the best destinations for solo female travellers, enhances this trend with its reputation for safety, warm hospitality, diverse experiences, and rich cultural heritage—making it an ideal choice for independent travellers seeking both comfort and adventure.		
Wellness and Retreat	Local and Authentic Experiences	Personalised Experiences
Individuals are increasingly looking for wellness focused vacations, including retreats that offer yoga, meditation and spa services. This trend is driven by people prioritising their health and wellbeing, seeking experiences that offer relaxation, rejuvenation and self-care.	Tourists are increasingly seeking local experiences that allow them to immerse themselves in local traditions and culture, including trying regional cuisine, staying in locally owned accommodation and participating in community-based activities.	Personalised travel is transforming the tourism industry, offering unique and tailored recommendations, offers and experiences that cater to the specific interests and preferences of the modern traveller.

SWOT ANALYSIS



SUSTAINABILITY AND ESG AT AITKEN SPENCE HOTELS

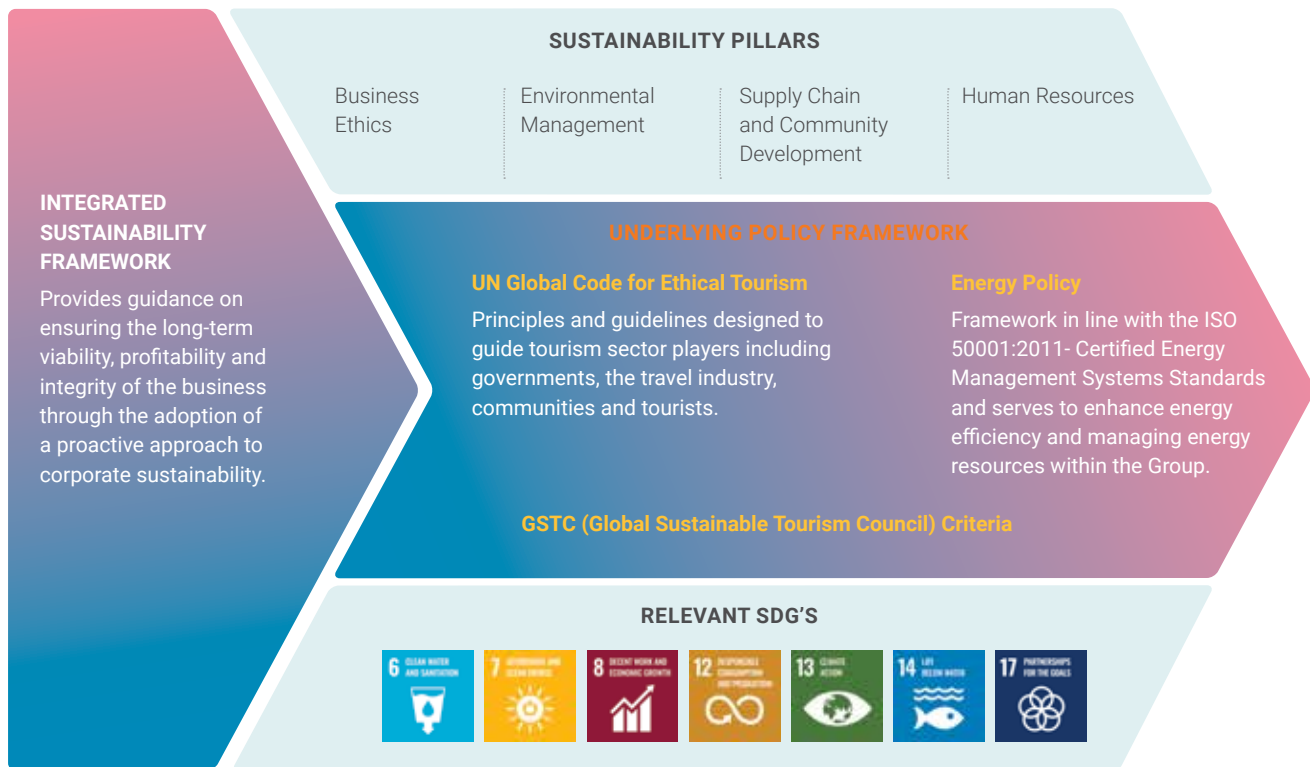


GRI 2-9 GRI 2-12 GRI 2-13 GRI 2-23 GRI 2-24

The tourism industry has been identified as a sector that could make a considerable impact towards addressing economic, social and environmental sustainability issues facing the World today, playing a pivotal role in shaping the future trajectory of a country's economy.

As part of the Aitken Spence Group which is recognised as a pioneer in sustainable tourism in Sri Lanka, we are cognizant of the socio-economic responsibility we hold and make a conscious effort to actively facilitate sustainable growth for stakeholders. The Group has long since embraced principles of sustainability, embedding social and environmental consciousness into the corporate strategy, day-to-day operations and internal and external processes.

The Group's approach to sustainability is aligned to the Integrated Sustainability Framework of the parent entity and comprises the following key pillars.



The Board of Directors holds the highest governance authority on ESG matters, setting the strategic direction and ensuring the integration of sustainability goals with overall business objectives. Oversight responsibilities are further delegated to the Head of Sustainability Operations through the Managing Director, to whom regular environmental performance reports are submitted to uphold transparency and accountability. A dedicated Sustainability Council established at the Parent Company- comprising members with expertise in

sustainability across sectors, including hospitality-provides high-level guidance and oversight. At the operational level, property-based sustainability committees and Environmental Management teams are tasked with developing, implementing, and monitoring strategies to manage natural capital and drive ESG performance. Our structured stakeholder engagement approach supports the identification of emerging ESG issues, fosters collaboration, and ensures alignment with stakeholder expectations.



Please refer to the full Integrated Sustainability Policy by scanning the QR Code



DRIVING SOCIO-ECONOMIC GROWTH

DEVELOPING LOCAL SUPPLY CHAINS

By procuring locally whenever possible, we support local suppliers consisting mainly of SMEs and local farmers in the region, contributing to building local supply chains and supporting their growth.

Rs. 22.3 Bn was made as Payments to Local Suppliers during the year

266 New Local Suppliers added during the year

10% Local Procurement

COMMUNITY AND SOCIAL DEVELOPMENT

We continuously invest in developing the communities surrounding our properties through our CSR activities. Our operations also foster cultural understanding, promoting social cohesion and contributing to the preservation of local heritage.

Rs. 1.1 Mn in Community Development Initiatives

PRESERVING BIODIVERSITY AND NATURAL ECO-SYSTEMS

We co-exist with the rich biodiversity and eco-system surrounding our properties through concerted efforts to preserve and regenerate the natural environment surrounding our properties.

500+ Trees Planted

211 acres of Natural Preservation

61 m² Coral Trays

Rs. 6.9 Mn Invested in Environmental Sustainability

GENERATING FOREIGN EXCHANGE INFLOWS

Tourist arrivals bring in foreign exchange into Sri Lanka, contributing to the strengthening of the country's foreign currency reserves and strengthening the external sector.

Rs. 9.9 Bn inflow of Foreign Currency into Sri Lanka

PROMOTING RESPONSIBLE CONSUMPTION AND SUSTAINABLE PRACTICES

We promote sustainable practices by raising awareness and encouraging both guests and employees to be responsible in the consumption of natural resources, in line with the Integrated Sustainability Framework of the Parent entity.

1% Reduction in Energy Intensity

4% Increase in Water Intensity

UPLIFTING LIVELIHOODS

Our hotel operations have contributed to uplifting livelihoods by creating direct and indirect employment opportunities. We also contribute towards employee development through continuous investments in learning propositions and opportunities for career progression.

Rs. 37.4 Mn Investment in Employee Training and Development

137,945 hours of Employee Training

Rs. 7.6 Bn as benefits to employees

225 Promotions

CONTRIBUTING TO TAX REVENUE

We support the Government's fiscal policy and national development by paying taxes in compliance with relevant regulations.

Rs. 8.5 Bn in Government Tax Contributions to the Sri Lankan Government

PERFORMANCE ANALYSIS



Sri Lankan Cluster

Our Competitive Advantage

A distinct collection of properties in scenic locations across the island

Offering authentic experiences incorporating the rich culture and traditions of the area

Architectural masterpieces designed by the iconic Mr. Geoffrey Bawa

We create memorable stays for guests through hospitable service

A reputation for worldclass cuisine

Capital Value Creation Highlights



Rs. 2.7 Bn
Total Equity

3 %
Total Asset Growth

Rs. 15.1 Bn
NBV of PPE



614,825
Guest Nights

93.9 %
Customer Satisfaction Rate

28%
Local Procurement

Rs. 7.9 Mn
Investment in CSR



80%
Wastewater Recycled

211 acres
Conservation of Forest areas within our Properties

4%
Renewable Energy Generation



8
Properties Owned by the Group

2
Properties Managed by the Group

1,431
Room Inventory



Over 50
Certifications & Awards

Standard Operating Procedures for Key Functions

Re-alignment of our Brand to better position our Product Portfolio



Over 1,800
Employees

Rs. 1.5 Bn
Payments to Employees

90,345
Hours of Training

2
Hotel Training Schools

15%
Female Representation

Implications from the Operating Environment

- Improvement of country ranking in the terrorism and peace index score led to positive travel sentiments, attracting more tourists into the country.
- Traditional source markets including India, Russia and China continued to drive tourist numbers.
- The domestic economy stabilised, having a knock-on effect on all other indicators, although elements of volatility and uncertainty still remain.
- Scarcity of skilled labour in the market due to high levels of migration in search of better opportunities overseas.
- Difficulty in sourcing high quality imported ingredients although import restrictions have been lifted.



STRATEGY AND PERFORMANCE REVIEW

The Sri Lankan sector maintained the growth momentum from the previous year recording a top line growth of 14%, as the steady increase in the number of international tourist arrivals into the country drove occupancy levels during the year. Local residents also significantly contributed to maintaining year-round occupancy by responding positively to our flexible pricing and promotional strategies, especially in the off-season.

Overall profitability for the sector improved during the year, as we sought to enhance revenue streams through value-added offerings and a focus on food and beverage revenue by exploring different restaurant concepts. The cluster recorded a profit from operations of RS. 2.15 Bn while the profit before tax amounted to Rs. 1.18 Bn, compared to the loss of Rs. 0.65 Bn recorded last year, despite the rapid fluctuations in our cost base and rising energy costs.

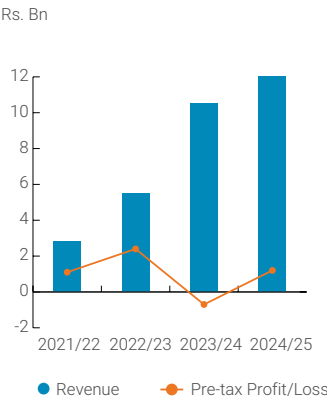
Meanwhile, selective investments were undertaken at a few of our properties during the year, to refurbish and renovate our properties, thereby elevating our offerings to guests. We took over the management of the Rainforest Eco-lodge during the year,

supporting our asset light approach to market expansion, while providing us the diversity and niche market edge that we are looking for.

With sourcing of imports posing significant challenges despite the lifting of restrictions, we focused on using more local ingredients, thereby reducing our costs while supporting the country's economy. Through continuously innovating new recipes using local ingredients, we offered our guests authentic cuisine that captures the essence of local flavours. By prioritising local suppliers in close proximity to the resorts, we also contributed to their socio-economic development.

Attracting and retaining skilled manpower remained a critical challenge facing the hospitality industry, given the paucity of trained talent reflecting national trends in labour migration. We addressed this challenge by providing targeted learning and development propositions, building pathways for career progression and maintaining strong engagement with employees and their families. We also sought to improve the gender balance within our teams by encouraging female applicants to pursue careers in hospitality.

Performance - Sri Lankan Cluster



Highlights in 2024/25

Rs. 12.0 Bn

Revenue

Rs. 642.3 Mn

Capital Expenditure

65%

Occupancy levels

Rs. 23.6 Bn

Total Assets

15,035 tCO₂e

Carbon Footprint

Way Forward

While challenges in the operating environment remain, the outlook for the sector is quite promising as tourism in Sri Lanka is poised for growth. There is a diverse international appeal for Sri Lanka as a preferred tourist destination, as the country blends natural beauty, cultural heritage and diverse experiences to offer something for every type of traveller, whether it is relaxation, adventure, cultural immersion or culinary exploration that one seeks.

At ASHH, our collection of diverse properties are strategically positioned to leverage this growth in numbers. We hope to capitalise on this further by strengthening the Aitken Spence Hotels Brand, nurturing synergies with channel partners and repositioning a few existing properties in the market. Refurbishments and renovations are being planned for selected properties which will elevate the offerings to our guests. We also hope to expand investments in digital technologies which will optimise our internal processes and make travel planning and management more convenient. By utilising big data and data analytics tools, we will be able to monitor guest feedback effectively and improve engagement.

We will remain committed to environmental sustainability, supporting our parent entity to reach net zero targets by 2030 by reducing our reliance on finite resources. Targeted initiatives will be carried out to promote environmental consciousness in the value chain while minimising our direct impact on the environment.

Opportunities

- ▶ Increased airline connectivity
- ▶ Expansion of revenue streams through value-added offerings
- ▶ Experimenting with new ingredients

Risks

- ▶ Intensifying competition
- ▶ Difficulty in sourcing high quality ingredients
- ▶ Migration of skilled and trained labour
- ▶ Rising implications of climate change



South Asian and Middle East Cluster

Our Competitive Advantage

Years of success and experience in operating abroad

Properties catering to different segments of the market

Operating across three diverse geographies: The Maldives, India and Oman

The Aitken Spence Brand name

Strong relationships with channel partners

Capital Value Creation Highlights



Rs. 31.7 Bn

Total Equity

-2%

Total Asset Growth

Rs. 47.8 Bn

NBV of PPE



598,581

Guest Nights

92.2%

Customer Satisfaction Score

Over 600

Suppliers

Rs. 0.3 Mn

investment in CSR



80%

Wastewater Recycled & reused restoration of coral reefs divers Eco Systems of hotels

1%

Renewable Energy Generation



7

Properties Owned by the Group

2

Properties Managed by the Group

1,245

Room Inventory



Over 70

Certifications & Awards

Standard Operating Procedures for Key Functions

Re-alignment of our Brand to better Position our Product Portfolio



Over 1,600

Employees

Rs. 6.1 Bn

Benefits to Employees

47,600 Hours

of Training

8%

Female Representation

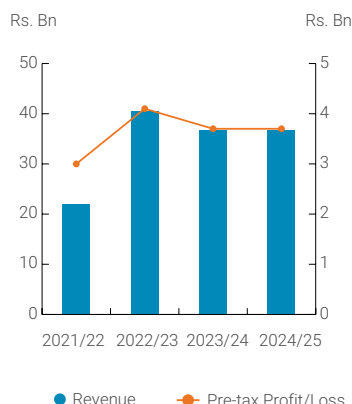
The Operating Environment

- ▶ The Maldives continued to re-affirm itself as a top holiday destination driven by strong international interest, improved accessibility and the government's efforts to enhance tourism infrastructure.
- ▶ Tourist arrivals to Oman continued to be impacted by the geopolitical tensions in the region, however the industry is poised for growth driven by strategic investments and a focus on sustainability.
- ▶ The Ministry of tourism's continued efforts to enhance tourism infrastructure, drive sustainable practices and launch innovative campaigns to showcase the country's rich cultural heritage played a pivotal role in garnering global attention and driving tourist arrivals, while also boosting domestic tourism



STRATEGY AND PERFORMANCE REVIEW

Performance - South Asian and Middle Eastern Cluster



The Maldives

Despite economic headwinds, the Maldives recorded a 9% increase in tourist arrivals in 2024. The destination continues to hold strong global appeal, with numerous international brands expanding their footprint. While yields have marginally declined compared to previous years, they remain above regional averages, underscoring the enduring value of the destination.

We experienced significant growth in arrivals from Western and Eastern Europe during the year, reflecting the success of our targeted marketing efforts in these countries and strong partnerships we have built with channel partners.

Heritage Aarah shifted gears within the High Net Worth Individuals (HNWI) segments and was endorsed by the SHE Travel Club, recognising our dedication to providing a safe and comfortable experience for female travellers, including enhanced in-room amenities and a strong presence of female staff across all areas of operation.

The optimisation of internal processes, integration of advanced technology and enhancement of operational efficiencies significantly contributed to our profit growth during the year. The segment navigated rising taxes, mandatory currency conversions and increasing overhead costs, to record a profit for the year amounting to Rs. 3.61 Bn.

We are also very conscious of our environmental impact, actively engaging in initiatives to restore coral reefs, eliminating single use plastic and establishing glass water bottling plants at our resorts. Developing our people through continuous learning propositions was also a priority during the year, as we strive to distinguish ourselves through exceptional service, creating memorable stays for our guests.

Oman

Although the political and economic environment within Oman remained stable throughout the year, geopolitical tensions in the region resulted in low tourist arrivals into the country. With airline capacity reducing along with the drop in European traffic, which is our key source market, our occupancy rates were impacted during the year.

To address the decline in tourist numbers, we stimulated demand for our resorts by attracting residents through promotions and targeted marketing initiatives. These proactive measures allowed us to exceed budgeted occupancy levels by 5%.

We also explored alternative revenue streams and ventured into industrial catering, which significantly contributed to the improvement in our top line during the year. Expansion into large-scale industrial catering not only broadened our reach but also created opportunities for innovation and service excellence, by leveraging our existing resources and capabilities.

Profitability was managed through the introduction of targeted cost reduction initiatives, particularly during the summer months, to mitigate the impact of lower occupancy rates and optimise operational efficiency. The implementation of dynamic pricing strategies effectively managed the fluctuations in demand and competitive price pressures within the market.

We actively strengthened relationships with the local communities, upholding and respecting local values and aligning our operations with cultural and societal norms. Our procurement strategy aims to use locally sourced products wherever possible, promoting locally grown produce, handmade crafts and region-specific goods.

India

Our property in India predominantly caters to the business segment of the market. The hotel recorded a stable year with a profit after tax of Rs. 160.85 Mn and an average room occupancy rate of 83%.

As part of our sustainability efforts, we have switched to 100% bio-degradable cleaning agents and environmentally friendly products within our operations. We have also eliminated single use plastic in our hotel operations. We have entered into a power wheeling agreement to purchase renewable energy from third party panels, reflecting our commitment to sustainable energy consumption.

With ongoing innovation, quality service and a keen awareness of market needs, Turyaa Chennai is strategically positioned for sustained success in a highly competitive landscape.

Highlights in 2024/25

Rs.36.7 Bn
Revenue

Rs. 960.8 Mn
Capital Expenditure

76%
Occupancy Levels

Rs. 72.5 Bn
Total Assets

25,182 tCO₂e
Carbon Footprint



Way Forward

In the Maldives, we anticipate significant growth from the American, Asia-Pacific, and Eastern & Central European markets. These regions are expected to have a greater impact on our business compared to the traditional markets we currently rely on. With the intensification of competition, especially from the guest house market, Aitken Spence Maldives is targeting diversification into this market to enhance our presence and business opportunities in the region. It is also crucial that we adapt to evolving market needs and integrate technology and innovation into the guest experience. By aligning with emerging trends, we will aim to ensure long-term sustainability of our operations.

The Omani government's vision 2040, sets out the country's intention to grow the tourism industry. With international tourists entering the market, competition is expected to further intensify, leading to pressure on both price and profitability. While challenges remain, the future outlook of the hotel industry in Oman is expected to be positive, driven by recovery in tourism, infrastructure development, and a focus on sustainability and innovation. Continued adaptation to market trends and customer preferences will be the key to success for our properties in Oman.

The outlook for India looks positive, with growth opportunities driven by market trends, increasing demand for wellness tourism, and the adoption of new technologies. However, challenges remain, including human resources uncertainty, intense competition and infrastructure limitations. Through a focused customer centric approach and the integration of sustainability considerations into our operations, we will be well positioned for long-term success.

Opportunities

- ▶ Growth in regional tourism
- ▶ Demand for catering and banqueting services
- ▶ Potential for growth in India and Oman
- ▶ Normalisation of travel
- ▶ Introduction of loyalty programs to attract repeat customers

Risks

- ▶ Economic stability of the destination
- ▶ Rising airfare costs
- ▶ Competition from cheaper travel destinations
- ▶ Unpredictability of weather patterns
- ▶ Geo-political tensions in the region

ECONOMIC VALUE-ADDED STATEMENT



	2024/25 Rs.'000	2023/24 Rs.'000	2022/23 Rs.'000	2021/22 Rs.'000	2020/21 Rs.'000
Net Profit Attributable to Shareholders	3,588,462	1,864,687	46,809	1,034,305	(7,253,215)
Add:					
Depreciation and Amortisation	5,263,736	5,125,872	5,385,799	3,433,486	3,338,451
Non Cash & Non operational adjustments	305,622	367,110	530,128	79,730	625,038
Total Interest on debt	4,323,130	5,666,668	5,809,973	2,278,833	2,173,971
Adjusted Profit After Tax	13,480,950	13,024,337	11,772,709	6,826,354	(1,115,755)
Total Investment Capital					
Total Equity	34,463,309	30,864,692	30,180,271	28,141,058	21,962,720
Add:					
Total Long Term Debt to banks	19,568,450	28,562,441	36,588,535	38,596,278	28,147,885
Total Short Term Debt to banks	15,474,415	11,311,701	14,060,753	10,591,516	7,300,993
Lease Liability	10,958,181	12,483,509	15,010,510	14,689,882	11,033,234
Cumulative Depreciation	39,602,298	36,434,294	35,369,760	29,439,940	20,117,354
Adjusted Investment Capital	120,066,653	119,656,637	131,209,829	121,458,674	88,562,186
Economic Value Added					
Weighted Average Cost of Capital	7.3%	9.5%	10.9%	6.3%	5.2%
Cost of Average Investment	8,746,892	11,336,024	14,355,860	7,700,513	4,621,421
Economic Value Added	4,734,058	1,688,313	(2,583,151)	(874,159)	(5,737,176)

CAPITAL REPORTS



FINANCIAL CAPITAL

THIS SECTION OF THE REPORT SETS OUT HOW WE ENHANCED OUR FINANCIAL CAPITAL DURING THE YEAR TO DELIVER TANGIBLE RESULTS, IMPROVING FINANCIAL PERFORMANCE AND STRENGTHENING THE GROUP'S FINANCIAL POSITION, THEREBY ENHANCING INVESTOR CONFIDENCE AND CREATING SUSTAINED VALUE FOR SHAREHOLDERS.



For the Financial year 2024/25

Profitability

	Rs. Bn	YoY growth
Revenue	48.7	3%
EBITDA	14.0	5%
PBT	4.9	64%
PAT	3.5	92%

Value to shareholders

	Rs.
Net Assets per share	70.10
Market Price Per Share	80.10
P/E Ratio (Times)	11.83
Earnings Per Share	6.77

Liquidity and Funding

Gearing Ratio (%)	46.30
Interest Cover	2.13
Current Ratio	0.64
Quick Asset Ratio	0.59



FINANCIAL PERFORMANCE

Revenue

Consolidated Group revenue increased by 3% to Rs. 48.7 Bn during the year as the tourism industry steadily recovered, primarily driven by the release of pent-up demand for travel in the post-pandemic environment. The Group's proactive approach to diversifying its revenue streams, which included focusing on non-accommodation revenue and other value-added offerings to guests also, contributed to overall revenue growth during the year.

- The Sri Lankan Sector

The surge in international arrivals contributed to the strong performance of the Sri Lankan sector during the year. With international tourist arrivals surpassing 2 Mn in 2024, occupancy levels at our properties in Sri Lanka averaged 65%, marking an improvement of 2% compared to the previous year.

Revenue from the Sri Lankan Sector amounted to Rs. 12.02 Bn, which is an increase of 14.19% compared to the previous year.

Along with the stabilisation of the domestic economy, there was also a boost in domestic travel, contributing a portion towards the sector's revenue growth. The Group carried out targeted marketing and promotional activities, particularly in periods of low demand, which contributed to attracting domestic tourists and maintaining year-round occupancy at our properties.

- South Asian and Middle East Sector

Revenue from the South Asian and Middle East sector which comprises our properties in the Maldives, India and Oman amounted to Rs. 36.71 Bn, contributing to 75.3% of consolidated revenue during the year. Actual revenue growth from the segment was masked due to the appreciation of the Sri Lankan Rupee against the US Dollar. Although there was an increase in revenue in dollar terms, the appreciation of the Rupee led to Group revenue from the sector recording a marginal decline.

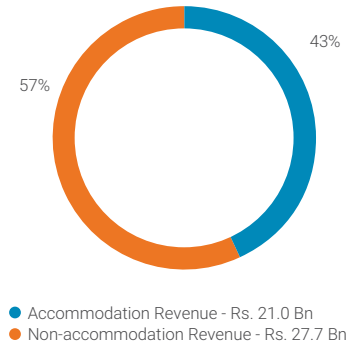
Our portfolio of Maldivian resorts maintained a stable performance, remaining the largest contributor to Group revenue. However, the Maldives has seen a surge in the opening of new resorts, increasing the overall bed capacity and diluting occupancy rates,

thereby leading to price pressures in the market which impacted our overall revenue for the year.

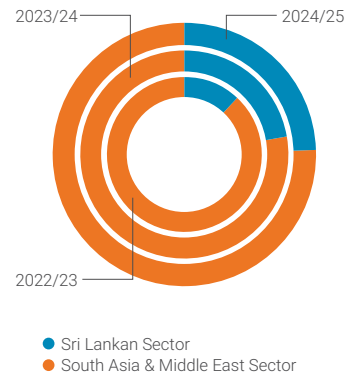
The Indian sector recorded a negative revenue growth of 3.4%. However, the average room occupancy was above 83%, supported by strong demand from the business travel segment of the market. Despite stiff competition from established international players, we managed to drive revenue by differentiating ourselves through quality service. With residential apartments being constructed in the vicinity, we hope to boost non-accommodation revenue by focusing on our food and beverage offerings.

Revenue from the Oman sector amounted to Rs. 1.34 Bn during the year, which is an increase of 21% compared to the previous year. The sector exceeded the budgeted occupancy of 64%, maintaining year-round occupancy of 69% during the year despite the geo-political tensions in the region which affected tourism numbers. To manage low occupancy, we focused on other avenues to generate revenue, venturing into industrial catering in October 2024 which contributed significantly to driving revenue growth.

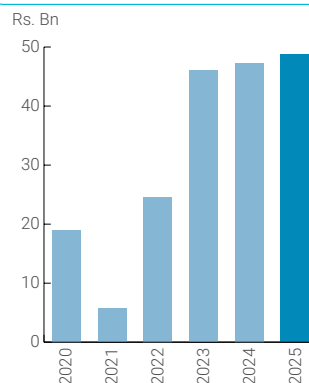
Breakdown of Group Revenue



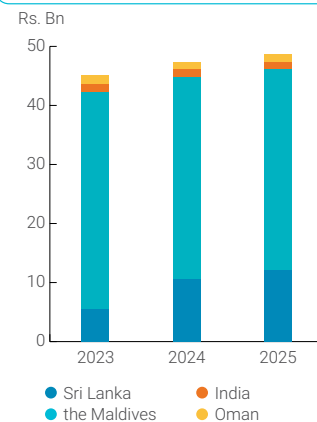
Revenue by Sector



Group Revenue



Revenue by Country





Cost Management

Operating in the hospitality industry, cost management plays a critical role in generating additional revenue and managing our margins. We have adopted a strategic approach to cost management at group level by fine-tuning our processes, enhancing operational efficiency and ensuring optimisation of costs.

Group-wide cost management initiatives include driving energy savings, optimising resources, streamlining processes and driving a cost-conscious culture among our staff. Meanwhile, the centralised procurement function in place enables the Group to leverage bulk purchasing to secure better prices, improve inventory management and enhance control over purchasing expenditure.

↑ The Group's overhead costs (including depreciation, amortisation and impairment) increased to Rs. 38.75 Bn compared to Rs. 37.91 Bn recorded the previous year.

Sri Lankan Sector

Direct Operating Expenses: Rs. 3.07 Bn
Indirect Operating Expense: Rs. 4.30 Bn
Staff Costs: Rs. 1.54 Bn

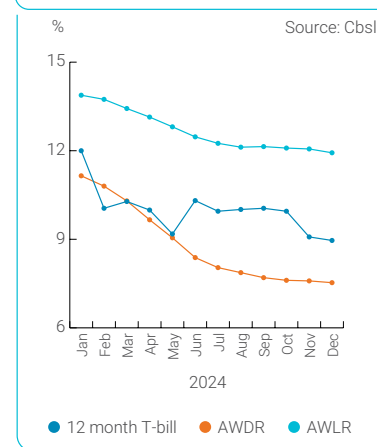
By consciously managing our cost base, we managed to maintain the direct operating expenses in the Sri Lankan sector at Rs. 3.06 Bn, compared to Rs. 3.02 Bn in the previous year, despite revenue from the sector increasing by 14.2%. The sector's indirect operating expenses increased by 6.5%, mainly reflecting the increase in marketing and promotional activities that were carried out in this period. Staff costs continued to be a key expense, increasing by 18.3% to Rs. 1.53 Bn during the year as we continued to adjust salaries and benefits to align with the current market conditions.

Group profit from operations recorded an increase of 6.2% to Rs. 8.82 Bn driven mainly by the strong performance of the Sri Lankan sector. The Sri Lankan sector recorded profit from operations of Rs. 2.15 Bn which is an increase of 115% compared to the previous year as the management navigated evolving market conditions to capitalise on emerging opportunities. Meanwhile, the contribution to operating profits from the South Asian and Middle East sector declined to Rs. 6.67 Bn compared to the Rs. 7.30 Bn recorded the previous year.

Finance Expenses

In 2024, the CBSL continued to maintain an accommodative monetary policy stance as inflation remained well below target levels, which led to declining market interest rates during the year. As a result, the Group's finance expenses decreased by 23.7% to Rs. 4.3 Bn during the year, while finance income amounted to Rs. 0.4 Bn and consisted mainly of returns earned on financial investments. Overall, the Group's net finance expense decreased by 25.6% to Rs. 3.9 Bn, reflecting a decrease in interest-bearing liabilities of the Group.

Interest Rates- Sri Lanka



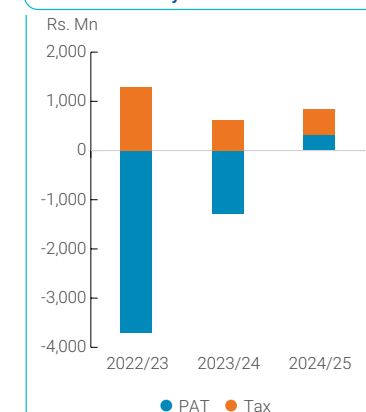
Profitability

The concluding year was a remarkable year for the Group as profitability strengthened with pre-tax profits amounting to Rs. 4.92 Bn, which is an increase of 64% compared to the previous year. Our Sri Lankan operations, which recorded a pre-tax loss in the previous year, displayed a remarkable turnaround to record pre-tax profits of Rs. 1.18 Bn, reflecting the stabilisation of the domestic economy and the growth of tourism in the country.

Stiff competition and rising operational costs in the Maldivian and Indian markets exerted pressure on margins, impacting profitability in these regions. Our proactive decision to diversify revenue streams in the Omani region resulted in a reduction of pre-tax losses in the region.

Meanwhile, profits of equity accounted investees amounted to Rs. 23.34 Mn compared to the loss of Rs. 36.31 Mn recorded in the previous year. Income tax expenses for the year amounted to Rs. 1.34 Bn which resulted in Group profit after tax increasing by 92% to Rs. 3.58 Bn compared to Rs. 1.86 Bn recorded the previous year.

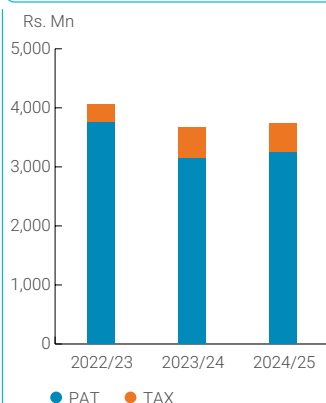
Profitability- Sri Lankan Sector



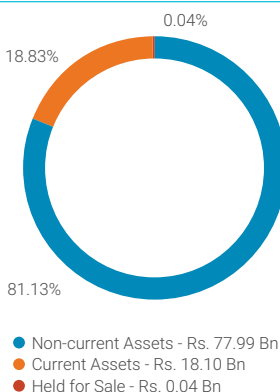


GRI 201-4

Profitability - South Asia and Middle East Sector



Asset Composition at Group Level



Funding - Capital and Liabilities

Shareholders' funds grew by 11.7% to Rs. 34.46 Bn, as retained earnings and share of non-controlling interest increased during the year, supported by a strong profit generation of Rs. 3.58 Bn.

The Group recognised a loss on foreign currency translation of Rs. 494.29 Mn which impacted shareholders' funds through an outflow to the foreign currency translation reserve. This loss arose from the appreciation of the Rupee against the US Dollar.

The Group's financial position improved during the year, with equity funding 35.85% of total assets, compared to 31.79% in the previous year.

FINANCIAL POSITION AND STABILITY

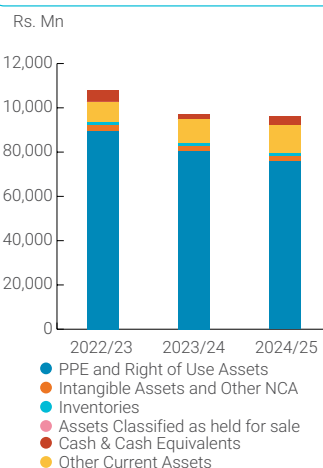
Assets

Total assets of the Group declined by a marginal 0.98% to Rs. 96.13 Bn by the end of March 2025. The Group's asset composition weighs heavily towards non-current assets, accounting for 81.13% of total Group assets, reflecting the capital-intensive nature of the hotel industry in which we operate. Against this backdrop, strategic asset management is imperative to ensure operational stability, especially during the off-season.

Capital expenditure including renovations and refurbishments to our property portfolio was resumed during the year, as we carried out infrastructure upgrades at several of our Sri Lankan properties selectively. Despite these investments, property, plant and equipment, which represent 65.5% of total Group assets, declined by 4.9% to Rs. 62.94 Bn by the end of the financial year. This decline in PPE can be attributed to the decline in Rupee value of assets as the Sri Lankan Rupee continued to appreciate against the dollar in 2024 and early 2025.

Meanwhile the current assets of the Group accounting for 18.8% of Group assets, increased by 25.5% during the year. Inventories (+4.8%) and trade and other receivables (+6.6%) contributed to this increase, reflecting increased operating levels while other financial assets (+35.6%) and cash and cash equivalents (+78.3%) also increased by the end of the financial year.

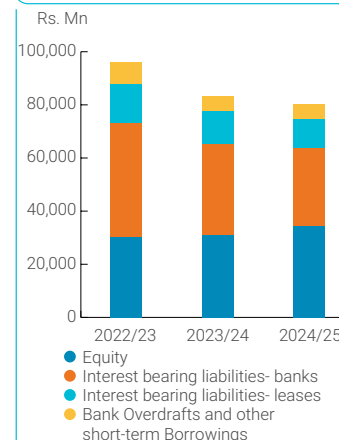
Breakdown of Group Assets



Meanwhile, the Group's total liabilities decreased by 6.87% during the year supported by the curtailment of exposure to long-term borrowings and the settlement of existing long-term loans. The impact of exchange rates on overseas loans also contributed to the decline in liabilities. As a result, the gearing ratio (debt/[debt + equity]) improved, decreasing to 46.30% during the period under consideration.

Having successfully met all financial obligations as and when they fell due, the Group demonstrated the strength of the balance sheet and the ability to maintain financial stability. Aitken Spence Hotel Holdings PLC did not receive financial assistance from the government during the year under review.

Funding of the Group





Cashflows and Liquidity

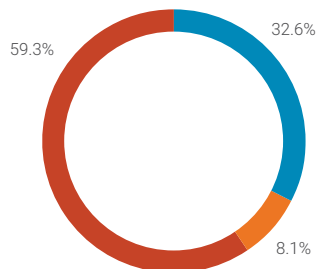
The Group adopts a proactive approach to managing cashflows and liquidity, negotiating with suppliers for favourable settlement terms, closely following up on debt collections and effectively managing working capital.

Net cashflows generated from operating activities amounted to an inflow of Rs. 10.74 Bn, reflecting increased operational activities across the Group.

Cashflows used in investing activities increased to Rs. 2.69 Bn mainly due to the acquisition of term deposits during the year. Routine maintenance as well as refurbishments and renovations carried out during the year to ensure our properties are maintained at high standards of luxury also contributed to the outflows from investing activities. Meanwhile, the net cash used in financing activities decreased to Rs. 6.92 Bn compared to an outflow of Rs. 7.51 Bn in the previous year. This could be attributed to the low-interest rate environment prevalent during the year.

Overall, the Group's cash and cash equivalents improved during the year, recording a net increase of Rs. 1.12 Bn. As a result, cash and cash equivalents at the end of the year amounted to a net outflow of Rs. 1.85 Bn, an improvement from the net outflow of Rs. 3.32 Bn recorded in the previous year.

**Cash and Cash Equivalent
at the year end**



● Cash at bank and in hand - Rs. 3.3 Bn
 ● Short-term deposits - Rs. 0.8 Bn
 ● Bank Overdraft - Rs. 6.0 Bn



MANUFACTURED CAPITAL

OUR MANUFACTURED CAPITAL PLAYS AN INTEGRAL ROLE IN ATTRACTING GUESTS, ENSURING THEIR SATISFACTION AND ENHANCING THE AITKEN SPENCE HOTELS BRAND VALUE. ENHANCING OUR MANUFACTURED CAPITAL THROUGH CONTINUED INVESTMENTS IS A KEY PILLAR OF OUR SUCCESS, AS IT NURTURES OUR COMPETITIVE EDGE, ENHANCES THE OVERALL GUEST EXPERIENCE AND SUPPORTS INCREASED CAPACITY AT OUR PROPERTIES.



KEY COMPONENTS OF OUR MANUFACTURED CAPITAL



Over 2,347 rooms across four countries



Property, Plant and Equipment of Rs. 62.9 Bn



Digital Infrastructure of over Rs. 808 Mn

INFRASTRUCTURE RELATED KEY RISKS AND OPPORTUNITIES

Key Risks

- High cost of maintaining our properties could strain profitability
- Increasing overheads due to rising utility costs
- Inadequate security measures can lead to theft, vandalism or harm to guests and staff

Key Opportunities

- Expanding our property portfolio will open up new revenue streams
- Implementing advanced technologies for a personalised guest experience



HOW WE CREATED VALUE IN 2024/25

Driving Strategy



Safeguarding our manufactured capital through regular maintenance, renovations and refurbishments.



Improving our environmental footprint through efficient allocation of resources.



Improving efficiencies through automation of repetitive tasks and process improvements.



Leveraging our digital capabilities to improve our service levels and enhance guest experiences.

Contribution to SDG's



VALUE DELIVERED

Rs. 1,603 Mn
Investment in
Capex

03
Properties
Refurbished
and
Renovated

12%
increase in
overall traffic to
the websites

Rs. 1.3 Bn
of direct
booking revenue
through our
website

93.1%
Customer
Satisfaction
Score on
Facilities

Managing Our Manufactured Capital

At Aitken Spence Hotels, we adopt a strategic approach to managing our Manufactured Capital. Major investment proposals are evaluated and assessed based on multiple criteria to ensure alignment with the Group's overall strategy as they require significant allocation of resources, particularly financial.

Our Manufactured Capital comprises both physical and digital infrastructure which includes right-of-use assets and other property, plant and equipment. Through continuous and ongoing investments in our Manufactured Capital we have been able to support business needs, enhance the guest experience and drive our growth aspirations.

Although major renovations and refurbishments were put on hold over the past few years, we have selectively invested in refurbishing a few of our properties during the year to ensure that our properties are up to high standards and our guests continue to experience a memorable stay with us.

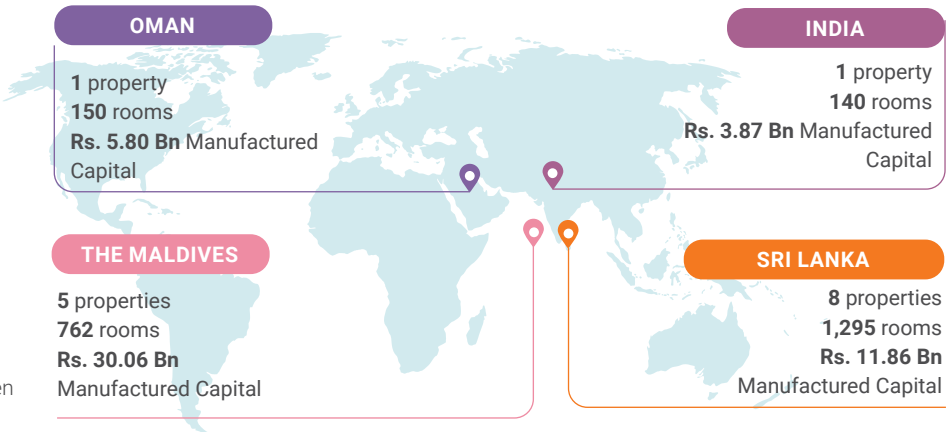


GRI 2-6

OUR DISTINCTIVE COLLECTION OF PROPERTIES

Our geographically diverse portfolio of unique properties provides guests with an array of authentic and diverse experiences. Spread across four countries, our properties enable us to absorb volatility in the market, reinforcing our advantage in this highly competitive industry. From iconic landmarks renowned for their architectural designs to luxurious resorts, beachfront escapes and urban retreats, each of our properties offers its own distinctive charm, enriching the experiences of our guests and enabling Aitken Spence Hotels to be at the forefront of the industry.

*Map illustrates only owned properties and does not provide information on properties managed by the Group



Number of available room-nights	850,021
Total area of lodging facilities	316,423m ²
Number of lodging facilities and the percentage that are:	
(1) managed	4
(2) owned and leased	14
(3) owned and franchised	1



Heritage Ahungalla



Welcome to Heritage Ahungalla, the country's first five-star beach resort nestled in the charm and tranquillity of the Southern Coast. Boasting of 152 rooms and the World's first infinity pool, the resort was designed by the legendary architect Deshamanya Geoffrey Bawa.

Offering breathtaking views of the Indian Ocean, the resort embodies a theme of peace and simplicity through hues of blue, complemented by modern luxury making it the ultimate beach getaway.

The resort also serves as a canvas for Sri Lanka's renowned artists with their arts and crafts adorning the walls and ceilings, thereby creating awareness of the country's inherent artistic talent and enriching the overall experience for our guests.

Heritage Kandalama



Envisioned and crafted by the renowned architect Deshamanya Geoffrey Bawa, Heritage Kandalama invites you to create lasting memories in the mountainside of Dambulla. This seven-storey property is set in 211 acres of protected forest and equipped with 152 rooms, offering panoramic views of the Dambulla Lake, Sigiriya rock and the hills behind.

Setting a precedent in eco-design, the hotel was the first in Asia to achieve Green Globe 21 certification and the first in the world to receive the esteemed LEED Green Building certification.

The hotel is celebrated for its eco-friendly design, blending modernist design principles with a deep reverence for local heritage and environmental sustainability. From engaging cultural experiences to authentic Sri Lankan cuisine, Heritage Kandalama opens doors to a world of tranquillity and new discoveries.

Sentido Heritage Negombo



Escape to the golden shores of Negombo where modern elegance meets warm Sri Lankan hospitality. Located just minutes from Bandaranaike International Airport, Heritage Negombo is our 5-star beachfront haven catering to the modern traveller, featuring ocean-facing rooms, world-class dining, serene spa treatments, and a relaxing tropical pool.

Spanning 6.5 acres of beachfront land, the hotel draws inspiration from Negombo's violet sunsets, incorporating vibrant colours and brassware into its design. The resort features an outdoor dining area inspired by the city's popular street dining concept.

Whether it's a romantic getaway, a leisure trip, a family retreat, or a beachfront celebration, this 139-room city resort seamlessly blends innovation and grandeur, creating the ideal holiday that celebrates the spirit of Sri Lanka.

Heritage Ayurveda



Heritage Ayurveda offers an authentic Ayurveda wellness experience without compromising on comfort. In addition to a plethora of treatments celebrating Sri Lankan Ayurveda practices, the resort promotes local ingredients and food preparation techniques for long-term wellness.

This 64-room hotel is located in Beruwala and is another masterpiece by Geoffrey Bawa, seamlessly blending architecture with nature, which is essential for the balance of the mind, body and soul. The resort also provides a rich cultural experience, with local residents showcasing their crafts and traditions making the property a favourite among wellness enthusiasts worldwide.



Heritage Tea Factory



Set amidst misty mountains and lush tea estates, Heritage Tea Factory blends heritage and exclusivity, allowing guests to experience a rustic tea country charm with contemporary comforts in the midst of the renowned Pekoe Trail.

Originally a 19th century tea factory, the place was transformed into a 50-room hotel that reflects the colonial heritage. Notably, this was the first tea factory in Sri Lanka to be converted into a hotel, earning a UNESCO Merit Award for its meticulous restoration.

Located at an elevation of over 2000m above sea level, guests can discover experiences steeped in history and nature. Guests have the opportunity to participate in tea plucking activities on the estate, explore a mini tea factory, and enjoy professional tea testing sessions. The vibrant tea menu caters to connoisseurs from around the world, making Heritage Tea Factory a true tea destination.

Hotel RIU Sri Lanka



Hotel Riu Sri Lanka is located on a magnificent beach in Ahungalla, offering stunning India ocean views. As part of the international RIU chain of hotels, the hotel is the ideal place to enjoy a vacation together with family and friends to discover the all-inclusive 24-hour a-day services and amenities offered by the RIU Hotels and Resorts chain.

Whether you are a couple, family or a group of friends, this 501-room property caters to everyone, offering diverse menus, a mini club for kids and a wide range of entertainment options for adults, ensuring guests can enjoy a relaxing stay while immersing themselves in Sri Lanka's rich culture and natural beauty.

Turyaa Kalutara



Turyaa Kalutara is conveniently located just 37 km from the island's commercial hub, offering beautiful views and a chance to leave your cares behind. Sprawling across six acres of ocean front land adorned with lush green coconut palms, this 199-room resort celebrates the vibrancy of life.

Inspired by the Sri Lankan word for 'melody', the resort is designed to create a harmonious blend of peace, comfort, celebration, and delight. Bright spaces inspire joy, while our diverse accommodation options, dining areas, entertainment venues, banquet facilities, and conference spaces ensure your comfort. The hotel is a seaside sanctuary where you can lay back and breathe in the magic, enjoying day after day of seamless leisure like a gentle melody.

Amethyst Resort



This unassuming resort spans ten acres of bay, featuring 38 rooms designed for a true escape from the mundane. True to its name, at Amethyst Resort, our vision is to provide you with an experience that brings peace of mind.

The expansive open spaces create a sense of calm and relaxation. Come and discover the East by embracing beach vibes as you unwind on one of Sri Lanka's longest shorelines and coastal gems.



Earl's Regency Hotel



Earl's Regency offers a premier five-star getaway in the heart of the island's cultural capital, Kandy. Surrounded by history and tradition, this 116-room hotel epitomises elegance, blending royal charm with warm hospitality.

The hotel is perfect for an unforgettable vacation as it surpasses expectations through superior service, award-winning cuisine and a variety of accommodation options.

Rainforest Ecolodge



Thoughtfully designed to preserve the environment and to simultaneously provide a measure of comfort, The Rainforest Ecolodge offers an unmatched experience — and not just because it's the first of its kind, but also because of its flexibility to record the splendour of nature, and simply to bask in it. Having earned the title of "The First Ecolodge" from the governing Sri Lanka Tourism Development Authority (SLTDA), the eco-friendly applications of design are implemented right on the borders of the great green forest, the myriad wildlife thrives in safety and its guests can relax in comfort.

Heritage Aarah



Nestled in the picturesque Raa Atoll, just a 40-minute scenic seaplane ride from Malé, Heritage Aarah is our 150-villa resort, extending the Heritage Brand beyond the borders of Sri Lanka. The resort offers a premium all-inclusive experience featuring seven exceptional restaurants and five vibrant bars.

Reflecting our commitment to sustainability, we proudly hold the distinction of being the first LEED-certified building in the Maldives. True to the Heritage promise, we embrace local culture with a unique in-resort Maldivian village that celebrates the archipelago's rich history. From rejuvenating spas, gourmet dining and underwater marvels thrilling activities await at Heritage Aarah.

Adaaran Prestige Vadoo



Set amidst lush foliage and pristine shores, this overwater resort features 50 villas, offering a secluded escape with breathtaking views of the Indian Ocean. The resort features bespoke amenities and personalised butler service, allowing guests to savour private moments on a magical holiday.

Strategically located at the gateway to the South Atolls, the resort boasts its own exotic reef teeming with vibrant marine life. We invite you to dive into your intimate getaway with direct sea access from your villa to swim alongside marine life and embark on unforgettable adventures in this ultimate island getaway.



Adaaran Select Meedhupparu



This is a premier five-star all-inclusive resort nestled in the serene Raa Atoll. Adorned with pristine beaches and swaying palm trees, the expansive island offers the perfect setting for your dream vacation.

The resort has a house-reef rich with marine life and diverse dive sites. Guests can enjoy exhilarating activities, dine to the heart's content and unwind to rejuvenate with the Premium All-Inclusive offering.

Adaaran Club Rannalhi



This resort caters to both the young and the old, whether you are looking to explore the underwater world, enjoy water sports or simply unwind and relax amidst the tranquillity of the nature.

Situated at the tip of the South Male Atoll, the resort is enveloped by beautiful tropical surroundings. With 122 rooms and overwater villas, it's perfect for those seeking a quick escape from everyday life.

Adaaran Select Hudhuran Fushi



Adaaran Select Hudhuran Fushi is one of the Maldives' oldest islands offering a Premium All-Inclusive package designed for families, friend groups, and adventurous couples seeking an adventurous getaway.

Renowned as the "Surf island", this 202-villa resort features a fantastic left-breaking wave on one side and six other world-class waves accessible via a short boat ride, making the spot a global surf destination.

Al Falaj Hotel Muscat



This 150-room hotel conveniently nestled in the heart of Muscat, is a true testament to the rich tapestry of Omani heritage. Weaving the timeless allure of tradition with the sophisticated demands of the contemporary traveller, the hotel seamlessly blends work and relaxation.

With newly refurbished rooms, spacious meeting venues, and attentive service, Al Falaj stands out as one of Oman's finest business hotels.



Desert Nights Resort



Experience glamping in Oman at this unique 88-bed Bedouin-style tent camp nestled in the silky Wahiba Sands. The resort blends the authenticity of desert camps with luxurious amenities, surrounded by picturesque dunes and crystalline wadis.

The resort is the only luxury desert camp in Oman, creating a mystical atmosphere that transports guests to a bygone era, allowing them to sleep under the twinkling stars.

Best Western Sur



With 105 rooms, this three-star property sits on the eastern shores of the Arabian Peninsula, making it one of the first places in the region to witness the Middle Eastern sunrise. The hotel's proximity to the coast makes it an ideal location for those wanting to enjoy the beach while exploring Oman's fishing villages.

Located in the picturesque city of Sur, Best Western Sur is a perfect base for travellers wanting to explore Oman's maritime heritage. The city is famous for its old fishing village and traditional manufacturing of dhows, making it a must visit destination.

Turyaa Chennai



The hotel is the only 5-star deluxe hotel conveniently located in the IT corridor of OMR, Chennai. Seamlessly blending business with leisure, the hotel has 140 rooms and caters to both tourists and business travellers.

The hotel offers personalised amenities and services, creating a trendy yet exclusive space for stays, high-powered business meetings, intimate weddings or family time.

Being located only 20 minutes from the Chennai International/Domestic Airport and 15 minutes from the Chennai central business district is an added advantage to any traveller looking for comfortable and convenient hotel accommodation.

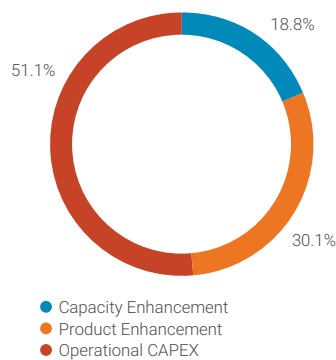
CAPITAL EXPENDITURE IN 2024/25

Our capital expenditure consisted primarily of enhancements to property, plant and equipment and routine maintenance of properties.

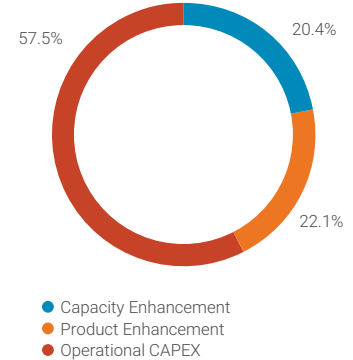
The total capital expenditure amounted to

Rs. 1.6 Bn
during the year

Breakdown of Capital Expenditure in 2024/25



Breakdown of Capital Expenditure in 2023/24





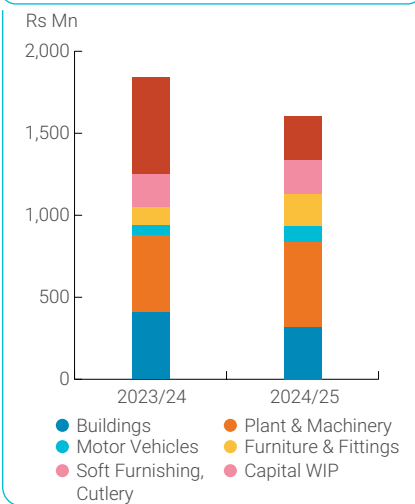
We made selective investments to refurbish and upgrade several of our properties during the year, based on the operational requirements and the prioritisation plan of the Group. We also continued to invest in safety protocols and enhance energy efficiency across our properties through investments in energy efficient equipment and renewable sources of energy.

These investments have increased our capacity, repositioned our offerings and elevated our service levels, thereby providing guests with unparalleled experiences and ensuring high levels of satisfaction.

Key Capital expenditure during the year is as follows:

- ▶ Upliftment of rooms at Heritance Kandalama.
- ▶ Renovation of cabanas at Turyaa Kalutara.
- ▶ Roof refurbishment at Heritance Ayurveda.
- ▶ Ongoing roof refurbishment of staff quarters at Adaaran Select Meedhupparu.

Capital Expenditure by Category



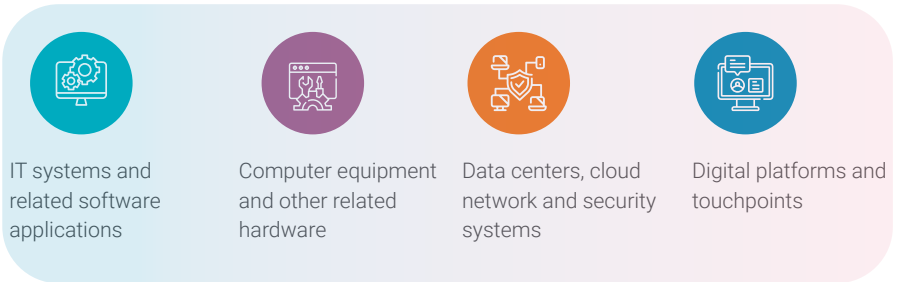
THE GROUP'S LONG-TERM ASSET MANAGEMENT STRATEGY

The asset management strategy of the Group focuses on allocation of assets over an extended period of time to balance our short-term and long-term interests, funding needs, and asset life cycles. Our primary goal is to optimise the trade-off between risk and return while ensuring sustained growth, preservation, and diversification of our manufactured capital.

Additionally, our long-term asset development strategy aims to identify new destinations through joint ventures and property management opportunities, contributing to an asset light, low intensity capital growth. We regularly review our strategy to ensure it aligns with current market conditions and the overall goals of the Parent Entity.

Aitken Spence Hotels took over the management of Rainforest Eco Lodge which is the only SLTDA Certified Eco Lodge in the country during the year.

OUR DIGITAL INFRASTRUCTURE



We have strategically invested in our digital infrastructure including the IT systems, software applications as well as hardware through continuous upgrades and enhancements, ensuring they are equipped with state-of-the-art technology and in line with industry best practices.

Amidst significant changes in the industry landscape in recent years, the Group has effectively utilised its digital infrastructure and capabilities to engage with customers, employees and business partners, thereby ensuring seamless connectivity and continuity of our operations.

The Hotel Website

Our website is continuously enhanced with the latest technology providing website users with a friendly interface and enriched digital experience. The website features language based content, making it easy for users of different nationalities to navigate through the content.

Through the integration with digital marketing tools our website contributes

towards boosting direct bookings, improving our property management systems and streamlining the booking process.

Our Social Media Platforms

The Group has a growing social media presence across multiple platforms which enables guests from across the globe to engage with us seamlessly. Our social media platforms are a key component of our digital capital which helps us to promote our product and service propositions to the market.

Outlook

We hope to carry out major refurbishments and renovations in several of our properties in the Maldives and Sri Lanka which will elevate our offerings and drive growth in existing markets. With careful planning, we aim to enhance our guests' experiences while managing temporary occupancy reductions when carrying out these refurbishments and renovations. While opportunities for expansion overseas have been limited, we are actively monitoring for investments that promise strong returns.



HUMAN CAPITAL

OUR HUMAN CAPITAL IS VITAL TO DRIVING BUSINESS OPERATIONS, FACILITATING SUPERIOR GUEST EXPERIENCES AND ULTIMATELY ENSURING THE SUCCESSFUL DELIVERY OF THE AITKEN SPENCE BRAND PROMISE. WE PLACE SIGNIFICANT EMPHASIS ON ATTRACTING, RETAINING, AND DEVELOPING THE RIGHT TALENT THROUGH A HOLISTIC VALUE PROPOSITION, TO MEET THE EVOLVING DEMANDS OF OUR INDUSTRY.



KEY COMPONENTS OF OUR HUMAN CAPITAL



Pool of 3,485 employees across four countries

- 1,867 employees in Sri Lanka
- 1,317 employees in the Maldives
- 154 employees in India
- 147 employees in Oman



Combined experience of our team



Wealth of industry knowledge



Female representation of 12%

EMPLOYEE RELATED KEY RISKS AND OPPORTUNITIES

Key Risks

- Challenges in Employee Retention due to increasing competition and talent migration.
- Difficulty in attracting the right calibre of talent due to limited availability of skilled professionals and gender stereotypes in the industry.

Key Opportunities

- Upskilling and reskilling of employees to create a future-ready workforce.
- Strengthen employer branding to attract skilled talent.

CAPITAL REPORTS

HUMAN CAPITAL



HOW WE CREATED VALUE IN 2024

DRIVING STRATEGY



Ensuring robust policies and a structured governance framework that embraces diversity, equity and inclusion, in line with that of the parent entity.



Providing opportunities for structured learning and development initiatives to upskill and reskill our team and build an agile and future-ready workforce.



Positioning ourselves as an employer of choice through competitive benefits, opportunities for career progression and a focused talent acquisition strategy.



Ensuring the overall well-being of employees through stringent health and safety measures as well as proactive engagement.



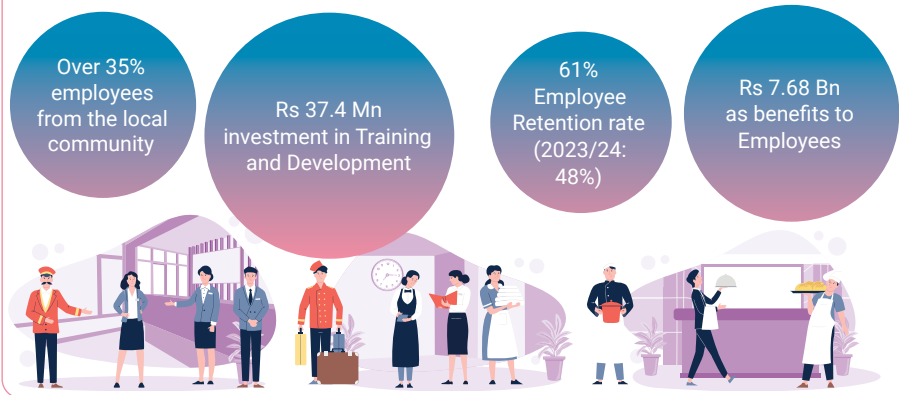
MANAGING OUR HUMAN CAPITAL

Our approach to human capital management is underpinned by a comprehensive suite of HR policies and procedures, which are aligned to that of the parent entity. These policies and procedures ensure that a relevant framework is in place to promote fair treatment of all employees in a thriving and conducive work environment. We regularly review and revise the HR policies and procedures in order to ensure they remain relevant and reflective of current needs and industry best practices.

The HR governance framework in place also plays an integral role in strengthening our commitment to effectively managing our people in alignment with the HR policies and procedures.

Given the diversity of businesses within the parent entity, each sector operates its own HR department. The sector HR department, with the support of Aitken Spence Group's centralised HR function, ensures that the HR teams at each hotel adheres to the standards of Aitken Spence Group.

VALUE DELIVERED



The Group Code of Conduct and Ethics

This outlines the professional and ethical conduct expected from our employees when engaging with both internal and external stakeholders. Key elements set out in the code include:

- Ethics and Conduct
- Principles of Conduct
- Ethical Decision-Making Framework
- Conflict of Interest
- Healthy Work Environment
- Corporate Gifts
- Entertainment
- Self-Dealing
- Confidentiality
- Fair-Dealing
- Protection and Proper Use of Company Assets.
- Compliance with Laws, Rules and Regulations (including Insider Trading Laws)
- Substance Abuse - Illegal Drugs and Controlled Substances
- International Relationships
- Encouraging the reporting of any illegal or unethical behaviour
- Grievances
- Misconduct
- Disciplinary procedure
- Consult your manager



GRI 2-7 GRI 2-8 GRI 202-2 GRI 405-1 GRI 408-1 GRI 409-1 GRI 410-1

Changes to the HR Policy Framework in 2024/25

New policies:

- Adoption Leave Policy
- Flextime Work Policy

Policy revisions:

- Whistleblowing Policy
- Anti-bribery and Anti-corruption
- Policy on Death Donation

Our HR Strategy

Our HR strategy aimed to nurture a skilled and talented workforce by providing opportunities for learning and career development, while rewarding them through competitive benefits. By strengthening talent attraction, retention and development we were able to ensure that our employees build fulfilling careers with us.



Talent Retention

Motivating employees through monetary and non-monetary benefits, establishing pathways for career progression and inculcating a culture of recognition and appreciation.

Employee Welfare & Well-being

Prioritising not just the physical well-being but also the mental health and well-being of our employees in addition to ensuring up to date safety measures are in place.



Employee Development

Ensuring continuous opportunities for learning and development, identifying talent pipelines to fulfil the needs of the group and nurturing talent from the grassroots level.



Employee Engagement

Maintaining active engagement based on the four key pillars of motivation, inspiration, recognition and visibility.



A DIVERSE AND COMMITTED TEAM

Comprising of 3,485 employees our team is an invaluable asset to the group, driving our strategic goals and sustaining our competitive edge. As an equal opportunity employer, we do not discriminate against employees based on gender, age, religion, race or any other factor, thereby ensuring a level playing field for all employees.

With a pool of employees representing different religious, geographic and cultural backgrounds we have nurtured an inclusive work environment which enriches decision-making through the combination of different skills, ideas, and perspectives.

The **Heritage Enable** programme which was launched last year, aims to provide employment opportunities for persons with disabilities, without any discrimination.

Persons With Disabilities Employed 2024/25

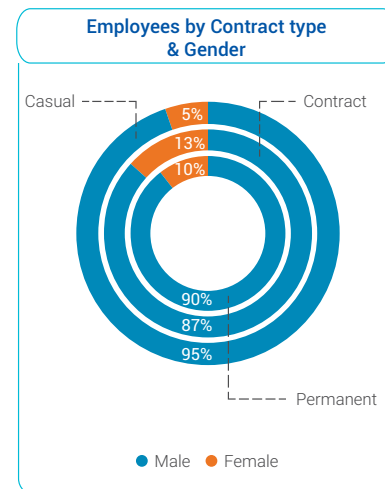
Hearing disability	02
Vision disability	01
Speech disability	03
Mobility & Physical impairments	01



The profile of our team is presented below:

Employee Contract Type	Permanent	Contract	Casual	Total
Total	1,318	2,091	76	3,485
Gender				
Male	1,180	1,814	72	3,066
Female	138	277	4	419
Region				
Sri Lanka	607	1,260		1,867
Maldives	486	831		1,317
Oman	99		48	147
India	126		28	154

% Managers from the Local Community	2024/25
Sri Lanka	25%
Maldives	9%
Oman	29%
India	94%



- There are no part-time employees, all employees are engaged on a full-time basis.
- 38% of the talent pool is engaged on a permanent basis, 60% on a contract basis.
- Only security personnel are outsourced by the Group. All (100%) security personnel have received briefings on the Group's human rights policies and procedures.
- We promote regional economic empowerment by making every effort to recruit employees from the surrounding communities.

Zero incidents of child labour or forced labour during the reporting year.



GRI 401-1

Talent Attraction, Retention and Turnover

Our recruitment policy ensures that individuals with the right skills and mindset are identified and recruited through a meticulously designed process which ensures transparency, objectivity and equal opportunity. When a vacancy arises, preference is given to employees within the organisation as we continue to groom them for higher responsibilities, thereby creating pathways for career progression. Fresh talent is acquired through external sources such as hotel schools, universities, professional bodies and vocational training centres when the need arises.

1,515 New recruits

40 Retirements

1,313 Resignations

Retention rate of 61%

Recruitment and retention of skilled employees continued to be a challenge given the scarcity of trained talent in the market due to national trends in migration. We sought to address this challenge by strengthening our talent attraction and retention strategies as follows:

Heritage Welcome

In addition to the Group Orientation Programme, new recruits at Aitken Spence Hotels are required to participate in a structured induction programme called the Heritage Welcome in order to familiarise themselves with the day-to-day operations and ensure a smooth transition into the Spenonian Team. The programme also provides insight into the Code of Conduct and Ethics, policies related to Antibribery and Corruption, as well as essential administrative procedures.

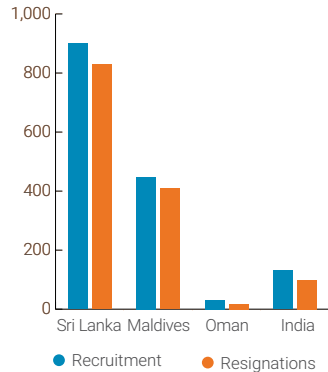
Providing competitive remuneration and benefits in line with market conditions

Creating pathways for career progression

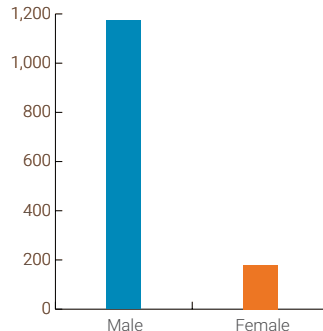
Mobilising talent and facilitating cross exposure in multiple countries

Aligning individual career aspirations to organisational goals

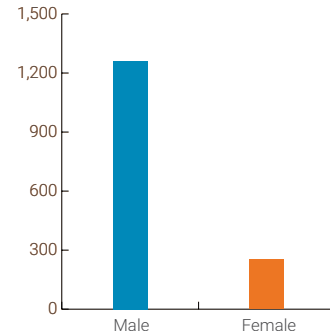
Recruitment & Turnover by Region



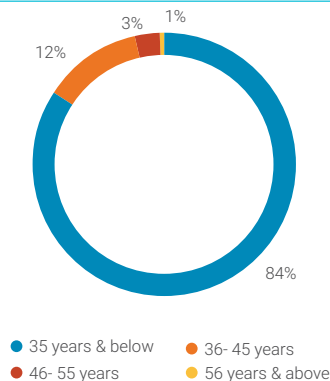
Turnover by Gender



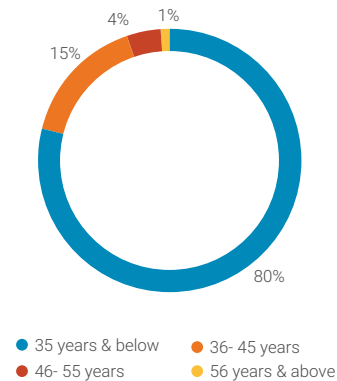
Recruitment by Gender



Recruitment by Age



Turnover by Age





Attractive Remuneration and Benefits

We offer our employees a transparent, unbiased and attractive remuneration package in line with the rewards and remuneration policies of the parent entity and customised to reflect industry specific elements.

Employee expenses amounted to **Rs 7.7 Bn** during the year.

There were no penalties due to non-compliance with labour laws and regulations

Total remuneration for employees includes a variable pay component linked to employee performance in addition to the guaranteed fixed pay component.

Additionally, we ensure that entry-level compensation meets or exceeds the minimum wage requirements set by labour laws in the respective country of operation, irrespective of gender.

Employee Recognition

We have thoughtfully designed employee recognition schemes to celebrate employee tenure, acknowledge outstanding performers. These recognition schemes boost employee morale and foster a culture of service excellence, while aligning personal and organisational goals.

Rewards and Benefits

Reimbursable expenses

- Annual subscriptions for professional membership
- Supporting continuous professional development
- Transport and travel reimbursements

Loan Schemes

- Housing loans and Personal loans against PPF

Other Perks

- Holiday bungalow facility for executives
- Free holiday vouchers at Aitken Spence Hotels
- Special rates for hotel staff at our hotels
- Reimbursement of medical bills
- Health Insurance
- Aitken Spence sports and welfare society
- Wedding Gifts
- Death Donations
- Crèche Facilities
- Enhanced parental leave
- Tele medical facilities

Additional measures introduced to ensure employee well-being during the post economic crisis period was continued during the year. These include continuation of the temporary crisis allowance for executives and payment of fuel price adjustment for employees who were entitled to the fuel allowance.

In addition to the guaranteed fixed pay component, executive level employees who complete 25 years of service receive a monetary reward as a token of appreciation for their long-standing contribution to the organisation.

Selection of the Diamond of the month (for the face and heart of the house) through which individuals are selected for the Diamond of the year.

PERFORMANCE MANAGEMENT

All employees are subject to a performance appraisal based on pre-determined key performance indicators. Individuals who meet targets are rewarded through performance-based increments without any discrimination.

The performance appraisal is a three-step process including goal planning, a mid-year review and an annual goal evaluation at the end of the appraisal, offering continuous feedback and assessment. This structured approach plays an integral role in employee development, helping employees to monitor their progress, identify training needs and facilitate discussions on career progression.

- At executive level the performance appraisal is facilitated by the Human Resources Information System (HRIS) which has been upgraded to a cloud version being more interactive, informative and user-friendly.
- A manual performance appraisal is carried out for non-executives.

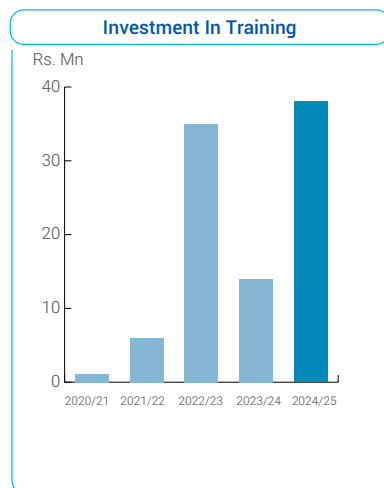


GRI 404-1 GRI 404-2

GROWING OUR EMPLOYEE CAPABILITIES

Learning and development is a key aspect of our HR strategy in this highly competitive hospitality industry. Our training proposition for employees centers on upskilling the talent pool and equipping the team with the right skills and knowledge to meet and exceed guest expectations, and ultimately organisational success.

Learning and Development Record for 2024/25



Training hours by Gender		2024/25
Male		72,598
Female		17,747

Training hours by Category		2024/25
Senior Management and above		350
Executive Staff		1,620
Non Executive Staff		88,375

Learning and Development Focus in 2024/25

- Completed a comprehensive Training Needs Analysis to identify training requirements
- Formulation of Standard Operating Procedures (SOP) for the key departments of front office, food & beverage, housekeeping, kitchen and kitchen stewarding, providing detailed instructions to employees on how to perform specific tasks or operations within the organisation. These SOP's were developed to align with industry standards and benchmarked against competition.
- Decentralisation of the Learning and Development function in order to ensure a more focused approach to training at the respective hotels
- Strengthening existing training programmes and integrating it into the organisational culture
- Empowering employees to deliver exceptional service consistently by equipping them with the right skills



Details of our learning and development interventions for the year are given below:

Heritage Rise- Management Trainee Programme

This is our management training development programme which comes within the purview of the Aitken Spence Hotel Managements (Pvt) Ltd, learning and development division. The programme consists of 5 phases and spans 18 months, providing aspiring hospitality professionals with the right skills and competencies to progress up the career ladder.

Tailored for individual growth, the program combines theoretical knowledge enhancement with hands-on learning, coaching and mentoring by industry leaders, complemented with training at the Group's international properties. Individuals are selected for the programme following a stringent selection process which involves an assessment process and several rounds of interviews. Currently there are two batches underway with a total of 17 enthusiastic individuals following the programme.

Beyond Basics

This is a departmental training programme which equips employees with the essential skills and competencies to excel in their roles. Emphasis was placed on elevating standards of service excellence and attention to detail in order to ensure a memorable experience for our guests.

Heritage LEAD

We strengthened the technical training capacity at our hotels through Heritage Leads, which is our Departmental Trainer Development Programme. This initiative ensured that we maintain a ratio of at least one trainer for every 20 employees across all departments of the hotels, ensuring professionally trained trainers are available on demand in all departments.

Heritage Ascend- Career Progression

Heritage Ascend is our structured talent development programme which will be launched in the upcoming year. The programme is designed to identify potential talent and groom them for higher positions within the organisation, thereby nurturing and empowering current and emerging leaders, while facilitating career progression.

THE AITKEN SPENCE INSTITUTE OF HOTEL MANAGEMENT

The Aitken Spence Institute of Hotel Management plays an integral role in fulfilling the growing demands for skilled employees in the hotel industry. The Group operates two hotel schools at Heritage Kandalama and Heritage Ahungalla in partnership with the TUI Care Foundation and Sustainable Hospitality Academy, which is a dedicated development centre aimed at providing hospitality-related training to underprivileged youth at the grassroots level.

Students undergo two months of comprehensive training on elementary aspects related to hotel food and beverage, housekeeping and culinary operations before being assigned to one of the Group's hotels for further practical training. Graduates completing the course have the opportunity to apply for vacancies within the Group or seek employment in other hotels of their preference. By providing opportunities for employment within our hotels, we not only contribute to fulfilling their career aspirations but also foster socio-economic upliftment in the communities where we operate.

No. of Graduates at Ahungalla

		
2024/25	27	15
2023/24	29	07

No. of Graduates at Kandalama

		
2024/25	28	20
2023/24	30	07

We have intensified our efforts to recruit female students at the hotel schools in line with our commitment to diversity and inclusion, with over 39% of our student comprising women.



GRI 2-25 GRI 2-26 GRI 2-30 GRI 402-1 GRI 407-1

MAINTAINING ACTIVE ENGAGEMENT

The Group has multiple formal and informal engagement mechanisms in place to address employee concerns and understand their pulse. These mechanisms foster open communication and ensure employee suggestions are heard and acted upon, creating a conducive work environment where employees feel valued and respected.

Open Communication Channels	Regular Staff and Team Meetings	Formal Grievance Handling Process	Employee Survey
Encourages employees to come forward with their concerns, grievances and suggestions at any time.	Weekly meetings and morning briefings ensure effective communication takes place and that constant dialogue is maintained with all employees.	Dedicated grievance handling procedure, whistleblower policy and disciplinary process encourages employees to report their grievances.	Obtaining employee feedback through Voice of Spensonians which is an employee survey conducted by the Group and through focus group discussions

In addition to the above, we also organise various informal events and welfare activities aimed at creating a work-life balance, boosting employee morale and building camaraderie within the team. These events are carried out year-round and include:

Motivation	Inspiration	Visibility	Recognition
Celebration of festivals	Spensonian convention	Talent shows	Selection of Diamond of the Month and Diamond of the Year
Staff get together	Team building activities	Sports tournaments	Recognising Executives completing 25 years of service
Quiz competitions	Beach cleanups	Women's and Men's Day celebrations	
	Blood donation campaigns		

RELATIONSHIPS WITH TRADE UNIONS

The Group acknowledge freedom of speech, expression and association as rights of employees. Cordial relationships were maintained with the trade unions during the year, there were no disruptions to work due to trade union action or industrial disputes.

Our employees have access to a well-established grievance mechanism, allowing them to raise concerns with their General Managers, Head of HR, and if necessary, escalate to the Parent Union. Management remains open to union communication, even at the Group CHRO and senior management levels.

An adequate notice period (Minimum 4 weeks) is in place for significant changes in working conditions, providing employees with adequate time to adapt and adjust.

Approximately 5.5% of our employees, across 03 properties, are represented by trade unions. Additionally, 12% of our employees are covered by collective bargaining agreements.



ENSURING EMPLOYEE SAFETY AND WELL-BEING

Our Health and Safety Record in 2024/25	
Workplace related accidents & incidents	101
No. of occupational diseases	-
No. of lost working days due to work related injuries	413
No. of lost days due to absenteeism	1693

There were no reported incidents of non-compliance with health and safety regulations during the year.

In striving to reduce workplace risks and ensuring a safe, secure and healthy work environment for all (100%) of our employees, we ensure adherence to our stringent health and safety policies and have taken all possible precautions in compliance with safety regulations.

No incidents of work palace related ill health reported during the year.

Our Health and safety practices are guided by the requirements of the Travelife certification which provides guidelines on safety training, fire drills and use of protective equipment (OHSAS) among others.

Each of our properties has a Health and Safety representative and steering committee made up of elected employees that conduct H & S internal audits and training for the prevention of potential hazards and risks.

The Spencesafe safety protocols based on local and international health guidelines and best practices also ensures the safety of both guests and employees through its precautionary mandates.

At the hotel level, trained and certified first aid teams have been established to act as first responders in case of disasters and emergencies. We carried out compliance-based training, fire drills and evacuation procedures during the year, to reinforce safety practices and ensure these teams are well equipped to respond in emergency situations and times of disasters.

Meanwhile the Group prioritised employee well-being by providing a conducive work environment that empowers employees and enables them to effectively carry out their responsibilities.

Extending beyond traditional measures, our approach to employee well-being embraces a holistic approach, encompassing physical, mental and emotional well-being. In addition to conducting health and wellness programmes on an ongoing basis, the parent entity is planning to partner with a professional counselling service provider to create a safe space for employees to talk about the issues they face and develop effective solutions.



GRI 401-3 GRI 405-2 GRI 406-1

AUTOMATION OF HR PROCESSES

During the year, we implemented the digital signature system for approval of documentation. We hope to automate more processes within the HR departments as it will lead to a reduction in time spent on repetitive tasks, thereby contributing towards increased efficiencies. It will also contribute towards a greener atmosphere within the organisation through the reduction in the consumption of paper.

OUTLOOK

Our HR strategy will focus on ensuring the right skills and competencies are in place to deliver service excellence and surpass the expectations of our guests, along with the gradual normalisation of the tourism industry.

We will continue our holistic value proposition to employees, emphasising on enhancing engagement, facilitating career progression and developing our talent pool in order to ensure that we are well equipped to navigate volatilities in the operating environment as well as drive our growth plans.

Gender Parity at ASHH

Being a part of the Aitken Spence Group, we have adopted mechanisms that the Group has set to ensure fair gender representation. As an equal opportunity employer, we strive for gender parity within the organisation and extending to the wider community by....

...developing policy and structural enablers that promote gender parity.

The Group's policy framework, HR practices and organisational culture drives gender parity across the organisation by providing equal opportunity to individuals irrespective of gender. Our commitment to creating a gender-balanced organisation is reflected in the #SpenceWomenatWork initiative, beginning from recruitment to ensuring employee retention, engagement, career progression and building their capabilities.

A Conducive Framework of HR Policies

Diversity & Inclusion	Sexual Harassment	Remuneration	Parental Leave
The Diversity and Inclusion Policy of the Aitken Spence Group.	- Open door policy - Dedicated grievance handling procedure. - Strict policies covering all forms of harassment including sexual harassment.	- Our Compensation Policy ensures there is no discrimination in remuneration between genders. - Our compensation policy focuses on gender pay equity. - The basic salary levels for both men and women at entry level are at parity (ratio 1:1) and discrimination in any form is not tolerated.	- Maternity leave of up to 100 paid working days - Paternal leave of 5 days. - Newly Introduced Adoption leave Policy. - During the year, 33 (30males, 3 females) employees utilised the parental leave facility. 3 of 3 employees returned to work within 12 months of utilising maternal leave.

Employees are encouraged to report any incidents of harassment and discrimination through a formal and well-organised process, in line with the Group policies and procedures. This reinforces our commitment to maintaining a supportive work environment.

HR PRACTICES

We maintain an enabling work culture, exploring flexible working arrangements as set out in the Semi-Virtual Mobility Policy which accommodates personal commitments of individuals and enhances the work-life balance for both genders.



GRI 404-1

...encouraging female representation at all levels

We strive to foster an enabling work culture where individuals of all genders can achieve their career aspirations. By providing 100 days of paid maternity leave and the crèche facility we create an environment where women have the flexibility to remain in the workforce even after childbirth.



New Recruits
1,261 (83%)

Promotions
185 (82%)

Exits
1,175 (87%)



New Recruits
254 (17%)

Promotions
40 (18%)

Exits
178 (13%)

...actively driving change to close the Gender Gap

We are committed to closing the Gender Gap by dispelling common misconceptions and social stigma surrounding women working in the hotel industry.

We encourage discussions on addressing unconscious gender bias with potential female employees and their families by inviting them to observe our work environments. We also conduct awareness programmes for school leavers to address their concerns.

...and communicating a positive gender narrative throughout the organisation and the wider community.

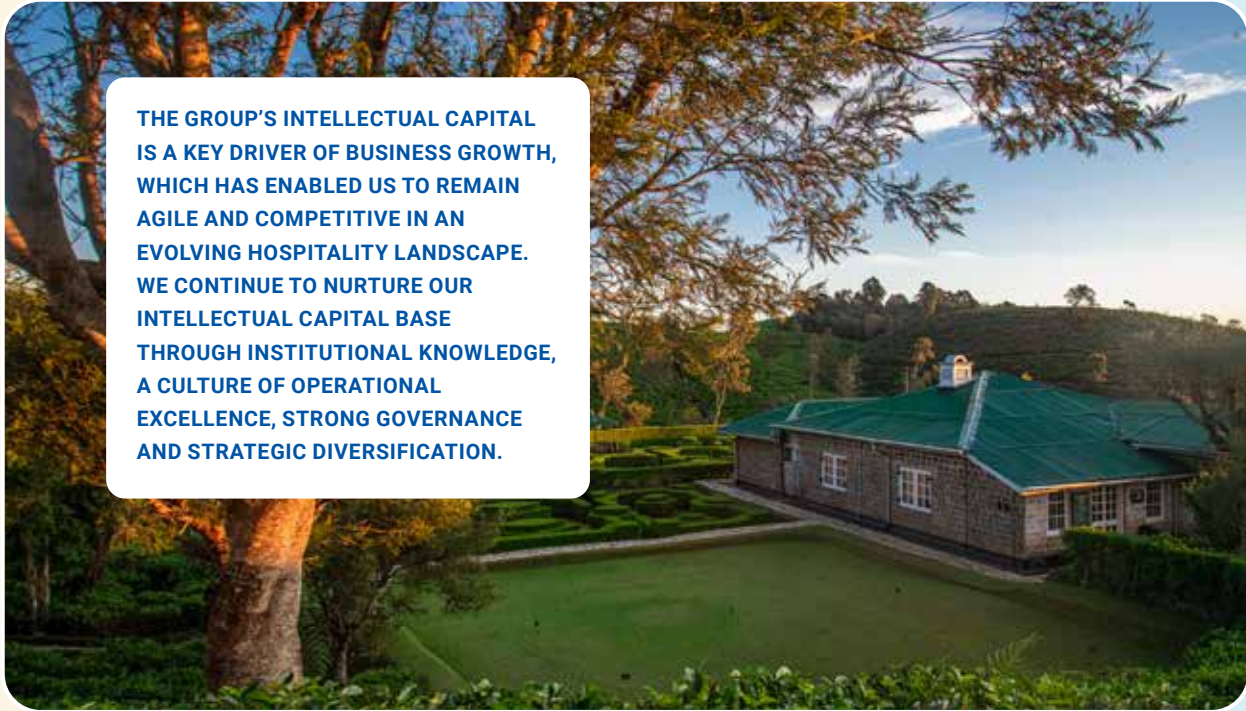
We are mindful to ensure that we do not indicate any gender bias in our advertising and communications. Our job advertisements are designed to be inclusive, without specifying any gender preference for the vacancies. This ensures that all qualified candidates, regardless of gender, feel encouraged to apply.

Employees by Gender and Nationality	Sri Lankan	Indian	Maldivian	Bangladeshi	Others
Male	2154	246	467	105	94
Female	300	37	26	0	56



INTELLECTUAL CAPITAL

THE GROUP'S INTELLECTUAL CAPITAL IS A KEY DRIVER OF BUSINESS GROWTH, WHICH HAS ENABLED US TO REMAIN AGILE AND COMPETITIVE IN AN EVOLVING HOSPITALITY LANDSCAPE. WE CONTINUE TO NURTURE OUR INTELLECTUAL CAPITAL BASE THROUGH INSTITUTIONAL KNOWLEDGE, A CULTURE OF OPERATIONAL EXCELLENCE, STRONG GOVERNANCE AND STRATEGIC DIVERSIFICATION.



KEY COMPONENTS OF OUR INTELLECTUAL CAPITAL



The Aitken Spence Hotels Brand and the three Brands that we operate our hotels under:

- ◆ Heritage Hotels and Resorts
- ◆ Turyaa
- ◆ Adaaran Resorts



Organisational Capital and Tacit Knowledge of our Team



Finetuned Systems and Processes



Accreditations and Certifications

KEY RISKS AND OPPORTUNITIES

Key Risks

- In a market flooded with choices, brands that rely only on transactional loyalty risk losing relevance, as today's customers seek emotional connection and meaningful experiences.
- High employee turnover in hospitality can disrupt service consistency and diminish the overall guest experience.

Key Opportunities

- Create emotionally resonant, value-driven experiences at guest touch-points to build meaning into guest interactions that emotionally connect.
- By offering employees a meaningful, purpose-driven work experience where they feel valued, empowered, and connected to the brand's story.



HOW WE CREATED VALUE IN 2024/25

DRIVING STRATEGY



Investment in brand building initiatives to enhance brand equity and build trust and loyalty among our customers.



Driving continuous process improvements by streamlining systems and processes and eliminating repetitive tasks.



Maintaining proactive engagement with industry counterparts to support the growth of the tourism industry.



Nurturing a culture of learning and knowledge-sharing through continuous investments in learning propositions.



Investing in data analytics and technology to monitor feedback and deliver improved service levels.

Contribution to SDG's



VALUE DELIVERED



MANAGING OUR INTELLECTUAL CAPITAL

We place significant emphasis on sharpening our Intellectual Capital base as it plays a critical role in differentiating ourselves in this highly competitive industry. This includes building the brand, harnessing organisational tacit knowledge and nurturing a culture of continuous learning.

BRAND VISIBILITY

Aitken Spence Hotels continues to maintain a prominent position within the Sri Lankan hospitality industry and the South Asian region. While a formal monetary brand valuation is not currently published, the brand's ranking and recognition provide a strong indicator of its value and equity. -Ranked amongst the top 5 Most Awarded Entities in the LMD Hall of Fame, a testament to consistent brand excellence across decades.

Our Awards and Accolades significantly increase global brand visibility and reinforce Aitken Spence Hotels' positioning in the market. These accolades not only reinforce the brand's value but also reflect our strategic direction in building global recognition, experiential richness, and sustainability as core differentiators.

93

Total awards won by the Group (refer page 105 for more)

We continue to organically grow our social media footprint by leveraging multiple platforms which has also enhanced brand visibility.



STRENGTHENING OUR BRAND

Our Social Media Footprint



599K followers



2,094 followers



29K connections



320K followers



1,893 followers



320K followers

Social media penetration was further enhanced by working with content creators, influencers and celebrities, reinforcing emotional connectivity with the brand. Key highlights during the year are mentioned below:



**Malaika Arora x GlobalSpa
India and ME**
19M Followers



**Bogdana Naydenova
Influencer - Bulgaria**
33.5K Followers



**Fernanda De Almeida -
Brazil Influencer**
564K Followers



**Ann Kathrin
US Influencer**
356K Followers



**Ruchika Lohiya -
Influencer - India**
831K Followers



Biya Oman



We operate three distinct brands: Heritance Hotels and Resorts, Adaaran Resorts and Turyaa, under Aitken Spence Hotels. These brands are a key component of the Group's intellectual capital that we continue to nurture in order to enhance our visibility and attract guests. With deep roots in sustainability, these brands offer distinctive experiences to our guests by integrating the authentic charm, warm hospitality and cultural abundance of the destination. In keeping in line with the values, attributes and personality of the respective brands, all operational aspects of the hotels have been designed focusing on luxury, quality service and creating memorable experiences for our guests,



Heritance Hotels and Resorts	Adaaran Resorts	Turlyaa
The Heritance Brand offers a blend of modern comfort, rich heritage and stunning views, ensuring a memorable stay filled with warmth, hospitality and cultural experiences.	The Adaaran Brand offers a luxurious and immersive experience that combines Maldivian hospitality with stunning natural beauty. The brand is known for its diverse range of resorts, offering the quintessential flavour of the Maldives. Club- 4-star resorts Select- 5-star resorts Prestige 5-star boutique resorts	The Turlyaa Brand aims to create lively and welcoming spaces that appeal to the changing lifestyles of the modern traveller, offering affordable travel, great food and excellent service. The brand's bright pink colour symbolises this ambition, representing liveliness and an unyielding enthusiasm.

Aitken Spence Hotels undertook several high-impact brand building initiatives during the year to reinforce overall brand equity, celebrate its heritage, and strengthen stakeholder engagement across key markets. Key brand building interventions carried out during the year include:

50 years of Timeless Memories

Aitken Spence Hotels marked its five-decade milestone with a distinct identity- including a commemorative logo, engaging story-driven digital activations, and exclusive global guest offers. The "Golden Memories" initiative invited guests and staff to share their most memorable experiences, which fed into the '50 Years, 50 Stories' digital archive — an online storytelling gallery that celebrated the brand's enduring legacy through personal narratives.

30 years of Heritance Kandalama

Celebrating 30 years of our flagship eco resort became another pillar in our brand-building strategy. The campaign celebrated the resort's architectural significance, sustainability achievements, and the people who brought the property to life. This included a curated 'Journey Gallery', press features, and installations that brought to the forefront the stories of long-serving team members.

Your Summer Island Getaway

Our summer campaign focused on positioning the brand's diverse portfolio- especially the Maldives and Sri Lankan coastal resorts- as the premier choice for tropical travel. The campaign utilised high-impact visual content, consistent social media updates, and SEO-backed digital strategies to drive reach.

The campaign led to +20% Instagram followers, +10% direct bookings, +15% revenue uplift from the brand website alone.

Promotion of the Pekoe Trail

Aitken Spence Hotels cemented its position for experiential travel by highlighting Heritance Tea Factory as a gateway to the iconic Pekoe Trail, Sri Lanka's first long-distance walking trail.

Sponsor at the Galle Literary Festival

The brand partnered as the exclusive sponsor for the opening night, creating direct engagement with literary audiences and potential high-end clientele. The event featured fusion Sri Lankan experience through food and cultural entertainment, in a 200-year old estate in Galle.

Strengthening Digital Presence

We carried out enhancements to the website for visual representation of our properties as well as enhancing customer journeys to strengthen attract direct bookings.

Sustainability Focus

Further brand equity was generated through sustainability focused initiatives such as the planting of 2,000 trees across four countries for World Environment Day, and the onboarding of the Rainforest Ecodge into the portfolio as a model of sustainable tourism.



OUR AWARDS AND ACCOLADES

Overall Excellence Heritage Aarah was named Forbes' Best Beachfront All-Inclusive Resort for Families, and Trip Advisor Best of the Best, reinforcing Aitken Spence Hotels' positioning in the premium all-inclusive segment.	Corporate Reporting, Sustainability and CSR TAGS Awards for Reporting in the Hospitality Sector  CA Sri Lanka TAGS Awards 2024 ACCA Sustainability Reporting Awards - Tourism & Leisure Category - Five Green Globe certifications - Six Travel Life Certifications Sri Lanka Tourism Awards Best Sustainable Practices in Hotels and SATA Nishan Seneviratne Best CSR Programme for Heritage Kandalama	Customer Review - Travellers' Choice Awards - Traveller Review Awards - Agoda's Customer Review Award
Culinary Expertise - Sri Lanka Tourism Award for Best Themed Restaurant – TCK at Heritage Tea Factory - Won in 38 categories in FHAM Culinary Competition - Won in six categories at the Culinary Art Food Expo	Activities & Experience Achieved Gold in the Best Promotional Campaign at the South Asian Travel Awards (SATA) and Sri Lanka Tourism Awards for "Your Summer Island Getaway" campaign.	

HARNESSING TACIT KNOWLEDGE

The invaluable base of organisational tacit knowledge and collective experience of our team underpins every aspect of our operations, providing deep insights on customer and market dynamics, driving strategy and nurturing lasting relationships with our stakeholders.

Tenure of Service •

15% of our employees have completed more than 10 years of service.

Strong Learning Propositions •

Rs. 37.4 Mn investment in Training and Development to enhance skills and knowledge of our people.



• Data-driven Decision-making

Obtaining data through interactive dashboards, real-time insights, predictive models and data visualisation tools to support decision-making.

• Strength of the leadership team

The extensive experience and the strategic foresight of our leadership team enables us to swiftly navigate market volatilities, supporting long-term strategy.



Certifications	ISO 22000: 2018	ISO 14001: 2015	LEED	ISO 50001: 2011	Travelife Gold	Green Globe	Dive Center
Heritage Ahungalla	✓			✓			
Heritage Kandalama	✓	✓	✓	✓	✓		
Heritage Tea Factory	✓	✓		✓	✓		
Heritage Ayurveda				✓	✓		
Sentido Heritage Negombo	✓		✓		✓		
Turyaa Kalutara	✓						
Earl's Regency	✓	✓					
Hotel RIU Sri Lanka					✓		
Rainforest Ecolodge			✓				
Heritage Aarah	✓		✓			✓	
Adaaran Prestige Vadoo	✓					✓	✓
Adaaran Select Meedhupparu	✓					✓	
Adaaran Select Hudhuranfushi	✓					✓	✓
Adaaran Club Rannalhi	✓					✓	✓
Desert Nights Resort		✓					

Maintaining Industry Engagement

The tourism industry plays a vital role in contributing towards the economic development of the country. Therefore, we sought proactive engagement with relevant authorities, industry association/ bodies and counterparts during the year aimed at industry growth, development and resilience.

Collaborations with industry stakeholders also help us to stay informed, influence decision-making and advocate for the interest of the entire sector as a whole. We actively collaborate with these stakeholders to address issues facing the tourism industry and promote best practices.

Outlook

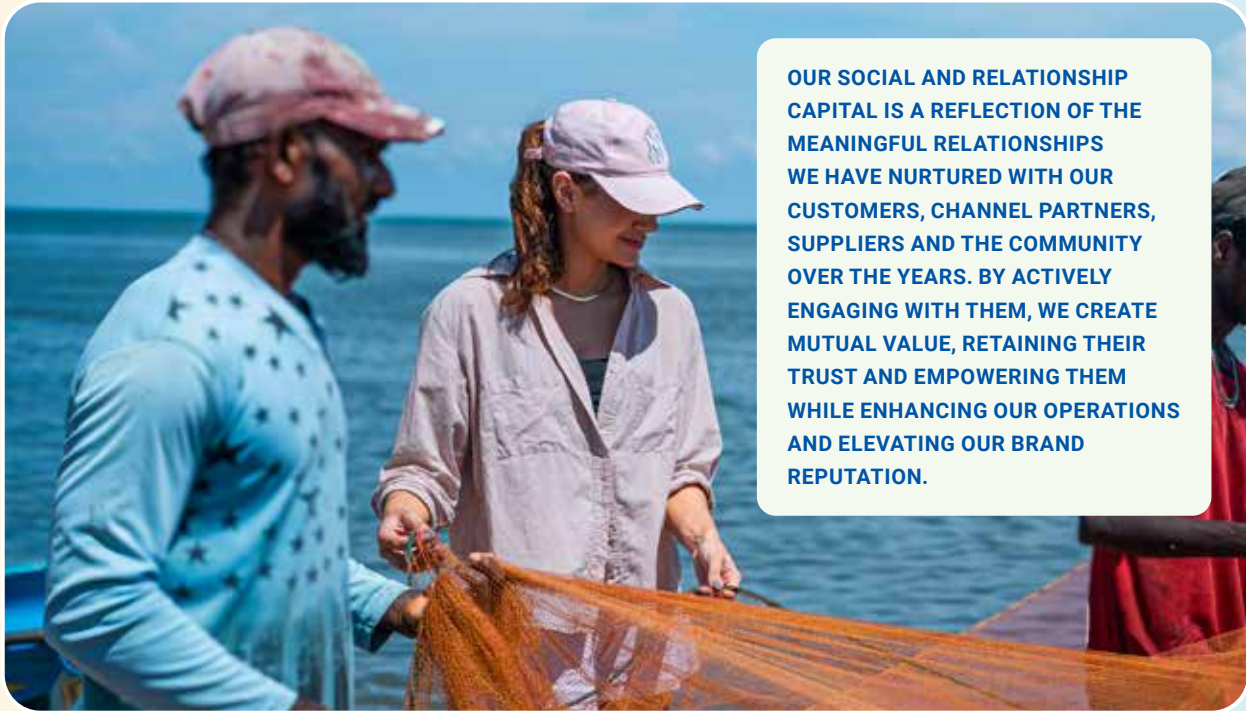
Enhancing brand equity will be a key focus area as competition intensifies in our key markets. Our brand building strategy will focus on enhancing brand visibility and continuous improvements to the guest experience, navigation on direct channels, and presence on public platforms. We will continue to maintain excellence in service by nurturing a customer centric mindset amongst our staff and building their capabilities. We will also seek to utilise our digital capabilities to ensure the continuous improvement of our processes.

As one of the leading players in the hospitality sector, the Group holds memberships in professional associations:

- Signatory to the United Nations World Tourism Organisation (UNWTO)
- Global Code of Ethics for Tourism (GCET)
- Sri Lanka Tourism Development Authority
- Maldives Association of Tourism Industry
- Ministry of Heritage and Tourism Oman
- Hotel Association of India
- SHIRA -The South Indian Hotels and Restaurant Association
- FHRAI -The Federation of Hotel & Restaurant Association of India
- The Pacific Asia Travel Association (Sri Lanka Chapter)
- The Ceylon Chamber of Commerce
- Oman Chamber of Commerce & Industry
- The Madras Chamber of Commerce & Industry
- The Hoteliers' Association of Sri Lanka
- The Employers' Federation of Ceylon
- The Field Ornithological Group of Sri Lanka
- The Environmental Management System Users and Promoters Association
- Biodiversity Sri Lanka
- Sri Lanka Bureau of Foreign Employment
- Institute of Supply and Materials Management Sri Lanka
- Exporters' Association of Sri Lanka
- Lanka Fruits & Vegetables Producers, Processors and Exporters Association
- Responsible Tourism Partnership
- SKAL International
- Sri Lanka Bottled Water Association
- Sri Lanka Tourism Alliance



SOCIAL AND RELATIONSHIP CAPITAL



OUR SOCIAL AND RELATIONSHIP CAPITAL IS A REFLECTION OF THE MEANINGFUL RELATIONSHIPS WE HAVE NURTURED WITH OUR CUSTOMERS, CHANNEL PARTNERS, SUPPLIERS AND THE COMMUNITY OVER THE YEARS. BY ACTIVELY ENGAGING WITH THEM, WE CREATE MUTUAL VALUE, RETAINING THEIR TRUST AND EMPOWERING THEM WHILE ENHANCING OUR OPERATIONS AND ELEVATING OUR BRAND REPUTATION.

KEY COMPONENTS OF OUR SOCIAL AND RELATIONSHIP CAPITAL



Relationships with Guests

◆ 1,213,406 Total Guest Nights



Over 5,800 Channel Partners include:

- ◆ Tour Operators
- ◆ Travel Agents
- ◆ Corporate Clients



Over 1,600 Registered Suppliers, including 266 New Suppliers during the year

- ◆ Local Corporates
- ◆ SMEs
- ◆ International Supply Chain Partners



The Communities we operate in

KEY RISKS AND OPPORTUNITIES

Key Risks

- Guests using social media and other channels of engagement to leave unsubstantiated reviews could lead to negative publicity.
- Seasonal demand can lead to stock shortages during periods of high occupancy and excess inventory in times of low demand.

Key Opportunities

- Opportunities for deeper relationships with customers, suppliers and the community by leveraging technology.
- Engaging with suppliers who offer innovative products can differentiate our hotel from competitors.

CAPITAL REPORTS

SOCIAL & RELATIONSHIP CAPITAL



HOW WE CREATED VALUE IN 2024/25

DRIVING STRATEGY



Ensuring guest satisfaction by ensuring their needs are met, maintaining meaningful engagement and ensuring their safety and wellbeing.



Ongoing focus on incorporating local ingredients into the hotel menus, thereby supporting locals while allowing guests to enjoy authentic cuisine.



Collaborating with a range of channel partners to promote the destination and our brand, thereby securing arrivals from existing and new markets.



Building resilient communities through ongoing investments in CS initiatives and supporting their socio-economic development.

Contribution to SDG's



VALUE DELIVERED

Rs. 28 Bn as Payments to Suppliers

Rs. 8 Mn CSR Spend

70% Overall Average Room Occupancy Rate

Rs. 37.4 Mn Investment in Learning and Development

10% Procurement from Local Suppliers

93.1% Customer Satisfaction Rate

MANAGING OUR SOCIAL AND RELATIONSHIP CAPITAL

We manage our Social and Relationship Capital in line with the Group's comprehensive set of policies, systems and processes. Our relationship centric approach to managing diverse stakeholder groups has strengthened the trust and confidence in the Aitken Spence Hotels brand, fostering mutual value creation while leaving a positive impact on the communities around us.

During the year, there were no reported incidents of corruption and/or fraud and no fines/penalties for non-compliance with laws and regulations pertaining to socio-economic compliance including customer health and safety, marketing/labelling information and/or marketing communications during the year.

NURTURING CUSTOMER RELATIONSHIPS

We serve a wide range of customers through a holistic value proposition that meets their evolving needs. By enhancing the overall customer experience and improving our service levels we managed to ensure customer satisfaction and retain our competitive edge.

Flexibility

Offering flexibility in our cancellation policies and ensuring transparent pricing to maintain customer satisfaction.

Guest Experience

Curating unique propositions and experiences to provide guests with a truly authentic experience.

Our Holistic Value Proposition

Engagement

Putting in place formal and informal customer engagement mechanisms.

Customer Safety

Following stringent health and safety guidelines and protocols which safeguard the health and wellbeing of our guests.

The challenges stemming from the operating environment necessitated a strengthening of the customer value proposition through customised solutions and services. Our ability to be proactive allowed us to understand and effectively respond to the needs of our customers, who are at the heart of what we do.



THE CUSTOMER PROFILE

Sri Lanka remained resilient as a tourist destination, signalling a promising recovery for the hotel sector that has faced multiple challenges over the past five years. Following a successful 2024, the tourism industry continued to experience strong growth with over 896,884 arrivals recorded in 2025 so far. This growth is likely driven by improved global travel conditions, enhanced marketing efforts, and renewed traveller confidence in the destination, especially amongst budget-conscious travellers seeking authentic experiences in value for money destinations.

The country attracts a diverse range of travellers due to its rich cultural heritage, abundant wildlife, stunning natural landscapes and variety of activities, excursions and authentic experiences it has to offer. At ASHH, we are able to cater to every type of traveller, whether they are seeking an adventure, relaxation or cultural immersion by leveraging the diverse locations of our properties.

Key source markets contributing to the growth in tourism numbers to the country include India, Russia, the UK, China, and Germany. Other significant inflows came from France, Poland, Australia, the Netherlands, and Bangladesh. We are closely monitoring the rollout of a global promotional campaign, which will enable us to tap into new source markets and diversify our customer base.

Our properties in Sri Lanka and the Maldives primarily cater to guests arriving for leisure purposes. Our Indian property, which is located in the business corridor of Chennai, attracts guests arriving on business travel while the properties in Oman serve a mix of both business and leisure travellers.

OUR SALES AND MARKETING STRATEGY

Our Sales and Marketing strategy during the year, targeted optimum growth from the increase in tourist arrivals to the country and the domestic market. The diversity in our source markets reflect the global appeal of Sri Lanka as a travel destination. Therefore, we have broadened our strategy to sustain growth from new markets while strengthening relationships with well-established traditional markets. Our strategy targets not only international tourists but focuses on residents and corporates to drive footfall at our properties. Key elements of our sales and marketing strategy is mentioned below:

- Hiring and deploying our own sales staff in established markets to expand on networking opportunities in these countries.
- Placing sales representatives to strengthen relationships in strategic new markets.
- Driving direct bookings through the website and promoting other value-added options upon confirmation of the booking.
- Participating in roadshows and trade fairs.
- Offering flexible rates to stimulate demand when there is low occupancy.
- Targeting large corporates through group packages and special rates for their employee base.
- Partnering with local banks to offer local residents credit/ debit card offers and other deals based on a tiered strategy.
- In the Maldives, our online booking system for tour operators provides real-time visibility on room availability, enabling a seamless booking process.
- In Oman, we have explored alternative sources of revenue including venturing into industrial catering, banqueting and destination wedding services.
- In India, we have sought to differentiate ourselves from intense competition, through improved service levels.

ASHH's key markets continued to be India and China. The Russian markets have also grown over the past few years along with the charter flights operating to and from the country. Key source markets contributing to the growth in tourism numbers to the country include India, Russia, the UK, China, and Germany. Other significant inflows came from France, Poland and Australia.

ENHANCING THE GUEST EXPERIENCE

By inculcating customer centricity in our staff, we have maintained our reputation for excellent service, thereby enhancing the guest experience. We curate authentic and immersive experiences for our guests through value added offerings on site.

Our staff walk the extra mile to maintain quality service, creating unscripted moments coming from the heart. Key propositions introduced to enhance the guest experience and increase value to them are mentioned below.





'Add to Cart' for Experiential Bookings Experiential add-ons such as the hot air balloon ride in Heritance Kandalama, tea tastings at Heritance Tea Factory, spa treatments, and signature dining experiences could be selected at the time of booking through the website. This user-centric update not only streamlined the reservation process but also encouraged guests to personalise their stay, increasing on-site engagement and satisfaction.		Revamped Wedding Strategy A strategic focus was placed on wedding and event travel, particularly at Heritance Negombo and Earl's Regency through refreshed website content, evocative blog stories, and targeted promotional efforts. These updates better communicate each property's appeal as a romantic and scenic wedding venue, catering to modern couples as well as international markets.
Specialised Authentic Cuisine Offering authentic Sri Lankan food and beverage options by incorporating locally sourced ingredients into our menus.	Exploring Different Restaurant Concepts We are constantly innovating through different recipes and menus and exploring new restaurant concepts to offer a differentiated experience to our guests.	Local Talent Promoting local artists, their talents and craftsmanship in order to provide guests a glimpse of local culture and traditions.
Onboarding Rainforest Eco-lodge By integrating this unique property- with LEED Platinum certification and immersive eco-stay experiences- guests seeking off-the-grid, nature-based escapes are now offered meaningful and responsible travel choices. This not only enriches our product offering but also aligns with evolving global travel values centered on sustainability, biodiversity, and community upliftment		Sporting Engagement Partnership with FC Bologna and Heritance Aarah, added sporting engagement value to guests and positioned the brand in new lifestyle and leisure markets.



MAINTAINING ENGAGEMENT

We maintain engagement with our guests by carrying out dynamic and guest-centric engagement campaigns across digital and offline platforms. These include photo competitions, festival celebrations, sustainability awareness events and fun events for kids.

In addition, we also carry out improvements to our internal processes which leads to increased engagement with our customers.

Launch of Brand Blogs

Dedicated blogs for Aitken Spence Hotels, Heritance Hotels and Resorts and Adaaran Resorts were introduced as part of a content-driven approach to maintain customer engagement. These blogs provide guests with destination insights, behind-the-scenes stories, wellness tips, and curated experiences. By offering inspiring, informative, and SEO-optimised content, the blogs serve as powerful tools for pre-arrival engagement and decision-making.

Improving social media content and Digital presence

Social media was optimised through consistent storytelling and engagement across platforms to showcase destination, moments, sustainability stories, hotel offerings, testimonials and staff highlights. These improvements led to increased visibility across the portfolio.

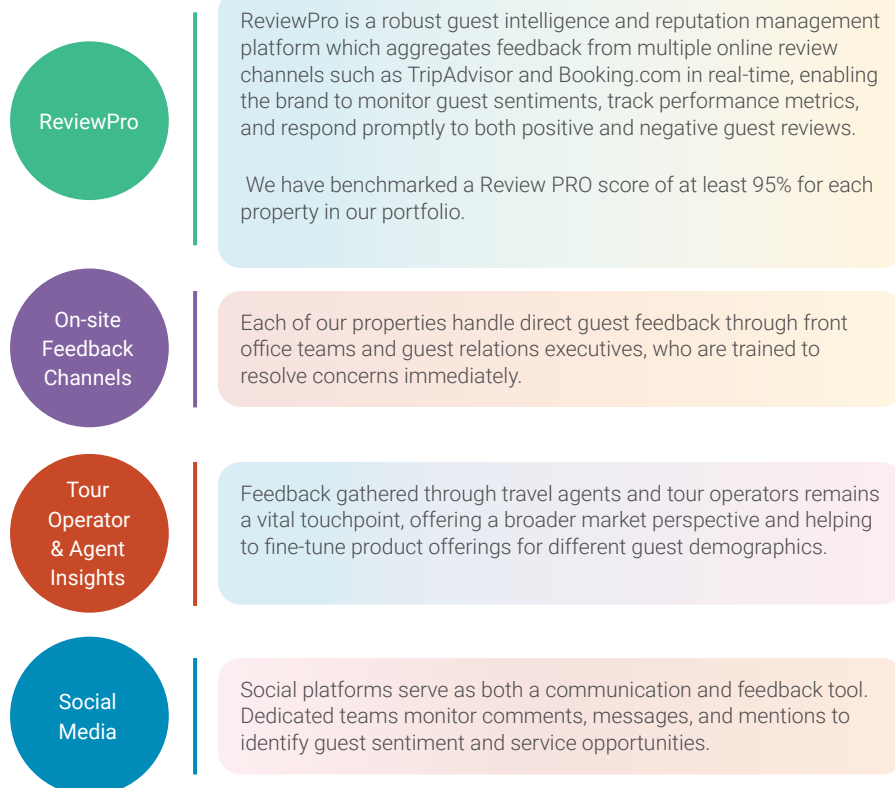




MONITORING FEEDBACK AND SATISFACTION

Aitken Spence Hotels adopts a multi-channel approach to gather customer feedback at all our properties. Feedback is reviewed during weekly inter-departmental meetings at property level, thereby ensuring customer satisfaction through delivery of quality service.

By strengthening the guest feedback mechanisms through both digital and physical touchpoints and emphasising on real-time actionable insights, we have supported continuous improvement across all our properties. Key mechanisms in place to monitor customer satisfaction include:



Key findings from our Feedback Mechanisms



Heritage Aarah, Heritage Kandalama, and Adaaran Select Meedhupparu were rated high for **staff warmth and service delivery**.



Heritage and Adaaran brands garnered consistent praise for **culinary diversity and authenticity of regional flavours**.



Guests appreciated the ease of experiential planning through the newly introduced "Add to Cart" option during booking.



Highlighted opportunities to further enhance Wi-Fi consistency, in-room digital amenities, and increased visibility of wellness offerings

During the year, QR-coded tent cards were introduced across all our properties in Sri Lanka and the Maldives, encouraging guests to scan and share their feedback conveniently. This mobile-first approach links directly to review platforms and feedback pages, making it easier for guests to share their experiences and suggestions in real-time, boosting guest participation and enabling quick feedback loops.

Summary of Key Properties	2024/25 %	2023/24 %
Heritage Ahungalla	96.0	94.9
Heritage Ayurveda	95.3	90.2
Heritage Kandalama	94.6	92.8
Heritage Negombo	95.6	91.2
Heritage Tea Factory	96.3	96.0
Turyaa Kalutara	90.6	93.0
Adaaran Club Rannalhi	95.2	94.0
Adaaran Select Hudhuran Fushi	94.8	92.7
Adaaran Select Meedhupparu	95.8	94.8
Adaaran Prestige Vadoo	97.4	97.0
Heritage Aarah	99.2	98.7
Al-Falaj Hotel	85.9	84.2
Turyaa Chennai	83.8	88.0



GRI 416-1 GRI 416-2

	Travellers' Choice Awards & Best of the Best Awards	12 properties
	Traveller Review Award	15 properties
	Agoda	10 properties

ENSURING GUEST SAFETY

Operating in the hotel industry, ensuring guest safety and making them feel safe and secure during their stay is a priority for us. Reinforcing our commitment to ensuring guest safety we have implemented comprehensive safety measures, including trained staff, secure control systems and robust emergency and first aid response teams to ensure the health, safety and well-being of guests.



Co-existing with Fauna

Coexisting with local fauna is an integral part of the guest experience as our properties are typically located in areas of high biodiversity. Guests are informed about safety measures to be taken within the premises or while exploring the surroundings.

Food Safety

- 11 of our properties have obtained the ISO 22000: 2018 HACCP Certification, affirming compliance with global standards related to food safety.
- All properties comply with local operating license requirements and are subject to inspection from local tourism authorities and local government authorities.

Third Party Service Providers

We ensure that all partners authorised to provide transportation, excursions, and experiences within our properties possess the necessary license to offer their services while regularly informing them about our commitment to maintaining high standards of customer safety.

During the year, there were no reported instances of non-compliance concerning the health and safety impacts of our products and services.



[GRI 2-6](#)
[GRI 204-1](#)
[GRI 308-1](#)
[GRI 308-2](#)
[GRI 408-1](#)
[GRI 409-1](#)
[GRI 414-1](#)
[GRI 414-2](#)
[GRI 418-1](#)

CUSTOMER PRIVACY

Our systems obtain confidential customer information through various channels, including third-party booking systems, point-of-sale systems, booking engines, email marketing messages, and phone communication. As part of our commitment to safeguarding customer information and ensuring customer privacy, we have invested significantly in IT infrastructure and process controls.

During the year, there were no complaints concerning breaches of customer privacy and losses of customer data.

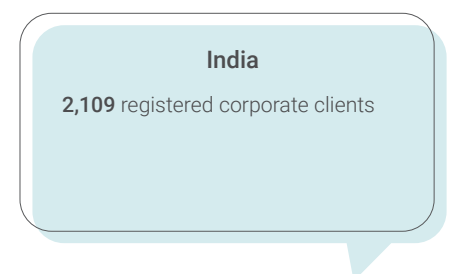
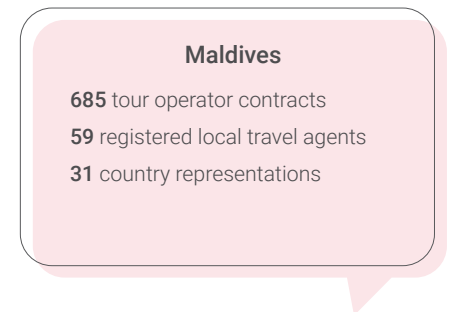
DEVELOPING RELATIONSHIPS WITH CHANNEL PARTNERS

Our channel partners comprise of Online Travel Agencies (OTAs), Corporate Travel Management Companies, Destination Management Companies, Tour Operators and Online Platforms.

SUPPLIERS

We maintain a pool of registered suppliers who play a pivotal role in ensuring the smooth functioning of our operations. Our suppliers comprise of local corporates, SMEs as well as international suppliers. The relationships we have nurtured with our suppliers unlock mutual value creation across the value chain by providing increased access to the market, creating market linkages and driving operational synergies.

Our relationships with channel partners are managed through a focused strategy which includes the implementation of targeted promotions and dynamic pricing to optimise demand and supply.



Procurement Policy	Supplier Registration	Supplier Engagement
The Group's Procurement Policy sets the guidelines for selecting the right suppliers with potential vendors identified through a supplier assessment process which considers factors beyond cost, such as quality, reliability and sustainability.	- We are constantly on the look out for new suppliers who will support our innovation capabilities. - Suppliers are registered on the supplier database once their product is tested and approved for quality. - The supplier registration questionnaire covers environmental and social criteria including forced labour, child labour. Thereby ensuring that selected vendors align with our values, principles and sustainability agenda.	- Carrying out Comprehensive Supply Chain Audits and utilising the findings for process enhancements. - All suppliers (100%), including newly on boarded ones, were screened using environmental, social and child labour criteria in compliance with local laws and practices - Supplier visits on a regular basis - Exploring bulk purchasing - Negotiating favourable terms and pricing - Carrying out market surveys to identify favourable suppliers

- Maintained direct contact with tour operators without the need for an intermediary
- Partnering with tour operators to become a preferred partner for their marketing programmes
- Offering combined packages to Sri Lanka and the Maldives
- Working with advances in order to guarantee their commitment to fulfil numbers



GRI 203-1 GRI 203-2 GRI 204-1 GRI 413-1 GRI 413-2

CSR

Aitken Spence Hotels carries out several community-based CSR initiatives aimed at uplifting local livelihoods and promoting inclusive development. These include providing vocational training and hospitality skills to youth from underprivileged backgrounds, especially in rural and post-conflict areas. Many hotels source fresh produce and seafood directly from nearby farmers and fishermen, helping them improve income stability and product quality. The company also supports local artisans by promoting their crafts in gift shops and hotel décor. Health camps, school infrastructure support, and community clean-up drives are other regular activities that foster strong, lasting ties with surrounding communities.

Summary of Key Properties	Procurement Expenditure to Local Suppliers
Heritage Ahungalla	27%
Heritage Ayurveda	66%
Heritage Kandalama	50%
Heritage Tea Factory	45%
Turyaa Kalutara	42%
Hotel RIU	23%
Maldives	4%
Oman	2%
India	94%

Zero incidents of child labour or forced labour during the reporting year

Zero negative environmental and social impacts in the supply chain were reported during the reporting year.

OUTLOOK

ASHH will continue to focus on nurturing our relationship with customers by maintaining engagement, improving our service levels and delivering memorable experiences for our guests. In order to do this, we will continuously invest in learning propositions for our staff and build our talent pool. We want to enhance our offering to our guests by positioning ourselves as the first choice for all generations of the household by leveraging the unique and diverse geographies in our portfolio of properties.

We also hope to nurture SMEs and other local suppliers in the vicinity by supporting them through supplier development programmes. We will continue our investments in community engagement and development activities in line with our overall corporate sustainability agenda.

EMPOWERED COMMUNITIES

We strive to uplift society's most vulnerable segments and build impactful relationships by delivering economic, environmental and social benefits to the wider community. Our hotels actively carry out strategic CSR initiatives year-round.

During the year, there were no incidents of non-compliance with laws and regulations or significant negative impacts on the local communities through our operations.

Community Development

Protection and Conservation of the Environment

Employee Welfare & Development

Disaster Relief and Emergency Response

Ethical Business Practices

Sustainable Tourism Practices



NATURAL CAPITAL

WE ARE COGNISANT OF THE ENVIRONMENTAL IMPLICATIONS STEMMING FROM OUR OPERATIONS AS WELL AS THE VALUE CHAIN, EXTENDING FROM UPSTREAM ACTIVITIES TO DOWNSTREAM IMPACTS. AS PART OF THE HOSPITALITY INDUSTRY, WE RECOGNISE THE SIGNIFICANCE OF INVOLVING TOURISTS IN OUR ENVIRONMENTAL SUSTAINABILITY EFFORTS AND ADVOCATE FOR SUSTAINABLE ENVIRONMENTAL PRACTICES AND ENVIRONMENT POSITIVE DECISIONS FROM WITHIN AND OUTSIDE THE ORGANISATION.



KEY COMPONENTS OF OUR NATURAL CAPITAL



Energy Consumption

- ◆ Electricity from the National Grid: 103,194 GJ
- ◆ Solar power generation: 2,032 GJ
- ◆ Usage of fuel: 318,018 GJ
- ◆ Biomass: 11,312 GJ



Water usage

- ◆ Water withdrawn - 911,080 m³
- ◆ Municipal Water Consumption - 465,261 m³
- ◆ Ground water Consumption - 150,264 m³
- ◆ Surface Water Consumption - 973,850 m³
- ◆ Harvested Rainwater Consumption - 4,169 m³



Biodiversity surrounding our properties

- ◆ Over 400 documented species in Sri Lanka
- ◆ Over 1,100 in the Maldives

CLIMATE RELATED KEY RISKS AND OPPORTUNITIES

Key Risks

- Extreme weather events and natural disasters can directly or indirectly disrupt hotel operations and cause damage to properties, impacting financial stability.
- Changes in climate can affect local ecosystems, leading to a loss of biodiversity that can impact natural attraction and experiences offered by the hotels.

Key Opportunities

- Protecting and restoring local ecosystems, such as coral reefs and seagrass beds, can enhance biodiversity and contribute to climate resilience.
- Implementation of energy efficient systems appliances can significantly reduce our energy consumption.



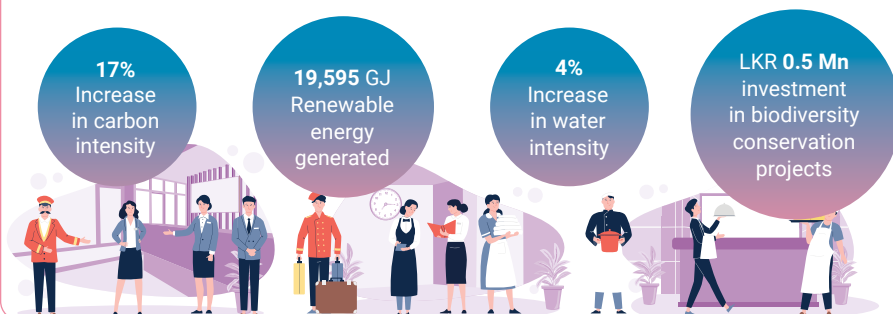
HOW WE CREATED VALUE IN 2024 DRIVING STRATEGY

 Continuous measures to manage the consumption of energy and optimise energy efficiency.	 Managing material consumption and waste through reduction of single use plastic.	 Generation of renewable energy through investments in solar and wind power sources.	 Preserving eco-systems by engaging in projects that safeguard both land and underwater biodiversity.	 Reducing paper consumption through automation and digitisation of manual processes.
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Contribution to SDG's



VALUE DELIVERED



OUR ENVIRONMENTAL AGENDA

As a pioneer of sustainable tourism in Sri Lanka, Aitken Spence Hotels recognises the urgency and significance of addressing climate change. The Group's environmental agenda reinforces our commitment to reducing the environmental footprint not just within our operations, but also outside the organisation and along the value chain. Our environmental strategy is further guided by national and international environmental certifications which enhances accountability and provides our stakeholders assurance on the same.

Aligned with the parent entity's guidelines our approach to identifying, managing and measuring progress across environmental focus areas is clear, as we seek to optimise natural resource usage to positively impact the environment and surrounding ecosystems. Our comprehensive Environmental Management System (EMS), which is implemented across the Group's properties, tracks material environmental impacts such as water, energy, waste, emissions and chemical usage.

We also carry out an annual environmental goal setting to monitor progress, while ensuring regular communication of our environmental performance to stakeholders through various channels, including sustainability reports, websites, social media posts and stakeholder meetings.

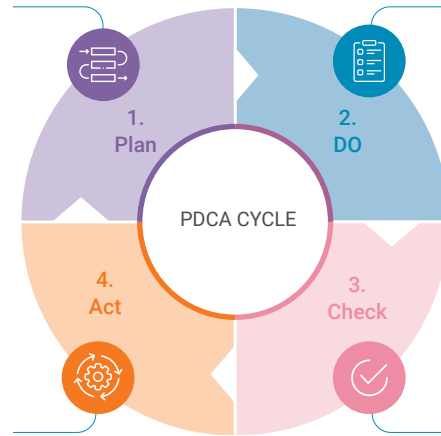
Sustainability Governance			
Board of Directors set the strategic direction and ensure alignment of sustainability goals with our overall strategy.	Regular reporting of our environmental performance to the Group Head of Sustainability ensures transparency is maintained.	Dedicated sustainability committees at each of our properties are responsible for developing and implementing strategies to effectively manage natural capital.	Environmental Management teams oversee the day-to-day implementation of sustainability initiatives, driving progress within each property.
♦ During the year, a Sustainability Council was established at the Parent Company, comprising of members representing the hospitality sector as well. The council will oversee and guide Aitken Spence Hotels through their wealth of knowledge on sustainability.		♦ We actively engage with stakeholders to ensure alignment with their expectations. This helps us to identify emerging issues, build partnerships and foster sustainability throughout the organisation.	



GRI 302-1 GRI 302-3 GRI 302-4 GRI 302-5

OUR ENVIRONMENTAL MANAGEMENT FRAMEWORK

Identification of our significant environmental impacts and agreeing on targets and action plans based on legal requirements, voluntary standards and our sustainability strategy.



Appointing and providing training to environmental representatives while implementing programmes and establishing controls.

Carrying out management reviews to discuss areas for improvement and to take corrective action.

Monitoring performance against targets and conducting audits on a continuous basis.

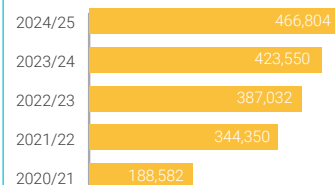
Group Integrated Sustainability Policy	Energy Policy	ISO 14001: 2015- Environmental Management (3 properties)	ISO 50001: 2011- Energy Management (4 properties)	Travelife Gold Certification (5 properties)	Green Globe Certification (5 properties)
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MANAGING CONSUMPTION OF ENERGY

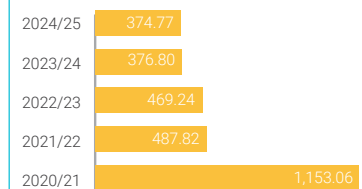
At Aitken Spence Hotels, we fulfil our energy requirements primarily through electricity sourced from the National Grid, Diesel, Petrol, LPG and Biogas. During the year, there was an increase in energy usage of 7%, mainly due to the increase in occupancy levels at our properties.

Type	Unit (000)	2024/25	2023/24
Renewable			
Solar	kWh	564,397	597,466
Biogas	kg	698,286	893,909
Windpower	kWh	1,736,516	1,689,464
Non-renewable			
Diesel consumption in generators	litre	8,372,160	6,730,178
Purchased electricity from National grid	kWh	28,665,054	26,477,738
Fuel consumption (owned vehicles and fuel paid by the Company)	litre	207,213	170,706

Energy Consumption - GJ



Energy Consumption per guest night- MJ





GRI 305-1 GRI 305-2 GRI 305-4 GRI 305-5

CONSUMPTION BY LOCATION

GJ	2024/25	2023/24	2022/23
Sri Lanka	148,307	132,844	114,522
Maldives	290,654	263,762	245,334
Oman	16,125	15,025	16,800
India	11,718	11,919	11,944
Total	466,804	423,550	388,599

By conducting regular audits, we understand our energy consumption patterns and identify opportunities for energy efficiency improvements. We remain committed to enhancing energy efficiency through various targeted initiatives.

- Continuous awareness programmes and campaigns on energy conservation targeting guests
- Encouraging environmental awareness among employees through flyers and email communications on saving energy
- Utilising energy efficient lighting and cooling systems
- Installation of occupancy sensors in guestrooms, corridors, and other areas to automatically adjust lighting and HVAC (Heating, Ventilation, and Air Conditioning) settings based on occupancy levels
- Increasingly investing in renewable energy sources such as solar photovoltaic (PV) panels to generate clean energy onsite at our Sri Lankan properties

INVESTMENTS IN RENEWABLE ENERGY

Although we didn't expand on our investments in renewable energy during the year, we are exploring opportunities in this regard in Sri Lanka as well as at our overseas properties, in order to meet our target of fulfilling 12% of our direct energy requirements through renewable energy by 2030.

ASHH has set a target to fulfil 12% of our direct energy requirements through renewable energy sources by 2030. This will contribute towards ensuring our Parent entity, Aitken Spence PLC to achieve its Net Zero Targets which were set in line with the Science Based Targets Initiative (SBTI)

Power Wheeling Agreement	Floating Solar Project
We have entered into a Power Wheeling Agreement as part of our renewable energy strategy for our property in India, Turyaa Chennai. Under this agreement, Turyaa Chennai has partnered with a renewable energy developer who owns and operates a solar power plant located offsite. The property purchases renewable energy credits or units generated by the solar plant through the grid, offsetting a portion of its electricity consumption with clean energy. This agreement not only reduces our dependence on grid supplied electricity generated from conventional sources but also contributes to the growth of renewable energy capacity in the region, aligning with our commitment to environmental sustainability and supporting us to reach our targets.	Heritage Aarah, which is our premier resort in the Maldives pioneered a floating solar project through the installation of photovoltaic (PV) panels on floating platforms on the surface of the ocean surrounding the island. This initiative harnesses the abundant sunlight in the Maldives to produce clean energy, reducing the resort's reliance on diesel generators for power generation. It also contributes to the Maldives' efforts to transition to renewable energy and mitigate the effects of climate change, demonstrating our commitment to environmental stewardship.
• We have also invested in solar installations at Heritage Ayurveda and Turyaa Kalutara. • Meanwhile, the major portion of energy consumption at Heritage Kandalama and Heritage Tea Factory is through biomass sources.	

CONTROLLING OUR EMISSIONS

The Group ensures compliance with regulations governing emissions, including air quality standards and emission limits. We are cognisant of the implications of climate change and are committed to reducing our emissions through the efficient allocation of resources and innovative processes. Our emissions management strategy aims to proactively identify areas where energy efficiency can be enhanced, while gradually reducing our fuel usage and transitioning to renewable sources of energy.

The Group is currently in the process of establishing guidelines and extending our data gathering capabilities and monitoring systems to identify and report on Scope 3 emissions



GRI 303-1 GRI 303-2 GRI 303-3 GRI 303-4 GRI 303-5

We also encourage our employees to actively contribute towards managing our emissions by integrating sustainability principles into the corporate culture. Having identified commuting and transportation from guest and staff travel, shuttle services and logistics as a key contributor to our carbon footprint extending from the value chain, we continued to implement transportation efficiency measures, promoting carpooling, public transportation and cycling among both staff and guests. We also invested in electric vehicle charging stations and offered various incentives for eco-friendly transportation options.

The Group's Carbon footprint for the year is as follows:

	2024/25	2023/24	2022/23
GHG emissions Scope 1 and 2 Group	40,218	34,433	37,437
GHG emissions Scope 1 and 2 Sri Lanka	15,035	14,272	15,666
GHG emissions Scope 1 and 2 Maldives	21,421	16,550	16,163
GHG emissions Scope 1 and Scope 2 Oman	3,065	2,867	3,367
GHG emissions Scope 1 and Scope 2 India	696	744	2,241

WATER CONSUMPTION AND EFFLUENT MANAGEMENT

Our primary sources of water withdrawal are through surface water (sea water), municipal water, ground water and harvested rainwater.

No water source was significantly affected by withdrawal of water for our consumption.

Water withdrawal by source

m3	2024/25	2023/24	2022/23
Ground water	150,264	167,872	200,986
Municipal water	465,265	237,521	135,013
Surface water (Sea water)	973,850	1,020,523	953,133
Rainwater harvested	4,169	-	-

We drive concentrated efforts to reduce the water withdrawn for our operations and prevent water stress in areas of our operations through ongoing efforts to optimise water usage. These are as follows:

Conducting regular water audits and sub-metering of water to monitor usage and identify areas of high consumption

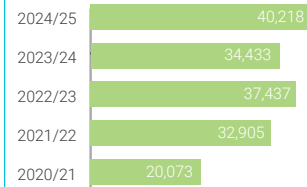
Installation of water-efficient fixtures such as low-flow faucets, showerheads, and toilets throughout our properties.

Smart irrigation systems equipped with weather sensors and soil moisture monitors optimises irrigation schedules and minimise water waste

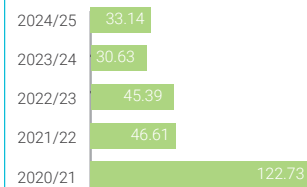
Signage in guest rooms, educational materials and interactive programs to encourage guests to participate in our conservation initiatives

Training sessions and awareness programs for our staff to promote water-saving practices and ensure that they understand the importance of water conservation

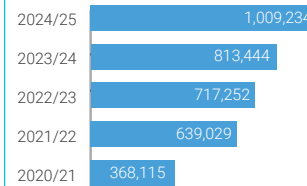
Carbon footprint - tCO₂e



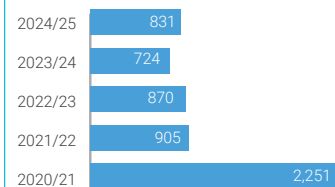
Carbon footprint per guest night - kg CO₂e



Water Consumption - m³



Water Consumption-per guest night (liters)





We have invested in rainwater harvesting systems to capture rainwater from rooftops and other surfaces, which is subsequently used for non-potable purposes.

Meanwhile, the wastewater from our properties is either pre-treated and purified on-site or directed to local wastewater treatment facilities. We abide by local standards or limits or the International Finance Corporation's Environmental, Health, and Safety (EHS) Guidelines for pollutants released to surface water (Whichever is more stringent). By consistently monitoring the quality of the discharged water, we minimise the risk of water pollution.

By investing in grey water recycling systems, we are able to capture and treat wastewater from sinks, showers and laundry facilities. Treated grey water is reused for purposes such as irrigation, flushing toilets and cooling system, thereby reducing the withdrawal of freshwater sources.

Water recycled/ reused/ discharged

m ³	2024/25	2023/24	2022/23
Sri Lanka	347,526	275,377	212,090
Maldives	389,540	408,209	381,253
Total	737,066	683,586	593,343

RAW MATERIAL CONSUMPTION

The Group's key raw materials include F&B inputs, food packing materials, linen and consumable room amenities. When selecting and dealing with suppliers, in addition to screening them for high standards of quality, we ensure that they comply with ethical and sustainable business practices.

We are committed to responsible consumption of resources, including the elimination of single use plastic in order to minimise the negative impact on the environment.

Meanwhile, the automation and digitalisation of certain internal processes has reduced the paper consumption within the organisation, thereby contributing towards a green atmosphere within the organisation.

Supplier Screening

- Due diligence frameworks
- Inclusion of ESG clauses into the contract
- On-site inspections
- Educating suppliers on our benchmarks for quality and sustainability standards

Other key initiatives to manage material consumption is mentioned below:

Conscious reduction of single use plastics by offering biodegradable, compostable, or reusable alternatives made from materials like paper, bamboo, or stainless steel.

Encouraging guests and staff to use reusable water bottles by placing water refill stations throughout our properties.

Transitioning to plastic-free amenities in all guestrooms and bathrooms by replacing single-use plastic toiletry bottles with refillable dispensers or biodegradable alternatives.

Working with suppliers to minimise plastic packaging by sourcing products in bulk, opting for eco-friendly packaging materials and encouraging suppliers to adopt plastic-free packaging alternatives.

All our resorts in the Maldives are equipped with glass water bottling plants.

In India we have switched to 100% biodegradable chemicals.

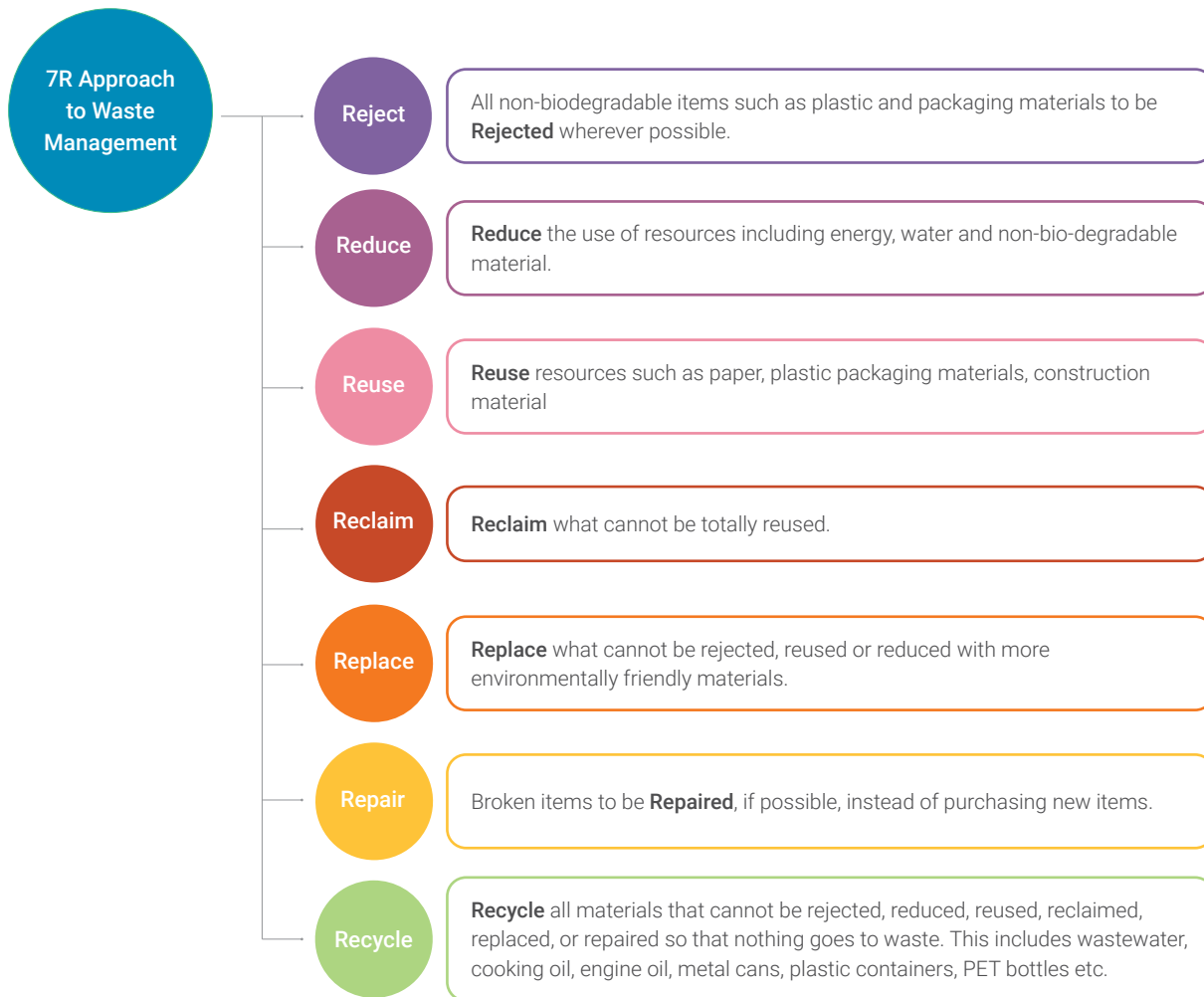


GRI 306-1 GRI 306-2 GRI 306-3 GRI 306-4 GRI 306-5

Waste Management

The Group's 7R approach to waste management aims to achieve zero landfill status by actively promoting increased efficiencies in material consumption, recycling as well as reusing of resources.

We remain committed to minimising waste generation and promote responsible disposal practices, including the proper segregation and management of all types of waste including food, kitchen and human waste, in compliance with regulatory requirements and industry best practices.



Key waste management initiatives carried out by the group include:

Displaying clear signage, colour coded bins and educational materials to facilitate proper waste sorting and disposal.

Managing organic waste such as food scraps and garden trimmings through composting on site or through the Food for Waste Programme in partnership with local farms where the waste is provided as animal feed.

In the Maldives, we have invested in a food waste composting machine that converts 100% of wet garbage into eco-friendly fertilizer.

Hazardous waste such as plastic waste is diverted from disposal in compliance with the stipulations of the country of operation.



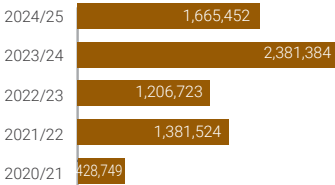
During the year, the total volume of waste generated amounted to 2,047 MT. Details of waste and disposal methods are given below:

Waste by Type and Disposal Method (tons)	2024/25	2023/24	2022/23
Solid waste (hazardous)	36	27	50
Solid waste (non-hazardous)	2,011	2,447	1,157
Total number and volume of significant spills or adverse impacts from the waste generated	None	None	None

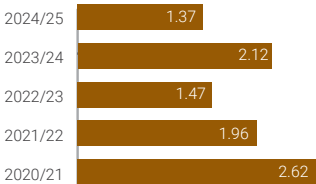
DISPOSAL METHOD

Aitken Spence Hotels manages hazardous and non-hazardous waste through a structured waste management process (7R's) that prioritises elimination and responsible disposal. All recyclable and releasable materials are segregated at source and sent to certified recyclers, while hazardous waste-such as used bulbs, e-waste, and chemicals are handled by government-approved, licensed contractors in compliance with local regulations. Our ultimate goal is to achieve zero waste to landfill by minimising waste generation, promoting reuse and recycling, and ensuring all remaining waste is treated or disposed of in an environmentally responsible manner.

Waste - kg



Waste per guest night - kg





GRI 304-1 | GRI 304-2 | GRI 304-3 | GRI 304-4

Biodiversity Conservation and Eco-system Preservation

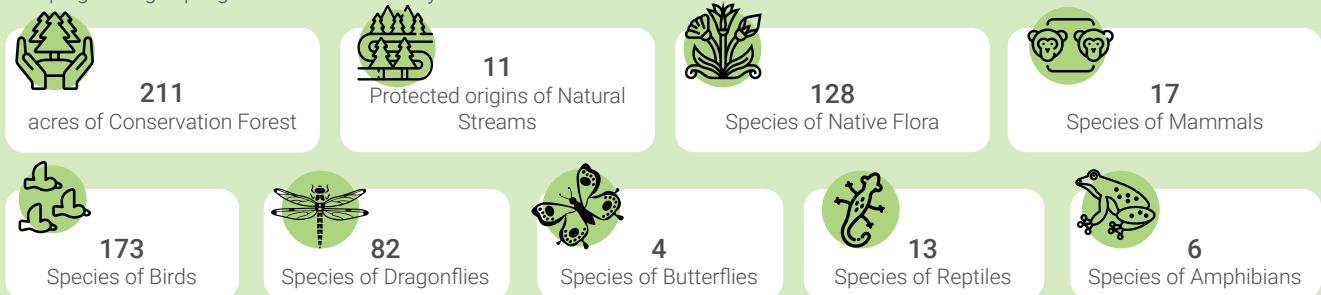
The location of our properties, particularly in Sri Lanka and the Maldives are surrounded by rich and abundant biodiversity, serving as a key differentiator for the Group and significantly influencing our ability to attract and satisfy our guests.

As such we are determined to ensure that our resorts operate in harmony with the natural ecosystem surrounding us through well-managed conservation programmes and initiatives. This commitment is reflected in our resort design, architecture, operations as well as waste management processes, ensuring seamless integration with the natural ecosystem and minimal disruption to habitats. Key initiatives in this regard are given below:

Eco Park at Heritance Kandalama

Heritance Kandalama maintains 211 acres of land reserve adjacent to the thoughtfully designed hotel building as a biodiversity corridor and conservation forest. The area is rich with lush flora and fauna, and home to a number of endemic species. The success of this corridor is evident with elephants roaming freely to and from the Kandalama tank. We also carry out negotiations with isolated pockets of landowners in close proximity to the eco park, to maintain these areas as biodiversity projects.

Within the Eco Park, you will find a wildlife orphanage and rehabilitation center for injured animals, compost fertilizer pits, wet and solid waste recycling facilities, wastewater recycling plant and a herbal garden. The hotel has also actively engaged in a community tree-planting campaign using saplings from its own nursery.



Coral Restoration Project

In the Maldives, we engage in coral restoration at all our resorts in collaboration with dive centers. Guests are invited to participate in the coral planting process, fostering a deeper connection with marine conservation. We conduct regular monitoring and studies to better understand the dynamics of coral ecosystems.

Other notable initiatives carried out to preserve biodiversity include:

- Studying the sea grass beds through dedicated studies and research as they provide a safe haven for schools of fish and significantly enrich the biodiversity of our marine ecosystems.
- Carried out beach cleanups in partnership with NGOs and liaising with authorities to segregate and dispose of the collected waste
- Reducing the use of pesticides and fertilizers to prevent harm to local flora and fauna
- Supporting local wildlife rehabilitation centers
- Planting native species to support local ecosystems

OUTLOOK

We will continue to reduce our impact on the environment through responsible consumption of natural resources, reduction of emissions and the integration of sustainable practices into our day-to-day operations. We hope to invest in renewable sources of energy such as solar power in order to increase our consumption of renewable energy and support the parent entity's targets of achieving net zero. We will also focus on strengthening our data gathering processes in order to drive our sustainability agenda.

Scan QR Code and Access page 124 of 2017/18 Annual report for IUCN Red list species and national conservation list species with habitats in areas affected by operations.



GOVERNANCE



AN UNFAILING FORCE

Aitken Spence Hotels has stood strong for 50 years thanks to our unflinching leadership and their strategic direction that have transformed the norms of hospitality; as we move forward, our focus remains unchanged.

CHAIRPERSON'S STATEMENT ON CORPORATE GOVERNANCE



Dear Shareholder,

The growth and resilience of the Aitken Spence Hotel Holdings (ASHH) Group has been underpinned by competent directors, solid governance structures, and institutionalised processes that support effective strategic guidance and resource allocation. As early champions of sustainability, our journey has been shaped by principles of sustainability that have now been hardwired into our discussions and decision-making processes, ensuring that we balance stakeholder interest. The year under review is testimony to the effectiveness of our governance processes as the transitions during the year were smooth due to comprehensive succession plans in place. As we look forward to taking the industry to new heights, we renew our commitment to upholding governance principles that have served us so well in the past.

As done in the past, ASHH duly complied with the Colombo Stock Exchange Listing Rule No. 9 on Corporate Governance and accordingly, ASHH reconstituted its Board Committees, appointed a new Senior Independent Director, and ensured compliance with the policies established and maintained in compliance with the Listing Rules. Due to the high standards of governance adhered to by the Group, most other requirements set out in the Listing Rules were already in place.

As a country we are transitioning from voluntary reporting of sustainability information to mandatory reporting in accordance with SLFRS S1 and S2 in the financial year that has commenced. Similarly, the ASHH Group has also commenced its journey to ensure that we are prepared for mandatory checks in the next annual report.

As popular tourist destinations around the world compete over hospitality offerings, it is necessary to dwell on the importance of ensuring that tourism remains sustainable. ASHH continues to engage its stakeholders through its entire value chain with a comprehensive sustainability framework to ensure that we uphold sustainable practices, preserving the natural and cultural heritage of the communities in which operate.

I am pleased to note that ASHH continues to gain recognition for excellence in sustainability and corporate reporting. This affirms our commitment to the preparation of a balanced report in line with international best practice. Importantly, it inspires us to fly higher and differentiate ASHH as a sustainable business, engaging our stakeholders in a collaborative journey alongside us.

Ms. D. S. T. Jayawardena
Executive Chairperson

12th June 2025
Colombo

COMPLIANCE STATEMENT

On behalf of the Board of Aitken Spence Hotel Holdings PLC, I declare that the principles of good Corporate Governance are applied consistently across the Group and that the Corporate Governance Report provides a fair account of Corporate Governance practices within the Group. We are also pleased to report that the Group complies with the relevant sections of the Listing Rules of the Colombo Stock Exchange (CSE) pertaining to Corporate Governance and the provisions of the Code of Best Practice on Corporate Governance 2023 issued by the Institute of Chartered Accountants of Sri Lanka.



Composition	Modifications/Alterations to existing Directors/ Committees	Re-designation of Mr. J.M.S. Brito as a Non- Independent Non-Executive Director with effect from 01st January 2025. Demise of Chairman, Deshamanya D.H.S. Jayawardena on 03rd February 2025. Appointment of Ms. D.S.T. Jayawardena to the office of Executive Chairperson with effect from 06th February 2025. Appointment of Mr. M.R. Mihular as the Senior Independent Director with effect from 06th February 2025. Renaming of existing Audit Committee as the Audit and Risk Committee.
	New Appointments to Committees/ Board / Cessation of holding office	Resignation of Mr. M.A.N.S. Perera as a Director with effect from 25th November 2024. Appointment of Mr. M.R. Mihular as an Independent Non-Executive Director with effect from 02nd December. Appointment of Mr. P. English as an Independent Non-Executive Director with effect from 30th December 2024. Resignation of Mr. C.H. Gomez as a Director of the Company with effect from 30th December 2024. Mr. Gomez was subsequently appointed as a Non -Independent Non Executive Director of the Company with effect from 01st April 2025. The 4 Board Sub committees were reconstituted following the appointments of the new Directors and in compliance with the Listing Rules.
Regulations	Adoption of Policies	Nine new Policies were formulated by the Company.
Communication	Concerns	Critical concerns are communicated to the highest governance body through formal reporting channels, including regular updates from the Head of Sustainability Operations through the Managing Director and periodic reviews by the Group Sustainability Council. These concerns are identified through internal monitoring, stakeholder engagement, and established grievance mechanisms at the property level. During the reporting period, no critical concerns were escalated, primarily relating to environmental compliance, community grievances, or supply chain. Each concern was assessed for potential or actual negative impacts on stakeholders, and appropriate mitigation actions were taken in alignment with our ESG governance framework.



GRI 2-9 GRI 405-1

GOVERNANCE STRUCTURE



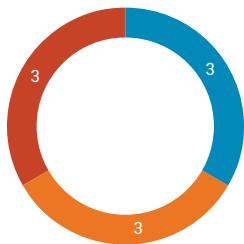
BOARD COMPOSITION, SKILLS AND DIVERSITY (AS AT 31ST MARCH 2025)

The Board comprises of 9 Directors of whom 3 serve as Executive Directors, 3 as Non Independent Non-Executive Directors and 3 as Independent Non-Executive Directors.

The profiles of the Directors together with their current appointments are given on page 30.

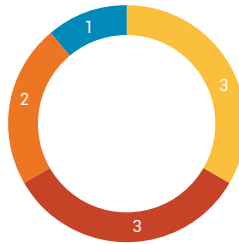
Collectively, the Board possesses the skills and experience to provide guidance and exercise oversight in relation to the operations of Aitken Spence Hotel Holdings PLC.

Composition of the board



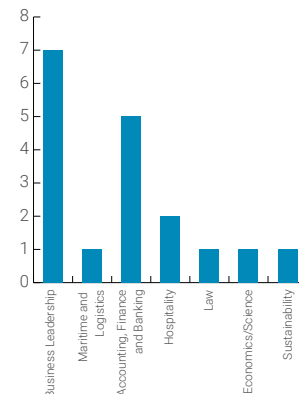
● Executive Directors (Including Chairman)
● Non-Independent Non-Executive Directors
● Independent Non-Executive Directors

Age (Years)

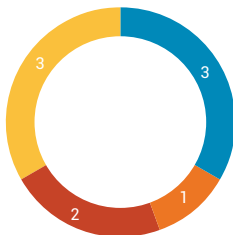


● 30-45 ● 66-75
● 46-65 ● 76+

Expertise

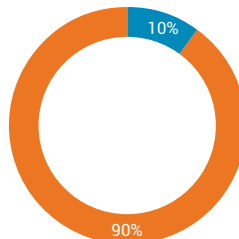


Tenure of Service (Years)



● Less than 5
● 5 to 10
● 10 to 15
● Over 15

Board Gender Composition



● Female
● Male



INDEPENDENCE OF DIRECTORS

Independence of the Directors is determined by the Board based on the annual declarations submitted by the Independent Directors in accordance with the Listing Rules of the Colombo Stock Exchange. Directors are able to exercise their independent judgement as they do not participate in day-to-day management nor have any business relationships with the Company.

Mr. M.R. Mihular, Mr. P. Englisch and Dr. R.A. Fernando qualify against the criteria for independence as per Rule 9.8.3 of the Listing Rules and the Board, based on declarations submitted by the said Directors has determined that they are Independent Directors.

ROLES AND RESPONSIBILITIES

Key responsibilities of the Board	Role of Chairman	Role of the Managing Director	Role of the Senior Independent Director
- Providing direction and guidance to the Group in formulating and implementing the corporate strategy for value creation in short, medium and long terms and monitoring the implemented strategies - Making decisions on Board appointments and evaluating Board performance and ensuring succession planning and the continued ability of the Company to operate without any disruption - Overseeing Company's financial performance and adopting appropriate accounting policies - Ensuring that the Company adheres to best practices in corporate governance including ethical business practices and compliance with rules, regulations and internal policies of the Group including concerns on ethics, bribery and corruption	- Leading the Board, preserving good corporate governance and ensuring that the Board works effectively - Setting the Board's annual work plan and the agendas - Ensuring that the Board is in control of the affairs of the Company - Ensuring effective participation of all Board members during Board meetings and ensuring efficient conduct of Board Meetings - Building and maintaining stakeholder trust and confidence	- Implementing strategy and driving performance - Ensuring succession planning of the corporate management team and assessing their performance - Developing the Company/ Group strategy for consideration and approval by the Board in line with guidance provided by the Board - Developing and recommending to the Board, budgets supporting the Company/Group long-term strategy - Setting the Board agenda in consultation with the Chairman and assisted by the Company Secretaries	- Exercising independent judgement on Board related matters - Meeting with all Non-Executive Directors at least once every year to discuss governance related matters without the presence of Executive Directors to discuss matters and concerns relating to the Company and operation of the Board and providing feedback of such meetings to the Chairman - Appraising the Chairperson's performance



Key responsibilities of the Board	Role of Chairman	Role of the Managing Director	Role of the Senior Independent Director
- Establishing and overseeing systems of internal control and risk management to ensure that the Company has effective risk management systems in place to identify, assess and mitigate risks - Ensuring that business operations are conducted with adherence to environmental, social and governance (ESG) considerations - Building and improving stakeholder relationships - Reviewing and approving major investments, acquisitions, disposals and capital expenditure subject to legal requirements whilst considering their impacts on society and the environment		- Monitoring and reporting to the Board on the performance of the Company and its compliance with applicable laws and Corporate Governance principles - Establishing an organisational structure for the Company which is appropriate for the execution of strategy - Ensuring a culture that is based on the Company's values - Ensuring that the Company operates within the approved risk appetite	

SEGREGATION OF DUTIES

The Board has taken further steps to balance decision making power, authority and accountability by separating the roles of Chairperson and Managing Director.

Pursuant to the appointment of Ms. D.S.T. Jayawardena as the Executive Chairperson of the Company, Mr. M.R. Mihular was appointed as the Senior Independent Director in compliance with Rule 9.6.3 (a).



BOARD SUBCOMMITTEES

The following committees of the Board have been appointed to assist the Board in discharge of their collective duties. Through the sub-committees, the Board is able to deal effectively with complex or specialised issues with strong governance.

Current Composition	Area of Oversight
Nominations and Governance Committee	
Mr. P. Englisch – Chairman Dr. R.A. Fernando Mr. J.M.S.Brito Independent Non-Executive Director Non-Executive Director	- Evaluate and recommend the appointment/re-appointment/election/re-election of Directors to the Board - Evaluate and recommend suitable internal and external candidates to higher levels of management - Succession planning - Effectiveness of the Board and its Sub-Committees
Report of the Nominations and Governance Committee is given on pages 162 to 163	
Remuneration Committee	
Mr. P. Englisch – Chairman Dr. R.A. Fernando Mr. J.M.S.Brito Independent Non-Executive Director Non-Executive Director	- Determine the remuneration policy of the Directors and the KMPs - Determine the overall individual remuneration packages which includes compensation on termination of employment - Evaluate the performance of the Managing Directors, Executive Directors as well as the individual and collective performance of Directors and Senior Management of the Strategic Business Units
Report of the Remuneration Committee is given on pages 160 to 161	
Audit and Risk Committee	
Mr. M.R. Mihular - Chairman Dr. R.A. Fernando Mr. P. Englisch Mr. R.N. Asirwatham Mr. J.M.S. Brito Independent Non-Executive Director Non-Executive Director	- Risk management and internal control - Financial reporting and financial control - Internal audit - External audit including assessing the independence of External Auditor - Compliance with legal and regulatory requirements
Report of the Audit and Risk Committee is given on pages 155 to 155	
Related Party Transactions Review Committee	
Mr. M.R. Mihular - Chairman Dr. R.A. Fernando Mr. P. Englisch Mr. R.N. Asirwatham Mr. J.M.S. Brito Independent Non-Executive Director Non-Executive Director	- Recommend appropriate actions for compliance in respect of proposed Related Party Transactions or post quarter confirmations as applicable - Annual Review of thresholds of transactions falling under the ambit of Rule 9.14.8 of the Listing Rules based on the available Audited Financial Statements - Set out criteria to determine Key Management Personnel External Auditor - Compliance with legal and regulatory requirements
Report of the Related Party Transactions Review Committee is given on pages 158 to 159	



GRI 2-10

BOARD MEETINGS & MINUTES

The Board of Directors convene Board Meetings where they may bring their diverse knowledge and experience to bear on various topics under discussion.

The Managing Director in consultation with the Chairperson sets the Board agenda with the assistance of the Company Secretaries. The Chairperson ensures that Directors have sufficient information on matters included in the agenda to facilitate effective participation of all Directors. Additionally, all Directors have access to the Managing Director and the Senior Management of the Company to clarify any matter and they are available for clarification of matters during the meeting. In an instance of a Director's non-attendance at the meetings, he/she is provided with briefing material for discussion with the Chairperson or the Managing Director on a later date, through formally documented minutes of meetings, by clarifying matters from the Company Secretaries or through separate discussions prior to the meeting regarding matters arising from the previous meeting.

Board papers (Board packs) are circulated one week prior to the meeting to allow adequate time for preparation of the same. Minutes of meetings are circulated within 10 days of the meeting to Board members and included in the subsequent Board pack. Company Secretaries maintain all past minutes and board papers and are accessible at the convenience of the Directors. Directors' concerns regarding matters which are not resolved unanimously (if any) are recorded in the minutes.

Table 1: Attendance at Meetings throughout the financial year 2024/2025

Board of Directors	Board Meetings			Total Meetings Attended
	05.09.2024	21.11.2024	28.03.2025	
Ms. D.S.T. Jayawardena - Chairperson	✓	✓	✓	3/3
Dr. M.P. Dissanayake - Managing Director	✓	✓	✓	3/3
Mr. J.M.S. Brito	✓	✓	✓	3/3
Mr. R.N. Asirwatham	✓	✓	✓	3/3
Mr. N.J. de S. Deva Aditya	✓	✓	✓	3/3
Mr. C.M.S. Jayawickrama	✓	✓	✓	3/3
Dr. R.A. Fernando	✓	✓	✓	3/3
Mr. M.R. Mihular (Appointed w.e.f 02nd December 2024)	N/A	N/A	✓	1/1
Mr. P. Englisch (Appointed w.e.f 30th December 2024)	N/A	N/A	✓	1/1
Mr. C.H. Gomez (Resigned w.e.f. 30th December 2024 and appointed on 01st April 2025)	✓	✓	N/A	2/2
Deshamanya D.H.S. Jayawardena (Demised on 03rd February 2025)	Ex	✓	N/A	1/2
Mr. M.A.N.S. Perera (Resigned w.e.f. 25th November 2024)	✓	✓	N/A	2/2

APPOINTMENT, RE-ELECTION AND ELECTION OF DIRECTORS

The Nomination and Governance Committee supports the Board in evaluating the structure and composition of the Board of Aitken Spence Hotel Holdings PLC and provides recommendations regarding all Board appointments. Based on these recommendations, the Board identifies and proposes suitable candidates for appointment or re-election by shareholders at the Annual General Meeting. The Committee carefully evaluates the suitability and integrity of Directors both during the appointment process and in the annual review of their ongoing directorships.

The Company received annual declarations from all Directors, confirming their continued compliance with the Fit and Proper Assessment Criteria set out in the Listing Rules of the Colombo Stock Exchange. Accordingly, no Director was found to have failed to meet the required standards during the year under review.

In accordance with the Listing Rules, all new Board appointments are promptly disclosed to the Colombo Stock Exchange (CSE) through official announcements. These disclosures include a summary of the appointee's expertise, key positions held,

shareholdings, directorships or committee memberships in other companies and their independence status.

Director resignations must be submitted in writing and once accepted by the Board, are immediately communicated to the CSE along with any shareholding the resigning Director holds within the Group.



DIRECTOR INDUCTION & TRAINING

On appointment, Directors are taken through a formal and tailored induction programme coordinated by the Managing Director, where they are apprised of the Group values and culture, its operating model, Group policies, governance framework and processes, Group Code of Ethics and Professional Conduct and operational strategies of the Group. Directors are availed the opportunity to have one-on-one meetings with the management of each subsidiary, visit sites/factories/hotels where appropriate.

Presentations are made to the Board on new developments in corporate governance and the operating environment. In addition, Board members are encouraged to participate in seminars/webinars conducted by professional institutions to enhance their knowledge which would aid and assist the Directors in discharging their duties in a more effective and efficient manner. Directors undertake training and professional development as they consider necessary, in their personal capacity. Other training and continuous professional development undertaken includes attending seminars/ workshops/conferences and reading regulatory updates etc.

Director Disclosures in terms of Rule 9.10.4(e) of the Listing Rules on Corporate Governance Issued by the CSE

Ms. D.S.T. Jayawardena Executive Chairperson Aitken Spence PLC Browns Beach Hotels PLC Deputy Chairperson Lanka Milk Foods (CWE) PLC Lanka Dairies Limited Ambewela Products (Private) Limited Ambewela Livestock Company Limited Pattipola Livestock Company Limited United Dairies Lanka (Private) Limited Non-Executive Director Melstacorp PLC Distilleries Company of Sri Lanka PLC Director Stassen Exports (Pvt) Ltd Stassen Natural Foods (Pvt) Ltd Stassen International (Pvt) Ltd Stassen Foods (Pvt) Ltd Milford Exports (Ceylon) (Pvt) Ltd CBD Exports (Pvt) Ltd Ceylon Garden Coir (Pvt) Ltd	Dr. M.P. Dissanayake Chairman Elpitiya Plantations PLC Aitken Spence Plantation Managements PLC Deputy Chairman/Managing Director Aitken Spence PLC Executive Director Browns Beach Hotels PLC Member Colombo Ports City Economic Commission	Mr. J.M.S. Brito Non-Executive Director Aitken Spence PLC Browns Beach Hotels PLC
Mr. C.M.S. Jayawickrama He holds directorships in companies within the Group.	Mr. N.J. de S. Deva Aditya Non-Executive Director Aitken Spence PLC Melstacorp PLC Browns Beach Hotels PLC Distilleries Company of Sri Lanka PLC The Kingsbury PLC Director Commonwealth Union Holdings Ltd.	Mr. R.N. Asirwatham Non-Executive Director Aitken Spence PLC Browns Beach Hotels PLC Dilmah Ceylon Tea Company PLC Director Renuka Hotels (Pvt) Ltd Mercantile Merchant Bank Ltd Yaal Hotels (Pvt) Ltd



Dr. R.A. Fernando

Non-Executive Director

- Aitken Spence PLC
- Browns Beach Hotels PLC
- Elpitiya Plantations PLC
- Melstacorp PLC
- Distilleries Company of Sri Lanka PLC
- Balangoda Plantations PLC
- Madulsima Plantations PLC
- Dilmah Ceylon Tea Company PLC

Honorary Independent Director

- Ceylon Graphene Technologies Ltd
- Ceylon Asset Management Ltd
- Global Strategic Corporate

Mr. M. R. Mihular

Chairman

- Watawala Plantations PLC
- Bairaha Farms PLC

Independent Non-Executive Director

- Aitken Spence PLC
- Browns Beach Hotels PLC
- Melstacorp PLC
- Balangoda Plantations PLC
- Madulsima Plantations PLC
- Sunshine Holdings PLC

Director

- Sunshine Teas (Pvt) Ltd
- Lonach Dairy (Pvt) Ltd
- Agility Innovation (Pvt) Ltd
- DAMRO Holdings Ltd
- LTL Holdings Ltd

Mr. P. Englisch

Non-Executive Director

- Aitken Spence PLC
- Browns Beach Hotels PLC
- Milsped, Belgrade
- Stockmeier Holding SE

Mr. C.H.Gomez

Non-Executive Director

- Aitken Spence PLC

Director

Brinsa Projects & Technical Resources Limited CR 1000 Limited

- F A C Subnom (No.1) Limited
- F A C Subnom (No.2) Limited
- Form A Co (Gibraltar) Limited
- Form A Trust (Gibraltar) Limited
- J C L Marine Consultants Limited
- The West Wing Limited

COMPANY SECRETARIES

Role of Company Secretaries

Ensuring the conduct of Board and General Meetings are in accordance with the Articles of Association and relevant legislation

Maintaining statutory registers and the minutes of Board Meetings, General Meetings and of the Sub-Committee Meetings

Prompt communication to regulators and shareholders

Filing statutory returns and facilitating access to legal advice in consultation with the Board, where necessary

Advising and assisting the Directors with respect to their duties and responsibilities in particular compliance with company law and other relevant legislations and regulations including but not limited to SEC and CSE.

All Directors have access to the advice and services of the Secretaries as necessary. The Secretaries maintain minutes of Board meetings, which are open for inspection by any Director. Appointment and removal of the Company Secretaries is a matter for the Board as a whole.



CORPORATE GOVERNANCE FRAMEWORK

Mandatory Compliance	Voluntary Compliance	Internal Framework
- Companies Act No. 7 of 2007 and the amendments thereto - Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995 (SLFRs/ LKASs) - Listing Rules of the CSE - Securities and Exchange Commission of Sri Lanka Act No. 19 of 2021 and the amendments thereto - Inland Revenue Act No. 24 of 2017 and the amendments thereto - Foreign Exchange Act No. 12 of 2017 and the amendments thereto - The Anti-Money Laundering Laws and Regulations and Financial Transaction Reporting Act No. 6 of 2006 and the amendments thereto - Industrial laws - Personal Data Protection Act. No. 9 of 2022 - Anti-Corruption Act, No. 9 of 2023 - Online Safety Act No.9 of 2024	- Code of Best Practice on Corporate Governance 2023, issued by the Institute of Chartered Accountants - Codes of regulatory authorities, professional institutions and Trade Associations - United Nations Global Compact (UNGC) - Global Reporting Initiative's (GRI) Universal Standards 2021 - Integrated Reporting Framework - Women's Empowerment Principles - Social and Environmental Certification Requirements - UN Guiding Principles on Business and - Human Rights	- Articles of Association - Group Code of Ethics and Professional Conduct - Terms of Reference of Subcommittees - Policy on Whistleblowing - Policy on Anti-Bribery and Corruption - Policy on Environmental, Social and Governance Sustainability - Policy on the matters relating to the Board of Directors. - Policy on Board Committees. - Policy on Corporate Governance, Nominations and Re-election. - Policy on Remuneration. - Policy on Internal Code of Business conduct and Ethics for all Directors and employees, including policies on trading in listed securities. - Policy in Risk Management and internal controls. - Policy on Relations with Shareholders and Investors. - Policy on Control and Management of Company Assets and Shareholder Investments. - Policy on Corporate Disclosures



The Compliance levels with the Code of Best Practice on Corporate Governance 2023, issued by the Institute of Chartered Accountants of Sri Lanka are available on Company's website at <https://www.aitkenspencehotels.com/about-us/investor-relations/corporate-governance.html?remove> and forms a part of this Corporate Governance Report.



GRI 2-15

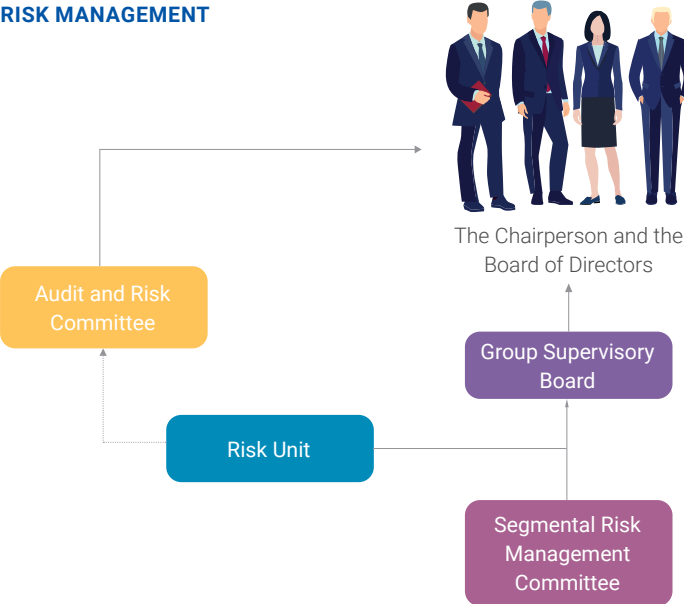
IDENTIFYING & MANAGING CONFLICTS

The Group has processes in place to identify and manage conflicts of interest which are listed below:

Directors' interest in transactions	Directors' interests in shares	Annual declarations on Independence	Disclosure of Interest in Related Party Transactions	Related Party Transactions Review Committee
All the Directors of the Company and its Subsidiaries are required to make the general disclosures annually as provided for in section 192(2) of the Companies Act. Note 45 to the Financial Statements dealing with related party disclosures includes details of their interests in transactions.	Directors of the Company and its subsidiaries who have relevant interests in the shares of the respective companies have disclosed their shareholdings and any acquisitions/disposals to their Boards, in compliance with section 200 of the Companies Act. Further, the relevant interests of each Director in the securities of the Company and any acquisition/disposals of same have been notified to the CSE in accordance with Rule 7.8 of the Listing Rules and, accordingly, the relevant entries have been made in the Company's Interests Register which has been maintained as required by the Companies Act.	In compliance with the principles of corporate governance stipulated the Listing Rules of the CSE and in line with Schedule C of the Code of Best Practice on Corporate Governance, 2023, Independent Directors submit signed declarations annually confirming their independence or non-independence against the specified criteria given under Rule 9.8.3 of the Listing Rules of the CSE.	Declarations from Key Management Personnel of Aitken Spence (Board of Directors of the Company, Directors, Vice Presidents and Assistant Vice Presidents of subsidiary companies) and from the Group companies are obtained quarterly for the purpose of identifying proposed Related Party Transactions and post quarter confirmations of Related Party Transactions and to determine Related Party Transactions which ensures the compliance with the disclosure requirements of the Listing Rules of the CSE.	The Board has set up a Related Party Transactions Review Committee, comprising three Independent Non-Executive Directors and two Non-Independent Non-Executive Directors. The Committee meets every quarter to review related party transactions in line with the CSE's Continuing Listing Requirements. Annual Disclosure of Material Business Relationships As required by Rule 9.10.4(c) of the CSE Listing Rules, all Directors submitted declarations to identify any significant business relationships they or their close family members may have with other Directors of the Company.



RISK MANAGEMENT



The Board is responsible for establishing a system to identify, assess, and manage the Group's key risks, and for defining its risk appetite in line with strategic goals.

The Group implemented a centralised risk management process using a Segment-Wise Risk Register, which is updated on a quarterly basis by the business segments to enable the preparation of a merging Segment-Wise Risk Register for the Group. This was further strengthened with training and obtaining additional information to support the Group's journey in adopting the IFRS Sustainability Standards. This further ensures that business segments have a holistic approach in identifying and assessing risks from a continuously updated risk universe. A common taxonomy and classification is followed facilitating consolidation.

In addition, specialised central functions such as HR and IT evaluate risks specific to their areas, ensuring that risks related to subsidiaries are also considered through regular engagement with Business Segment heads. The Group Internal Audit- Risk Unit division reviews the risk management processes and moderates the same prior to reporting on Group risks to the Board.

(For more details, please refer Risk Management on pages 56 to 61 of this Annual Report).

INTERNAL CONTROLS, ACCOUNTABILITY AND AUDIT

Standard Operating Procedures (SOPs) prepared by subsidiary companies within the Group undergo review by Internal Audit, with all Group employees required to adhere to these SOPs. Any deviations are reported and appropriate remedial action is agreed upon with management. Serious deviations undergo further investigation and root cause analysis, with disciplinary action initiated as necessary. Internal Audit Reports, encompassing audit findings, risk ratings and management explanations are reviewed by the Audit and Risk Committee, which recommends further action to strengthen controls as needed.

The Audit and Risk Committee assists the Board in fulfilling its responsibilities regarding financial reporting and audit oversight. The Committee reviews performance, internal audit reports and risk management reports regularly. Additionally, it assesses the adequacy of internal controls.

(Further details are provided in the Audit and Risk Committee Report on page 155)

BOARD PERFORMANCE EVALUATION

Performance of the Managing Director and other Executive Directors are assessed at the end of each financial year against

financial and non-financial objectives set out in consultation with the Board at the commencement of every financial year. The evaluation is carried out by the Chairman, against the backdrop of the operating environment. Remuneration is revised based on performance. Areas identified for improvement are communicated to the respective Director, including training needs and skills and knowledge gaps.

DIRECTOR'S REMUNERATION

The Remuneration Committee is responsible for making recommendations to the Board regarding the remuneration of the Executive Directors and Key Management Personnel (KMPs). The compensation for Directors and KMPs is aligned with objectives for sustainable value creation that are consistent with the Group's strategy. It is determined based on well-defined performance goals that are appropriately challenging and benchmarked against the industry standards. For further information, please refer Remuneration Committee Report on pages 160 and 161 of this Annual Report.

The Board as a whole determines the remuneration of the Non-Executive Directors (NED's). NEDs are remunerated based on their attendance at Board and/or Committee meetings. Remuneration for NEDs reflects the time commitment and responsibilities of their role, taking into consideration market practices. They do not receive any performance related incentive payments. Professional advice is sought by the Board and Remuneration Committee in discharging their responsibilities.

EMPLOYEE REMUNERATION

Aitken Spence's remuneration policy is designed to incentivise employees in creating long-term value for the Group and aligning their interests with the Group's strategic direction. This policy ensures effective utilisation of Group resources and a continued focus on sustainability, growth and long-term value. The Group has established policies to ensure that remuneration and benefits are fair, transparent, competitive and cost-effective while also aligning with the Group's business goals. The implementation of this policy is overseen by the Group Chief Human Resource Officer.



[GRI 205-1](#) [GRI 205-2](#) [GRI 205-3](#) [GRI 206-1](#)

A total reward philosophy is maintained within the Group, encompassing both monetary and non-monetary rewards. In order to position the group as an employer of choice, new rewards have been introduced to provide staff with a unique value proposition

(For more details, please refer Human Capital on pages 89 to 100 of this Annual Report)

SHAREHOLDER COMMUNICATIONS

Shareholder Communications are managed by the Company Secretarial Division. The Annual General Meeting (AGM) is the main platform which provides a forum for all shareholders to directly communicate with the Board of the Company and participate in the decision-making process reserved for the shareholders as defined in the Articles of Association and the Companies Act No.07 of 2007. Shareholders also have the opportunity to ask questions, comment or make suggestions to the Board through the Company Secretaries. All significant issues and concerns of shareholders are referred to the Board with the views of the Management. Shareholder queries are responded to by the Company Secretaries for an on behalf of the Management. Opportunity is also provided to address the Board directly at AGMs.

The Board approves the quarterly Financial Statements for dissemination to shareholders through the CSE in a timely manner. All other price-sensitive information such as major acquisitions or disposals and share transaction dealings are notified promptly to the CSE.

Engagement Mechanism	Frequency of Engagement					
	Annually	Quarterly	Periodically	Regularly	24 Hours 7 days	As and when Required
General meetings	✓					
Annual Report	✓					
Interim Financial Statements		✓				
Disclosures and announcements to the CSE			✓			✓
Corporate website					✓	
General correspondence				✓		
CSR projects				✓		

ANTI-BRIBERY & CORRUPTION APPROACH

The Group's Code of Ethics and Professional Conduct prohibits offering or accepting gifts in exchange for favourable business treatment. Any violations related to bribery and corruption are thoroughly investigated and appropriate action is taken to serve as a deterrent to same. Complaints regarding non-compliance are forwarded to the Internal Audit division for review and these findings are presented to the Audit and Risk Committee, which determines and recommends the necessary action to be taken.

Controlled persons found in violation face disciplinary measures, while non-controlled persons are subject to action as advised by the Audit and Risk Committee.

At Aitken Spence Hotels, all operations are regularly assessed for risks related to corruption as part of our enterprise risk management framework. Anti-corruption policies and procedures are clearly communicated to employees through onboarding sessions and ongoing training, with key personnel receiving targeted guidance based on their roles. In the reporting period, there were no confirmed incidents of corruption. We remain committed to maintaining a culture of transparency and integrity, and any alleged misconduct is thoroughly investigated, with appropriate disciplinary or legal action taken where necessary.



INTERNET OF THINGS AND CYBERSECURITY

The Group's ongoing commitment to strengthening IT and cybersecurity governance is essential in maintaining trust with our stakeholders, ensuring operational continuity and protecting our reputation. As we move forward, we remain dedicated to creating a secure digital environment that supports innovation and growth while safeguarding the interests of our customers, employees and partners.

Strengthening IT and Cybersecurity Governance at the Aitken Spence Group	In today's increasingly digital landscape, robust IT and cybersecurity governance are paramount for safeguarding organisational integrity and fostering stakeholder confidence. The Group recognises the significance of addressing these challenges head-on and has implemented comprehensive strategies to enhance our governance framework.
Governance Framework Enhancement	To fortify the Group's IT and cybersecurity governance, a dedicated governance committee comprising cross-functional leaders has been established. This committee is tasked with setting clear policies, standards and procedures that align with industry best practices and regulatory requirements. Regular audits and assessments are conducted to ensure compliance and identify areas for improvement, thus enabling us to adapt to the evolving threat landscape.
Risk Management Strategies	The Aitken Spence Group adopts a proactive risk management approach, prioritising the identification and mitigation of potential cybersecurity threats. We have integrated risk assessments into our project planning processes, ensuring that cybersecurity considerations are embedded from the outset. By employing advanced risk analysis tools and frameworks, we effectively evaluate vulnerabilities and develop tailored strategies to safeguard our digital assets.
Employee Training and Awareness	Recognising that human behaviour is often the weakest link in cybersecurity, we have initiated comprehensive training programs aimed at enhancing employee awareness and responsiveness to cyber threats. Regular workshops, simulations and communications ensure that our staff remain informed about the latest security protocols, phishing schemes, and best practices. This commitment to fostering a culture of security awareness significantly strengthens our overall defenses.
Investment in Advanced Technologies	The Aitken Spence Group is committed to leveraging cutting-edge technology to bolster our cybersecurity initiatives. We have invested in sophisticated security information and event management (SIEM) systems, intrusion detection systems (IDS) and endpoint protection solutions. These technologies not only enhance our ability to detect and respond to threats in real time but also improve our overall incident response capabilities.
Continuous Improvement and Adaptation	In alignment with our strategic objectives, we are dedicated to continuously reviewing and refining our IT and cybersecurity governance processes. This includes staying abreast of the latest industry trends, regulatory changes and threat intelligence. By fostering a culture of continuous improvement, the Aitken Spence Group aims to not only protect our information assets but also to enhance our resilience against future challenges.

ENVIRONMENT, SOCIETY AND GOVERNANCE REPORTING (ESG REPORTING)

The Board places significant emphasis on sustainable development ensuring that the Company creates value, both for the organisation and its key stakeholders. The Board satisfies itself that Environmental, Social and Governance (ESG) metrics are incorporated into the business model and the creation of value as disclosed in the following sections of the Annual Report.

Table 2: Environmental, Social and Governance Reporting

ESG Factors	Reference
Environmental factors	Natural Capital - pages 115 to 123 of this Annual Report
Social factors	Human Capital - pages 89 to 100 of this Annual Report Social & Relationship Capital - pages 107 to 114 of this Annual Report
Governance	Financial Capital - pages 75 to 79 of this Annual Report Corporate Governance Report - pages 125 to 153 of this Annual Report



CORPORATE GOVERNANCE COMPLIANCE

Compliance with the Companies Act No. 7 of 2007

Section	Requirement	Disclosure Reference for Compliance	Compliance Status
168 (1)(a)	Any change during the accounting period in the nature of business of the Company or any of its subsidiaries and the classes of business in which the Company has an interest	Refer Annual Report of the Board of Directors of this Annual Report	Compliant
168 (1) (b)	Financial Statements of the Company and the Group for the accounting period completed and signed	Refer Financial Statements and Annual Report of the Board of Directors of this Annual Report	Compliant
168 (1) (c)	Auditors Report on Financial Statements of the Company and the Group	Refer Financial Statements of this Annual Report	Compliant
168 (1) (d)	Change of accounting policies during the accounting period	Refer Annual Report of the Board of Directors of this Annual Report	Compliant
168 (1) (e)	Particulars of entries in the interest register made during the accounting period	Refer Annual Report of the Board of Directors of this Annual Report	Compliant
168 (1) (f)	Remuneration and other benefits paid to the Directors during the accounting period	Refer Annual Report of the Board of Directors of this Annual Report	Compliant
168 (1) (g)	Total amount of donations made by the Company and the Group during the accounting period	Refer Annual Report of the Board of Directors of this Annual Report	Compliant
168 (1) (h)	Directorate of the Company and the Group as at the end of accounting period along with the changes occurred during the accounting period	Refer Annual Report of the Board of Directors of this Annual Report	Compliant
168 (1) (i)	Amounts payable to the Auditors as audit fees and fees payable for other related services provided by them	Refer Annual Report of the Board of Directors of this Annual Report	Compliant
168 (1) (j)	Relationship or interest of the Auditors with the Company or any of its subsidiaries	Refer Annual Report of the Board of Directors of this Annual Report	Compliant
168 (1) (k)	Annual Report of the Board of Directors signed on behalf of the Board	Refer Annual Report of the Board of Directors of this Annual Report	Compliant



Compliance with the Continuing Listing Requirements - Section 7.6 on the Content of Annual Report Issued by the Colombo Stock Exchange

CSE Rule	Requirement	Disclosure Reference for Compliance	Compliance Status
7.6 i)	Names of Directors of the entity	Refer Corporate Information of this Annual Report	Compliant
7.6 ii)	Principal activities of the entity and its subsidiaries during the year under review	Refer Annual Report of the Board of Directors and the Group Directorate of this Annual Report	Compliant
7.6 iii)	20 largest holders of voting and non-voting shares and the percentage of shares	Refer Investor Information of this Annual Report	Compliant
7.6 iv)	The float adjusted market capitalisation, Public Holding percentage (%), number of public shareholders and under which option the Listed Entity complies with the Minimum Public Holding requirement	Refer Investor Information of this Annual Report	Compliant
7.6 v)	Directors and CEO's holding in shares of the entity at the beginning and end of reporting year	Refer Investor Information of this Annual Report	Compliant
7.6 vi)	Information pertaining to material foreseeable risk factors	Refer Risk Management of this Annual Report	Compliant
7.6 vii)	Details of material issues pertaining to employees and industrial relations	Refer Human Capital of this Annual Report	Compliant
7.6 viii)	Extents, locations, valuations and the number of buildings of the entity's land holdings and investment properties	Refer Note 16.3 to the Financial Statements of this Annual Report	Compliant
7.6 ix)	Number of shares representing the stated capital	Refer Investor Information of this Annual Report	Compliant
7.6 x)	Distribution schedule of the number of holders and the percentage of their total holding	Refer Investor Information of this Annual Report	Compliant
7.6 xi)	Ratios and market price information	Refer Investor Information of this Annual Report	Compliant
7.6 xii)	Significant changes in the entity's or its subsidiaries fixed assets and the market value of land	Refer Note 16 to the Financial Statements of this Annual Report	Compliant
7.6 xiii)	Funds, (if any) raised either through a public issue, rights issue and private placement	The Company had no public issue, rights issue or private placement during the year under review	N/A
7.6 xiv)	Employee share option/purchase schemes	As at date, the Company has no share option/purchase schemes made available to its Directors or employees	N/A
7.6 xv)	Corporate Governance Disclosures	Refer Corporate Governance Report of this Annual Report	Compliant
7.6 xvi)	Related Party Transactions	Refer Note 45 to the Financial Statements and the declaration of the Board of Directors embodied in the Annual Report of the Board of Directors of this Annual Report	Compliant



GRI 2-23 GRI 2-24

Compliance with Section 9 of the Listing Rules Issued by the Colombo Stock Exchange

Rule Ref.	Disclosure Requirement	Compliance Status	How We Comply
9.1	Corporate Governance Rules		
9.1.1	Statement confirming the extent of compliance with the Corporate Governance Rules	Complied	The extent of compliance with Section 9 of the Listing Rules of the Colombo Stock exchange on Corporate Governance Rules is tabulated in the table given below
9.1.3			Also refer 'Chairperson's Statement on Governance' in the Corporate Governance Report of this Annual Report
9.2	Policies		
9.2.1	Listed Company shall establish and maintain the following policies and disclose the fact of existence of such policies together with the details relating to the implementation of such policies by the Company on its website; a) Policy on the matters relating to the Board of Directors b) Policy on Board Committees c) Policy on Corporate Governance, Nominations and Re-election d) Policy on Remuneration e) Policy on Internal Code of Business conduct and Ethics for all Directors and employees, including policies on trading in the Entity's listed securities f) Policy on Risk management and Internal controls g) Policy on Relations with Shareholders and Investors h) Policy on Environmental, Social and Governance Sustainability i) Policy on Control and Management of Company Assets and Shareholder Investments j) Policy on Corporate Disclosures k) Policy on Whistleblowing l) Policy on Anti-Bribery and Corruption	Complied	The Company has formulated the policies referred to in a, b, c, d, e, f, g, h, i, j, k and l and the said policies are periodically reviewed by the Board.
9.2.2	Any waivers from compliance with the Internal Code of business conduct and ethics or exemptions granted	N/A	N/A
9.2.3	i. List of policies in place as per Rule 9.2.1, with reference to website ii. Any changes to policies adopted	Complied	Refer 'How We Comply' under Rule 9.2.1 above



Rule Ref.	Disclosure Requirement	Compliance Status	How We Comply
9.2.4	Listed Company shall make available all such policies to shareholders upon a written request being made for any such Policy	Complied	Refer 'How We Comply' under Rule 9.2.1 above
9.3	Board Committees		
9.3.1	Listed Company shall ensure that the following Board committees are established and maintained at a minimum and are functioning effectively. The said Board committees at minimum shall include: a) Nominations and Governance Committee b) Remuneration Committee c) Audit Committee d) Related Party Transactions Review Committee	Complied	The Company has in place a Nominations and Governance Committee, Remuneration Committee, Audit and Risk Committee and a Related Party Transactions Review Committee.
9.3.2	Listed Company shall comply with the composition, responsibilities and disclosures required in respect of the above Board committees as set out in these Rules	Complied	Refer 'How We Company' under Rules 9.11, 9.12, 9.13 and 9.14 below
9.3.3	The Chairperson of the Board of Directors of the Company shall not be the Chairperson of the Board Committees referred to in Rule 9.3.1 above	Complied	The Chairperson of the Board does not serve as the Chairman of any Board Subcommittees.
9.4	Principles of democracy in shareholder dealings		
9.4.1	Listed Company shall maintain records of all resolutions and the following information upon a resolution being considered at any General Meeting of the Company. The Company shall provide copies of the same at the request of the Exchange and/or the Securities and Exchange Commission (SEC). a) The number of shares in respect of which proxy appointments have been validly made; b) The number of votes in favour of the resolution; c) The number of votes against the resolution; and d) The number of shares in respect of which the vote was directed to be abstained	Complied	The Company Secretaries maintain records of all resolutions of General Meetings and information related thereto.
9.4.2	Listed Company should have a policy on effective communication and relations with shareholders and investors Listed Company should disclose the contact person for such communication The policy on relations with shareholders and investors on the process to make all Directors aware of major issues and concerns of shareholders	Complied	Refer 'How We Comply' under Rule 9.2.1 above
9.5.1	Listed Company shall establish and maintain a formal policy governing matters relating to the Board of Directors and such policy shall include the matters listed under this Rule	Complied	Refer 'How We Comply' under Rule 9.2.1 above



Rule Ref.	Disclosure Requirement	Compliance Status	How We Comply
9.5.2	Confirmation on compliance with the requirements of the Policy on matters relating to the Board of Directors. If non-compliant reasons for the same with proposed remedial action	Complied	Refer 'How We Comply' under Rule 9.2.1 above
9.6	Chairperson and CEO		
9.6.1	The Chairperson of every Listed Company shall be a Non-Executive Director and the positions of the Chairperson and CEO shall not be held by the same individual, unless otherwise a SID is appointed by such Entity in terms of Rule 9.6.3 below	Complied	Since the Chairperson is an Executive Director, a Senior Independent Director has been appointed in compliance with Rule 9.6.3.
9.6.2	Where the Chairperson of a Listed Company is an Executive Director and/or the positions of the Chairperson and CEO are held by the same individual, such Entity shall make a Market Announcement within a period of one (1) month from the date of implementation of these Rules or an Immediate Market Announcement if such date of appointment and/or combination of the said roles falls subsequent to the implementation of these Rules	N/A	N/A
9.6.3	Report of Senior Independent Director demonstrating the effectiveness of duties	Complied	Refer Report of the Senior Independent Director.
9.6.4	Rationale for appointing Senior Independent Director	Complied	Mr. M R Mihular was appointed as the Senior Independent Director of the Board with effect from 06th February 2025 since the Chairman is an Executive Director.
9.7	Fitness of Directors and CEOs		
9.7.1	Listed Company shall take necessary steps to ensure that their Directors and the CEO are, at all times, fit and proper persons as required in terms of the Listing Rules In evaluating fitness and propriety of the persons referred in these Rules, the Company shall utilise the 'Fit and Proper Assessment Criteria' set out in Rule 9.7.3 of the Listing Rules	Complied	The Company Secretaries obtain annual declarations from the Directors of the Company to ensure that they are at all times fit and proper persons as specified in the criteria given in Rule 9.7.3 of the Listing Rules of the CSE.
9.7.2	Listed Company shall ensure that persons recommended by the Nominations and Governance Committee as Directors are fit and proper as required in terms of these Rules before such nominations are placed before the shareholders' meeting or appointments are made	Complied	Declarations obtained from the Directors in terms of Rule 9.7.4 are presented to the Nominations and Governance Committee for determination prior to recommending the Director for appointment/ re-election.
9.7.3	A Director or the CEO of a Listed Company shall not be considered as 'fit and proper' if she or he does not meet with the fit and proper assessment criteria specified under "Honesty, Integrity and Reputation", "Competence and Capability" and "Financial Soundness" as set out in Rule 9.7.3 (a), (b) and (c) respectively	Complied	Refer 'How We Comply' under Rule 9.7.1 above



Rule Ref.	Disclosure Requirement	Compliance Status	How We Comply
9.7.4	Listed Company shall obtain declarations from its Directors and CEO on an annual basis confirming that each of them have continuously satisfied the Fit and Proper Assessment Criteria set out in the Listing Rules during the financial year concerned and satisfies the said criteria as at the date of such confirmation	Complied	Annual declarations from Directors confirming that each of them has continuously satisfied the fit and proper assessment criteria set out in the CSE revised Listing Rules were obtained as at 31st March 2025.
9.7.5	a) Statement on Directors and CEO satisfying Fit and Proper Assessment Criteria b) Any non-compliance/s and remedial action taken	Complied	Refer the 'Annual Report of the Board of Directors' of this Annual Report N/A
9.8	Board Composition		
9.8.1	The Board of Directors of a Listed Company shall, at a minimum, consist of five (05) Directors	Complied	As of the date of the publication of this Annual Report, the Company consists of 10 Directors, thereby complying with the requirement stipulated under Rule 9.8.1 of the Listing Rules of the CSE.
9.8.2	Minimum Number of Independent Directors: a) The Board of Directors of a Listed Company shall include at least two (2) Independent Directors or such number equivalent to one third (1/3) of the total number of Directors of the Company at any given time, whichever is higher b) Any change occurring to this ratio shall be rectified within ninety (90) days from the date of the change	Complied	The Board consists of 3 Independent Directors as at the date of publication of this Annual Report.
9.8.3	A Director shall not be considered independent if he/she does not meet the criteria for determining independence as set out in Rule 9.8.3 of the Listing Rules	Complied	All the Independent Directors of the Company fulfil the criteria for determining independence under Section 9.8.3 of the Listing Rules.
9.8.5	a) Each Independent Director to submit a signed and dated declaration annually of his or her "independence" or "non-independence" against the criteria specified herein and in the format in Appendix 9A, containing at a minimum the content prescribed therein b) Make an annual determination as to the "independence" or "non-independence" of each Independent Director based on the Directors' declaration and other information available to it and shall set out the names of Directors determined to be 'independent' in the Annual Report c) If the Board of Directors determines that the independence of an Independent Director has been impaired against any of the criteria set out in Rule 9.8.3, it shall make an immediate Market Announcement thereof	Complied	The Independent Directors submit signed declarations annually with regard to their independence/non-independence against the specified criteria stipulated under Rule 9.8.3 of the Listing Rules of the CSE. Refer 'Independence of the Directors' in the Corporate Governance Report of this Annual Report.



Rule Ref.	Disclosure Requirement	Compliance Status	How We Comply
9.9	Alternate Directors		
9.9	If a Listed Company provides for the appointment of Alternate Directors, it shall be required to comply with the requirements set out in Rule 9.9 of the Listing Rules and such requirements shall also be incorporated into the Articles of Association of the Company	N/A	N/A However, the Articles of Association of the Company were amended to incorporate the requirements set out under Rule 9.9 of the Listing Rules
9.10	Disclosures Relating to Directors		
9.10.1	Listed Company shall disclose its policy on the maximum number of directorships its Board members shall be permitted to hold in the manner specified in Rule 9.5.1. In the event such number is exceeded by a Director(s), the Company shall provide an explanation for such non-compliance in the manner specified in Rule 9.5.2 of the Listing Rules	Complied	Refer "How We Comply" under Rule 9.2.1 above.
9.10.2	Listed Company shall, upon the appointment of a new Director to its Board, make an immediate Market Announcement setting out the following: i) brief resume of such Director; ii) his/her capacity of directorship; and, iii) Statement by the Company indicating whether such appointment has been reviewed by the Nominations and Governance Committee of the Company	Complied	Refer 'Appointment, Re-election and Resignation of Directors' in the Corporate Governance Report of this Annual Report.
9.10.3	Listed Company shall make an immediate Market Announcement regarding any changes to the composition of the Board Committees referred to in Rule 9.3 of the Listing Rules containing, at minimum, the details of changes including the capacity of directorship with the effective date thereof	Complied	Changes to the Board and Board Sub Committees are promptly notified to the Colombo Stock Exchange.



Rule Ref.	Disclosure Requirement	Compliance Status	How We Comply
9.10.4	Directors details a) name, qualifications and brief profile b) nature of his/her expertise in relevant functional areas c) whether either the Director or Close Family Members have any material business relationships with other Directors d) whether Executive, Non-Executive and/or independent Director e) total number and names of companies in Sri Lanka in which the Director concerned serves as a Director and/or KMP stating whether listed or unlisted, whether functions as executive or non-executive (If the directorships are within the Group names need not be disclosed) f) number of Board meetings attended g) names of Board Committees in which the Director serves as Chairperson or a member h) Attendance of board committee meetings i) Terms of Reference and powers of Senior Independent Directors	Complied	a), b) and d) - refer 'Board profiles' of this Annual Report c) - Based on the individual declarations obtained from the Directors, it was evident that none of the Directors or their close family members have material business relationships with other Directors of the Company. A Statement to this effect will be included in the 'Annual Report of the Board of Directors' of this Annual Report e), f), g) and h) - refer the Corporate Governance Report of this Annual Report i) – Refer report of the Senior Independent Director.
9.11	Nominations and Governance Committee		
9.11.1	Listed Company shall have a Nominations and Governance Committee that conforms to the requirements set out in Rule 9.11 of the Listing Rules	Complied	The Company has a Nominations and Governance Committee that conforms with the requirements set out in Section 9.11.
9.11.2	Listed Company shall establish and maintain a formal procedure for the appointment of new Directors and re-election of Directors to the Board through the Nominations and Governance Committee	Complied	Refer "How We Comply" under Rule 9.2.1 above.
9.11.3	The Nominations and Governance Committee shall have a written terms of reference clearly defining its scope, authority, duties and matters pertaining to the quorum of meetings	Complied	Refer "How We Comply" under Rule 9.2.1 above.



Rule Ref.	Disclosure Requirement	Compliance Status	How We Comply
9.11.4	1) The members of the Nominations and Governance Committee shall; a) comprise of a minimum of three (03) Directors of the Listed Company, out of which a minimum of two (02) members shall be Independent Directors of the Company b) not comprise of Executive Directors of the Listed Company. 2) An Independent Director shall be appointed as the Chairperson of the Nominations and Governance Committee by the Board of Directors 3) The Chairperson and the members of the Nominations and Governance Committee shall be identified in the Annual Report of the Listed Company	Complied	Refer 'Composition of the Committee' in the Nominations and Governance Committee Report.
9.11.5	The functions of the Nominations and Governance Committee	Complied	Refer 'Nomination and Governance Committee Report' of this Annual Report.



Rule Ref.	Disclosure Requirement	Compliance Status	How We Comply
9.11.6	The Annual Report of a Listed Company shall contain a report of the Nominations and Governance Committee signed by its Chairperson Nominations and Governance Committee Report shall include the following: a) Names of chairperson and members with nature of directorship b) Date of appointment to the committee c) Availability of documented policy and processes when nominating Directors d) Requirement of re-election at regular intervals, at least once in 3 years e) Board diversity f) Effective implementation of policies and processes relating to appointment and reappointment of Directors g) Details of directors re-appointed - Board Committees served - Date of first appointment - Date of last re-appointment - Directorships or Chairpersonships and other principal commitments, present and held over the preceding three years - Any relationships – close family member, more 10% shareholding h) Performance of periodic evaluation of board i) Process adopted to inform independent directors of major issues. j) Induction / orientation programs for new directors on corporate governance, Listing Rules, securities market regulations or negative statement k) Annual update for all directors on corporate governance, Listing Rules, securities market regulations or negative statement l) Compliance with independence criteria m) Statement on compliance with corporate governance rules, if non-compliant reasons and remedial actions	Complied	Refer 'Nomination and Governance Committee Report' of this Annual Report.



Rule Ref.	Disclosure Requirement	Compliance Status	How We Comply
9.12	Remuneration Committee		
9.12.2	Listed Company shall have a Remuneration Committee that conforms to the requirements set out in Rule 9.12 of the Listing Rules	Complied	Refer 'Remuneration Committee Report' of this Annual Report.
9.12.3	The Remuneration Committee shall establish and maintain a formal and transparent procedure for developing policy on Executive Directors' remuneration and for fixing the remuneration packages of individual Directors. No Director shall be involved in fixing his/her own remuneration	Complied	Refer 'Director Remuneration' in the Corporate Governance Report of this Annual Report and the 'Remuneration Committee Report' of this Annual Report.
9.12.4	Remuneration for Non-Executive Directors should be based on a policy which adopts the principle of non-discriminatory pay practices among them to ensure that their independence is not impaired	Complied	Refer 'How We Comply' under Rule 9.2.1 above.
9.12.5	Remuneration Committee shall have a written terms of reference clearly defining its scope, authority, duties and matters pertaining to the quorum of meetings	Complied	Refer 'Remuneration Committee Report' of this Annual Report.
9.12.6	1) The members of the Remuneration Committee shall; comprise of a minimum of three (03) Directors of the Listed Company, out of which a minimum of two (02) members shall be Independent Directors of the Company not comprise of Executive Directors of the Listed Company 3) An Independent Director shall be appointed as the Chairperson of the Remuneration Committee by the Board of Directors.	Complied	Refer 'Composition of the Committee' in the Remuneration Committee Report of this Annual Report.
9.12.7	The functions of the Remuneration Committee	Complied	Refer 'Remuneration Committee Report' of this Annual Report.
9.12.8	Remuneration Committee Report shall contain the following: a) Names of chairperson and members with nature of directorship a) Remuneration Policy a) The aggregate remuneration of the Executive and Non-Executive Directors	Complied	Refer 'Remuneration Committee Report' of this Annual Report. Refer Note 44 to the Financial Statements of this Annual Report.
9.13	Audit Committee		
9.13.1	Where Listed Company does not maintain separate Committees to perform the Audit and Risk Functions, the Audit Committee of such Company shall additionally perform the Risk Functions set out in Rule 9.13 of the Listing Rules	Complied	The Audit and Risk Committee of the Company also performs the risk functions.



Rule Ref.	Disclosure Requirement	Compliance Status	How We Comply
9.13.2	The Audit Committee shall have a written terms of reference clearly defining its scope, authority and duties	Complied	The Audit and Risk Committee has a written terms of reference clearly defining its scope, authority and duties.
9.13.3	1) The members of the Audit Committee shall; comprise of a minimum of three (03) directors of the Listed Company, out of which a minimum of two (02) or a majority of the members, whichever is higher, shall be Independent Directors. not comprise of Executive Directors of the Listed Company. 2) The quorum for a meeting of the Audit Committee shall require that the majority of those in attendance to be independent directors. (3) The Audit Committee may meet as often as required provided that the Audit Committee compulsorily meets on a quarterly basis prior to recommending the financials to be released to the market. 5) An Independent Director shall be appointed as the Chairperson of the Audit Committee by the Board of Directors. 6) Unless otherwise determined by the Audit Committee, the CEO and the Chief Financial Officer (CFO) of a Listed Company shall attend the Audit Committee meetings by invitation. 7) The Chairperson of the Audit Committee shall be a Member of a recognised professional accounting body	Complied	Refer 'Audit and Risk Committee Report' of this Annual Report.
9.13.4	The functions of the Audit Committee	Complied	Refer 'Audit and Risk Committee' of this Annual Report.
9.13.5	Disclosures in the Annual Report 1) Listed Company shall prepare an Audit Committee Report which shall be included in the Annual Report 2) The Audit Committee Report shall contain disclosures set out in Rule 9.13.5 (2)	Complied	Refer 'Audit and Risk Committee' of this Annual Report.
9.14	Related Party Transactions Review Committee		
9.14.1	Listed Company shall have a Related Party Transactions Review Committee that conforms to the requirements set out in Rule 9.14 of the Listing Rules.	Complied	The Company has a Related Party Transactions Review Committee that conforms with the requirements set out in Section 9.14.1.



Rule Ref.	Disclosure Requirement	Compliance Status	How We Comply
9.14.2	(1) The Related Party Transactions Review Committee shall comprise of a minimum of three (03) Directors of a Listed Company, out of which two (02) members shall be Independent Directors of the Company. It may also include executive directors, at the option of the Company. An Independent Director shall be appointed as the Chairperson of the Committee	Complied	Refer 'Related Part Transactions Review Committee Report' of this Annual Report.
9.14.3	The functions of the Related Party Transactions Review Committee	Complied	Refer 'Related Part Transactions Review Committee Report' of this Annual Report.
9.14.4	1) The Related Party Transactions Review Committee shall meet at least once a calendar quarter. It shall ensure that the minutes of all meetings are properly documented and communicated to the Board of Directors. 2) The members of the Related Party Transactions Review Committee should ensure that they have, or have access to, enough knowledge or expertise to assess all aspects of proposed Related Party Transactions and where necessary, should obtain appropriate professional and expert advice from an appropriately qualified person. 3) Where necessary, the Committee shall request the Board of Directors to approve the Related Party Transactions which are under review by the Committee. In such instances, the approval of the Board of Directors should be obtained prior to entering into the relevant Related Party Transaction. 4) If a Director of a Listed Company has a material personal interest in a matter being considered at a Board Meeting to approve a Related Party Transaction as required in Rule 9.14.4(3), such Director shall not: 1) be present while the matter is being considered at the meeting; and, 2) vote on the matter	Complied	Refer 'Related Part Transactions Review Committee Report' of this Annual Report.
9.14.5	Review of Related Party Transactions by the Related Party Transactions Review Committee	Complied	Refer 'Related Part Transactions Review Committee Report' of this Annual Report.
9.14.6	Listed Company shall obtain Shareholder approval for the Related Party Transactions set out in Rule 9.14.6 of the Listing Rules	N/A	There were no Related Party Transactions during the year which required shareholder approval. The Company would comply with this Rule should a need arise.



Rule Ref.	Disclosure Requirement	Compliance Status	How We Comply
9.14.7	Listed Company shall make an immediate Market Announcement to the Exchange for the Related Party Transactions as set out in Rule 9.14.7 (a) and (b)	N/A	There were no Related Party Transactions during the year which required an immediate Market Announcement. The Company would comply with this Rule should a need arise.
9.14.8 (1)	Related Party Disclosures Non-recurrent RPT exceeding 10% of the Equity or 5% of the Total Assets, whichever is lower (in the specified format)	Complied	Refer 'Related Party Transactions Review Committee Report' and the 'Annual Report of the Board of Directors' of this Annual Report.
9.14.8 (2)	Recurrent RPT exceeding 10% of the gross revenue/ income (in the specified format)	Complied	Refer 'Related Party Transactions Review Committee Report' and the 'Annual Report of the Board of Directors' of this Annual Report.
9.14.8 (3)	Related Party Transactions Review Committee Report - Names of the Directors comprising the Committee - Statement that the committee has reviewed RPTs and communicated comments/observations to the Board - Policies and procedures adopted by the Committee	Complied	Refer 'Related Part Transactions Review Committee Report' of this Annual Report.
9.14.8 (4)	Affirmative declaration by the Board of Directors on compliance with RPT Rules or negative statement to that effect	Complied	Refer 'Annual Report of the Board of Directors' of this Annual Report.
9.14.9	Acquisition and disposal of assets from/to Related Parties Except for transactions set out in Rule 9.14.10, Listed Company shall ensure that neither the Company nor any of its subsidiaries, acquires a substantial asset from, or disposes of a substantial asset to, any Related Party of the Company without obtaining the approval of the shareholders of the Company by way of a Special Resolution	N/A	The Company has not acquired or disposed of any assets from/to Related Parties. The Company would comply with this Rule should a need arise.



Rule Ref.	Disclosure Requirement	Compliance Status	How We Comply
9.17	Additional Disclosures		
9.17	Additional disclosures by Board of Directors Declaration on following - All material interests in contracts and have refrained from voting on matters in which they were materially interested - Reviewed of the internal controls covering financial, operational and compliance controls and risk management and obtained reasonable assurance of their effectiveness and successful adherence and, if unable to make any of these declarations, an explanation on why it is unable to do so; - Made themselves aware of applicable laws, rules and regulations and are aware of changes particularly to Listing Rules and applicable capital market provisions; - Disclosure of relevant areas of any material non-compliance with law or regulation and any fines, which are material, imposed by any government or regulatory authority in any jurisdiction where the Entity has operations	Complied	Refer 'Annual Report of the Board of Director' of this Annual Report.

REPORT OF THE SENIOR INDEPENDENT DIRECTOR



In compliance with Rule 9.6.3 of the Listing Rules of the Colombo Stock Exchange, the Board of Directors of the Company designated me as the Senior Independent Director (SID) of the Company with effect from 06th February 2025, following the appointment of Ms. D.S.T. Jayawardena as the Executive Chairperson of the Company.

The Board has a strong representation of Independent Directors that helps to maintain objectivity of the Board which is vital for sound corporate governance. The objective of the appointment of a Senior Independent Director is to ensure the greater independent element in proceedings of the Board and in all deliberations by the Board either at Board meetings or in resolutions circulated amongst the Board.

The SID provides guidance to the Chairperson on matters of governance of the Company and the role of the SID also provides emphasis to transparency on matters relating to governance and calls for a review of the effectiveness of the Board. The SID makes himself available to any Director or any employee to have confidential discussions on the affairs of the Company should the need arise.

The change in the office of Chairman, which necessitated my appointment as SID took place towards the tail end of the financial year due to which the meetings with the Non-Executive Directors without the presence of the Executive Directors could not be held before the end of the financial year. However, steps will be taken to ensure that such deliberations and meetings are held with the Non-Executive Directors, during the current financial year.

However, it should be noted that even though the Non-Executive Directors did not have separate meetings as envisaged by Rule 9.6.3 (b) I have witnessed that the Non-Executive Directors who form three fourths (3/4) majority of the Board of Directors have been effecting a positive influence on all deliberations and decision making.

M R Mihular

Senior Independent Director

12th June 2025
Colombo

AUDIT AND RISK COMMITTEE REPORT



ROLE OF THE AUDIT AND RISK COMMITTEE

The primary responsibility of the Audit and Risk Committee is to support the Board in independently overseeing the accuracy and integrity of financial statements, internal control systems, compliance with Group policies as well as legal and regulatory requirements, adherence to the risk management policy and make recommendations on the risk mitigation and the risk appetite to the Board.

COMPOSITION OF THE COMMITTEE

Composition from 01.10.2024 to 29.12.2024	Current Composition effective from 30.12.2024
The Audit Committee of the Parent company served as the Committee until 30th September 2024	
Mr. R.N. Asirwatham - <i>Chairman</i> Mr. J.M.S.Brito Mr. C.H.Gomez* Mr. N.J.de S. Deva Aditya*	Mr. M R Mihular – <i>Chairman*</i> Dr. R.A Fernando * Mr. P. Englisch * Mr. R.N Asirwatham Mr. J M S Brito
*Ceased to be Members of the Committee w.e.f 29.12.2024	* Appointed as Members of the Committee w.e.f 30.12.2024

Independent Non-Executive Director

Non-Executive Director

The Committee is composed of five Non-Executive Directors of whom three are Independent Non-Executive Directors. An Independent Non-Executive Director who is a fellow of the Institute of Chartered Accountants of Sri Lanka is appointed as the Chairman of the Committee.

The profiles of the members are given on pages 30 to 33 of this Report.

COMMITTEE MEETINGS

The Audit and Risk Committee functioned throughout the financial year and held ten meetings in semi virtual mode. Ms. D.S.T. Jayawardena, Chairperson, Dr. M.P. Dissanayake, Managing Director and Ms. N. Sivapragasam, Group Chief Financial Officer attended the meetings by invitation. Additionally, senior officers of the Group, as well as the partner from Messrs. KPMG, Chartered Accountants, responsible for the Group's external audit, attended the meetings when necessary. The attendance at the Audit and Risk Committee meetings during the year under review is as follows:

Audit and Risk Committee Members	Audit and Risk Committee Meetings										Total Meetings Attended
	21.05.2024	11.06.2024	27.06.2024	06.08.2024	04.09.2024	27.09.2024	08.11.2024	20.11.2024	19.12.2024	26.03.2025	
Mr. R.N. Asirwatham	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓	10/10
Mr. J.M.S. Brito	✓	✓	✓	✓	✓	Ab	✓	✓	✓	✓	9/10
Mr. C.H. Gomez	✓	Ex	✓	✓	✓	Ab	Ex	✓	✓	N/A	6/9
Mr. N.J. de S. Deva Aditya	✓	✓	✓	✓	✓	✓	Ex	✓	✓	N/A	8/9
Mr. M R Mihular						N/A				✓	1/1
Dr. R. A. Fernando						N/A				✓	1/1
Mr. P. Englisch						N/A				✓	1/1

Ex - Excused

N/A - Not Applicable (Meeting was held prior to the appointment or after the resignation)



KEY RESPONSIBILITIES OF THE COMMITTEE

- Assisting the Board in carrying out its overall independent oversight functions in relation to the accuracy and integrity of the financial statements, internal control systems and compliance with Group policies, legal and regulatory requirements with a view to safeguard the interests of shareholders and other stakeholders. The scope of functions and responsibilities are adequately outlined in the Terms of Reference of the Committee, which have been approved by the Board and are regularly reviewed and updated.
- Ensuring the effectiveness of the internal controls systems, financial reporting, risk management, compliance with laws and regulations, as well as the adequacy and effectiveness of the governance processes within the Group.
- Exercising its independent oversight on internal and external assurance functions and ensuring both internal and external auditor's independence, objectivity and the effectiveness of the audit process.
- Reviewing the internal audit reports and maintaining healthy relationships with the Group senior management to ensure that precautionary measures are taken to mitigate the risk that could arise due to reported control weaknesses, procedure violations, frauds and errors.
- Examining all matters relating to the Group's adopted accounting principles and policies and reviewing all material financial, operational and compliance controls.

ACTIVITIES DURING THE FINANCIAL YEAR 2024/2025

Risk Management and Internal Control

- Monitored the Group's risk management and internal control processes through detailed discussions with the Chief Internal Auditor, Executive Directors and Group Senior Management.
- Assisted the Board in evaluating the adequacy, robustness and effectiveness of the Group's management of risk, in terms of identifying, managing and

mitigating principal risks and emerging risks, in line with the risk management policy

- Ensured that the Group adheres to and complies with all relevant laws, rules and regulations of the country, international laws and codes of ethics and standards of conduct required by regulatory authorities, professional bodies and trade associations.

FINANCIAL REPORTING AND FINANCIAL CONTROL

- Reviewed the Group's quarterly and annual financial statements, focusing on the following aspects:
 - Adequacy of disclosures.
 - Uniformity and appropriateness of the accounting policies adopted.
 - Major judgemental areas to ensure compliance with the Companies Act No. 7 of 2007.
 - Adherence to applicable Sri Lanka Accounting Standards and other Accounting Standards of jurisdictions in which each subsidiary operates.
 - Compliance with the Listing Rules of the Colombo Stock Exchange.
 - Compliance with the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka.
 - Meeting requirements of other regulatory bodies applicable to the Group.
- Discussed with the management any future accounting developments likely to affect the financial statements.
- Reviewed the budgets and strategic plans of the Group to ensure that all forward-looking statements in the annual report accurately reflect the Group's position.
- Reviewed the integrity of the Group's published financial information and all significant financial judgements and estimates made by the management.

EXTERNAL AUDIT

- Reviewed and monitored the relationship with the External Auditors including overseeing their appointment, independence, remuneration, tenure, rotation of the engagement partner and engagement for non-audit services.
- Assessed the effectiveness and the progress of the External Auditors and the audit process.
- Discussed the audited financial statements with External Auditors and ensured that they were in conformity with the Sri Lanka Accounting Standards and other regulatory requirements.
- Reviewed and discussed the management letter and instructed the management to take appropriate follow up action on matters highlighted therein.

INTERNAL AUDIT

- Reviewed and approved the annual audit plan after considering its depth and coverage.
- Reviewed the operation and effectiveness of the Group Internal Audit function in terms of its independence, effectiveness, competency and resource adequacy.
- Continued to ensure the coordination between Group Internal Audit department and External Auditors.
- Reviewed and discussed the audit reports submitted by the internal audit department with the management responses on financial and operational audits, information security and risk assessments carried out in line with approved annual audit plan.

REPORTING

- The Chairman of the Audit and Risk Committee reports to the Board at each meeting on the activities of the Committee. Minutes of the Audit and Risk Committee meetings are also tabled at the Board meetings.
- The Annual Report incorporates the Audit and Risk Committee report.
- The Chairman of the Audit and Risk Committee attends the Annual General Meeting.



CONDUCT, ETHICS AND GOOD GOVERNANCE

The Audit and Risk Committee remains steadfast in its commitment to ensure that the Group adheres to the highest ethical standards in business dealings. In this regard, the Group has a Code of Ethics & Professional Conduct, robust policies such as the Whistleblowing Policy and an Anti-Bribery & Anti-Corruption Policy which mandates all staff members to be ethical, transparent and accountable and resort to whistleblowing if they suspect any wrongdoings or other improprieties.

RE-APPOINTMENT OF EXTERNAL AUDITORS – MESSRS. KPMG, CHARTERED ACCOUNTANTS

The Committee perused transactions with the External Auditors and ensured that there was no significant material transaction between the External Auditors and the companies in the Group. Furthermore, the Committee was reassured that the External Auditors do not hold any shares in the Group. The Committee also obtained written assurance from the External Auditors, confirming that they are and have been independent throughout the conduct of the audit engagement in accordance with the terms of all relevant professional and regulatory requirements.

The Committee having considered that there were no significant material transactions between the External Auditors and the Group companies, that there were no shares held by the External Auditors, the confirmation received from the External Auditors and the periodic rotation of the Audit Partner, noted that KPMG, Chartered Accountants are independent and are eligible for re-appointment as the External Auditors of the Group. The Committee further confirms that even though the External Auditor has been engaged from the inception of the Company, the Audit Partner overseeing the audit of the Company has been engaged for a period less than one year.

Having noted the above, the Committee recommends to the Board that Messrs. KPMG, Chartered Accountants be re-appointed as the External Auditors of the Company for the current financial year, subject to the approval of the shareholders at the forthcoming Annual General Meeting.

THE YEAR AHEAD

Looking ahead to the financial year 2025/2026, the Committee's key priorities will include overseeing of the Group's risk management and internal control processes, sustaining a strong culture of risk management across the Group continuing to monitor the impacts of climate change and taking a proactive approach in anticipating and preparing for any legislative or regulatory changes.

M R Mihular
Chairman

Audit and Risk Committee

12th June 2025
Colombo

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT



GRI 2-15

ROLE OF THE RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

The role of the Related Party Transactions Review Committee is to advise the Board in relation to transactions with related parties as defined by Sri Lanka Accounting Standard - LKAS 24 and Listing Rules of the Colombo Stock Exchange. The Committee adheres to Rule 9.14 of the updated Listing Rules of the Colombo Stock Exchange, ensuring that the Company considers the interests of shareholders collectively when entering into Related Party Transactions.

COMPOSITION OF THE COMMITTEE

Composition effective from 01.04.2024 to 29.12.2024	Current Composition effective from 30th December 2024
<i>The Related Party Transactions Review Committee of the Parent company served as the Committee until 30th September 2024</i>	
Mr. R.N. Asirwatham - <i>Chairman</i> Mr. J.M.S.Brito Mr. C.H.Gomez* Mr. N.J.de S. Deva Aditya*	Mr. M R Mihular – <i>Chairman*</i> Dr. R.A Fernando * Mr. P. Englisch * Mr. R.N Asirwatham Mr. J M S Brito
*Ceased to be members of the Committee w.e.f 29.12.2024	*Appointed to the Committee w.e.f. 30.12.2025

Independent Non-Executive Director

Non-Executive Director

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE MEETING ATTENDANCE

Related Party Transactions Review Committee Members	Related Party Transactions Review Committee Meetings				Total Meetings Attended
	27.06.2024	04.09.2024	19.12.2024	26.03.2025	
Mr. R.N. Asirwatham	✓	✓	✓	✓	4/4
Mr. J.M.S. Brito	✓	✓	✓	✓	4/4
Mr. C.H. Gomez	✓	✓	✓	N/A	3/4
Mr. N.J. de S. Deva Aditya	Ex	✓	✓	N/A	2/4
Mr. M R Mihular		N/A			1/1
Dr. R A Fernando		N/A			1/1
Mr. P. Englisch		N/A			1/1

Ex - Excused

N/A - Not Applicable (Meeting was held prior to the appointment or after the resignation)



HIGHLIGHTS DURING THE FINANCIAL YEAR 2024/2025

- Obtained quarterly disclosures from the Key Management Personnel and the Group related companies in relation to proposed related party transactions and post quarter confirmations and the Committee reviewed all such disclosures at its quarterly meetings.
- Communicated Committee's activities to the Board by tabling the minutes of the Committee meetings, at the Board meetings.
- Fixed the thresholds at the first meeting of the financial year for Related Party Transactions which require either shareholders' approval or immediate market disclosures, as the case may be for the financial year 2025/2026 based on the Audited Financial Statements of the previous financial year.

RESPONSIBILITIES OF THE COMMITTEE

The Committee's key focus is to review all proposed Related Party Transactions prior to entering into or completion of the transaction according to the procedures laid down by Rule 9.14 of the Listing Rules of the Colombo Stock Exchange. The responsibilities of the Committee are as follows:

- Evaluate any proposed Related Party Transactions on a quarterly basis and recommend to the management and the Board, the appropriate course of action to be taken in order to be compliant with the regulations of the Listing Rules of the Colombo Stock Exchange,
- Review any post quarter confirmations on Related Party Transactions,
- Review the threshold for Related Party Transactions which require either shareholders' approval or immediate market disclosures, as the case may be,
- Review the criteria of Key Management Personnel,
- Regularly report to the Board on the Committee's activities.

KEY MANAGEMENT PERSONNEL

The Board of Directors of the Company, Directors, Vice Presidents and Assistant Vice Presidents of Subsidiary companies are construed as the Key Management Personnel of Aitken Spence Hotel Holdings PLC to establish greater transparency and governance. Declarations from Key Management Personnel and from the Group companies are obtained quarterly for the purpose of identifying Related Party Transactions and to determine Related Party Transactions which ensures the compliance with the disclosure requirements of the Listing Rules.

KEY FUNCTIONS PERFORMED

- Policies and Procedures:
 - Quarterly disclosures were obtained from the Key Management Personnel of any proposed Related Party Transactions and confirmations of any post-quarter transactions. All such disclosures are tabled at each Related Party Transactions Review Committee meeting,
 - Quarterly disclosures were obtained from all Group companies of any proposed Related Party Transactions and confirmations of any post-quarter transactions and all disclosures are tabled at each Related Party Transactions Review Committee Meeting,
 - Non-recurrent Related Party Transactions which in aggregate value exceeding lower of 10% of the equity or 5% of the total assets of the Group as per the Audited Financial Statements of the previous year, if any, were communicated to the Committee through the Group Company Secretaries,
 - Recurrent Related Party Transactions exceeding 10% of the gross revenue of the Group as per the Audited Financial Statements of the previous year, if any, were communicated to the Committee through the Group Company Secretaries.

- Review of Related Party Transactions:
 - Reviewed all proposed Related Party Transactions as well as post quarter confirmations,
 - Activities of the Committee were communicated to the Board by tabling the minutes of the Related Party Transactions Review Committee Meetings,
 - Reviewed thresholds for Related Party Transactions which require either shareholders' approval or immediate market disclosure based on the Financial Statements for the year ended 31st March 2025.
 - Confirmed that there were no occurrence of events to be disclosed in terms of Section 9.14.7(1) and 9.14.8(1) of the Listing Rules of the Colombo Stock Exchange.

DECLARATION BY THE BOARD

The Annual Report of the Board of Directors embodies a declaration confirming the compliance with the requirements stipulated in Section 9.14.8(4) of the Listing Rules of the Colombo Stock Exchange.

M R Mihular
Chairman

Related Party Transactions Review Committee

12th June 2025
Colombo

REMUNERATION COMMITTEE REPORT



GRI 2-19 GRI 2-20

COMPOSITION OF THE COMMITTEE

Composition from 01.04.2024 to 30.09.2024	Composition from 01.10.2024 to 29.12.2024	Composition from 30.12.2024 to 28.03.2025	Current Composition effective from 28.03.2025
The Remuneration Committee of the Parent company served as the Committee until 30th September 2024			
Mr. R.N. Asirwatham - Chairman Mr. J.M.S.Brito Mr. C.H.Gomez Mr. C.R.Jansz*	Mr. R. N. Asirwatham - Chairman* Mr. J.M.S. Brito Mr. C.H.Gomez	Mr. P. Englisch - Chairman Dr. R.A. Fernando Deshamanya D.H.S. Jayawardena**	Mr. P. Englisch - Chairman Dr. R.A. Fernando Mr. J.M.S.Brito
* (Director of the parent Company Aitken Spence PLC and appointed as a member of the Remuneration Committee w.e.f. 08.09.2023 and ceased to be a member of the Committee on 26.09.2024	*Ceased to be Members of the Committee on 29.12.2024	*Appointed as Members of the Committee on 30.12.2024 **Ceased to be a Member of the Committee on 03.02.2025	*Appointed as a Member of the Committee on 28.03.2025

- Independent Non-Executive Director
- Non-Executive Director

The Committee's composition complies with the requirements of Section 9.12.6 of the Listing Rules of the Colombo Stock Exchange.

INDEPENDENCE OF THE COMMITTEE

The Committee is composed of two Independent Non-Executive Directors and one Non-Independent Non-Executive Director as at the end of the financial year 2024/2025. They are independent of management and are completely free from any business, personal or other relationships that may interfere with the exercise of their independent, unbiased judgement. The members of the Committee refrain from taking part in determining their own remuneration.

REMUNERATION COMMITTEE MEETING ATTENDANCE

The Committee met twice during the year under review. Ms. D.S.T. Jayawardena, Chairperson together with Dr. M.P. Dissanayake, Managing Director and Mr. S.N. Muttiah, Group Chief Human Resource Officer attended the meetings by invitation.

Remuneration Committee Members	Remuneration Committee Meetings			Total Meetings Attended
	1st Meeting		2nd Meeting	
	29/08/2024	3/9/2024	27/12/2024	
Mr. R.N. Asirwatham	✓	✓	✓	2/2
Mr. J.M.S. Brito	✓	✓	✓	2/2
Mr. C.H. Gomez	✓	✓	✓	2/2
Mr. C.R. Jansz	✓	✓	N/A	1/1
Deshamanya D.H.S Jayawardena	✓	✓	Ex	1/2
Mr. P. Englisch			N/A	
Dr. R A Fernando			N/A	

THE REMUNERATION POLICY

The Group follows a formal and transparent procedure to ascertain the remuneration packages for individual Directors, Key Management Personnel (KMPs) and the Executives. The Committee recognises the importance of formulating remuneration packages that effectively motivate, attract and retain the Directors, KMPs and Executives of the Company, taking into account the employment conditions of the Group Companies and the relevant industries.

The Group remuneration policy which was reviewed by the Committee remained unchanged during the year under review.

KEY RESPONSIBILITIES OF THE COMMITTEE

- Determine remuneration policy for Directors, Key Management Personnel and Executives.
- Decide individual remuneration packages, including termination compensation.
- Evaluate performance of Managing Directors, Executive Directors and Executives.
- Review Committee's Terms of Reference regularly to ensure industry best practices.



FUNCTIONS OF THE COMMITTEE

The Committee's decisions were determined based on the following principles and policies:

Remuneration Policy

- Evaluated the Group Remuneration Policy against the current market trends and industrial norms.
- Reviewed and ensured the implementation of the Group Remuneration Policy.
- Reviewed the policy of the remuneration package of the Directors and the Executives.
- Reviewed the specific application of the Group Remuneration Policy to the Chairman, Managing Director and Executive Directors and general application of the Group Remuneration Policy to the Executives below the Directorate of the Company.

Performance Based Remuneration

- Evaluated the performance of the Managing Director, Executive Directors as well as the individual and collective performance of Directors and Executives of the Strategic Business Units.
- Reviewed, monitored and evaluated performance of Executives as well as their management development and succession planning.

Performance Incentives

- Evaluated the achievements as well as unaccomplished targets and results which are considered to determine performance-based incentives.

Remuneration of the Executive Directors

- Evaluated the performance of the Executive Directors

AGGREGATE REMUNERATION OF THE EXECUTIVE AND NON-EXECUTIVE DIRECTORS

Aggregate remuneration paid to the Executive Directors and Non-Executive Directors for the financial year 2024/2025 has been disclosed under Note 44 on page 273 of the Annual Report.

R.N. Asirwatham

Chairman upto 29th December 2024

Remuneration Committee

12th June 2025
Colombo

P. Englisch

Chairman from 30th December 2024

Remuneration Committee

NOMINATIONS & GOVERNANCE COMMITTEE REPORT



GRI 2-10

The Nominations Committee of the Company was renamed as the Nominations and Governance Committee and reconstituted in compliance with Rule 9.11.1 of the Listing Rules of the Colombo Stock Exchange.

COMPOSITION OF THE COMMITTEE

Composition effective up to 29.12.2024	Composition from 30.12.2024 to 28.03.2025	Current Composition effective from 28.03.2025
<i>The Nominations and Governance Committee of the Parent company served as the Committee until 30th September 2024</i>		
Mr. R.N. Asirwatham - <i>Chairman*</i> Mr. J.M.S.Brito* Deshamanya D.H.S.Jayawardena	Mr. P. Englisch - <i>Chairman*</i> Dr. R.A. Fernando * Deshamanya D.H.S. Jayawardena**	Mr. P. Englisch – <i>Chairman</i> Dr. R.A. Fernando Mr. J.M.S.Brito*
*Ceased to be member of the committee w.e.f. 29.12.2024	*Appointed to the Committee w.e.f. 30.12.2024 **Ceased to be a Member of the Committee on 03.02.2025.	*Appointed to the Committee w.e.f. 28.03.2025

- Independent Non-Executive Director
- Non-Executive Director

Committee periodically reviews the structure, size and composition of the Boards of the Group Companies.

- Reviewed and recommended necessary appointments to the Boards of the Group companies whenever necessary,

COMMITTEE MEETINGS

The Committee had deliberations on-line and has transacted business through Circular Resolutions as well.

- Evaluation of the performance of the Board, its committees and individual Directors to ensure that their responsibilities are satisfactorily discharged.

- Evaluated and recommended suitable internal and external candidates to higher levels of management,

RESPONSIBILITIES OF THE COMMITTEE

- The Terms of Reference of the Committee sets out the authority, composition, scope and responsibilities of the Committee taking into consideration the Corporate Governance requirements set out in the Listing Rules of the Colombo Stock Exchange.
- Evaluation of the quality and composition of the Boards of Aitken Spence Hotel Holdings PLC and the subsidiary companies.
- The Committee is responsible for ensuring that the Boards of Aitken Spence Hotel Holdings PLC and its Group companies are well balanced and diversified in terms of effectiveness and composition. Suitable candidates are identified as Directors whilst ensuring that the boards consist of Directors with vast knowledge, experience, competency and entrepreneurial skills to advance the effectiveness of the Boards. The

- Review the Policy for the appointment, re-appointment, re-election, and election of Directors to the Boards of the Group Companies, as well as their succession planning, and suggesting amendments where necessary.

- Evaluated the eligibility of the Directors who have offered themselves for re-appointment and re- election to the Board considering the performance and contribution made by the Director concerned towards the overall discharge of the Board's responsibilities and made necessary recommendations to the Board,

KEY FUNCTIONS OF THE COMMITTEE

The Committee reviews and makes recommendations that are fair, free from any bias and not influenced by personal or business relationships, thereby enabling the Company to make sound and measured judgments in order to attract the best talent to the Group. During the financial year 2024/2025 the Committee performed the following functions:

- Ensured the diversity and effectiveness of the Board of Aitken Spence Hotel Holdings PLC and the Boards of its Group companies as well as the Key Management Personnel (KMPs),

- Evaluated the combination of varied skills, knowledge and experience of the Directors of the Company and of the Group companies,
- Ascertained that the competencies of Directors are adequate to meet the required strategic demands of the Group.



INDEPENDENCE OF DIRECTORS

The Committee evaluated the independence of the current Board of Directors based on the declarations submitted by the respective Directors in accordance with the requirements of the revised Listing Rules of the Colombo Stock Exchange. The Committee determined that three out of ten Directors were Independent as per the criteria set out on the Listing Rules of the Colombo Stock Exchange.

The members of the Nominations and Governance Committee did not participate in the decisions relating to their own re-appointments.

For further information on the aforementioned Directors please refer the Annual Report of the Board of Directors on pages 165 to 170 and the Corporate Governance report on pages 125 to 153

RE-APPOINTMENT AND RE-ELECTION OF DIRECTORS

Mr. R.N. Asirwatham, Mr. J.M.S. Brito and Mr. N.J. de S. Deva Aditya who retire from the Board at the conclusion of the forthcoming Annual General Meeting in terms of Section 210 and 211 of the Companies Act No. 7 of 2007, have offered themselves for re-appointment. The said Directors were last re-appointed at the Annual General Meeting held on 06th August 2024.

In terms of Articles 83 and 84 of the Articles of Association of the Company, Dr. R.A.Fernando retires by rotation and has offered himself for re-election at the forthcoming Annual General Meeting.

Mr. M.R.Mihular - appointed on 2nd December 2024, and Mr. P.Englisch - appointed on 30th December 2024 and Mr. C.H. Gomez – appointed on 1st April 2025 retire in terms of Article 90 of the Articles of Association and have offered themselves for election at the forthcoming Annual General Meeting.

None of the Directors who are being proposed for re-election or their family members as the case may be, have any relationship with the Directors of the Company or shareholders having more than 10% of the shares of the Company.

Having given due consideration to each Director's performance, the Committee recommends that the said Directors are eligible for re-appointment, election and re-election as the case may be.

P. Englisch

Chairman

Nominations and Governance Committee

12th June 2025
Colombo

STATEMENT OF DIRECTORS' RESPONSIBILITIES



The Companies Act No. 07 of 2007 requires the Directors of the Company to be responsible for the preparation and presentation of the Financial Statements and other statutory reports. The responsibilities of the Directors, in relation to the Financial Statements of Aitken Spence Hotel Holdings PLC and the Consolidated Financial Statements of the Group are set out in this Report.

The Directors confirm that the Financial Statements and other statutory reports of the Company and its Subsidiaries for the year ended 31st March 2025 incorporated in this Report have been prepared in accordance with the Companies Act No. 07 of 2007, the Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995 and the Listing Rules of the Colombo Stock Exchange.

The Directors have taken appropriate steps to ensure that the companies within the Group maintain adequate and accurate records which reflect the true financial position of each such company and hence the Group. The Directors have taken appropriate and reasonable steps to safeguard the assets of the Company and the Group. The Directors have instituted appropriate systems of internal control in order to minimise and detect fraud, errors and other irregularities. The Directors in maintaining a sound system of internal control and in protecting the assets of the Company, have further adopted risk management strategies to identify and evaluate the risks which the Company could be exposed to and its impact to the Company.

The Directors having considered the Group's business plans, and a review of its current and future operations, are of the view that the Company and the Group have adequate resources to continue in operation. The Directors have adopted the going concern basis in preparing the Financial Statements.

The Financial Statements presented in this Annual Report for the year ended 31st March 2025, have been prepared based on the Sri Lanka Accounting Standards (SLFRSs/ LKASs). The Directors have selected the appropriate accounting policies and such policies adopted by the Group are disclosed and explained in the Financial Statements.

The Board of Directors confirm that the Company and the Group's Consolidated Statements of Financial Position as at 31st March 2025 and the Comprehensive Income Statements of the Company and the Group for the Financial Year ended 31st March 2025 reflect a true and fair view of the Company and the Group.

The Directors have provided the Auditors with every opportunity to carry out any reviews and tests that they consider appropriate and necessary for the performance of their duties. The responsibility of the Independent Auditors in relation to the Financial Statements is set out in the Independent Auditors Report.

The Directors confirm that to the best of their knowledge all payments to employees, regulatory and statutory authorities due and payable by the Company and its Subsidiaries have been either duly paid or adequately provided for in the Financial Statements. The Directors further confirm that they promote the highest ethical, environmental and safety standards within the Group. The Directors also ensure that the relevant national laws, international laws and codes of regulatory authorities, professional institutes and trade associations have been complied with by the Group.

By order of the Board,

Aitken Spence Hotel Holdings PLC

Aitken Spence Corporate Services (Private) Limited
Secretaries

12th June 2025

Colombo

ANNUAL REPORT OF THE BOARD OF DIRECTORS

GRI 415-1

The Board of Directors of Aitken Spence Hotel Holdings PLC has pleasure in presenting the Annual Report and the Audited Financial Statements for the year ended 31st March 2025. The details set out herein provide the pertinent information required by the Companies Act No. 07 of 2007, Listing Rules of the Colombo Stock Exchange and the best accounting practices.

1. PRINCIPAL ACTIVITIES

The principal activities of the Company are that of an investment holding company and hoteliering. The subsidiary companies are also engaged in the business of hoteliering. During the year there were no significant changes in the principal activities of the Company and the subsidiaries.

2. REVIEW OF OPERATIONS

A review of operational and financial performance, the future of the Company and the Group are described in greater detail in the Chairperson's Statement, Managing Director's Review and the Management Discussion and Analysis of the Annual Report. These Reports together with the Audited Financial Statements of the Company and of the Group reflect the respective state of affairs of the Company and the Group. The Group consists of the subsidiaries and equity accounted investees of Aitken Spence Hotel Holdings PLC and details of the Group structure is given on pages 12 and 13 of the Annual Report.

3. ACCOUNTING POLICIES AND CHANGES DURING THE YEAR

The Company and the Group prepared the Financial Statements in accordance with Sri Lanka Accounting Standards (SLFRSs/ LKASs). The Board of Directors wish to confirm that there were no changes to the accounting policies used by the Company and the Group during the year. The significant accounting policies adopted in the preparation of the Financial Statements of the Company and the Group and the changes made during the year are given on pages 188 to 282.

4. SYNOPSIS OF THE INCOME STATEMENT OF THE COMPANY AND THE GROUP

For the year ended 31st March (Group)	2025	2024
Net profit before tax	4,929,560	3,006,151
Provision for taxation including deferred tax	(1,341,098)	(1,141,464)
Net profit after tax	3,588,462	1,864,687
Other comprehensive income /(expense) for the year	176,448	(1,131,524)
Total comprehensive income for the year	3,764,910	733,163
Total comprehensive income attributable to non-controlling interest	1,372,518	399,487
Total comprehensive income attributable to equity shareholders	2,392,392	333,676
Balance brought forward from the previous year	17,805,495	17,486,669
Amount available for appropriations	20,197,887	17,820,345
Preference dividends	14,850	14,850
Total reserves and earnings	20,183,037	17,805,495
Stated capital	3,554,587	3,554,587

4.1. Group Revenue and Profits

Revenue generated by the Company during the year amounted to Rs. 1,386 Mn (2024- Rs. 1,232 Mn). The Group revenue was Rs. 48,471 Mn (2024 - Rs. 47,259 Mn) which is a rise of 3% compared to the previous year. An analysis of Group revenue based on geographical and business segments is disclosed in Notes 06 and 07 of the Financial Statements on pages 206 and 207. The profit after tax of the Group was - Rs. 3,588 Mn (2024- Rs. 1,865 Mn). The Group's profit attributable to the equity shareholders of the parent company for the year was Rs. 2,290 Mn (2024 - Rs. 1,140 Mn). The segmental profits/ losses are disclosed in Note 06 of the Financial Statements on page 206.

4.2. Donations

During the year no donations were made by the Company, the donations made by the Group during the year amounted to Rs. 1,132,388 (2024- Rs. 361,472).

There were no Political donations.

4.3. Taxation

A detailed statement of the income tax rates applicable to the individual companies in the Group and a reconciliation of the accounting profits with the taxable profits are given in Note 13 of the Financial Statements on pages 212 to 217. It is the policy of the Group to provide for deferred taxation on all known timing differences on the liability method. The deferred tax balances of the Group companies are given in Notes 22 and 34 of the Financial Statements on pages 232 and 245. The deferred tax of the Company and the Group are calculated based on the tax rates that are specified in the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

4.4. Dividends

The Directors declared a preference dividend of cents 90 per share on the cumulative preference shares for the financial year ended 31st March 2025. The Directors are confident that the Company will meet the solvency test requirement under section 56(2) of the Companies Act No.7 of 2007 immediately after the payment of the said preference dividend. The Directors



did not recommend an ordinary dividend for the financial year ended 31st March 2025.

5. SYNOPSIS OF THE STATEMENT OF FINANCIAL POSITION OF THE COMPANY AND THE GROUP

5.1. Stated Capital and Reserves

As at 31st March 2025, the Company had issued 336,290,010 ordinary shares and 16,500,000 redeemable cumulative preference shares. The stated capital of the Company was Rs. 3,555 Mn. The Company's reserves as at 31st March 2025 were Rs. 6,572 Mn (2024- Rs 6,568 Mn) whereas the total Group's reserves as at 31st March 2025 were Rs. 20,183 Mn (2024 - Rs. 17,805 Mn). The movement in these reserves is shown in the Statement of Changes in Equity on Pages 184 to 185.

5.2. Property, Plant and Equipment

The carrying value of property, plant and equipment for the Company and the Group as at 31st March 2025 amounted to Rs. 2,059 Mn and Rs. 62,949 Mn respectively. The total expenditure on the acquisition of property, plant and equipment during the year in respect of new assets acquired by the Company and the Group amounted to Rs. 221 Mn and Rs. 1,603 Mn respectively.

5.3. Market Value of Freehold Properties

Land recognised as property, plant and equipment in the Financial Statements in the Group is recorded at either fair value or revalued amounts. Revaluation of land is performed with sufficient regularity so that the carrying value of the land does not differ materially to its market value. Revaluation was performed by professionally qualified independent valuers having appropriate experience in valuing properties in the locality of the land being revalued. If the fair value of land does not change other than by an insignificant amount at each reporting date the Group revalues such land every five years. Details of the revalued land, revaluation surplus,

and the original cost are given in Note 16.3.2 of the Financial Statements. The Group records all other assets at cost and check for any impairment of these assets when the Group identifies any trigger for impairment.

5.4. Contingent Liabilities

The details of contingent liabilities are disclosed in Note 39 of the Financial Statements on page 252.

6. EVENTS OCCURRING AFTER THE REPORTING DATE

No event of material significance that requires adjustments to the Financial Statements has arisen other than that disclosed in Note 47 to the Financial Statements on page 282.

7. GOING CONCERN

The Group has prepared the financial statements for the year ended 31st March 2025 on the basis that it will continue to operate as a going concern.

In determining the basis of preparing the financial statements for the year ended 31st March 2025, based on available information, the management has assessed the prevailing macroeconomic conditions and its effect on the Group companies and the appropriateness of the use of the going concern basis.

The Management has formed judgment that the Company, its subsidiaries, associates, and joint ventures have adequate resources to continue in operational existence for the foreseeable future driven by the continuous operationalisation of risk mitigation initiatives and monitoring of business continuity and response plans at each business unit level along with the financial strength of the Group.

Based on the publicly available information at the date these financial statements were authorised for issue, management considered a number of severe but plausible scenarios with respect to possible impact of the downside economic scenarios and climate related matters.

Furthermore, the Management is not aware of any material uncertainties that may cast significant doubt upon the Group's ability to continue as a going concern.

Having presented the outlook of the Group to the Board, the Directors are satisfied that the Group has adequate resources to continue in operational existence for the foreseeable future. The Management concluded that the range of possible outcomes considered at arriving at this judgment does not give rise to material uncertainties related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern.

8. INFORMATION ON THE BOARD OF DIRECTORS AND THE BOARD SUB-COMMITTEES

8.1. Board of Directors

The names of the Directors who held office during the financial year 2024/2025 are given below. The brief profiles of the Board of Directors are given on pages 30 to 33 of this Annual Report.

Executive Directors

- Ms. D.S.T. Jayawardena - Executive Chairperson (Appointed as the Chairperson w.e.f. 06.02.2025)
- Dr. M.P. Dissanayake - Managing Director
- Mr. C.M.S. Jayawickrama

Non-Independent Non-Executive Directors

- Deshamanya D.H.S. Jayawardena (Deceased on 03.02.2025)
- Mr. R.N. Asirwatham
- Mr. J.M.S. Brito
- Mr. N.J. de S. Deva Aditya
- Mr. M.A.N.S. Perera (Resigned w.e.f. 25.11.2024)
- Mr. C.H. Gomez (Resigned w.e.f. 30.12.2024 and Appointed w.e.f. 01.04.2025)



Independent Non-Executive Directors

- Mr. M.R. Mihular - (Appointed w.e.f. 02nd December 2024)
- Dr. R.A. Fernando - (Appointed w.e.f. 10th January 2024)
- Mr. P. Englisch - (Appointed w.e.f. 30th December 2024)

8.2. Changes to the Board during the year

Mr. M.R. Mihular and Mr. P. Englisch were appointed as Directors of the Company with effect from 02nd December 2024 and 30th December 2024, respectively.

Mr. M.A.N.S. Perera who served as a Director resigned from the Board with effect from 25th November 2024.

With profound sadness, the Board reports the demise of Deshamanya D.H.S. Jayawardena on 03rd February 2025. Deshamanya D.H.S. Jayawardena served as a Board Director of Aitken Spence Hotel Holdings PLC since 2003. He also served as a Member of the Nominations and Governance Committee and the Remuneration Committee prior to his untimely demise on 3rd February 2025.

Mr. C.H. Gomez who resigned as a Director of the Company with effect from 30th December 2024 was appointed as a Non Independent, Non-Executive Director of the Company with effect from 01st April 2025.

8.3. Board Subcommittees

The Board Subcommittees of the Parent Company also served as the Subcommittees of the Company up to 30th September 2024. The Company constituted the Audit and Risk Committee, Remuneration Committee, Nominations and Governance Committee and the Related Party Transactions Review Committee in compliance with the requirements of the Listing Rules.

The composition of the said Committees is as follows:

Committee	Composition from 30.09.2024 to 29.12.2024	Composition from 30.12.2024 to 27.03.2025	Current composition effect 28.03.2025
Audit and Risk Committee	Mr. R. N. Asirwatham - Chairman Mr. J. M. S. Brito Mr. C. H. Gomez Mr. N. J. de S. Deva Aditya	Mr. M. R. Mihular - Chairman Dr. R. A. Fernando Mr. P. Englisch Mr. R. N. Asirwatham Mr. J. M. S. Brito	Mr. M. R. Mihular - Chairman Dr. R. A. Fernando Mr. P. Englisch Mr. R. N. Asirwatham Mr. J. M. S. Brito
Remuneration Committee	Mr. R. N. Asirwatham - Chairman Mr. J. M. S. Brito Mr. C. H. Gomez	Mr. P. Englisch - Chairman Dr. R. A. Fernando Deshamanya D.H.S. Jayawardena*	Mr. P. Englisch - Chairman Dr. R. A. Fernando Mr. J. M. S. Brito
Nomination and Governance Committee	Mr. R. N. Asirwatham -Chairman Mr. J. M. S. Brito Deshamanya D. H. S. Jayawardena	Mr. P. Englisch - Chairman Dr. R. A. Fernando Deshamanya D.H.S. Jayawardena*	Mr. P. Englisch - Chairman Dr. R. A. Fernando Mr. J. M. S. Brito
Related Party Transactions Review Committee	Mr. R. N. Asirwatham - Chairman Mr. J. M. S. Brito Mr. C. H. Gomez Mr. N. J. de S. Deva Aditya	Mr. M. R. Mihular - Chairman Dr. R. A. Fernando Mr. P. Englisch Mr. R. N. Asirwatham Mr. J. M. S. Brito	Mr. M. R. Mihular - Chairman Dr. R. A. Fernando Mr. P. Englisch Mr. R. N. Asirwatham Mr. J. M. S. Brito

*Deshamanya D.H.S. Jayawardena ceased to be a Member of the Committee on 03.02.2025.



8.4. Recommendation for Re-appointment and Re-election of Directors

Upon the recommendation of the Nominations and Governance Committee, the Board resolved to recommend that Mr. R.N. Asirwatham, Mr. J.M.S. Brito and Mr. N.J. de S. Deva Aditya who are over 70 years of age and vacate office in terms of Section 210(2) of the Companies Act, be re-appointed as Directors in terms of Section 211 of the Companies Act No. 7 of 2007, specially declaring that the age limit stipulated in Section 210 of the Companies Act shall not apply to the said Directors. Resolutions to this effect will be proposed at the forthcoming Annual General Meeting.

Further, pursuant to the recommendations of the Nominations and Governance Committee, the Board resolved to recommend that Dr. R.A. Fernando who retires by rotation in terms of Article 83 and 84 of the Articles of Association of the Company, and being eligible, offers himself for re-election be re-elected as a Director of the Company.

Upon the recommendation of the Nominations and Governance Committee, the Board resolved to recommend that Mr. M.R. Mihular, Mr. P. Englisch and Mr. C.H. Gomez who retire by rotation in terms of Article 90 of the Articles of Association of the Company and being eligible, offer themselves for election at the forthcoming Annual General Meeting.

8.5. Directors' Shareholding

The Directors' shareholdings are provided on page 294 of the Annual Report.

8.6. Interest Register

An Interest Register is maintained by the Company as per the Companies Act No. 07 of 2007. Any interest in transactions disclosed to the Board by a Director in accordance with Section 192 of the Companies Act No. 7 of 2007 is duly recorded in the Interest Register.

8.7. Directors' Remuneration

The Directors' remuneration and fees in respect of the Company and the Group for the financial year ended 31st March 2025 are disclosed on page 273 of the Financial Statements.

8.8. Related Party Transactions

Related Party Transactions of the Company and the Group are disclosed in Note 45 to the Financial Statements. These are recurrent and non-recurrent related party transactions, which required disclosure in the Annual Report in accordance with the Sri Lanka Accounting Standard No. 24 - Related Party Disclosures. However, there were no recurrent related party transactions which in aggregate value exceeded 10% of the consolidated revenue of the Group as per the Audited Financial Statements as at 31st March 2024.

There were no non-recurrent related party transactions which in aggregate value exceeding lower of 10% of the equity or 5% of the total assets of the Group as per the Audited Financial Statements as at 31st March 2024 which required additional disclosures in the Annual Report under Rule 9.14.8 (1) of the Listing Rules of the Colombo Stock Exchange.

The Key Management Personnel of the Group companies (including the Company) have disclosed on a quarterly basis, the proposed Related Party Transactions (if any) falling under the ambit of Rule 9.14.8(1) of the Listing Rules of the Colombo Stock Exchange which were to be entered into with the Company and or with another company within the Group and or with any other 'Related Party' as defined in the Sri Lanka Accounting Standards (as applicable). The disclosures so made were tabled at the quarterly meetings of the Related Party Transactions Review Committee, in compliance with the requirements of the above mentioned Rule.

The Directors declare that the Company is in compliance with

Rule 9.14 of the Listing Rules of the Colombo Stock Exchange pertaining to Related Party Transactions during the financial year.

8.9. Board of Directors of the Subsidiary

The names of Directors of the subsidiary companies who held office as at 31st March 2025 and Directors who ceased to hold office during the accounting period are set out on pages 298 to 300 of this Annual Report.

9. HUMAN RESOURCES

The human resources strategies applied and practiced by the Group in the regions we operate have translated into the creation of a dynamic and competent human resource team. The strategies adopted in motivating and retaining our employees are discussed in "Human Capital" on pages 89 to 100 of this Annual Report.

10. GOVERNANCE

The Directors declare that:

- the Group has not engaged in any activity, which contravenes the national and international laws. The Group rigidly adheres to relevant national and international laws and the regulations of Professional Institutes and Associations, Industrial Associations, Chambers of Commerce and Regulatory Bodies.
- the Company complies with the Corporate Governance Rules contained in Section 9 of the Listing Rules of the Colombo Stock Exchange and the Code of Best Practice on Corporate Governance 2023 issued by the Institute of Chartered Accountants of Sri Lanka. The measures taken and the extent to which the Company has complied with the said Section and the Code are given on pages 141 to 153 of the Corporate Governance Report of this Annual Report.
- the Group applies very high standards to protect and nurture



the environment in which it operates and ensures strict adherence to all environmental laws and practices. The Group's efforts to conserve non-renewable resources, as well as its environmental objectives and key initiatives, are described in the Natural Capital on pages 115 to 123.

- the Company has no restrictions with regard to shareholders carrying out analysis or obtaining independent advice of a non-price sensitive nature regarding their investment in the Company and has made all endeavours to ensure the equitable treatment of shareholders. The Company's Corporate Governance practices are set out on pages 125 to 153 of this Annual Report.
- they have declared all material interests in contracts involving the Company and the Group and refrained from voting on matters in which they were materially interested.
- they have continuously satisfied the Fit and Proper Assessment Criteria set out in the Listing Rules during the financial year concerned and as at the date of such confirmation.
- none of the Director's or Close Family Members of the Director's have had any material business relationships with other Directors of the Company.
- they have conducted an evaluation of the Group's internal controls covering financial, operational and compliance controls and risk management and have obtained reasonable assurance of their effectiveness and successful adherence therewith.
- they have made arrangements to make themselves aware of applicable laws, rules and regulations and are aware of changes particularly to Listing Rules and applicable capital market provisions.

11. RISK MANAGEMENT

The Directors have established and adhered to a comprehensive risk management framework at both Strategic Business Units and Group levels to ensure the achievement of their corporate objectives. The categories of risks faced by the Group are identified, the significance they pose are evaluated and mitigating strategies are adopted by the Group. The Board of Directors reviews the risk management process through the Audit and Risk Committee. The Risk Management Report of the Group is on pages 56 to 61 of this Report.

12. INTERNAL CONTROLS

The Board of Directors ensures that the Group has an effective internal control system which ensures that the assets of the Company and the Group are safeguarded and appropriate systems are in place to minimise and detect fraud, errors and other irregularities. The system ensures that the Group adopts procedures which result in financial and operational effectiveness and efficiency.

Board of Directors' Statement on Internal Controls on pages 171 to 172, the Statement of Directors' Responsibilities on page 164 and the Audit and Risk Committee Report set out on pages 155 and 157 of this Report provide further information in respect of the above.

13. STATUTORY PAYMENTS

The Directors, to the best of their knowledge and belief, are satisfied that all statutory financial obligations to the Government and to the employees have been either duly paid or adequately provided for in the Financial Statements. A confirmation of same is included in the Statement of Directors' Responsibilities on page 164 of this Annual Report.

14. CORPORATE SUSTAINABILITY

The Board of Directors guides and supports the Group's sustainability strategy. It welcomes the implementation of the structured and dynamic integrated sustainability framework. Awards and recognition received during the year and previous years are a testament to our commitment as we continue to benchmark our practices against global standards and best practices in a myriad of aspects that affect or potentially affect delivery of growth. More details of the Group's sustainability efforts are included in the Management Discussion and Analysis of this Report.

15. SHAREHOLDER INFORMATION

There were 4,459 shareholders as at 31st March 2025. The distribution schedule of the number of shareholders and their shareholdings are detailed on page 290 of this Annual Report. The names of the twenty largest shareholders, together with their shareholdings as at 31st March 2025 are given on page 294 of this Annual Report. The percentage of the shares held by the public as at 31st March 2025 was 25.45% and the number of shareholders who held the public holding was 4,449. Information relating to Earnings Per Share and the Net Assets Per Share for the Company and the Group, the Dividend Per Share and the Market Price Per Share are given on pages 16 and 291 of this Annual Report.

16. AUDITORS

The Independent Auditors' Report on the Financial Statements is given on pages 176 to 179 of this Annual Report. The retiring Auditors Messrs. KPMG, Chartered Accountants have expressed their willingness to continue in office and a resolution to re-appoint them as auditors and grant authority to the Board to determine their remuneration will be proposed at the Annual General



Meeting of the Company. The fees payable to the Company auditors Messrs. KPMG, Chartered Accountants was Rs. 1,525,000 (2024 – Rs. 1,386,000). In addition to the above, Rs. 2,630,360 (2024 – Rs. 422,877) was payable by the Company for permitted non audit related services including tax advisory services. Messrs. KPMG, Chartered Accountants the Auditors of the Company are also the auditors of certain subsidiaries and associate companies of the Group. The list of the subsidiaries and associate companies audited by them are included on pages 298 to 300 of this Annual Report.

The amount payable by the Group to Messrs. KPMG, Chartered Accountants as audit fees was Rs. 15,731,662 (2024 - Rs. 15,106,772) while a further Rs. 7,551,450 (2024 - Rs.3,339,488) was payable for permitted non audit related services including tax advisory services.

In addition to the above, Rs. 4,714,329 (2024– Rs. 5,178,337) was payable to other auditors for carrying out audits in subsidiaries and associates where the audits were conducted by them. The amount payable to such other auditors for non-audit related services including tax advisory services was Rs. 26,274,910 (2024 - Rs. 14,587,865). As far as the Directors are aware the auditors neither have any other relationship with the Company nor any of its subsidiaries and associates that would have an impact on their independence.

Ms. D S T Jayawardena
Executive Chairperson

Dr. M P Dissanayake
Managing Director

**Aitken Spence Corporate Services
(Private) Limited**
Secretaries

12th June 2025
Colombo

THE BOARD OF DIRECTORS' STATEMENT ON INTERNAL CONTROLS



GRI 2-26

The Board of Directors present this Statement on Internal Control in accordance with principle D.1.5. of the Code of Best Practice on Corporate Governance 2023 issued by the Institute of Chartered Accountants of Sri Lanka.

RESPONSIBILITY

The Board acknowledges the responsibility for the adequacy and effectiveness of the Group's system of Internal Controls, which is designed to provide assurance on the maintenance of proper accounting records and the reliability of financial information generated and safeguarding of the assets of the Group.

The Board has established an ongoing process for identifying, evaluating and managing the principal risks faced by the Group. This process includes enhancing the system of internal controls as and when there are changes to business environment or regulatory guidelines. The process is regularly reviewed by the Board.

The Board is of the view that the systems of internal control over financial reporting in place is sound and adequate to provide reasonable assurance regarding the reliability of financial reporting, and that the preparation of financial statements for external purposes is in accordance with relevant accounting principles and regulatory requirements.

The Board has delegated specific responsibilities to the following four sub-committees ensuring the effectiveness of Group's daily operations and to ensure that these daily operations are within the corporate objectives, strategies and annual budget ratified by the Board.

- Audit and Risk Committee
- Nominations and Governance Committee
- Remuneration Committee
- Related Party Transactions Review Committee

These committees are chaired by Independent Non-Executive Directors and have the authority to examine particular issues and report back to the Board with their recommendations.

INTERNAL AUDIT

The internal audit department of the Group verifies compliance of operations with policies and procedures and the effectiveness of the internal control systems and highlights significant findings in respect of any non-compliance.

Audits are carried out on all strategic business units (SBUs), the frequency of which are determined by the level of risk assessed, to provide an independent and objective report on operational and management activities of SBUs. The annual audit plan is reviewed and approved by the Audit and Risk Committee and the findings of the audits are submitted to the Audit and Risk Committee for review at their periodic meetings.

POLICIES, PROCEDURES AND BUDGETS

Policies and procedures to ensure the compliance with internal controls and relevant laws and regulations are set out in operations manuals, which are updated from time to time.

Annual budgets are approved by the respective Boards and the subsidiaries' performance are assessed against the budgets and explanations are provided for significant variances periodically to the respective Boards.

WHISTLE BLOWING POLICY

The Group encourages a whistle-blowing policy which enables employees to bring irregularities in financial reporting, internal controls or other matters within the Group to the notice of the higher management.

Proper arrangements are in place to facilitate fair and independent investigation for such matters, if any.

The prevalence and effectiveness of this policy is monitored by the Audit and Risk Committee from time to time.

THE GROUP CODE OF ETHICS & PROFESSIONAL CONDUCT

The Group Code of Ethics and Professional Conduct which includes a strong set of corporate values and conduct, is circulated to Directors and all employees. The Board ensures that Directors and all employees strictly comply with the code in exercising their duties, communications, role modelling and in any other circumstance, so as to uphold the Group's integrity and image. Strict disciplinary actions are initiated for any violation of the Group code of ethics and professional conduct.

CYBER SECURITY

The Board has taken necessary precautions to minimise the risk of a security breach. During the year under review, necessary steps have been rolled out to curtail the exposure to cyber-attacks by reducing the threat surface and any potentially exploitable vulnerabilities.

GOING CONCERN

The statement of going concern is set out in the annual report of the Board Directors on page 166.

RISK MANAGEMENT

The Board has set up an ongoing process for identifying, monitoring and managing the principal and emerging risks faced by the Group.

An overview of the Group's risk management framework is set out on pages 56 to 61.

ANNUAL REPORT

The Board is responsible for the preparation of the annual report and confirm that the quarterly reports, annual financial statements and the annual review of operations of the Group and its equity accounted investees that are incorporated in this annual report have been prepared and presented in a reliable manner based on a balanced and comprehensive assessment of the financial performance of the Group.



CONFIRMATION

Based on the above processes, the Board of Aitken Spence Hotel Holdings PLC confirms that the financial reporting system of the Group has been designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes and has been done in accordance with Sri Lanka Accounting Standards and all relevant regulatory requirements.

Moreover, the Board has conducted an evaluation of the Group's internal controls encompassing financial, operational and compliance controls, risk management and have obtained a reasonable assurance of their effectiveness and proper adherence.

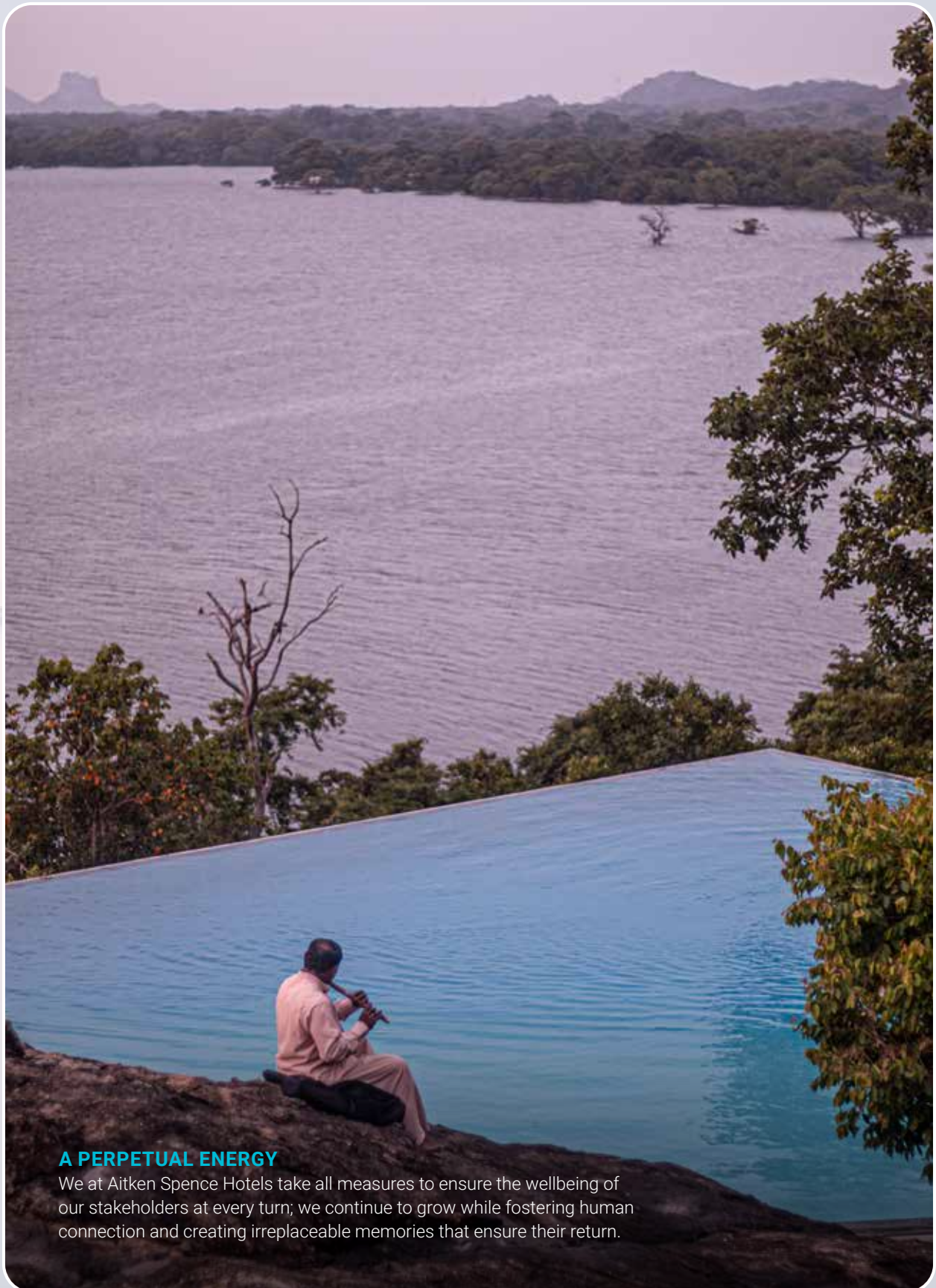
Ms. D.S.T. Jayawardena
Executive Chairperson

Dr. M.P. Dissanayake
Managing Director

Mr. M.R. Mihular
Chairman
Audit and Risk Committee

12th June 2025
Colombo

FINANCIAL REPORTS



A PERPETUAL ENERGY

We at Aitken Spence Hotels take all measures to ensure the wellbeing of our stakeholders at every turn; we continue to grow while fostering human connection and creating irreplaceable memories that ensure their return.



FINANCIAL CALENDAR		
	2024/2025	2023/2024
INTERIM FINANCIAL STATEMENTS CALENDAR		
Interim Financial Statements for 1st quarter	Approved on 12th August 2024	Approved on 09th August 2023
Interim Financial Statements for 2nd quarter	Approved on 12th November 2024	Approved on 11th November 2023
Interim Financial Statements for 3rd quarter	Approved on 11th February 2025	Approved on 09th February 2024
Interim Financial Statements for 4th quarter	Approved on 29th May 2025	Approved on 27th May 2024
AUDITED FINANCIAL STATEMENTS CALENDAR		
Audited Financial Statements	Approved on 12th June 2025	Approved on 15th July 2024
ANNUAL GENERAL MEETING (AGM) CALENDAR		
Annual General Meeting	On 04th July 2025	On 06th August 2024

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INDEPENDENT AUDITOR'S REPORT



KPMG
(Chartered Accountants)
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To the Shareholders of Aitken Spence Hotel Holdings PLC

Report on the Audit of the Financial Statements

OPINION

We have audited the financial statements of Aitken Spence Hotel Holdings PLC ("the Company") and the consolidated financial statements of the Company and its subsidiaries ("the Group"), which comprise the statement of financial position as at March 31, 2025, and the statement of profit and loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policies and other explanatory information as set out on pages 180 to 282.

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as at 31 March 2025, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

BASIS FOR OPINION

We conducted our audit in accordance with Sri Lanka Auditing Standards ("SLAuSs"). Our responsibilities under those standards are further described in the Auditor's responsibilities section of our report. We are independent of the Group in accordance with the Code of Ethics for professional Accountants issued by CA Sri Lanka (Code of

Ethics), and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

KEY AUDIT MATTERS

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Company financial statements and the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the Company financial statements and the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

FINANCIAL INSTRUMENTS – CASH FLOW HEDGE

Refer Accounting Policies Note 3.3 (e) and Note 42.5.1.3 to the Financial Statements.

RISK DESCRIPTION	OUR RESPONSE
The effective portion of a Cash Flow Hedge has been recognised under the Group other comprehensive income amounting to Rs 679 Mn as at 31 March 2025. Group is exposed to financial risks arising from exchange rates. A subsidiary company has hedged its Euro currency revenue against the contractual future loan repayments. Rules on hedge accounting requirements and documentation can be complicated. Lack of compliance with documentation rules, hedge effectiveness rules, and probability criteria could lead to income statement volatility.	Our audit procedures included, - Assessing the nature of the hedge relationships and testing compliance with specific hedge accounting requirements for foreign currency hedging. - Examining the accounting treatment applied for Hedge, in particular when reclassifying gains and losses from reserves to the income statement and adjustments to the carrying value of the hedged item.

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C. P. Jayatilake FCA
Ms. S. Joseph FCA
R.M.D.B. Rajapakse FCA
M.N.M. Shameel FCA
Ms. P.M.K. Sumanasekara FCA

T. J. S. Rajakarier FCA
W. K. D. C. Abeyratne FCA
Ms. B.K.D.T.N. Rodrigo FCA
Ms. C.T.K.N. Perera ACA
R.W.M.O.W.D.B. Rathnadiwakara FCA

W. W. J. C. Perera FCA
G. A. U. Karunaratne FCA
R. H. Rajan FCA
A.M.R.P. Alahakoon ACA

Principals: S.R.I. Perera FCMA (UK), LLB, Attorney-at-Law, H.S. Goonewardene ACA, Ms. F.R.Ziyad FCMA (UK), FCIT, K. Somasundaram ACMA (UK), R. G. H. Raddella ACA, Ms. D Corea Dharmaratne



FINANCIAL INSTRUMENTS - CASH FLOW HEDGE (CONTD)

Refer Accounting Policies Note 3.3 (e) and Note 42.5.1.3 to the Financial Statements.

RISK DESCRIPTION	OUR RESPONSE
Hedge relationships are formally documented and designated at inception. The documentation includes identification of the hedged item and the hedging instrument and details of the risk that is being hedged and the way in which effectiveness will be assessed at inception and during the period of the hedge. If the hedge is not highly effective in offsetting changes in fair values or cash flows attributable to the hedged risk, consistent with the documented risk management strategy, hedge accounting is discontinued. We identified this as a key audit matter due to the complexities and high level of judgment involved in determining the hedging item, hedge instrument and the testing effectiveness as required by the accounting standards.	Assessing the adequacy of the disclosure in financial instruments by agreeing the financial statements to the underlying workings prepared by management and ensuring classification is consistent with the accounting standards.

IMPAIRMENT ASSESSMENT OF GOODWILL, INVESTMENTS IN SUBSIDIARIES AND INVESTMENTS IN EQUITY ACCOUNTED INVESTEEES

Refer Accounting Policies in Note 3.3 (d) and Note 3.5.3.1 and Financial Statements Note 18, Note 19 and Note 20.

RISK DESCRIPTION	OUR RESPONSE
The Company hold investments in subsidiaries and investments in equity accounted investees amounting to Rs. 7,403 Mn and Rs. 993 Mn respectively as at 31 March 2025. Further the Group holds investments in equity accounted investees amounting to Rs. 111 Mn and goodwill amounting to Rs. 688 Mn as at 31 March 2025. The carrying amount of each investments in subsidiaries and investments in equity accounted investees have been tested for impairment as individual Cash Generating Units. The carrying amount of these investments could be materially misstated if inappropriate judgments and estimates were used by the Directors in calculating the recoverable amount for each cash generating unit ('CGU') and recoverable amounts of the identified CGUs have been determined based on the value-in-use calculation. Investments which have not generated adequate returns may be an indication of impairment. Due to the investments being material it will have a significant impact on financial performance of the Company/ Group. We have identified the impairment assessment of goodwill, investments in subsidiaries and investments in equity accounted investees as a key audit matter since that is based on forecasting and discounting cash flows, which are inherently judgemental.	Our audit procedures included, - Assessing the impairment indications of investments made in subsidiaries and equity accounted investees and assessing the reasonableness of the discounted cash flow models, key assumptions, principles and accuracy of the forecasts. - Comparing the actual results of the current year with management's assumptions and estimates in the discounted cash flow forecast for the previous year to assess the historical accuracy of the management's forecasting process. - Evaluating the discounted cash flow forecast prepared by management of the Group by comparing with the relevant data, including forecast revenue, cost of sales and other operating expenses, contained in the financial budget of subsidiaries and investment in equity accounted investees which was approved by management and taking into account our understanding, experience and knowledge. - Assessing the adequacy of disclosures in the financial statements.



OTHER INFORMATION

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements, or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

RESPONSIBILITIES OF MANAGEMENT AND THOSE CHARGED WITH GOVERNANCE FOR THE FINANCIAL STATEMENTS

Management is responsible for the preparation of the financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as the management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the management either intend to liquidate the Group or to cease operations, or have no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group financial reporting process.

AUDITOR'S RESPONSIBILITIES FOR THE AUDIT OF THE FINANCIAL STATEMENTS

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company and the Group's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure, and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision, and performance of the Group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.



We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or related safeguards applied.

From the matters communicated with those charge with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 3707.

CHARTERED ACCOUNTANTS

Colombo, Sri Lanka
12th June 2025

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME



		Group		Company	
For the year ended 31st March		2025	2024	2025	2024
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Revenue	7	48,741,023	47,258,528	1,386,364	1,231,849
Revenue taxes		(1,236,485)	(1,055,618)	(28,128)	(37,657)
Net revenue		47,504,538	46,202,910	1,358,236	1,194,192
Other income	8	73,409	19,110	164,650	142,488
Staff costs		(7,676,644)	(7,467,911)	(265,141)	(256,374)
Depreciation		(3,928,122)	(3,797,247)	(73,196)	(63,038)
Amortisation and impairment		(1,335,614)	(1,328,625)	(17,510)	(67,820)
Other operating expenses - direct	9	(11,811,417)	(11,831,086)	(384,559)	(398,923)
Other operating expenses - indirect	10	(13,998,925)	(13,486,890)	(592,574)	(699,303)
Profit/(loss) from operations	11	8,827,225	8,310,261	189,906	(148,778)
Finance income		402,121	398,872	127,982	134,912
Finance expenses		(4,323,130)	(5,666,668)	(256,138)	(363,326)
Net financing expense	12	(3,921,009)	(5,267,796)	(128,156)	(228,414)
Share of profit/(loss) of equity accounted investees (net of tax)	20	23,344	(36,314)	-	-
Profit/(loss) before taxation		4,929,560	3,006,151	61,750	(377,192)
Income tax (expense)/reversal	13	(1,341,098)	(1,141,464)	(34,589)	73,370
Profit/(loss) for the year		3,588,462	1,864,687	27,161	(303,822)
Attributable to:					
Equity holders of the parent company		2,290,361	1,140,112	27,161	(303,822)
Non - controlling interests		1,298,101	724,575	-	-
Profit/(loss) for the year		3,588,462	1,864,687	27,161	(303,822)
Earnings/(loss) per ordinary share - Basic/Diluted (Rs.)	14	6.77	3.35	0.04	(0.95)

Figures in brackets indicate deductions.

The notes on pages 188 to 282 form an integral part of these financial statements.



		Group		Company	
For the year ended 31st March		2025	2024	2025	2024
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Profit/(loss) for the year		3,588,462	1,864,687	27,161	(303,822)
Other comprehensive income/(loss)					
Items that will never be reclassified to profit or loss					
Share of other comprehensive income of equity accounted investees (net of tax)	20	24,511	6,459	-	-
Actuarial losses on defined benefit obligations	35.4	(25,051)	(19,927)	(11,578)	(6,752)
Income tax on other comprehensive income	13.8	(7,984)	6,405	3,473	2,026
		(8,524)	(7,063)	(8,105)	(4,726)
Items that are or may be reclassified to profit or loss					
Foreign currency translation differences of foreign operations		(494,289)	(2,626,011)	-	-
Net movement in cashflow hedge	42.5.1.3	679,261	1,501,550	-	-
		184,972	(1,124,461)	-	-
Other comprehensive income/(loss) for the year net of tax		176,448	(1,131,524)	(8,105)	(4,726)
Total comprehensive income/(loss) for the year net of tax		3,764,910	733,163	19,056	(308,548)
Attributable to:					
Equity holders of the parent company		2,392,392	333,676	19,056	(308,548)
Non - controlling interests		1,372,518	399,487	-	-
Total comprehensive income/(loss) for the year net of tax		3,764,910	733,163	19,056	(308,548)

Figures in brackets indicate deductions.

The notes on pages 188 to 282 form an integral part of these financial statements.

STATEMENT OF FINANCIAL POSITION



		Group		Company	
As at		31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
ASSETS					
Non - current assets					
Property, plant and equipment	16	62,949,004	66,183,428	2,059,100	1,911,214
Right-of-use assets	17	12,877,703	14,282,682	-	-
Intangible assets	18	709,092	804,588	2,359	-
Investment in subsidiaries	19	-	-	7,403,043	7,418,461
Investment in equity accounted investees	20	111,040	63,185	992,673	992,673
Other financial assets	21	972,346	975,778	725,524	725,524
Deferred tax assets	22	379,087	359,966	-	-
		77,998,272	82,669,627	11,182,699	11,047,872
Current assets					
Inventories	23	1,494,129	1,426,110	33,821	40,408
Trade and other receivables	24	3,533,366	3,315,811	134,209	140,154
Amounts due from holding company	25	1,547,373	1,068,116	-	-
Amounts due from parent's group entities	26	1,179,532	1,386,708	1,229,699	1,366,866
Deposits and prepayments		772,877	881,417	8,578	21,992
Current tax receivable		14,864	14,895	4,090	3,890
Other financial assets	27	5,462,605	4,029,660	256,191	260,371
Cash and cash equivalents	28	4,096,583	2,297,233	75,302	147,562
		18,101,329	14,419,950	1,741,890	1,981,243
Assets classified as held for sale	29	36,112	-	-	-
Total assets		96,135,713	97,089,577	12,924,589	13,029,115
EQUITY AND LIABILITIES					
Total equity attributable to equity holders of the company					
Stated capital	30	3,554,587	3,554,587	3,554,587	3,554,587
Reserves	31	9,633,125	9,515,479	689,177	689,177
Retained earnings		10,549,912	8,290,016	5,882,962	5,878,756
		23,737,624	21,360,082	10,126,726	10,122,520
Non - controlling interests		10,725,685	9,504,610	-	-
Total equity		34,463,309	30,864,692	10,126,726	10,122,520



		Group		Company	
As at		31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Non - current liabilities					
Interest - bearing liabilities - banks	32	19,568,450	28,562,441	-	318,126
Interest - bearing liabilities - leases	33	9,839,691	11,104,238	-	-
Deferred tax liabilities	34	3,478,676	3,290,299	180,203	149,087
Employee benefits	35	415,317	366,966	65,068	60,733
		33,302,134	43,323,944	245,271	527,946
Current liabilities					
Trade payables		1,581,123	1,503,995	30,030	42,572
Other provisions and payables	36	6,761,338	5,774,814	190,086	171,875
Amounts due to holding company		2,678,158	2,531,875	1,625,148	1,609,944
Amounts due to parent's group entities	37	122,735	75,377	7,666	-
Interest - bearing liabilities - banks	32	9,517,857	5,693,006	318,126	217,205
Interest - bearing liabilities - leases	33	1,118,490	1,379,271	-	-
Current tax payable		634,011	323,908	-	-
Bank overdrafts and other short term borrowings	28	5,956,558	5,618,695	381,536	337,053
		28,370,270	22,900,941	2,552,592	2,378,649
Total liabilities		61,672,404	66,224,885	2,797,863	2,906,595
Total equity and liabilities		96,135,713	97,089,577	12,924,589	13,029,115

The above Statements of Financial Position are to be read in conjunction with notes to the financial statements on pages 188 to 282.

I certify that the financial statements for the year ended 31st March 2025 are in compliance with the requirements of the Companies Act No. 07 of 2007.

Evan Ranasinghe

Head of Finance - Sri Lanka Hotels

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Approved and signed for and on behalf of the Board:

Ms. D.S.T. Jayawardena

Executive Chairperson

12th June 2025

Colombo

Sri Lanka

Dr. M.P. Dissanayake

Managing Director

STATEMENT OF CHANGES IN EQUITY



For the year ended 31st March

	Attributable to equity holders of the parent											
Group	Stated Capital	General Reserve	Fair Value Reserve	Foreign Currency Translation Reserve	Cashflow Hedge Reserve	Revaluation Reserve	Retained Earnings	Total	Non - Controlling Interests	Total Equity		
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000		
Notes												
Balance as at 01 st April 2023	3,554,587	22,929	62,626	10,181,031	(3,109,161)	3,148,179	7,181,065	21,041,256	9,139,015	30,180,271		
Profit for the year	-	-	-	-	-	-	1,140,112	1,140,112	724,575	1,864,687		
Other comprehensive income/(loss) for the year	-	-	10,899	(1,701,954)	900,930	-	(16,311)	(806,436)	(325,088)	(1,131,524)		
Total comprehensive income/(loss) for the year	-	-	10,899	(1,701,954)	900,930	-	1,123,801	333,676	399,487	733,163		
15	-	-	-	-	-	-	(14,850)	(14,850)	-	(14,850)		
Dividends paid to non-controlling interests	-	-	-	-	-	-	-	-	(33,892)	(33,892)		
Balance as at 31 st March 2024	3,554,587	22,929	73,525	8,479,077	(2,208,231)	3,148,179	8,290,016	21,360,082	9,504,610	30,864,692		
Profit for the year	-	-	-	-	-	-	2,290,361	2,290,361	1,298,101	3,588,462		
Other comprehensive income/(loss) for the year	-	-	24,047	(308,237)	407,557	(5,721)	(15,615)	102,031	74,417	176,448		
Total comprehensive income/(loss) for the year	-	-	24,047	(308,237)	407,557	(5,721)	2,274,746	2,392,392	1,372,518	3,764,910		
15	-	-	-	-	-	-	(14,850)	(14,850)	-	(14,850)		
Dividends paid to non-controlling interests	-	-	-	-	-	-	-	-	(151,443)	(151,443)		
Balance as at 31 st March 2025	3,554,587	22,929	97,572	8,170,840	(1,800,674)	3,142,458	10,549,912	23,737,624	10,725,685	34,463,309		

Dividend per ordinary share - (Note No.15) Nil. (2023/24-Nil)

Figures in brackets indicate deductions.

The notes on pages 188 to 282 form an integral part of these financial statements.



For the year ended 31st March

Company	Notes	Stated Capital Rs. '000	General Reserve Rs. '000	Revaluation Reserve Rs. '000	Retained Earnings Rs. '000	Total Equity Rs. '000
Balance as at 01st April 2023		3,554,587	22,929	666,248	6,202,154	10,445,918
Loss for the year		-	-	-	(303,822)	(303,822)
Other comprehensive loss for the year		-	-	-	(4,726)	(4,726)
Total comprehensive loss for the year		-	-	-	(308,548)	(308,548)
Preference dividends for 2022/2023	15				(14,850)	(14,850)
Balance as at 31st March 2024		3,554,587	22,929	666,248	5,878,756	10,122,520
Profit for the year		-	-	-	27,161	27,161
Other comprehensive loss for the year		-	-	-	(8,105)	(8,105)
Total comprehensive income for the year		-	-	-	19,056	19,056
Preference dividends for 2023/2024	15				(14,850)	(14,850)
Balance as at 31st March 2025		3,554,587	22,929	666,248	5,882,962	10,126,726

Dividend per ordinary share - (Note No.15) Nil. (2023/24-Nil)

Figures in brackets indicate deductions.

The notes on pages 188 to 282 form an integral part of these financial statements.

STATEMENT OF CASH FLOWS



		Group		Company	
For the year ended 31st March		2025	2024	2025	2024
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cash flow from operating activities					
Profit/(loss) before taxation					
		4,929,560	3,006,151	61,750	(377,192)
Adjustments for					
Depreciation	11	3,928,122	3,797,247	73,196	63,038
Amortisation of right-of-use assets and intangible assets	11	1,239,352	1,328,625	139	-
Provision of impairment of trade debtors	11	218,704	6,709	1,915	508
Provision of impairment of non financial assets	11	81,816	-	-	-
Provision of impairment of inventories	11	14,504	-	1,954	-
Impairment/(reversal of impairment) of financial assets	11	(58)	43	(1)	(9)
Impairment of investment in subsidiaries and equity accounted investees	11	-	-	15,418	67,820
Interest expense	12	4,323,130	5,666,668	256,138	363,326
Interest income	12	(402,121)	(398,872)	(127,982)	(134,912)
Loss on disposal of property, plant and equipment	8	29,383	15,722	279	2,298
Provision for retirement benefit obligations	35.3	65,184	83,970	11,014	12,275
Share of loss of equity accounted investees (net of tax)	20	(23,344)	36,314	-	-
Effect of movement in exchange rates	8	30,475	224,352	2,995	111,940
Operating profit before working capital changes		14,434,707	13,766,929	296,815	109,092
(Increase)/decrease in inventories		(82,523)	264,882	4,633	3,616
(Increase)/decrease in trade and other receivables		(444,313)	(777,278)	3,831	(51,805)
(Increase)/decrease in amounts due from holding company		(468,594)	(916,404)	-	-
(Increase)/decrease in amount due from parent's group entities		207,260	(392,949)	248,108	(662,765)
(Increase)/decrease in deposits and prepayments		108,540	(86,130)	13,413	17,697
Increase/(decrease) in trade payables		77,128	(55,576)	(12,542)	15,800
Increase/(decrease) in other provisions and payables		982,680	292,576	18,211	12,744
Increase/(decrease) in amounts due to holding company		72,273	1,069,653	97	1,081,926
Increase/(decrease) in amount due to parent's group entities		47,358	(128,892)	7,666	(19,830)
Cash generated from operations		14,934,516	13,036,811	580,232	506,475
Interest expenses paid		(3,567,969)	(4,762,324)	(241,032)	(337,742)
Retirement benefit obligations paid	35	(39,190)	(39,140)	(18,257)	(5,529)
Income taxes paid		(583,954)	(462,895)	-	(3,624)
Net cash flow generated from operating activities		10,743,403	7,772,452	320,943	159,580

(carried forward to next page)

Figures in brackets indicate deductions.



		Group		Company	
For the year ended 31st March		2025	2024	2025	2024
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
(brought forward from previous page)					
Net cash flow generated from operating activities		10,743,403	7,772,452	320,943	159,580
Cash flow from investing activities					
Acquisition of property, plant and equipment	16	(1,603,119)	(1,838,236)	(221,361)	(268,421)
Purchase of intangible assets	18	(17,367)	(11,565)	(2,498)	-
Proceeds from disposal of property, plant and equipment		4,332	3,961	-	-
Proceeds from/(purchase of) term deposits		(1,472,474)	579,062	4,191	174,501
Interest received		394,850	305,915	17,032	31,023
Net cash used in investing activities		(2,693,778)	(960,863)	(202,636)	(62,897)
Cash flow from financing activities					
Repayment of interest bearing liabilities - banks	32	(18,921,240)	(5,811,807)	(217,205)	(177,155)
Proceeds from interest bearing liabilities - banks	32	14,201,283	504,424	-	-
Repayment of interest bearing liabilities - leases	33	(2,036,216)	(2,162,060)	-	-
Dividends paid to equity holders of the parent	15	(14,850)	(14,850)	(14,850)	(14,850)
Dividends paid to shareholders of non - controlling interests		(151,443)	(33,892)	-	-
Net cash used in financing activities		(6,922,466)	(7,518,185)	(232,055)	(192,005)
Net increase/(decrease) in cash and cash equivalents		1,127,159	(706,596)	(113,748)	(95,322)
Cash and cash equivalents at the beginning of the year		(3,321,462)	(2,684,021)	(189,491)	17,771
Effect of movement in exchange rates		334,328	69,155	(2,995)	(111,940)
Cash and cash equivalents at the end of the year	28	(1,859,975)	(3,321,462)	(306,234)	(189,491)
Analysis of cash and cash equivalents at the end of the year					
Cash at bank and in hand		3,281,700	1,848,009	75,302	147,562
Short term deposits		814,883	449,224	-	-
Bank overdrafts and other short term bank borrowings		(5,956,558)	(5,618,695)	(381,536)	(337,053)
Cash and cash equivalents at the end of the year	28	(1,859,975)	(3,321,462)	(306,234)	(189,491)

Figures in brackets indicate deductions.

The notes on pages 188 to 282 form an integral part of these financial statements.



1. REPORTING ENTITY

1.1. Corporate information

Aitken Spence Hotel Holdings PLC (the 'Company') is a public limited liability company incorporated and domiciled in Sri Lanka and listed on the Colombo Stock Exchange. The Company's registered office and the principal place of business is located at No. 315, Vauxhall Street, Colombo 02.

The immediate parent of Aitken Spence Hotel Holdings PLC is Aitken Spence PLC and ultimate parent is Milford Exports (Ceylon) (Pvt) Ltd.

1.2. Consolidated Financial Statements

The consolidated financial statements of the Company as at and for the year ended 31st March 2025 comprise the financial statements of Company and its subsidiaries (together referred to as the "Group" and individually as "Group entities") and the Group's interest in equity-accounted investees.

1.3. Principal activities and nature of operations

The principal activities of the Company are that of an investment holding company and hoteliering, while the principal activities of the subsidiary companies are to engage in the business of hotel operation and auxiliary services (hoteliering). There was no change in the nature of the principal activities of the group entities during the year.

2. BASIS OF PREPARATION

2.1. Statement of compliance

The Consolidated financial statements of the Group and the separated financial statements of the Company have been prepared in accordance with Sri Lanka Accounting Standards (herein referred to as SLFRSs/LKASs), laid down by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka).

These financial statements, except for information on cash flows and items measured at fair value as described in Note No. 2.7, have been prepared following the accrual basis of accounting.

The Group did not adopt any inappropriate accounting treatment, which is not in compliance with the requirements of the SLFRSs and LKASs regulations governing the preparation and presentation of the financial statements.

2.2. Statement of presentation

The Consolidated financial statements of the Group and the separated financial statements of the Company have been prepared in compliance with the requirement of the Companies Act No. 07 of 2007 and provide appropriate disclosures as required by the Listing Rules of the Colombo Stock Exchange.

2.3. Components of Financial Statements

The consolidated financial statements include the following components:

- ◊ a Statement of Profit or Loss and Other Comprehensive Income providing information on the financial performance of the Group and the Company for the year.
- ◊ a Statement of Financial Position providing information on the financial position of the Group and the Company as at the year end.
- ◊ a Statement of Changes in Equity depicting all changes in shareholders' funds during the year under review for the Group and the Company.
- ◊ a Statement of Cash Flow providing information to users on the ability of the of the Group and the Company to generate cash and cash equivalents and utilisation of those cash flows.
- ◊ notes to the financial statements comprising material accounting policies and other explanatory information.

2.4. Responsibility for financial statements

The Board of Directors of the Company acknowledges their responsibility for the financial statements, as set out in the "Annual Report of the Board of Directors", "Statement of Directors' Responsibilities for Financial Statements" and the "Certification on the Statement of Financial Position".

2.5. Reporting date

The financial statements of all companies in the Group are prepared for a common financial year, which ends on 31st March except for Jetan Travel Services Company Pvt Ltd, ADS Resorts Pvt Ltd, Unique Resorts Pvt Ltd, Cowrie Investment Pvt Ltd and Ace Resorts Pvt Ltd whose financial year ends on 31st December.

2.6. Approval of financial statements by Directors

The financial statements of the Group and the Company for the year ended 31st March 2025 were approved and authorised for issue by the Board of Directors on 12th June 2025.

2.7. Basis of measurement

The financial statements of the Group and the Company have been prepared on the historical cost basis, except for the following material items in the Statement of Financial Position.



Item	Basis of Measurement	Note
Land	Measured at cost at the time of acquisition and subsequently at revalued amounts which are the fair values at the date of revaluation	16.3
Financial assets classified as fair value through other comprehensive income	Measured at fair Value	21
Retirement benefit obligations	Measured at the present value of the defined benefit obligation	35
Interest bearing liabilities- leases	Measured at amortised cost using effective interest method	33

2.8. Functional and presentation currency

Items included in these financial statements are measured using the currency of the primary economic environment in which the Company operates (the Functional Currency), which is the Sri Lankan Rupees.

These financial statements are presented in Sri Lankan Rupees. All financial information presented has been rounded to the nearest thousand except where otherwise indicated as permitted by the Sri Lanka Accounting Standard – LKAS 1 on 'Presentation of Financial Statements'.

Each entity in the Group determines its own functional currency and items included in the financial statements of these entities are measured using that Functional Currency.

There was no change in the Group's Presentation and Functional Currency during the year. The financial statements of the Group are presented in Sri Lankan Rupees (LKR) which is the functional currency of the Group entities other than for the companies listed below where the functional currency is either based on the country of incorporation of the respective company or elements that could influence in determining its functional currency.

Company	Country of Incorporation	Functional Currency
ADS Resorts Pvt Ltd	Maldives	USD
Unique Resorts Pvt Ltd	Maldives	USD
Jetan Travel Services Company Pvt Ltd	Maldives	USD
Ace Resorts Pvt Ltd	Maldives	USD
Cowrie Investment Pvt Ltd	Maldives	USD
Aitken Spence Resorts (Middle East) LLC	Oman	Oman Riyal

Aitken Spence Hotel Managements (South India) Pvt Ltd	India	Indian Rupees
Aitken Spence Hotel Services Pvt Ltd	India	Indian Rupees
P.R Holiday Homes Pvt Ltd	India	Indian Rupees
Perumbalam Resorts Pvt Ltd	India	Indian Rupees
Crest Star (B.V.I.) Ltd	British Virgin Island	USD
Aitken Spence Hotel Managements Asia (Pvt) Ltd	Sri Lanka	USD
Aitken Spence Hotels International (Pvt) Ltd	Sri Lanka	USD

2.9. Use of accounting judgements, estimates and assumptions

The preparation of the financial statements of the Group and the Company in conformity with SLFRSs/LKASs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported values of assets, liabilities, income and expenses, accompany disclosures (including contingent liabilities). Those which management has assessed to have the most material effect on the amounts recognised in the consolidated financial statements have been discussed in the individual notes of the related financial statement line items. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making a judgment about the carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are also described in the individual notes of the related financial statement line items below. The Group based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the Group. Such changes are reflected in the assumptions when they occur.



Items that have a significant effect on Judgements, estimates and assumptions and the respective notes that they are included in are as follows,

Item	Note
Going concern	2.12
Valuation of property, plant and equipment	16
Impairment of non-financial assets	3.3 (d)
Recognition of deferred tax assets	22
Measurement of fair value of unquoted investment	21
Measurement of loss rate to compute ECL Allowance for trade receivables	3.3 (d)
Measurement of defined benefit obligations: key actuarial assumptions	35
Measurement of contingent liabilities	3.13 & 39

2.10. Materiality and aggregation

Each material class of similar items is presented separately in the financial statements. Items of dissimilar nature or function are presented separately unless they are immaterial as permitted by the Sri Lanka Accounting Standard – LKAS 1 on 'Presentation of Financial Statements' and amendments to the LKAS 1.

Notes to the financial statements are presented in a systematic manner which ensures the understandability and comparability of financial statements of the Group and the Company. Understandability of the financial statements is not compromised by obscuring material information with immaterial information or by aggregating material items that have different natures or functions.

2.11. Offsetting

Income and expenses are not offset in the income statement, unless required or permitted by Sri Lanka Accounting Standards and as specifically disclosed in the "Material Accounting Policies" of the Company.

2.12. Going concern

The Group has prepared the financial statements for the year ended 31st March 2025 on the basis that it will continue to operate as a going concern.

In determining the basis of preparing the financial statements for the year ended 31st March 2025, based on available information, the management has assessed the prevailing macroeconomic conditions and its effect on the Group companies and the appropriateness of the use of the going concern basis.

The management has formed judgment that the Company, its subsidiaries, associates, and joint ventures have adequate

resources to continue in operational existence for the foreseeable future driven by the continuous operationalisation of risk mitigation initiatives and monitoring of business continuity and response plans at each business unit level along with the financial strength of the Group.

Based on the publicly available information at the date these financial statements were authorised for issue, management considered a number of severe but plausible scenarios with respect to possible impact of the downside economic scenarios and climate related matters.

Furthermore, the Management is not aware of any material uncertainties that may cast significant doubt upon the Group's ability to continue as a going concern.

Having presented the outlook of the Group to the Board, the Directors are satisfied that the Group has adequate resources to continue in operational existence for the foreseeable future. Management concluded that the range of possible outcomes considered at arriving at this judgment does not give rise to material uncertainties related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern.

3. MATERIAL ACCOUNTING POLICIES

There were no changes in material accounting policies used by the Group during the financial year. Further, there were no significant impact to the financial statements of the Group from new or amended accounting standards and interpretations that were required to be incorporated into the financial statements with effect from 01st April 2024.

3.1. Basis of consolidation

The Group's financial statements comprise of the consolidation of financial statements of the company its subsidiaries prepared in terms of Sri Lanka Accounting standard (SLFRS -10) - Consolidated Financial Statements and share of profit and loss and net assets of equity accounted investees prepared in terms of Sri Lanka Accounting standard (LKAS 28) - Investments in Associates and Joint Ventures.

3.1.1. Business combinations

Business combinations are accounted for using the acquisition method as at the acquisition date, which is the date on which control is transferred to the Group.

The Group accounts for business combinations under the acquisition method when the acquired set of activities and assets meets the definition of a business and control is transferred to the Group. In determining whether a particular set of activities and assets is a business, the Group assesses whether the set of assets and activities acquired includes, at a minimum, an input and substantive process and whether the acquired set has the ability to produce outputs.



The Group has an option to apply a 'concentration test' that permits a simplified assessment of whether an acquired set of activities and assets is not a business. The optional concentration test is met if substantially all of the fair value of the gross assets acquired is concentrated in a single identifiable asset or group of similar identifiable assets.

The Group measures goodwill at the acquisition date as the fair value of the consideration transferred plus the recognised amount of any non-controlling interests in the acquiree plus if the business combination achieved in stages, the fair value of the pre-existing interest in the acquiree less the net recognised amount (generally fair value) of the identifiable assets acquired and liabilities assumed, all measured as of the acquisition date. Transaction costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

Any contingent consideration payable is measured at fair value at the acquisition date. If the contingent consideration is classified as equity, then it is not re-measured, and settlement is accounted within equity. Otherwise, subsequent changes in the fair value of the contingent consideration are recognised in the income statement.

The goodwill arising on acquisition of subsidiaries is presented as an intangible asset.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

If the Group's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities of the entity acquired exceed the cost of the acquisition of the entity, the surplus, which is a gain on bargain purchase is recognised immediately in the consolidated income statement.

Where goodwill has been allocated to a cash-generating unit and part of the operation within that unit is disposed of, the goodwill associated with the operation disposed of is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation. Goodwill disposed of in this circumstance is measured based on the relative values of the operation disposed of and the portion of the cash generating unit retained.

3.1.2. Non-controlling interests

The proportion of the profits or losses after taxation applicable to outside shareholders of subsidiary companies is included

under the heading of "Non – controlling interest" in the Consolidated Income Statement. Losses applicable to the non-controlling interests in a subsidiary is allocated to the non-controlling interest even if doing so causes the non-controlling interests to have a deficit balance.

The interest of the minority shareholders in the net assets employed of these companies are reflected under the heading of "Non – controlling interest" in the Consolidated Statement of Financial Position.

Acquisitions of non-controlling interests are accounted for as transactions with equity holders in their capacity as owners and therefore no goodwill is recognised as a result of such transactions. Adjustments to non-controlling interest arising from transactions that do not involve the loss of control are based on a proportionate amount of the net assets of the subsidiary.

3.1.3. Subsidiaries

Subsidiaries are those entities that are controlled by the Group. Control is achieved when the Group is exposed or has rights to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. The Group controls an investee if only if, the Group has:

- ◊ Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- ◊ Exposure or rights to variable returns from its involvement with the investee
- ◊ The ability to use its power over the investee to affect the amount of the investor's returns

When assessing control of an investee, an investor shall consider the purpose and design of the investee in order to identify the relevant activities, how decision about the relevant activities is made, who has the current ability to direct those activities and who receives returns from those activities.

When an investee's purpose and design are considered, it may be clear that an investee is controlled by means of equity instruments that give the holder proportionate voting rights, such as ordinary shares in the investee. In this case in the absence of any additional arrangements that alter decision making, the assessment of control focuses on which party, if any, is able to exercise voting rights sufficient to determine the investee's operating and financing policies. The investor that holds a majority of those voting rights, in the absence of any other factors, controls the investee.



Therefore, Group considers all relevant facts and circumstances in assessing whether it has power over an investee including:

- ◊ The contractual arrangement with the other vote holders of the investee
- ◊ Rights arising from other contractual arrangements
- ◊ The Group's voting rights and potential voting rights

The Group reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the above.

Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Entities that are subsidiaries of another entity which is a subsidiary of the Company are also treated as subsidiaries of the Company.

The accounting policies of subsidiaries have been changed when necessary to align them with the policies adopted by the Group.

3.1.4. Loss of control

When the Group loses control over a subsidiary, the Group derecognises the assets and liabilities of the subsidiary, any non-controlling interests and the other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control is recognised in profit or loss. If the Group retains any interest in the previous subsidiary, then such interest is measured at fair value as at the date that control is lost. Subsequently, it is accounted for an equity accounted investee or as a FVOCI financial asset depending on the level of influence retained.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction.

3.1.5. Investments in equity accounted investees (investments in associates and joint ventures)

Associates are those entities in which the Group has significant influence, but does not have control, over the financial and operating policies. A significant influence is the power to participate in the financial and operating policy decisions of the investee but does not have the control or joint control over those policies. Significant influence is presumed to exist when the Group holds between 20% - 50% of the voting rights of another entity.

Joint ventures are arrangements in which the Group has joint control and have rights to the net assets of the arrangement. The Group has joint control in a venture when there is contractually agreed sharing of control of the venture and the decisions about the relevant activities of the venture require the unanimous consent of the parties sharing control.

The Group determines significant influence or joint control by taking into account similar considerations necessary to determine control over subsidiaries.

The Group's investment in associate and joint venture are treated as equity accounted investees and accounted for using the equity method and are recognised initially at cost, which includes transaction costs. The carrying amount of the investment is increased or decreased to recognise the investor's share of net assets of the investee after the date of acquisition. The investor's share of Investee's profit or loss is recognised in the investor's profit or loss. Distributions received from an investee reduces the carrying amount of the investment. Adjustment to the carrying amount may also be necessary for changes in the investor's proportionate interest in the investee arising from changes in investee's other comprehensive income. Goodwill relating to the associate or joint venture is included in the carrying amount of the investment and not tested for impairment individually.

When the Group's share of losses exceeds its interest in an equity-accounted investee, the carrying amount of that interest, including any long-term investments, is reduced to nil and the recognition of further losses is discontinued except to the extent that the Group has an obligation or has made payments on behalf of the investee. If the Associate subsequently reports profits, the Group resumes recognising its share of those profits only after its share of the profits equal the share of losses not recognised previously.

The statement of profit or loss reflects the Group's share of the results of operations of the associates or joint venture. Any changes in OCI of those investees is presented as part of the Group's OCI. In addition, when there has been a change recognised directly in equity of the associate or joint venture the Group recognises its share of any changes when applicable in the statement of changes in equity.

The aggregate of the Group's share of profit or loss of an associate and a joint venture is shown on the face of the statement of profit or loss outside operating profit and represents profit or loss after tax and non-controlling interests in the subsidiaries of the associate or joint venture.



At each reporting date the Group determines whether there is an objective evidence that the investment in associate or joint venture is impaired. If there is such evidence that the investment in associate or joint venture is impaired, the Group calculates the amount of impairment as the difference between the recoverable amount of the associate or joint venture and its carrying values and then recognises the amount in share of losses of equity accounted investees or joint venture in the income statement.

The Group discontinues the use of the equity method from the date it ceases to have significant influence over an associate or joint control over the joint venture and accounts for the investment in accordance with the Group's accounting policy for financial instruments. Any difference between the carrying amount of the associate or the joint venture upon loss of significant influence or joint control and fair value of the retained investment and proceeds from disposal is recognised in profit or loss.

3.1.6. Intra-group transactions

Transfer prices between Group entities are set on an arms-length basis in a manner similar to transactions with third parties.

3.1.7. Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised gains and losses or income and expenses arising from intra-group transactions, are eliminated in preparing the consolidated financial statements. Unrealised gains arising from transactions with equity accounted investees are eliminated against the investment to the extent of the Group's interest in the investee. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

3.2. Foreign currency

3.2.1. Foreign currency transactions

Transactions in foreign currencies are translated to the respective functional currencies of Group entities at exchange rates at the dates of transactions. Monetary assets and liabilities denominated in foreign currency at the reporting date are retranslated to the functional currency at the exchange rate at that date. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated into the functional currency at the exchange rate when the fair value was determined.

Non-monetary assets and liabilities in a foreign currency that are measured in terms of historical cost are translated using the exchange rate at the date of transaction. Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated to reporting currency using the exchange rate that was prevailing on the date the fair value was determined.

Foreign currency differences arising on retranslation generally are recognised in income statement. However, the following items are recognised in the other comprehensive income.

- i. Differences arising on the retranslation of fair value through other comprehensive income equity investments which was recognised in other comprehensive income. Foreign currency gains and losses are reported on a net basis in the income statement.
- ii. Gains and losses arising from translating the financial statements of foreign operations.
- iii. Qualifying cash flows hedges to the extent that the hedge is effective.

3.2.2. Foreign operations

Group companies incorporated outside Sri Lanka or Sri Lankan companies where the reporting currency other than Sri Lankan Rupees are treated as foreign operations. The assets and liabilities of foreign operations, including goodwill and fair value adjustments arising on acquisition, are translated at the rate of exchange prevailing on the reporting date. The income and expenses of the foreign entities are translated at an exchange rate approximating the actual rate at the time of the transaction. For practical purposes this is presumed to be the average rate for each month.

Foreign currency differences are recognised in other comprehensive income and presented in the foreign currency translation reserve in equity. When a foreign operation is disposed of such that control, significant influence or joint control is lost, the cumulative amount in the translation reserve related to that foreign operation is reclassified to profit or loss as part of the gain or loss on disposal. On the partial disposal of a subsidiary that includes a foreign operation, the relevant proportion of such cumulative amount is reattributed to non-controlling interest, in any other partial disposal of foreign operation, the relevant proportion is reclassified to profit or loss.

Foreign exchange gains or losses arising from a monetary items' receivable from or payable to a foreign operation, the settlement of which is neither planned nor likely to occur in the foreseeable future and which in substance is considered to form part of the net investment in the foreign operation, are recognised in other comprehensive income in the foreign currency translation reserve.

3.3. Financial instruments

(a) Recognition and initial measurement

Trade receivables are initially recognised when they are originated. All other financial assets are initially recognised when the Group becomes a party to the contractual provisions of the instrument.



A financial asset (unless it is a trade receivable without a significant financing component) is initially measured at fair value plus, for an item not at FVTPL, transaction costs that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price.

(b) Classification and subsequent measurement

On initial recognition, a financial asset is classified as measured at: amortised cost; FVOCI – equity investment; or FVTPL.

Financial assets are not reclassified subsequent to their initial recognition unless the Group changes its business model for managing financial assets, in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- ◇ it is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- ◇ its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount of outstanding.

On initial recognition of an equity investment that is not held for trading, the Group may irrevocably elect to present subsequent changes in the investment's fair value in OCI. This election is made on an investment-by-investment basis.

All financial assets not classified as measured at amortised cost or FVOCI as described above are measured at FVTPL. This includes all derivative financial assets. On initial recognition, the Group may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Financial assets - Business model assessment:

The Group makes an assessment of the objective of the business model in which a financial asset is held at a portfolio level because this best reflects the way the business is managed, and information is provided to management. The information considered includes:

- ◇ the stated policies and objectives for the portfolio and the operation of those policies in practice. These include whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of any related liabilities or expected cash outflows or realising cash flows through the sale of the assets;

- ◇ how the performance of the portfolio is evaluated and reported to the Group's management;
- ◇ the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- ◇ how managers of the business are compensated - e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- ◇ the frequency, volume and timing of sales of financial assets in prior periods, the reasons for such sales and expectations about future sales activity.

Transfers of financial assets to third parties in transactions that do not qualify for derecognition are not considered sales for this purpose, consistent with the Group's continuing recognition of the assets. Financial assets that are held for trading or are managed and whose performance is evaluated on a fair value basis are measured at FVTPL.

Financial assets –Assessment whether contractual cash flows are solely payments of principal and interest:

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as a profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making this assessment, the Group considers:

- ◇ contingent events that would change the amount or timing of cash flows;
- ◇ terms that may adjust the contractual coupon rate, including variable-rate features;
- ◇ prepayment and extension features; and
- ◇ terms that limit the Group's claim to cash flows from specified assets (e.g. nonrecourse features).

A prepayment feature is consistent with the solely payments of principal and interest criterion if the prepayment amount substantially represents unpaid amounts of principal and interest on the principal amount outstanding, which may include reasonable additional compensation for early termination of the contract. Additionally, for a financial asset acquired at a discount or premium to its contractual par-amount, a feature that



permits or requires prepayment at an amount that substantially represents the contractual par amount plus accrued (but unpaid) contractual interest (which may also include reasonable additional compensation for early termination) is treated as consistent with this criterion if the fair value of the prepayment feature is insignificant at initial recognition.

Financial assets - Subsequent measurement and gains and losses:

Item	Basis of Measurement
Financial assets at amortised cost	These assets are subsequently measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.
Equity investments at FVOCI	These assets are subsequently measured at fair value. Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are never reclassified to profit or loss.

Financial liabilities - Classification, subsequent measurement and gains and losses

Financial liabilities are classified as measured at amortised. Other financial liabilities are subsequently measured at amortised cost using the effective interest method. Interest expense and foreign exchange gains and losses are recognised in profit or loss. Any gain or loss on derecognition is also recognised in profit or loss.

(c) Derecognition

Financial assets

The Group derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Group neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

The Group enters into transactions whereby it transfers assets recognised in its statement of financial position but retains either all or substantially all of the risks and rewards of the transferred assets.

In these cases, the transferred assets are not derecognised.

Financial liabilities

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled or expire. The Group also derecognises a financial liability when its terms are modified and the cash flows of the modified liability are substantially different, in which case a new financial liability based on the modified terms is recognised at fair value.

On derecognition of a financial liability, the difference between the carrying amount extinguished and the consideration paid (including any non-cash assets transferred or liabilities assumed) is recognised in profit or loss.

(d) Impairment

Non-derivative financial assets

Financial instruments and contract assets

The Group recognises allowances for expected credit losses (ECLs) on financial assets measured at amortised cost.

Loss allowances for trade receivables is always measured at an amount equal to lifetime ECLs.

Loss allowance for debt instruments is measured at 12-month ECL unless credit risk (i.e. the risk of default occurring over the expected life of the financial instrument) of the debt instrument has not increased significantly since initial recognition.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECLs, the Group considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Group's historical experience and informed credit assessment and including forward-looking information.

The Group assumes that the credit risk on a financial asset has increased significantly if it is more than 30 days past due.

The Group considers a financial asset to be in default when:

- ◇ the borrower is unlikely to pay its credit obligations to the Group in full, without recourse by the Group to actions such as realising security (if any is held); or
- ◇ the financial asset is more than 180 days past due.

Lifetime ECLs are the ECLs that result from all possible default events over the expected life of a financial instrument.

12-month ECLs are the portion of ECLs that result from default events that are possible within the 12 months after the reporting date (or a shorter period if the expected life of the instrument is less than 12 months).



The maximum period considered when estimating ECLs is the maximum contractual period over which the Group is exposed to credit risk.

Measurement of ECLs

ECLs are a probability-weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group expects to receive).

ECLs are discounted at the effective interest rate of the financial asset.

Credit-impaired financial assets

At each reporting date, the Group assesses whether financial assets carried at amortised cost are credit impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data:

- ◇ significant financial difficulty of the borrower or issuer;
- ◇ a breach of contract such as a default or being more than 180 days past due;
- ◇ the restructuring of a loan or advance by the Group on terms that the Group would not consider otherwise;
- ◇ it is probable that the borrower will enter bankruptcy or other financial reorganisation; or
- ◇ the disappearance of an active market to a security because of financial difficulties.

Presentation of allowance for ECL in the statement of financial position

Loss allowances for financial assets measured at amortised cost are deducted from the gross carrying amount of the assets.

Write-off

The gross carrying amount of a financial asset is written off when the Group has no reasonable expectations of recovering a financial asset in its entirety or a portion thereof. For individual customers, the Group has a policy of writing off the gross carrying amount when the financial asset is 365 days past due based on historical experience of recoveries of similar assets. For corporate customers, the Group individually makes an assessment with respect to the timing and amount of writeoff based on whether there is a reasonable expectation of recovery. The Group expects no significant recovery from the amount written off. However, financial assets that are written

off could still be subject to enforcement activities in order to comply with the Group's procedures to recovery of amounts due.

Impairment Policy: Non-financial assets

The carrying amounts of the Group's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. For intangible assets that have indefinite useful lives or that are not yet available for use, the recoverable amount is estimated each year at the same time.

The recoverable amount of an asset is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purpose of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets.

An impairment loss is recognised if the carrying amount of an asset exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss.

An impairment loss in respect of other assets, recognised in prior periods, is assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

(e) Hedge accounting and cash flow hedge

'Hedging' is a process of using a financial instrument to mitigate all or some of the risk associated to a hedged item. 'Hedge accounting' changes the timing of recognising the gains and losses on either the hedged item or the hedging instrument so that both are recognised in profit or loss or other comprehensive income in the same accounting period in order to record the economic substance of the relationship between the hedged item and instrument.

At the inception of a hedge relationship, the Group formally designates and documents the hedge relationship to which the Group wishes to apply hedge accounting and the risk management objective and strategy for undertaking the hedge. The documentation includes identification of the hedging instrument, the hedged item or transaction, the nature of the risk being hedged and how the Group will assess the



effectiveness of changes in the hedging instrument's fair value in offsetting the exposure to changes in the hedged item's fair value or cash flows attributable to the hedged risk. Such hedges are expected to be highly effective in achieving offsetting changes in fair value or cash flows and are assessed on a prospective basis according to SLFRS 09 requirements.

The Group holds derivative financial instruments to hedge its foreign currency and interest rate risk exposures. Embedded derivatives are separated from the host contract and accounted for separately if the host contract is not a financial asset and certain criteria are met.

Derivatives are initially measured at fair value. Subsequent to initial recognition, derivatives are measured at fair value, and changes therein are generally recognised in profit or loss.

The Group designates certain derivatives as hedging instruments to hedge the variability in cash flows associated with highly probable forecast transactions arising from changes in foreign exchange rates and interest rates and certain derivatives and non-derivative financial liabilities as hedges of foreign exchange risk on a net investment in a foreign operation.

Cash Flow Hedge

A hedge of an exposure to variability in cash flows that is attributable to a particular risk associated with a recognises asset, liability or a highly probable forecast transaction that could affect the profit or loss is classified as a cash flow hedge.

When a non-derivative financial liability is designated as a cash flow hedging instrument, the effective portion of changes in the fair value of the non-derivative financial liability is recognised in OCI and accumulated in the hedging reserve. The effective portion of changes in the fair value of the non-derivative financial liability that is recognised in OCI is limited to the cumulative change in fair value of the hedged item, determined on a present value basis, from inception of the hedge. Any ineffective portion of changes in the fair value of the non-derivative financial liability is recognised immediately in profit or loss.

If the hedge no longer meets the criteria for hedge accounting (after taking into account any rebalancing of the hedging relationship) or the hedging instrument is sold, expires, is terminated or is exercised, then hedge accounting is discontinued prospectively. When hedge accounting for cash flow hedges is discontinued, the amount that has been accumulated in the hedging reserve remains in equity until, for a hedge of a transaction resulting in the recognition of a non-financial item, it is included in the non-financial item's cost on its initial recognition or, for other cash flow hedges, it is reclassified to profit or loss in the same period or periods as the hedged expected future cash flows affect profit or loss.

If the hedged future cash flows are no longer expected to occur, then the amounts that have been accumulated in the hedging reserve and the cost of hedging reserve are immediately reclassified to profit or loss.

3.4. Stated capital

Ordinary shares

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity.

Preference Shares

Preference Share capital is classified as equity if it is non-redeemable or redeemable only at the Company's option and any dividends are discretionary. Dividends thereon are recognised as distributions within equity upon approval by the Company's shareholders.

Preference share capital is classified as a financial liability if it is redeemable on a specific date or at the option of the shareholders, or if dividend payments are not discretionary. Dividends thereon are recognised as interest expense in income statement as accrued.

3.5. Assets and bases of their valuation

3.5.1. Property, plant and equipment

3.5.1.1. Recognition and measurement

Items of property, plant and equipment other than land, are stated at costs less accumulated depreciation and accumulated impairment losses.

The cost of property, plant and equipment comprises its purchase price and any directly attributable costs of bringing the asset to working condition for its intended use. The cost of self-constructed assets includes the cost of materials, direct labour and any other costs directly attributable to bringing the asset to the working condition of its intended use. This also includes the costs of dismantling and removing the items and restoring the site on which they are located and borrowing costs on qualifying assets.

All items of property, plant and equipment are recognised initially at cost.

The Group recognises land owned by them in the statement of financial position at their revalued amount. Revaluations are performed with sufficient regularity such that the carrying amount does not differ materially from that which would be determined using fair values at the end of each reporting period. If the fair values of land do not change other than by a significant amount at each reporting period, the Group will revalue such land every five years.



Any surplus arising on the revaluation is recognised in other comprehensive income except to the extent that the surplus reverses a previous revaluation deficit on the same asset recognised in income statement, in which case the credit to that extent is recognised in income statement. Any deficit on revaluation is recognised in the income statement except to the extent that it reverses a previous revaluation surplus on the same asset, in which case the debit to that extent is recognised in other comprehensive income. Therefore, revaluation increases and decreases cannot be offset, even within a class of assets.

External, independent qualified valuers having appropriate experience in valuing properties in locations of properties being valued, value the land owned by the Group based on market values, this is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The details of the land valuation are disclosed in Note No. 16.3.2 to the financial statements.

Upon disposal, any related revaluation reserve is transferred from the revaluation reserve to accumulated profits and is not taken into account in arriving at the gain or loss on disposal.

Gains and losses on disposal of an item of property, plant and equipment are determined by comparing the proceeds from disposal with the carrying amount of property, plant and equipment and are recognised net within other income in income statement.

3.5.1.2. Significant components of property, plant and equipment

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items of property plant and equipment and depreciated separately based on their useful life.

3.5.1.3. Subsequent costs

The cost of replacing a component of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied with the item will flow to the Group, and the cost of the item can be measured reliably. The costs of the day-to-day servicing and any other costs are recognised in the income statement as and when incurred.

3.5.1.4. Depreciation

Depreciation is based on the cost of an asset less its residual value.

Depreciation is recognised in the income statement on a straight-line basis over the estimated useful lives of each component of an item of property, plant and equipment. Depreciation of an asset begins when it is available for use and

ceases at the earlier date that the asset is classified as held for sale or on the date that the asset is disposed of.

For assets acquired during the year, depreciation is charged for the full month in which the asset is available for use, regardless of the exact date of acquisition. This policy is consistently applied across all classes of depreciable assets in the Group.

Leased assets are depreciated over the shorter of the lease term and their useful lives unless it is reasonably certain that the Group will obtain ownership by the end of the lease term.

The estimated useful lives are as follows:

◇ Leasehold Premises	Over the remaining lease period
◇ Buildings	08- 50 years
◇ Plant and Equipment	10-20 years
◇ Kitchen Equipment	05 -15 years
◇ Office Equipment	03- 10 years
◇ Sports Equipment	05-10 years
◇ Motor Vehicles	04-06 years
◇ Motorboats	05 years
◇ Swimming Pool and Equipment	15- 30 years
◇ Furniture and Fittings	10- 20 years
◇ Crockery, Cutlery and Glassware	03-05 years
◇ Soft Furnishing	03-05 years

Depreciation is not provided on land and assets under construction.

The depreciation methods, useful lives and residual values are reviewed at each financial year end and adjusted if appropriate.

3.5.2. Leases

At inception of a contract, the Group assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group uses the definition of a lease in SLFRS 16.

• As a lessee

At commencement or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of its relative stand-alone prices. However, for the



leases of property the Group has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.

The Group recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term, unless the lease transfers ownership of the underlying asset to the Group by the end of the lease term or the cost of the right-of-use asset reflects that the Group will exercise a purchase option. In that case the right-of-use asset will be depreciated over the useful life of the underlying asset, which is determined on the same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Group's incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate.

The Group determines its incremental borrowing rate by obtaining interest rates from various external financing sources and makes certain adjustments to reflect the terms of the lease and type of the asset leased.

Lease payments included in the measurement of the lease liability comprise the following:

- ◊ fixed payments, including in-substance fixed payments;
- ◊ variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- ◊ amounts expected to be payable under a residual value guarantee; and
- ◊ the exercise price under a purchase option that the Group is reasonably certain to exercise, lease payments in an optional renewal period if the Group is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Group is reasonably certain not to terminate early.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Group's estimate of the amount expected to be payable under a residual value guarantee, if the Group changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

The Group presents right-of-use assets that do not meet the definition of investment property in 'right of use assets and lease liabilities in 'interest - bearing liabilities - leases' in the statement of financial position.

Lease modifications

The Group shall account for a lease modification as a separate lease if both:

- a. the modification increases the scope of the lease by adding the right to use one or more underlying assets; and
- b. the consideration for the lease increases by an amount commensurate with the stand-alone price for the increase in scope and any appropriate adjustments to that stand-alone price to reflect the circumstances of the particular contract.

For a lease modification that is not accounted for as a separate lease, at the effective date of the lease modification the Group shall:

- a. allocate the consideration in the modified contract
- b. determine the lease term of the modified lease
- c. remeasure the lease liability by discounting the revised lease payments using a revised discount rate. The revised discount rate is determined as the interest rate implicit in the lease for the remainder of the lease term, if that rate can be readily determined, or the lessee's incremental borrowing rate at the effective date of the modification, if the interest rate implicit in the lease cannot be readily determined.

For a lease modification that is not accounted for as a separate lease, the Group shall account for the remeasurement of the lease liability by:



- a. decreasing the carrying amount of the right-of-use asset to reflect the partial or full termination of the lease for lease modifications that decrease the scope of the lease. The lessee shall recognise in profit or loss any gain or loss relating to the partial or full termination of the lease.
- b. making a corresponding adjustment to the right-of-use asset for all other lease modifications.

Short-term leases and leases of low-value assets

The Group has elected not to recognise right-of-use assets and lease liabilities for leases of low-value assets and short-term leases, including IT equipment. The Group recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

• As a lessor

At inception or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of their relative standalone prices.

When the Group acts as a lessor, it determines at lease inception whether each lease is a finance lease or an operating lease.

To classify each lease, the Group makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not, then it is an operating lease. As part of this assessment, the Group considers certain indicators such as whether the lease is for a major part of the economic life of the asset.

When the Group is an intermediate lessor, it accounts for its interests in the head lease and the sub-lease separately. It assesses the lease classification of a sub-lease with reference to the right-of-use asset arising from the head lease, not with reference to the underlying asset. If a head lease is a short-term lease to which the Group applies the exemption described above, then it classifies the sub-lease as an operating lease.

If an arrangement contains lease and non-lease components, then the Group applies SLFRS 15 to allocate the consideration in the contract.

The Group applies the derecognition and impairment requirements in SLFRS 9 to the net investment in the lease. The Group further regularly reviews estimated unguaranteed residual values used in calculating the gross investment in the lease.

3.5.3. Intangible assets

Initial Recognition and measurement

The Group recognises intangible assets if it is probable that the expected future economic benefits that are attributable to the asset will flow to the entity and the cost of the asset can be measured reliably.

Separately acquired intangible assets are measured on initial recognition at cost. The cost of such separately acquired intangible assets includes the purchase price, import duties, non-refundable purchase taxes and any directly attributable cost of preparing the asset for its intended use.

The cost of intangible assets acquired in a business combination is the fair value of the asset at the date of acquisition.

Subsequent costs

Subsequent expenditure on intangible assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates.

Subsequent Measurement

After initial recognition an intangible asset is stated at its costs less any accumulated amortisation and any accumulated impairment losses.

The useful economic life of an intangible asset is assessed to be either finite or indefinite.

Intangible assets with finite lives are amortised over the useful economic life of the asset. The amortisation period and the amortisation method for an intangible asset with a finite useful life is reviewed at least at the end of each reporting date. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the income statement.

Intangible assets with indefinite useful lives are not amortised, but are tested for impairment annually, either individually or at the cash-generating unit level. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

3.5.3.1. Goodwill

Goodwill that arises upon the acquisition of subsidiaries is included in intangible assets, the policy on measurement of goodwill is at initial recognition.



GRI 201-3

Subsequent measurement

Goodwill is measured at cost less accumulated impairment losses. In respect of equity accounted investees, the carrying amount of goodwill is included in the carrying amount of the investment, and impairment loss on such an investment is allocated to the carrying amount of the equity accounted investee.

3.5.3.2. Computer software

All computer software cost incurred, licensed for use by the Group, which does not form an integral part of related hardware, and which can be clearly identified, reliably measured and it is probable that they will lead to future economic benefits are included under intangible assets and carried at cost less accumulated amortisation and any accumulated impairment losses.

Subsequent measurement

Expenditure incurred on software is capitalised only when it is probable that this expenditure will enable the asset to generate future economic benefits in excess of its originally assessed standards of performance and this expenditure can be measured and attributed to the asset reliably.

Amortisation

Amortisation is calculated over the cost of the asset, or other amount substituted for cost, less its residual value.

Amortisation is recognised in the income statement on a straight-line basis over the estimated useful lives of intangible assets, other than goodwill, from the date that they are available for use, since this most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset. The estimated useful lives for the current and comparative periods are three years.

Amortisation methods, useful lives and residual values are reviewed at each financial year end and adjusted if appropriate.

3.5.4. Inventories

Inventories are measured at the lower of cost and net releasable value. The cost of inventories is based on a weighted average principle and includes expenditure incurred in acquiring the inventories and bringing them to their existing location and condition.

Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses.

3.5.5. Cash and cash equivalents

Cash and short-term deposits comprise of cash in hand and short-term, highly liquid investments that are readily convertible to a known amounts of cash with an original

maturity of less than or equivalent to three months. Cash and short-term deposits are subject to insignificant risk of change in value.

Bank borrowings that are payable on demand or repayable within three months are treated as bank overdrafts and other short-term borrowings.

Cash and short-term deposits together with bank overdrafts and other short-term borrowings form an integral part of the Group's cash management activities and are included as a component of cash and cash equivalents for the purpose of preparing the statement of cash flows.

3.6. Liabilities and Provisions

3.6.1. Liabilities

Liabilities classified as current liabilities on the statement of financial position are those which fall due for payment on demand or within one year of the reporting date. Non-current liabilities are those balances payable after one year from the reporting date.

All known liabilities are accounted for in the statement of financial position.

3.6.2. Provisions

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefit will be required to settle the obligation.

Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflect current market assessments of the time value of money and the risks specific to the liability. The unwinding of discount is recognised as a financial cost.

3.7. Employee benefits

3.7.1. Defined contribution plan

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions to a separate entity and will have no legal or constructive obligations to pay further amounts. Obligations for contributions to defined contribution plan, are recognised as an employee benefit expense in income statement in the periods during which services are rendered by employees.

3.7.1.1. Provident fund and trust fund – Sri Lanka

All employees in Sri Lanka are members of the Employees' Provident Fund and Employees' Trust Fund, to which employers contribute 12% - 15% and 3% respectively of such employees' basic or consolidated wage or salary, cost of living and all other allowances.



3.7.1.2. Contribution to Retirement Pension Scheme-Maldives

All Maldivian employees of the Group are members of the Retirement Pension Scheme established in the Maldives. The Group contributes 7% of the pensionable wage of such employees to this scheme. Employers' obligations for contributions to pension scheme is recognised as an employee benefit expense in income statement in the periods during which services are rendered by employees.

3.7.1.3. Employee Provident Fund - India

Group companies in India contribute a sum of 12% of the basic salaries of local employees and 12% of gross salary for foreign employees as provident fund benefits to the Employee Provident Organisation of India.

3.7.1.4. Defined contribution Fund - Oman

Group companies in Oman contribute a sum of 13.5% of the Omani employee's gross salary and 1% from expat's employee's gross salary w.e.f. August 2024 in accordance with Social Security Insurance Law. Contributions to a defined contribution retirement plan are recognised as an expense in the statement of comprehensive income as incurred.

3.7.2. Defined Benefit Plans – retiring gratuities

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan.

3.7.2.1 Retiring Gratuity – Sri Lanka

The liability recognised in the statement of financial position in respect of defined benefit plans is the present value of the defined benefit obligation at the reporting date. The defined benefit obligation is calculated annually using the Projected Unit Credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash flows using interest rates that are denominated in the currency in which the benefits will be paid, and that have terms of maturity approximating to the terms of the liability.

The defined benefit plan is valued by a professionally qualified external actuary.

Provision has been made in the financial statements for retiring gratuities from the first year of service for all employees. However, according to the Payment of Gratuity Act No. 12 of 1983, the liability for payment to an employee arises only after the completion of 5 years continued service.

When the benefits of a plan are changed or when a plan is curtailed, the resulting change in benefit that related to past service or the gain or loss on curtailment is recognised immediately in profit or loss. The Group recognises gains and losses on the settlement of defined benefit plans when the settlement occurs.

The liability is not externally funded.

The Group recognises all actuarial gains and losses arising from defined benefit plans in other comprehensive income and all expenses related to defined benefit plans in staff cost in income statement.

3.7.2.2. Defined Benefit Plans – Oman

Gratuity is provided as per the labour law of Sultanate of Oman due to expatriate employees upon termination/completion of employment which is computed based on one month's basic salary for each year of employment.

3.7.2.3. Defined Benefit Plans – India

A liability is provided for employees in India based on a valuation made by an independent actuary using unit credit method for payment of gratuity at the rate of 15/26 times the monthly qualifying salary for each year of service.

3.7.3. Short-term employee benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short-term cash bonus if the Group has a present legal or constructive obligation to pay this amount as a result of past service rendered by the employee and the obligation can be measured reliably.

3.8. Revenue and Income

Group revenue represents sales to customers outside the Group and excludes value added tax.

3.8.1. SLFRS 15- Revenue from contracts with Customers

SLFRS 15 established a comprehensive framework for determining how much and when revenue is recognised. Revenue is measured based on the consideration specified in a contract with a customer. Under SLFRS 15, the Group revenue is recognise when a customer obtains control of the goods or services – Determining the timing of the transfer of control – at a point in time or over time requires judgement.

Under SLFRS 15, revenue is recognised to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognition will not occur.

The following specific criteria are used for the purpose of recognition of revenue:

- ◊ Apartment revenue is recognised for the rooms occupied on a daily basis. All revenues are recognised on an accrual basis over the time of the duration of the stay of the customer and matched with the related expenditure where they simultaneously receive and consume the benefits of the services rendered.



GRI 207-1

GRI 207-2

- ◇ Restaurant revenue includes the revenue recognised on the sale food and beverage. All revenue is accounted for at the time of sale.
- ◇ Bar revenue is accounted for at the time of sale.
- ◇ The spa is operated by a third party and invoices are raised together with the spa bills. Spa related revenue is recognised gross after completion of service / treatments.
- ◇ Transfers and excursions include the consideration earned from providing excursions to customers that represents sea plane and boat transfers services provided to customers who enter into contacts with Maldives Hotels. Revenue is recognised for at the time of rendering the service.
- ◇ Telephone, laundry, diving and windsurfing represent the services provided to customers which are implied as business practice in the industry. All revenue is recognised at the time of rendering the service.
- ◇ Management fee represents the fees for managing hotels that are computed based on the industry norms. All revenue is recognised at the time of provision of management services.

3.8.2. Other income

- ◇ Rent and shop income represents the rental income arising from renting space on the hotel premises. All revenue is recognised on a straight-line basis over the term of hire.
- ◇ Dividend income is recognised when the right to receive dividends is established, which is generally when the dividend is declared. Dividend income is included under other operating income.

3.9. Expenses

All expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency has been charged to income statement in arriving at the profit for the year.

3.10. Finance Income/ (Expenses)

Finance income comprises interest income on funds invested. Gains on the disposal of interest generating investment classified under financial assets measured at amortised cost is recognised under finance income.

Interest income is recognised as it accrues in the income statement, using the effective interest method.

Finance expenses comprise interest expenses on borrowings and interest on lease liabilities. Borrowing costs that are not directly attributable to the acquisition, construction or

production of a qualifying asset are recognised in the income statement using the effective interest method. However, borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset that takes a substantial period of time to get ready for its intended use or sale, are capitalised as part of the asset.

3.11. Income tax expenses

Income tax expense comprises both current and deferred tax. Income tax expense is recognised in income statement except to the extent that it relates to items recognised directly in equity, in which case is recognised in the statement of comprehensive income or statement of changes in equity, in which case it is recognised directly in the respective statements.

The Group determined that interest and penalties related to income taxes, including uncertain tax treatments, do not meet the definition of income taxes, and therefore accounted for them under LKAS 37 Provisions, contingent liabilities and contingent assets.

3.11.1. Current taxes

Current tax is the expected tax payable on the taxable income for the year, using tax rates enacted or substantially enacted at the reporting date and any adjustment to tax payable in respect of previous years.

Taxation for the current and previous periods to the extent unpaid is recognised as a liability in the financial statements. When the amount of taxation already paid in respect of current and prior periods exceeds the amount due for those periods, the excess is recognised as an asset in the financial statements.

3.11.2. Companies incorporated in Sri Lanka

Provision for current tax for companies incorporated in Sri Lanka has been computed in accordance with the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

3.11.3. Companies incorporated outside Sri Lanka

Provision for current tax for companies incorporated outside Sri Lanka have been computed in accordance to the relevant tax statutes as disclosed in Note No. 13.2 to the financial statements.

3.11.4. Deferred tax

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes.

Deferred tax is not recognised for temporary differences arising on initial recognition of goodwill, the initial recognition



of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profits and differences relating to investment in subsidiaries and jointly controlled entities to the extent that they probably will not reverse in the foreseeable future.

Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

A deferred tax asset is recognised for unused tax losses and deductible temporary differences to the extent that it is probable that future taxable profits will be available against which they can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Deferred tax assets and liabilities recognised by individual companies within the Group are disclosed separately as assets and liabilities in the Group statement of financial position and are not offset against each other.

3.11.5. Social Security Contribution Levy (SSCL)

Social Security Contribution Levy shall be paid by any person carrying on the business of providing a service, on the liable turnover specified in the second schedule of the Social Security Contribution Levy Act No. 25 of 2022 and its amendments thereto, at the rate of 2.5%.

3.11.6. Transfer Pricing

As prescribed in the Inland Revenue Act No. 24 of 2017 and the Gazette notifications issued on transfer pricing, companies in the Group have complied with the arm's length principles relating to transfer pricing.

3.12. Statement of cash flows

The cash flow statement has been prepared using the "Indirect Method" of preparing cash flows in accordance with the Sri Lanka Accounting Standard – LKAS 7 on 'Statement of Cash Flow', whereby operating activities, investing activities and financing activities are separately recognised.

Cash and cash equivalents comprise of short-term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value.

3.13. Capital commitments and contingencies

Contingencies are possible assets or obligations that arise from a past event and would be confirmed only on the occurrence or non-occurrence of uncertain future events, which are beyond the Group's control. Capital commitments and contingent liabilities of the Group are disclosed in Note No. 48 and 39 to the financial statements.

3.14. Events occurring after the reporting date.

All material post reporting date events have been considered and where appropriate adjustment to or disclosures have been made in the financial statements.

3.15. Earnings per share (EPS)

The Group presents basic and diluted earnings per share (EPS) for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

3.16. Segmental Information

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. All operating segments' operating results are reviewed regularly by the Group's Chairperson and Managing Director to make decisions about resources to be allocated to the segment and assess its performance, and for which discrete financial information is available.

3.16.1. Primary and Secondary Segments

The Group is in the hospitality industry and cannot segment its products and services. The Group manages hotels in two principal geographical areas, namely Sri Lanka sector and South Asia & Middle East sector. In presenting segmental information segment revenue and assets are based on the geographical locations of the assets. The primary segment is considered to be the geographical segments based on the Group's management and internal reporting structure.

i) Segmental information analysed by geographical segments is disclosed in Note No. 06 to the financial statements.

ii) All transfers made between the hotels in the Group are based on normal market price.

4. DETERMINATION OF FAIR VALUES

A number of the Group's accounting policies and disclosures require the determination of fair values, for both financial and non-financial assets and liabilities.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

When measuring fair value of an asset or liability, the Group uses observable market data as far as possible. Fair values are



categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques.

Level 1 inputs are unadjusted quoted prices in active markets for identical assets or liabilities.

Level 2 inputs are inputs other than quoted prices included within Level 1 that are observable for the asset or liability either directly (i.e., as prices) or indirectly (i.e. derived from prices).

Level 3 inputs are inputs that are not based on observable market data (unobservable inputs).

If inputs used to measure the fair value of an asset or liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

Fair values have been determined for measurement and disclosure purposes based on the following methods. Where applicable further information about the assumptions made in determining fair value is disclosed in the notes specific to that asset or liability.

Fair value of non-financial assets

The fair value used by the Group in the measurement of non-financial assets is based on the presumption that the transaction to sell the asset or transfer the liability takes place either in the principal market for the asset or liability, or in the absence of a principal market, in the most advantageous market that is accessible by the Group for the asset or liability.

The fair value of an asset or a liability is measured using the assumptions that market participants would act in their economic best interest when pricing the asset or liability.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

5. NEW ACCOUNTING STANDARDS ISSUED BUT NOT EFFECTIVE AS AT THE REPORTING DATE

A number of new accounting standards are effective for annual reporting periods beginning after 01st January 2025 and earlier application is permitted. However, the Group has not early adopted the following new or amended accounting standards in preparing these consolidated financial statements.

The following amended standards and interpretations are not expected to have a significant impact on the Group's Financial Statements.

SLFRS S1 General requirements for disclosure of sustainability related financial information and SLFRS S2 Climate-related disclosures

SLFRS S1 General Requirements for Disclosure of Sustainability related Financial Information requires an entity to disclose information about its sustainability-related risks and opportunities that is useful to primary users of general-purpose financial reports in making decisions relating to providing resources to the entity.

SLFRS S2 Climate-related Disclosures is to requires an entity to disclose information about its climate-related risks and opportunities that is useful to primary users of general-purpose financial reports in making decisions relating to providing resources to the entity.

These standards will become effective for the Group from 01st January 2025. No financial impact is expected on the Group except for additional disclosures.



6 OPERATING SEGMENTS

The Group manages hotels in two principal geographical areas namely, Sri Lanka and South Asia & Middle East. In presenting segmental information, segment revenue and segmental assets are presented based on the geographical location of the assets. The Group's primary segment is considered to be the geographical segments based on the Group's management and internal reporting structure.

The following tables present revenue, profit information, assets and liabilities based on the Group's operating segments.

	Sri Lankan Sector						South Asia and Middle East Sector		Group	
	Resorts and Hotels		Others		Total		2025	2024	2025	2024
	2025	2024	2025	2024	2025	2024				
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Geographical segmental analysis of Group revenue and profit For the year ended 31st March										
- External revenue	11,966,829	10,458,584	60,317	74,407	12,027,146	10,532,991	36,713,877	36,725,537	48,741,023	47,258,528
- Intra group revenue	12,265	11,848	1,410,606	1,475,614	1,422,871	1,487,462	16,599	-	1,439,470	1,487,462
Total revenue	11,979,094	10,470,432	1,470,923	1,550,021	13,450,017	12,020,453	36,730,476	36,725,537	50,180,493	48,745,990
Total Intra group revenue	(12,265)	(11,848)	(1,410,606)	(1,475,614)	(1,422,871)	(1,487,462)	(16,599)	-	(1,439,470)	(1,487,462)
Net segmental revenue (Revenue from external customers)	11,966,829	10,458,584	60,317	74,407	12,027,146	10,532,991	36,713,877	36,725,537	48,741,023	47,258,528
Profit/(losses) from operations	2,478,983	1,136,442	(328,119)	(134,270)	2,150,864	1,002,172	6,676,361	7,308,089	8,827,225	8,310,261
Finance income	173,746	138,757	27,812	60,966	201,558	199,723	200,563	199,149	402,121	398,872
Finance cost	(955,573)	(1,331,754)	(238,392)	(491,644)	(1,193,965)	(1,823,398)	(3,129,165)	(3,843,270)	(4,323,130)	(5,666,668)
Share of profit/(loss) of equity accounted investees	-	(20,410)	23,344	(15,904)	23,344	(36,314)	-	-	23,344	(36,314)
Profit/(loss) before taxation	1,697,156	(76,965)	(515,355)	(580,852)	1,181,801	(657,817)	3,747,759	3,663,968	4,929,560	3,006,151
Income tax expense	(647,177)	(453,556)	(193,627)	(172,414)	(840,804)	(625,970)	(500,294)	(515,494)	(1,341,098)	(1,141,464)
Profit/(loss) for the year	1,049,979	(530,521)	(708,982)	(753,266)	340,997	(1,283,787)	3,247,465	3,148,474	3,588,462	1,864,687
Capital expenditure	644,224	453,213	572	1,038	644,796	454,251	975,690	1,395,550	1,620,486	1,849,801
Depreciation, amortisation and impairment	759,706	734,474	837	2,028	760,543	736,502	4,503,193	4,389,370	5,263,736	5,125,872
Other non-cash expenses	45,054	45,121	75,165	(553)	120,219	44,568	193,052	61,876	313,271	106,444
Geographical segmental analysis of Group assets and liabilities As at 31st March										
Segmental non - current assets	15,896,228	15,994,602	276,484	262,350	16,172,712	16,256,952	61,714,520	66,349,490	77,887,232	82,606,442
Segmental current assets	6,584,281	5,061,706	788,682	1,648,601	7,372,963	6,710,307	10,728,366	7,709,643	18,101,329	14,419,950
Segmental assets classified as held for sale	-	-	-	-	-	-	36,112	-	36,112	-
Equity accounted investees	-	-	111,040	63,185	111,040	63,185	-	-	111,040	63,185
Total Assets	22,480,509	21,056,308	1,176,206	1,974,136	23,656,715	23,030,444	72,478,998	74,059,133	96,135,713	97,089,577
Segmental non - current liabilities	7,461,584	12,128,977	677,859	1,589,368	8,139,443	13,718,345	25,162,691	29,605,599	33,302,134	43,323,944
Segmental current liabilities	11,331,148	7,327,184	1,478,132	2,546,022	12,809,280	9,873,206	15,560,990	13,027,735	28,370,270	22,900,941
Total Liabilities	18,792,732	19,456,161	2,155,991	4,135,390	20,948,723	23,591,551	40,723,681	42,633,334	61,672,404	66,224,885
Net Assets	3,687,777	1,600,147	(979,785)	(2,161,254)	2,707,992	(561,107)	31,755,317	31,425,799	34,463,309	30,864,692



7 REVENUE

7.1 Revenue breakdown

	Group		Company	
For the year ended 31st March	2025	2024	2025	2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Total revenue	50,180,493	48,745,990	1,386,364	1,231,849
Intra group revenue	(1,439,470)	(1,487,462)	-	-
Revenue excluding intra group revenue	48,741,023	47,258,528	1,386,364	1,231,849
Revenue tax	(1,236,485)	(1,055,618)	(28,128)	(37,657)
Net revenue	47,504,538	46,202,910	1,358,236	1,194,192

7.2 Revenue streams

The companies in the Group are primarily involved in hoteliering and generate revenue from provision of accommodation, food, beverages and other related services to customers. Other sources of revenue include income from renting the hotel spaces to provide other value added services to customers.

	Group		Company	
For the year ended 31st March	2025	2024	2025	2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Revenue from contracts with customers	48,249,854	46,761,738	1,382,864	1,230,592
Other revenue				
- Rent and shop income	491,169	496,790	3,500	1,257
Total	48,741,023	47,258,528	1,386,364	1,231,849

7.3 Disaggregation of revenue from contracts with customers

7.3.1 Type of service rendered

	Group		Company	
For the year ended 31st March	2025	2024	2025	2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Apartment revenue	21,080,336	20,714,356	389,537	337,850
Restaurant revenue	12,606,717	11,978,393	811,879	768,461
Bar revenue	6,908,012	6,659,619	143,909	105,797
Spa and ayurvedic related income	1,077,392	982,636	30,881	17,221
Transfers and excursions income	5,443,297	5,074,997	-	38
Telephone charges income	413	607	7	-
Diving and windsurfing income	1,024,768	1,234,203	-	-
Laundry revenue	48,602	42,520	6,651	1,225
Management fees income	60,317	74,407	-	-
	48,249,854	46,761,738	1,382,864	1,230,592
Rent and shop income	491,169	496,790	3,500	1,257
Total	48,741,023	47,258,528	1,386,364	1,231,849



7.3.2 Geographical markets

	Group		Company	
For the year ended 31st March	2025	2024	2025	2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
- Sri Lanka	12,027,146	10,532,991	1,386,364	1,231,849
- South Asia and Middle East	36,713,877	36,725,537	-	-
	48,741,023	47,258,528	1,386,364	1,231,849

7.3.3 Timing of Revenue Recognition

	Group		Company	
For the year ended 31st March	2025	2024	2025	2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
- Revenue recognised at a point in time	27,169,518	26,047,382	993,327	892,742
- Revenue recognised over time	21,571,505	21,211,146	393,037	339,107
	48,741,023	47,258,528	1,386,364	1,231,849

7.4 Performance obligations

Performance obligations of a hotel entity mainly include promises which are carried out on a contractually agreed upon task.

Performance obligations of the Group could be mainly summarised as detailed below:

Type of service	Nature and timing of the satisfaction of performance obligation	Significant payment terms
Provision of accommodation	The main obligation in the customer contract is to provide rooms for guests accommodation. This is represented in the apartment revenue reported in the financial statements. This revenue category is recognised when the rooms are occupied on a daily basis over the stay. Invoice is raised to customer on completion of the duration of the stay.	Due within 30 days from the date of invoice.
Provision of food and beverages	The following services are rendered under this performance obligation: 1. Provision of Bed and Breakfast (BB), Half Board (HB) and Full Board (FB) meal for guests occupying the hotels which is as per the contract entered into. Revenue is recognised at the time of the food sale and invoice to the customers on the completion of the stay.	Due within 30 days from the date of invoice.
	2. Provision of extra food and beverages revenue is recognised at the time of sale and invoice to the customers at the time of consumption.	Due at the time of service is rendered.



Type of service	Nature and timing of the satisfaction of performance obligation	Significant payment terms
Transfers and excursions	This obligation is for customers entering into contract with hotels in the Maldives. Sea plane and boat transfers are provided to customers to reach the hotels and back as part of the contracts entered into. Revenue is recognised at the time of provision of service and invoiced to the customers at the time of the completion of the stay.	Due within 30 days from the date of invoice.
Provision of laundry, telephone, water sports , spa services etc.	These services are provided to customers as they are implied as business practices in the industry and create a valid expectation of the customer. Revenue is recognised at the time of provision of service and invoice is raised at the time of service is consumed.	Due at the time of service is rendered.
Management fees	This obligation is for hotels entering in to contracts with hotel management companies. Property management services, handling of employees' related activities, marketing and promotional activities and other related management services are mainly rendered under this performance obligation. Revenue is recognised over the period and invoiced on monthly basis.	Due twice a year on completion of first six months and on completion of year end audit.

Warranties and obligations to refunds and other similar obligations are handled on a case by case basis.

7.5 Allocating the transaction price to performance obligations

In allocating the transaction price to each performance obligation based on the amount that depicts the amount of consideration to which the entity expects to be entitled in exchange for transferring of promised services to the customers.

7.6 Contract Assets and Contract Liabilities

The contract assets primarily relate to the Group's right to consideration for work completed but not billed at the reporting date.

The contract liabilities primarily relate to the advance consideration received from customers for future stay in hotels, for which revenue is recognised over the time.

However companies in the Group recognise considerations or payments received prior to transferring of services to customer against what is rightfully due at the time of transferring the services. These amounts have been recognised as contractual liabilities in the financial statements.

7.6.1 Contract balances

		Group		Company	
As at	Notes	31.03.2025 Rs. '000	31.03.2024 Rs. '000	31.03.2025 Rs. '000	31.03.2024 Rs. '000
Trade receivables	24	3,014,869	3,017,520	133,574	132,069
Contract liabilities	7.6.2	3,240,694	2,418,761	41,276	19,737



7.6.2 Contract liabilities

	Group		Company	
For the year	2024/2025 Rs. '000	2023/2024 Rs. '000	2024/2025 Rs. '000	2023/2024 Rs. '000
Contract liabilities balance as at 01st April	2,418,761	2,143,152	19,737	33,664
Revenue recognised in the reporting period that was included in the contract liability balance at the beginning of the period	(1,890,242)	(1,686,638)	(8,926)	(22,649)
Advances received from customers during the reporting period	34,892,714	25,667,053	469,264	183,554
Revenue recognised in the reporting period from performance obligations satisfied during current period	(31,982,006)	(23,512,050)	(438,799)	(174,832)
Write back of unutilised old reservation advances	(126,101)	(14,030)	-	-
Effect of movement in exchange rates	(72,432)	(178,726)	-	-
Contract liabilities balance as at 31st March (Note 36)	3,240,694	2,418,761	41,276	19,737

8 OTHER INCOME (NET)

	Group		Company	
For the year ended 31st March	2025 Rs. '000	2024 Rs. '000	2025 Rs. '000	2024 Rs. '000
Recreation income	10,607	34,769	284	137
Dividends from Group subsidiaries and equity accounted investees	-	-	165,073	254,226
Dividends from equity securities at FVOCI	-	1,344	-	-
Loss on disposal of property, plant and equipment	(29,383)	(15,722)	(279)	(2,298)
Net foreign exchange loss	(30,475)	(224,352)	(2,995)	(111,940)
Insurance claims received	63,440	146,710	-	-
Sundry income	59,220	76,361	2,567	2,363
Total	73,409	19,110	164,650	142,488

9 OTHER OPERATING EXPENSES - DIRECT

Other operating expenses - direct disclosed in the income statement refers to the cost of material and services other than staff costs, which are directly related to revenue.

10 OTHER OPERATING EXPENSES - INDIRECT

	Group		Company	
For the year ended 31st March	2025 Rs. '000	2024 Rs. '000	2025 Rs. '000	2024 Rs. '000
Administration and establishment	4,736,973	4,452,706	226,142	244,673
Repairs and maintenance	1,960,791	1,974,423	78,698	139,032
Energy	3,151,903	3,744,816	130,115	204,863
Selling and marketing	3,351,178	2,585,205	104,213	73,636
Management fees	798,080	729,740	53,406	37,099
Total	13,998,925	13,486,890	592,574	699,303



11 PROFIT/(LOSS) FROM OPERATIONS

Profit/(loss) from operations is stated after charging all expenses including the following:

		Group		Company	
For the year ended 31st March	Notes	2025 Rs. '000	2024 Rs. '000	2025 Rs. '000	2024 Rs. '000
Cost of inventories and services		11,811,417	11,831,086	384,559	398,923
Directors fees and emoluments		Nil	Nil	Nil	Nil
Auditors' remuneration					
- KPMG		15,732	15,107	1,525	1,386
- Other auditors		4,714	5,178	-	-
Fees paid to Auditors for non audit services					
- KPMG		7,551	3,339	2,630	423
- Other auditors		26,275	14,588	-	-
Depreciation of property, plant and equipment	16	3,928,122	3,797,247	73,196	63,038
Amortisation and impairment					
- Amortisation of right-of-use assets and intangible assets	17/18	1,239,352	1,328,625	139	-
- Impairment of investment in subsidiaries and equity accounted investees		-	-	15,418	67,820
- Impairment of non financial assets	18	81,816	-	-	-
- Impairment of inventories	23	14,504	-	1,954	-
- Impairment / (reversal of impairment) of financial assets		(58)	43	(1)	(9)
Donations		1,132	361	-	-
Defined contribution plan cost - EPF		88,566	75,947	18,754	16,337
Defined contribution plan cost - ETF		23,585	24,365	4,619	3,995
Defined contribution plan cost - India		19,584	14,555	-	-
Defined contribution plan cost - Oman		18,928	16,806	-	-
Defined contribution plan cost - Maldives		76,728	89,570	-	-
Defined benefit plan cost - retirement benefit	35.3	65,184	83,970	11,014	12,275
Impairment of trade receivables	42.3	218,704	6,709	1,915	508
Legal expenses		15,729	6,478	2,126	2,056
Expenses relating to short-term leases and leases of low value assets	33.5	448,503	439,066	-	-

12 NET FINANCING EXPENSE

		Group		Company	
For the year ended 31st March		2025 Rs. '000	2024 Rs. '000	2025 Rs. '000	2024 Rs. '000
Finance income					
Interest income on financial assets measured at amortised cost		402,121	398,872	127,982	134,912
Total finance income		402,121	398,872	127,982	134,912
Finance expenses					
Interest expense on financial liabilities measured at amortised cost		(3,654,599)	(4,875,190)	(256,138)	(363,326)
Interest expense on lease liabilities		(668,531)	(791,478)	-	-
Total finance expenses		(4,323,130)	(5,666,668)	(256,138)	(363,326)
Net finance expense		(3,921,009)	(5,267,796)	(128,156)	(228,414)



13 INCOME TAX EXPENSE

The income tax provision of Aitken Spence Hotel Holding PLC, its subsidiaries and equity accounted investees which are resident in Sri Lanka is calculated in accordance with the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

Aitken Spence Hotel Holdings PLC, being a Company engaged in the promotion of tourism is liable for tax at a standard rate of 30% in terms of the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

Income tax expense for the year includes, Advance Income Tax (AIT) / Withholding Tax (WHT) of 15% deducted on the dividend distributions made by resident companies of the Group from their taxable profits.

The Group has adjusted any adjustments relating to income tax payable or receivable balances in respect of previous years.

The taxation details of the other companies in the Group are disclosed in Note 13.1, 13.2 and 13.3.

13.1 Sri Lankan operations

Companies incorporated in Sri Lanka and operating outside Sri Lanka

The business profits and income of Aitken Spence Hotel Management Asia (Pvt) Ltd and Aitken Spence Hotels International (Pvt) Ltd are exempt from income tax up to 31st March 2025, in terms of the Inland Revenue Act No. 24 of 2017 and its amendments thereto as service rendered in or outside Sri Lanka to any person to be utilised outside Sri Lanka, where the payment for such services is received in foreign currency through a bank. From 1st April 2025 such income would be liable to tax at the concessionary tax rate of 15% and companies are entitled to deduct income tax paid in foreign jurisdictions as foreign tax credits Management fee income and dividend income received from Republic of Maldives is subject to 10% withholding tax at source as per the Income Tax Act of Republic of Maldives and the profits earned by the Company in Oman is taxed at 15%.

Companies liable to income tax at standard rate

The business profits and income of Hethersett Hotels Ltd, Aitken Spence Hotels Ltd, Kandalama Hotels (Pvt) Ltd, and Turyaa (Pvt) Ltd, being companies engaged in the promotion of tourism are liable for tax at a standard rate of 30% in terms of the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

The business profits and income of Neptune Ayurvedic Village (Pvt) Ltd arising from leasing out land, is liable for tax at a standard rate of 30% in terms of the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

Companies exempt from income tax

The business profits of Ahungalla Resorts Ltd is exempt from income tax under section 17A of Inland Revenue (amendment) Act No. 8 of 2012 for a period of 12 years ending 2029/30.

13.2 Overseas operations

Companies incorporated and operating outside Sri Lanka are liable for income tax in accordance with the provisions of the foreign jurisdictions applicable to overseas companies.

The business profits of Jetan Travel Services Company (Pvt) Ltd, Cowrie Investment (Pvt) Ltd, ADS Resorts (Pvt) Ltd, Unique Resorts (Pvt) Ltd, Ace Resorts (Pvt) Ltd, Crest Star (BVI) Ltd, PR Holiday Homes (Pvt) Ltd, Perumbalam Resorts (Pvt) Ltd, Aitken Spence Hotel Services Ltd, Aitken Spence Hotel Managements South India (Pvt) Ltd and Aitken Spence Resorts [Middle East] LLC, being non resident companies in Sri Lanka and not deriving Income from Sri Lanka are out of the Scope of Income Taxation in Sri Lanka.

The business profits of Jetan Travel Services Company (Pvt) Ltd, Cowrie Investment (Pvt) Ltd, ADS Resorts (Pvt) Ltd, Ace Resorts (Pvt) Ltd and Unique Resorts (Pvt) Ltd which are incorporated in the Republic of Maldives are liable for corporate tax in Maldives at a rate of 15% as per Income Tax Act of Republic of Maldives.

Crest Star (BVI) Ltd, a company incorporated in the British Virgin Islands is exempt from Income Tax.

The business profits of PR Holiday Homes (Pvt) Ltd, Perumbalam Resorts (Pvt) Ltd and Aitken Spence Hotel Services (Pvt) Ltd; being Companies incorporated in India is liable for tax at a rate of 25.17% in India, when the Company commences commercial operations.

The business profits of Aitken Spence Hotel Managements South India (Pvt) Ltd, being a Companies incorporated in India is liable to an effective income tax rate of 25.17% as per the Indian tax law.

The business profits of Aitken Spence Resorts (Middle East) LLC, being a Company incorporated in Oman is liable for corporate tax rate of 15% as per the Oman tax law.



13.3 Associate and joint venture companies

The business profits and income of Browns Beach Hotels PLC arising from leasing of land to Negombo Beach Resorts (Pvt) Ltd to construct and operate a Hotel is liable for income tax at a standard rate of 30% in terms of the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

The business profits of Negombo Beach Resorts (Pvt) Ltd, is exempt from income tax under section 17 A of Inland Revenue (amendment) Act No. 08 of 2012 for a period of 12 years ending 2029/30.

The business profits and income of Amethyst Leisure Ltd, is liable for income tax at a standard rate of 30% in terms of the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

The business profits and income of Paradise Resorts Passikudah (Pvt) Ltd, being a Company engaged in the promotion of tourism is liable to income tax at a standard rate of 30% in terms of the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

The business profits and income of Aitken Spence Hotel Managements (Pvt) Ltd, arising from management of Sri Lankan hotels and exporting of goods to hotels in Maldives, is liable for income tax at a standard rate of 30% in terms of the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

The business profits and income of Aitken Spence Resources (Pvt) Ltd, being a company involved in the business as agents for recruitment and supply of human resources for employment in abroad, is liable for income tax at a standard rate of 30% in terms of the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

13.4 Deferred tax expense

Deferred tax expense on companies resident in Sri Lanka are calculated based on the tax rates specified in the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

The deferred tax expense associated with the revaluation of non-depreciable assets, such as land, takes into account the tax implications that would arise upon the sale of those assets. Furthermore, the Group recognises deferred tax expense for the taxes that are applicable to the undistributed profits of its subsidiary companies.

The Group applied deferred tax related to assets and liabilities arising from a Single Transaction where a separate deferred tax asset in relation to its lease liabilities and a deferred tax liability in relation to its right-of-use assets has been recognised.

IFRIC interpretation 23 - uncertainty over income tax treatment

IFRIC 23 "Uncertainty over income tax treatments" provides guidance on determining taxable profits, tax bases, unused tax losses, unused tax credits and tax rates, when there is an uncertainty over the income tax treatment. The Group has applied significant judgement in identifying uncertainties over income tax treatments for the year and the Group has determined that there were no uncertainties in tax treatments that has an impact on the income tax expense or warrants any disclosure.

13.5 Tax losses carried forward

As per section 19 of the Inland Revenue Act No. 24 of 2017 and amendments thereto, any unclaimed tax losses incurred during the year from business or investment could be carried forward for further six years. Companies in the Group have evaluated the recoverability of unclaimed losses through taxable profit forecasts and deferred tax assets have been recognised accordingly. Deferred tax assets recognised on tax losses would be reviewed at each reporting date based on the taxable profit forecasts and would be reduced to the extent of recoverable amount.

13.6 In determining the arm's length price, the Group has complied with the transfer pricing regulations prescribed in the Inland Revenue Act and the Gazette notifications issued on transfer pricing.



13.7 Tax recognised in income statement

		Group		Company	
For the year ended 31st March		2025	2024	2025	2024
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Current tax expense					
Tax on current year profits	13.9	1,061,240	756,994	-	-
Changes in estimates related to prior years		(267)	5,652	-	4,687
Withholding tax on dividends paid by subsidiaries		112,439	-	-	-
		1,173,412	762,646	-	4,687
Deferred tax expense/(reversal)	13.10				
Impact of changes in tax rates	13.7.1	(18,039)	-	-	-
Origination/(reversal) of temporary differences		185,725	378,818	34,589	(78,057)
		167,686	378,818	34,589	(78,057)
Total		1,341,098	1,141,464	34,589	(73,370)
Effective tax rate (including deferred tax)		27.2%	38.0%	44.8%	23.7%
Effective tax rate (excluding deferred tax)		23.8%	25.4%	0.0%	0.0%

Income tax expense excludes, the Group's share of tax expense of the equity-accounted investees recognised in profit/(loss) of s. 12.5 Mn (2023/2024 - Rs. 3.0 Mn) which is included in 'share of profit of equity-accounted investees (net of tax)'.

13.7.1 Impact of changes in tax rates

Income tax exemption applicable to foreign sourced income and service providers rendering services in or outside Sri Lanka, to any person to be utilised outside Sri Lanka, earning in foreign currency is withdrawn from 1st April 2025 and will be taxed at 15% thereafter. The impact to the Group from the change in the tax rate is as follows.

		Group		Company	
For the year ended 31st March		2025	2024	2025	2024
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Related origination of temporary differences during the year		(18,039)	-	-	-
		(18,039)	-	-	-



13.8 Tax recognised in other comprehensive income

13.8.1 Group

For the year ended 31st March	2025			2024		
	Before Tax	Tax (expense)/ reversal	Net of Tax	Before Tax	Tax reversal	Net of Tax
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Items that will never be reclassified to profit or loss						
Revaluation of property, plant and equipment (tax impact of rate change) *	-	(13,452)	(13,452)	-	-	-
Share of other comprehensive income of equity accounted investees (net of tax)	24,511	-	24,511	6,459	-	6,459
Actuarial losses arising from retirement benefit obligations	(25,051)	5,468	(19,583)	(19,927)	6,405	(13,522)
	(540)	(7,984)	(8,524)	(13,468)	6,405	(7,063)
Items that are or may be reclassified to profit or loss						
Foreign currency translation differences of foreign operations	(494,289)	-	(494,289)	(2,626,011)	-	(2,626,011)
Net movement in cash flow hedge	679,261	-	679,261	1,501,550	-	1,501,550
	184,972	-	184,972	(1,124,461)	-	(1,124,461)
Total	184,432	(7,984)	176,448	(1,137,929)	6,405	(1,131,524)

* In 2024, the Union Budget of India has reduced the Long-Term Capital Gains (LTCG) tax rate in India. Consequently from 22nd July 2024, the tax rate for LTCG arising from selling properties such as land held for more than 24 months reduced from 20% to 12.5%, without the benefit of indexation. (2023/24 - Nil)

Tax recognised in other comprehensive income excludes, the Group's share of tax expense of the equity-accounted investees recognised in the other comprehensive income of Rs.0.2 Mn (2023/2024 - Rs. 2.0 Mn) which has been included in 'share of other comprehensive income of equity-accounted investees (net of tax)'.

13.8.2 Company

For the year ended 31st March	2025			2024		
	Before Tax	Tax reversal	Net of Tax	Before Tax	Tax reversal	Net of Tax
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Items that will never be reclassified to profit or loss						
Actuarial losses arising from retirement benefit obligations	(11,578)	3,473	(8,105)	(6,752)	2,026	(4,726)
Total	(11,578)	3,473	(8,105)	(6,752)	2,026	(4,726)



13.9 Reconciliation of accounting profit and current year tax

	Group		Company	
For the year ended 31st March	2025	2024	2025	2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Profit/ (loss) before tax	4,929,560	3,006,151	61,750	(377,192)
Consolidated adjustments	(23,344)	36,314	-	-
Profit/(loss) after adjustments	4,906,216	3,042,465	61,750	(377,192)
Income not liable for income tax	(1,208,039)	(184,064)	(16,218)	(22,762)
Effect of revenue subject to tax at source	1,654,195	1,710,446	-	-
Adjusted profit/(loss)	5,352,372	4,568,847	45,532	(399,954)
Non - taxable receipts / gains	-	-	(165,073)	(254,226)
Aggregate disallowed expenses	4,767,116	4,338,907	115,837	218,003
Capital allowances	(4,515,084)	(4,541,156)	(73,727)	(64,284)
Aggregate allowable deductions	(638,741)	(1,168,298)	(30,735)	(15,044)
Utilisation of tax losses	(1,781,946)	(3,197,113)	(111,759)	(112,145)
Current year tax losses not utilised	3,142,385	4,416,029	219,925	627,650
Taxable income	6,326,102	4,417,216	-	-
Income tax charged at;				
- Standard rate 30%	387,176	358,677	-	-
- Varying rates on off - shore profits	674,064	398,317	-	-
Tax on current year profits	1,061,240	756,994	-	-
Changes in estimates related to prior years	(267)	5,652	-	4,687
Withholding tax on dividends paid by subsidiaries	112,439	-	-	-
Current tax expense	1,173,412	762,646	-	4,687

13.10 Deferred tax expense / (reversal)

	Group		Company	
For the year ended 31st March	2025	2024	2025	2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Origination / (reversal) of temporary differences arising from:				
Property, plant and equipment	199,037	262,472	6	(302)
Defined benefit obligations	(8,897)	(7,155)	2,173	(2,024)
Expected credit losses	(37,224)	5,275	(574)	(150)
Tax losses carried forward	(40,977)	163,446	15,843	(33,105)
Right-of-use assets	152	(1,131)	-	-
Unrealised exchange gain/(loss)	49,236	(50,808)	17,727	(42,476)
Lease liabilities	(935)	445	-	-
Obsolete stocks	(4,311)	-	(586)	-
Undistributed profits of consolidated entities	11,605	6,274	-	-
Total	167,686	378,818	34,589	(78,057)

13.11 Tax losses carried forward

	Group		Company	
For the year ended 31st March	2025	2024	2025	2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Tax losses brought forward	15,383,149	15,305,036	2,085,181	1,494,251
Adjustments to prior year tax losses brought forward	(122,660)	(727,347)	124	75,425
Tax losses arising during the year	3,142,385	4,416,029	219,925	627,650
Utilisation of tax losses	(1,781,946)	(3,197,113)	(111,759)	(112,145)
Write off of unclaimable tax losses	(256,252)	(413,456)	-	-
Total	16,364,676	15,383,149	2,193,471	2,085,181



Group tax expense is based on the taxable profit of individual companies within the Group.

As specified above, some companies in the Group have carried forward tax losses which are available to be set off against the future tax profits of those companies. Deferred tax assets not accounted in respect of these losses amounted to Rs. 2,250,657,880 (2023/2024 - Rs. 2,093,749,822) since utilisation against future taxable profits are not probable. For Aitken Spence Hotel Holdings PLC, deferred tax assets unaccounted on losses as at 31.03.2025 amounted to Rs. 401,409,494 (2023/2024 - Rs. 353,079,564).

Tax losses for which no deferred tax asset was recognised expire as follows.

	Group			
For the year	2024/2025 Rs. '000	Expiry Date	2023/2024 Rs. '000	Expiry Date
Tax losses for which no deferred tax asset was recognised	2,250,658	2025/26 - 2032/33	2,093,750	2024/25 - 2031/32
	2,250,658		2,093,750	

	Company			
For the year	2024/2025 Rs. '000	Expiry Date	2023/2024 Rs. '000	Expiry Date
Tax losses for which no deferred tax asset was recognised	401,409	2025/26 - 2030/31	353,080	2025/26 - 2029/30
	401,409		353,080	

14 EARNINGS/(LOSS) PER ORDINARY SHARE

Basic earnings/(loss) per share is calculated by dividing the net profit/(loss) for the year attributable to the ordinary shareholders by the weighted average number of ordinary shares outstanding during the year.

The following reflects the net profit/(loss) and share data used in the basic earnings/(loss) per share computation.

	Group		Company	
For the year ended 31st March	2025	2024	2025	2024
Amounts used as numerator				
Profit/(loss) for the year attributable to equity holders of the Company (Rs.)	2,290,360,686	1,140,112,345	27,161,083	(303,821,973)
Dividends on preference shares (Rs.)	(14,850,000)	(14,850,000)	(14,850,000)	(14,850,000)
Net profit/(loss) for the year attributable to ordinary shareholders of the Company (Rs.)	2,275,510,686	1,125,262,345	12,311,083	(318,671,973)
Number of ordinary shares used as the denominator				
Weighted Average number of ordinary shares in issue	336,290,010	336,290,010	336,290,010	336,290,010
Earnings/(loss) per ordinary share - (Rs.)	6.77	3.35	0.04	(0.95)

There were no potentially dilutive ordinary shares outstanding at any time during the year, hence the dilutive earnings/(loss) per share is equal to the basic earnings/(loss) per share.

15 DIVIDENDS

	Company	
For the year ended 31st March	2025 Rs. '000	2024 Rs. '000
Final dividends declared and paid		
Preference dividend paid for 2023/2024 (2024 - paid for 2022/23)	14,850	14,850
Final ordinary dividend paid	-	-
Final ordinary dividends proposed	-	-
Preference dividends proposed	14,850	14,850
Ordinary dividend per Share - (Rs.)	-	-



16 PROPERTY, PLANT AND EQUIPMENT

16.1 Group

	Land (Freehold)	Buildings (Freehold)	Plant Machinery and Equipment	Motor Vehicles	Furniture and Fittings	Soft furnishing, Cutlery, Crockery and Glassware	Capital work-in progress	Total 2024/2025	Total 2023/2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cost or revaluation									
Balance as at 01st April	11,535,050	67,156,583	14,344,184	927,050	5,483,594	2,938,434	232,827	102,617,722	108,014,628
Additions during the year	-	319,141	512,769	100,362	197,960	203,730	269,157	1,603,119	1,838,236
Transfers during the year	-	361,309	9,305	-	-	2,495	(373,109)	-	-
Disposal during the year	(1,087)	(1,080)	(152,641)	(48,206)	(45,802)	(101,551)	-	(350,367)	(349,378)
Reclassified to intangible assets	-	18,870	(29,634)	(5,134)	8,316	1,487	-	(6,095)	(10,650)
Effect of movement in exchange rates	(180,126)	(862,196)	(164,328)	(11,641)	(57,070)	(34,596)	(3,120)	(1,313,077)	(6,875,114)
Balance as at 31st March	11,353,837	66,992,627	14,519,655	962,431	5,586,998	3,009,999	125,755	102,551,302	102,617,722
Accumulated depreciation/impairment									
Balance as at 01st April	-	19,375,270	10,420,798	736,306	3,684,252	2,217,668	-	36,434,294	35,369,760
Charge for the year	-	2,134,736	1,046,813	82,568	403,158	260,847	-	3,928,122	3,797,247
Disposal during the year	-	(180)	(141,915)	(42,353)	(42,025)	(90,303)	-	(316,776)	(330,470)
Reclassified to intangible assets	-	16,915	(25,768)	(7,996)	8,166	2,588	-	(6,095)	(10,650)
Effect of movement in exchange rates	-	(240,544)	(117,756)	(9,799)	(39,878)	(29,270)	-	(437,247)	(2,391,593)
Balance as at 31st March	-	21,286,197	11,182,172	758,726	4,013,673	2,361,530	-	39,602,298	36,434,294
Carrying value									
As at 31.03.2025	11,353,837	45,706,430	3,337,483	203,705	1,573,325	648,469	125,755	62,949,004	
As at 31.03.2024	11,535,050	47,781,313	3,923,386	190,744	1,799,342	720,766	232,827		66,183,428

16.1.1 The gross carrying amount of fully depreciated property, plant and equipment that are still in use for the Group as at 31st March 2025 was Rs. 15,288,467,218. (as at 31.03.2024 - Rs.10,790,774,347)

16.1.2 The exchange difference has arisen as a result of the translation of property, plant and equipment of foreign entities which are accounted for in United States Dollars, Oman Riyal, Indian Rupees and translated to the reporting currency at the closing rate.

16.1.3 The value of the property, plant and equipment pledged as security against borrowings are disclosed in Note 32.

16.1.4 Capital work in progress represents the amount of expenditure recognised under property, plant and equipment during the construction of capital assets.

16.1.5 In compliance with the accounting policy, land owned by Group companies are revalued by independent professional valuers at least once in every five years unless there is an indication of a significant change in the market rates. During the last financial year, lands of the Group have been revalued and details of the revalued lands are given in the Note 16.3.2 to the financial statements. Tax impact on revaluation of land is given in Note 13 to the financial statements.

16.1.6 On re-assessment of the fair value of the Group's assets, it has been identified that there is no impairment of property plant and equipment which requires provision in the financial statements.

16.1.7 There were no borrowing costs capitalised on interest-bearing liabilities - loans and interest - bearing liabilities - leases by the Group on qualifying assets during the financial years 2024/2025 and 2023/2024.



16.2 Company

	Land (Freehold)	Buildings (Freehold)	Plant Machinery and Equipment	Motor Vehicles	Furniture and Fittings	Soft furnishing, Cutlery, Crocery and Glassware	Capital work-in progress	Total 2024/2025	Total 2023/2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cost or revaluation									
Balance as at 01st April	843,500	1,159,490	720,848	47	271,862	134,747	154,900	3,285,394	3,022,320
Additions during the year	-	735	19,219	-	475	23,802	177,130	221,361	268,421
Transfers during the year	-	332,030	-	-	-	-	(332,030)	-	-
Disposal during the year	-	-	(4)	-	-	(1,745)	-	(1,749)	(5,347)
Balance as at 31st March	843,500	1,492,255	740,063	47	272,337	156,804	-	3,505,006	3,285,394
Accumulated depreciation/impairment									
Balance as at 01st April	-	472,840	536,970	47	249,978	114,345	-	1,374,180	1,314,191
Charge for the year	-	23,500	34,575	-	5,388	9,733	-	73,196	63,038
Disposal during the year	-	-	(4)	-	-	(1,466)	-	(1,470)	(3,049)
Balance as at 31st March	-	496,340	571,541	47	255,366	122,612	-	1,445,906	1,374,180
Carrying value									
As at 31.03.2025	843,500	995,915	168,522	-	16,971	34,192	-	2,059,100	-
As at 31.03.2024	843,500	686,650	183,878	-	21,884	20,402	154,900	-	1,911,214

16.2.1 The gross carrying amount of fully depreciated property, plant and equipment that is still in use for the Company as at 31st March 2025 was Rs. 831,552,082.
(as at 31.03.2024 - Rs. 820,622,704)

16.2.2 The value of the property, plant and equipment pledged as security against borrowings are disclosed in Note 32.

16.3 Freehold land

16.3.1 Total carrying amount of land

	Notes	Group 31.03.2025	31.03.2024
As at		Rs. '000	Rs. '000
Land carried at revalued amount	16.3.2	11,305,715	11,486,928
Land carried at cost (fair value)	16.3.3	48,122	48,122
		11,353,837	11,535,050



16.3.2 Land carried at revalued amounts

Company name	Location	Last revaluation date	Estimated price per perch (Significant unobservable inputs)	Land extent	Carrying amount as at 31.03.2025	Revaluation surplus	Carrying amount at cost
			Rs.		Rs. '000	Rs. '000	Rs. '000
Aitken Spence Hotel Holdings PLC (i) *	"Heritance Ahungalla"						
	Galle Road, Ahungalla	24.12.2022	475,000	11 A 3 R 34.02 P	825,000	806,798	18,202
	Galle Road, Ahungalla	24.12.2022	475,000	0 A 0 R 39.26 P	18,500	13,293	5,207
Heritance (Pvt) Ltd (i) *	Moragalla, Beruwala	13.12.2022	375,000	5 A 3 R 6.80 P	347,500	336,420	11,080
Meeraladuwa (Pvt) Ltd (i) *	Meeraladuwa Island	27.12.2022	43,500 - 86,500	29 A 2 R 9.00 P	226,350	126,088	100,262
	Balapitiya						
Kandalama Hotels (Pvt) Ltd (i) *	Kandalama, Dambulla	18.10.2022	370	169 A 2 R 22.00 P	10,000	2,616	7,384
Neptune Ayurvedic Village (Pvt) Ltd (i) *	Ayurvedic Village, Moragalla, Beruwala	13.12.2022	252,000	0 A 0 R 19.30 P	4,860	797	4,063
Tunyaa (Pvt) Ltd (i) *	418, Parallel Road	13.12.2022	550,000	5 A 1 R 37.90 P	440,000	420,235	19,765
	Kudawaskaduwa, Kalutara						
	49, Sea Beach Road, Kalutara	13.12.2022	700,000	0 A 1 R 30.32 P	39,775	38,287	1,488
	Kudawaskaduwa, Kalutara	13.12.2022	550,000	1 A 3 R 33.20 P	172,000	115,221	56,779
	Kudawaskaduwa, Kalutara	13.12.2022	550,000	0 A 1 R 34.30 P	40,000	30,826	9,174
Ahungalla Resorts Ltd (i) *	Galle Road, Ahungalla	24.12.2022	523,500	10 A 2 R 39.29 P	900,000	170,000	730,000
	Galle Road Ahungalla	24.12.2022	600,000	2 A 0 R 35.92 P	213,500	43,623	169,877
Aitken Spence Hotel Managements (South India) Pvt Ltd (iii) *	144/7, Rajiv Gandhi Salai, Perungudi, Chennai, India	11.11.2022	13,000,000	0 A 3 R 15.14 P	1,636,358	839,700	796,658
PR, Holiday Homes (Pvt) Ltd (ii)	Cochin - Kerala, India	22.01.2022	172,000	14 A 0 R 7.52 P	367,771	188,668	179,103
Perumbalam Resorts Pvt Ltd (ii)	Cochin - Kerala, India	23.01.2022	171,000	4 A 0 R 9.00 P	98,259	96,852	1,407
Aitken Spence Resorts (Middle East) LLC (iv)	Al Hamriya, Sultanate of Oman	15.02.2022	7,500,000	5 A 0 R 8.00 P	5,965,842	785,966	5,179,876
Total					11,305,715	4,015,390	7,290,325

The above lands have been revalued on the basis of current market value by independent, qualified valuers who have recent experience in the location and category of property being valued.

(i) Valuation of the land was carried out by Mr.K. C. B. Condegama, A.I.V [Sri Lanka]

(ii) Valuation of the land carried out by Mr. T.T. Kripananda Singh B.S.C. (Eng.) MICA, F.I.E, F.I.V [India]

(iii) Valuation of the land carried out by Messers CBRE South Asia Private Limited [India]

(iv) Valuation of the land carried out by Mr. Ishan Tulsian, F.C.A., A.C.S., L.L.B. Registered Valuer SFA (IBBI), Msc. In Applied Finance (Singapore), DIIT (ICA), B.Com (H)for R. Tulsian Global [Oman]

* All the lands except PR, Holiday Homes (Pvt) Ltd, Perumbalam Resorts (Pvt) Ltd and Aitken Spence Resorts (Middle East) LLC were revalued during the financial year ended 31st March 2023. The lands belonging to those three companies were revalued during the financial year ended 31st March 2022.



16.3.3 Land carried at cost (fair value)

Company	Location	Acquisition date	Land extent	Carrying amount as at 31.03.2025	Carrying amount as at 31.03.2024
				Rs. '000	Rs. '000
Kandalama Hotels (Pvt) Ltd	Kandalama ,Dambulla	17.11.2022	13A 3R 38.00P	48,122	48,122
				48,122	48,122

17 RIGHT - OF - USE ASSETS

17.1 Movement during the year

	Group			
	Right-of-use Land	Right-of-use Buildings	Total 2024/2025	Total 2023/2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cost or valuation				
Balance as at 01st April	26,242,154	11,975	26,254,129	28,578,308
Impact on exchange rate fluctuation	(358,638)	-	(358,638)	(2,324,179)
Additions	-	4,468	4,468	-
Balance as at 31st March	25,883,516	16,443	25,899,959	26,254,129
Accumulated amortisation/impairment				
Balance as at 01st April	11,959,472	11,975	11,971,447	11,689,596
Impact on exchange rate fluctuation	(169,687)	-	(169,687)	(1,020,198)
Charge for the year	1,218,262	2,234	1,220,496	1,302,049
Balance as at 31st March	13,008,047	14,209	13,022,256	11,971,447
Carrying value				
As at 31 March 2025	12,875,469	2,234	12,877,703	
As at 31 March 2024	14,282,682	-		14,282,682



18 INTANGIBLE ASSETS

18.1 Group

	Goodwill	Computer Software	Total 2024/2025	Total 2023/2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cost or Valuation				
Balance as at 01st April	782,300	324,119	1,106,419	1,167,986
Effect of movement in exchange rates	(12,106)	(3,437)	(15,543)	(83,782)
Additions during the year	-	17,367	17,367	11,565
Reclassified from property, plant and equipment	-	6,095	6,095	10,650
Balance as at 31st March	770,194	344,144	1,114,338	1,106,419
Accumulated amortisation / impairment				
Balance as at 01st April	-	301,831	301,831	278,937
Effect of movement in exchange rates	-	(3,352)	(3,352)	(14,332)
Amortisation for the year	-	18,856	18,856	26,576
Impairment for the year	81,816	-	81,816	-
Reclassified from property, plant and equipment	-	6,095	6,095	10,650
Balance as at 31st March	81,816	323,430	405,246	301,831
Carrying value				
As at 31.03.2025	688,378	20,714	709,092	
As at 31.03.2024	782,300	22,288		804,588

The gross carrying amount of fully amortised intangible assets that are still in use for the Group as at 31st March 2025 was Rs. 310,425,753 (as at 31.03.2024 - Rs. 192,543,704).

There were no intangible assets pledged by the Group as security for facilities obtained from banks as at 31.03.2025. (2023/2024- nil)

Net carrying value of goodwill

This represents the goodwill arisen on business combination on acquisition of Alfalaj hotel by Aitken Spence Resorts (Middle East) LLC during 2015/16.

The recoverable amount of goodwill is determined based on value-in-use calculations. The value in use calculation is based on a discounted cash flow model. The cash flows are derived from the budget and do not include restructuring activities that the Group is not yet committed to or significant future investments that will enhance the asset's performance of the cash generating unit being tested. There is a considerable degree of judgement involved in preparing forecasts and assumptions including discount rates.

The key assumptions used are given below.

Business growth - Based on the long term average growth rate for each business unit. The volume growth has been budgeted on a reasonable and realistic basis for a period of five years.

The weighted average growth rate used is consistent with the forecast included in industry reports.
(2024/2025 - 12%, 2023/2024 - 15%)

Inflation - Based on current inflation rate.

Discount rate - Risk free rate adjusted for the specific risk relating to the industry.
[Pre-tax rate] (2024/2025 - 13.74%, 2023/2024 - 9.13%)

Margin - Based on past performance and budgeted expectations.



The recoverable amount is most sensitive to the discount rate used for the discounted cash flow model as well as the expected future cash inflows and the growth rate used for extrapolation purposes. Therefore, Management has identified that a reasonable possible change in the two key assumptions namely, business growth rate and discount rate could cause the carrying amount to exceed the recoverable amount.

Given below is the change required individually for each key assumptions, for the carrying amount to equate the recoverable amount.

		2024/2025	2023/2024
Business growth rate	N/APP (Impairment already provided)		Decreased by 4.5%
Discount rate	N/APP (Impairment already provided)		Increased by 4.4%

Following the impairment loss recognised in the Group's intangible assets; goodwill, the recoverable amount was equal to the carrying amount. Therefore, any adverse movement in key assumptions would lead to further impairment.

Impairment of goodwill

Impairment during the year

The recoverable amount of the Alfalaj hotel CGU was determined based on its value in use calculation, established by discounting the future cashflows to be generated from the continuing use of the CGU. The carrying amount of the CGU was identified to be higher than its recoverable amount of OMR 8.5 Mn. Hence an impairment loss of OMR 105,751 (equivalent to Rs. 81.8 Mn) has been recognised during the financial year 2024/2025 (2023/2024 - Nil). Total of impairment loss was allocated to goodwill and recognised in the income statement under amortisation and impairment losses of non-financial assets.

18.2 Company

	Computer Software	Total 2024/2025	Total 2023/2024
	Rs. '000	Rs. '000	Rs. '000
Cost or Valuation			
Balance as at 01st April	13,101	13,101	13,101
Additions during the year	2,498	2,498	-
Balance as at 31st March	15,599	15,599	13,101
Accumulated amortisation / impairment			
Balance as at 01st April	13,101	13,101	13,101
Charge for the year	139	139	-
Balance as at 31st March	13,240	13,240	13,101
Carrying value			
As at 31.03.2025	2,359	2,359	-
As at 31.03.2024	-	-	-

The gross carrying amount of fully amortised intangible assets that are still in use for the Company as at 31st March 2025 was Rs. 13,100,576 (as at 31.03.2024 - Rs. 13,100,576).

There were no intangible assets pledged by the Company as security for facilities obtained from banks as at 31.03.2025. (2023/2024- nil)



19 INVESTMENT IN SUBSIDIARIES

19.1 Investments in subsidiaries – unquoted

	Country of incorporation	Number of Shares	Company Holding	Group Holding	31.03.2025 Rs. '000	31.03.2024 Rs. '000
Equity shares						
Aitken Spence Hotels Ltd	Sri Lanka	14,701,904	98.01%	98.01%	149,750	149,750
Crest Star (BVI) Ltd (Ordinary Shares of US\$ 1 each)	British Virgin Island	3,415,000	100.00%	100.00%	185,628	185,628
Cowie Investment (Pvt) Ltd (Ordinary Shares of Mrf 1000 each)	Maldives	52,740	60.00%	60.00%	321,733	321,733
Aitken Spence Resorts (Middle East) LLC (Ordinary Shares of OMR 1 each)	Oman	01	0.00%	51.00%	-	-
Hethersett Hotels Ltd	Sri Lanka	24,542,000	94.44%	94.44%	161,421	161,421
Neptune Ayurvedic Village (Pvt) Ltd	Sri Lanka	500,000	100.00%	100.00%	5,000	5,000
Aitken Spence Hotels International (Pvt) Ltd	Sri Lanka	10,744,582	41.00%	51.00%	181,024	181,024
Aitken Spence Hotel Managements Asia (Pvt) Ltd	Sri Lanka	5,125,500	51.00%	51.00%	51,255	51,255
Aitken Spence Hotel Managements (South India) Ltd	India	29,869,000	16.60%	59.13%	744,325	744,325
Turyaa (Pvt) Ltd	Sri Lanka	219,812,321	100.00%	100.00%	2,802,879	2,802,879
Ahungalla Resorts Ltd	Sri Lanka	78,369,024	60.00%	60.00%	2,926,326	2,926,326
Meeraladuwa (Pvt) Ltd	Sri Lanka	20,227,801	100.00%	100.00%	202,278	202,278
ADS Resorts (Pvt) Ltd	Maldives	01	0.00%	51.00%	-	-
Unique Resorts (Pvt) Ltd	Maldives	01	0.00%	51.00%	-	-
Nilaveli Resorts (Pvt) Ltd	Sri Lanka	01	100.00%	100.00%	-	-
Nilaveli Holidays (Pvt) Ltd	Sri Lanka	01	100.00%	100.00%	-	-
The Galle Heritage (Pvt) Ltd	Sri Lanka	01	100.00%	100.00%	-	-
					7,731,619	7,731,619
Provision for impairment of investment in Turyaa (Pvt) Ltd *					(328,576)	(313,158)
Net carrying amount of investments in subsidiaries – unquoted as at 31st March					7,403,043	7,418,461

* Impairment to the carrying value of investment in Turyaa (Pvt) Ltd was recognised based on the discounted future cash flows to the extent of the non recoverability amount of the investment.

The effects of changes in current economic conditions referring to macro environmental factors have been taken into effect in the cashflow forecasts and the discount rate used for the calculation. There is a considerable degree of judgement involved in preparing forecasts and assumptions including discount rates.

The key assumptions used for the investment impairment of the Company are given below.

- Discount factor : 11.1% to 13.7%
- Inflation : Based on the current inflation rate.
- Forecasted terminal growth rate for future period : 3%
- Margin : Based on past performance and budgeted expectations
- Business growth : Based on the long term average growth rate for each business unit. The volume growth has been budgeted on a reasonable and realistic basis for a period of five years.



19.2 Investments in sub subsidiaries / inter company shareholding- unquoted

	Country of incorporation	Number of Shares	Company Holding	Group Holding	31.03.2025 Rs. '000	31.03.2024 Rs. '000
Aitken Spence Hotels Ltd						
- Kandalama Hotels (Pvt) Ltd	Sri Lanka	10,216,216	63.00%	61.75%	234,406	234,406
- Heritance (Pvt) Ltd	Sri Lanka	2,125,627	100.00%	98.01%	35,751	35,751
					270,157	270,157
Crest Star (BVI) Ltd						
- Jetan Travel Services Company Pvt Ltd	Maldives	47,500	95.00%	95.00%	545,476	545,476
					545,476	545,476
Aitken Spence Hotels International (Pvt) Ltd						
- ADS Resorts (Pvt) Ltd	Maldives	1,274,999	100.00%	51.00%	103,970	103,970
- Unique Resorts (Pvt) Ltd	Maldives	6,374,999	100.00%	51.00%	562,663	562,663
- Aitken Spence Hotel Services (Pvt) Ltd	India	9,999	99.99%	51.00%	271	271
- Aitken Spence Hotel Managements South India (Pvt) Ltd	India	150,048,995	83.40%	42.53%	3,390,956	3,390,956
- Ace Resorts (Pvt) Ltd	Maldives	462,599	100.00%	51.00%	37,008	37,008
- Aitken Spence Resorts (Middle East) LLC	Oman	12,517,890	100.00%	51.00%	5,422,461	4,817,994
					9,517,329	8,912,862
Aitken Spence Hotel Managements Asia (Pvt) Ltd						
- PR Holiday Homes (Pvt) Ltd	India	621,310	84.57%	43.13%	178,144	178,144
- Aitken Spence Hotels International (Pvt) Ltd	Sri Lanka	5,196,916	20.00%	10.00%	1,931,128	1,931,128
					2,109,272	2,109,272
PR Holiday Homes (Pvt) Ltd						
- Perumbalam Resorts Pvt Ltd	India	9,999	99.99%	43.12%	218	218
					218	218
Aitken Spence Hotel Services Pvt Ltd						
- Aitken Spence Hotel Managements (South India) Pvt Ltd	India	01	0.00%	0.00%	-	-
					-	-
Aitken Spence Hotel Managements (South India) Pvt Ltd						
- Perumbalam Resorts Pvt Ltd	India	01	0.01%	0.01%	-	-
					-	-
Unique Resorts Pvt Ltd						
- Ace Resorts Pvt Ltd	Maldives	01	0.00%	0.00%	-	-
					-	-

Kandalama Hotels (Pvt) Ltd and Heritance (Pvt) Ltd are subsidiaries of Aitken Spence Hotels Ltd.

Jetan Travel Services Company (Pvt) Ltd is a subsidiary of Crest Star (BVI) Ltd.

ADS Resorts (Pvt) Ltd, Unique Resorts (Pvt) Ltd, Aitken Spence Hotel Services (Pvt) Ltd, Aitken Spence Hotel Management South India (Pvt) Ltd, Ace Resorts (Pvt) Ltd, Aitken Spence Resorts (Middle East) LLC are subsidiaries of Aitken Spence Hotels International (Pvt) Ltd.

PR Holiday Homes (Pvt) Ltd is a subsidiary of Aitken Spence Hotel Managements Asia (Pvt) Ltd.

Perumbalam Resorts (Pvt) Ltd is a subsidiary of P.R Holiday Homes (Pvt) Ltd.



19.3 Non - controlling interests

The following subsidiaries have material non - controlling interests.

Name	Principle place of business/Country of incorporation	Operating Segment	Ownership interest held by non- controlling interests	
			As at 31.03.2025	As at 31.03.2024
Aitken Spence Hotels International (Pvt) Ltd	Sri Lanka	Sri Lankan Sector - Others	49%	49%
Aitken Spence Hotels Managements Asia (Pvt) Ltd	Sri Lanka	Sri Lankan Sector - Others	49%	49%
Ahungalla Resorts Ltd	Sri Lanka	Sri Lankan Sector- Hotels	40%	40%
Cowrie Investments (Pvt) Ltd	Republic of Maldives	South Asia and Middle East Sector	40%	40%
ADS Resorts (Pvt) Ltd	Republic of Maldives	South Asia and Middle East Sector	49%	49%
Unique Resorts (Pvt) Ltd	Republic of Maldives	South Asia and Middle East Sector	49%	49%
Aitken Spence Resorts (Middle East) LLC	Oman	South Asia and Middle East Sector	49%	49%
Aitken Spence Hotel Management South India (Pvt) Ltd	India	South Asia and Middle East Sector	40.87%	40.87%

Except for Ahungalla Resorts Ltd and Cowrie Investments (Pvt) Ltd, the non-controlling interest of other subsidiaries are held with the holding Company, Aitken Spence PLC.

The following table summarises the financial information relating to the Group's subsidiaries that has material non-controlling interests, before any intra-group eliminations.

For the year	Cowrie Investment Pvt Ltd		Ahungalla Resorts Ltd	
	2024/2025	2023/2024	2024/2025	2023/2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Revenue	18,341,562	18,572,473	5,052,145	4,348,690
Profit/(loss) after tax	1,227,755	970,889	401,811	(369,230)
Profit/(loss) attributable to NCI	491,102	388,356	160,724	(147,692)
Other comprehensive income/(loss)	(83,248)	(831,253)	679,221	1,499,731
Total comprehensive income/(loss)	1,144,507	139,636	1,081,032	1,130,501
Total comprehensive income/(loss) attributable to NCI	457,803	55,854	432,413	452,200
Current assets	2,721,016	2,396,473	1,870,270	1,118,731
Non- current assets	33,885,721	35,732,667	8,457,141	8,838,259
Current liabilities	(20,933,595)	(6,724,665)	(6,676,561)	(3,027,295)
Non- current liabilities	(5,965,852)	(22,333,548)	(5,465,719)	(9,825,595)
Net assets	9,707,290	9,070,927	(1,814,869)	(2,895,900)
Net assets attributable to NCI	3,882,916	3,628,371	(725,948)	(1,158,360)
Cash flow from operating activities	3,248,166	3,891,677	1,786,589	893,638
Cash flow from investing activities	(487,217)	(681,864)	(43,777)	(21,818)
Cash flow from financing activities	(2,502,416)	(2,433,059)	(1,187,592)	(1,550,266)
Effect of exchange rate changes on cash and cash equivalents	57,112	99,613	-	-
Net increase/(decrease) in cash and cash equivalents	315,645	876,367	555,220	(678,446)



20 INVESTMENT IN EQUITY ACCOUNTED INVESTEEES

	Group		Company	
As at	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Recognised in the statement of financial position				
- Interest in associates	111,040	63,185	992,673	992,673
Carrying amount as at 31st March	111,040	63,185	992,673	992,673
Recognised in the statement of changes in equity				
- Interest in associates	23,344	(36,314)	-	-
Share of profit/(loss) of equity accounted investees (net of tax)	23,344	(36,314)	-	-
Recognised in the statement of profit or loss and other comprehensive income				
- Interest in associates	24,511	6,459	-	-
Share of other comprehensive income of equity accounted investees (net of tax)	24,511	6,459	-	-

20.1 Investment in associates

		Group		Company	
As at		31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Investment in associates - quoted	20.1.1	-	-	736,513	736,513
Investment in associates - unquoted	20.1.2	111,040	63,185	256,160	256,160
Total equity value of investment in associates as at 31st March		111,040	63,185	992,673	992,673



20.1.1 Investment in associates - quoted

As at	Group				Company			
	No. of Shares	Group Holding	31.03.2025 Rs. '000	31.03.2024 Rs. '000	No. of Shares	Company Holding	31.03.2025 Rs. '000	31.03.2024 Rs. '000
Browns Beach Hotels PLC (Consolidated with Negombo Beach Resorts (Pvt) Ltd)								
Net book value as at 01st April	48,627,103	37.42%	-	925,110	47,455,750	36.62%	906,602	906,602
Share of movement in equity value *			-	(925,110)			-	-
Equity value of investment as at 31st March			-	-			906,602	906,602
Provision for impairment of investment **			-	-			(170,089)	(170,089)
Equity value of investment as at 31st March - net of impairment			-	-			736,513	736,513
Market value of quoted investment as at 31st March			914,190	632,152			892,168	616,925

*As the Group's share of losses arising from Browns Beach Hotels PLC has exceeded its interest in equity accounted investee, the carrying amount has been reduced to nil and the recognition of further losses was discontinued since 2022/2023.

** Impairment to the carrying value of investment in Browns Beach Hotels PLC was recognised based on the discounted future cash flows to the extent of the non recoverability amount of the investment.

The effects of changes in current economic conditions referring to macro environmental factors have been taken into effect in the cashflow forecasts and the discount rate used for the calculation. There is a considerable degree of judgement involved in preparing forecasts and assumptions including discount rates.

The key assumptions used for the investment impairment of the Company are given below.

- Discount factor : 11.1% to 13.7%
- Inflation : Based on current inflation rate.
- Forecasted terminal growth rate for future period : 3%
- Margin : Based on past performance and budgeted expectations
- Business growth : Based on the long term average growth rate for each business unit. The volume growth has been budgeted on a reasonable and realistic basis for a period of five years.



20.1.2 Investment in associates - unquoted

As at	Group				Company			
	No. of Shares	Group Holding	31.03.2025 Rs. '000	31.03.2024 Rs. '000	No. of Shares	Company Holding	31.03.2025 Rs. '000	31.03.2024 Rs. '000
Amethyst Leisure Ltd								
(Consolidated with Paradise Resorts Passikudah (Pvt) Ltd)								
Net book value as at 1st April	218,345,163	27.89%	-	334,808	218,345,163	27.89%	332,848	332,848
Share of movement in equity value *			-	(334,808)			-	-
Equity value of investment as at 31st March			-	-			332,848	332,848
Provision for impairment of investment **			-	-			(304,567)	(304,567)
Equity value of investment as at 31st March - net of impairment			-	-			28,281	28,281
Aitken Spence Hotel Managements (Pvt) Ltd								
(Consolidated with Aitken Spence Resources (Pvt) Ltd)								
Net book value as at 1st April	3,862,353	49.00%	227,879	227,879	3,862,353	49.00%	227,879	227,879
Share of movement in equity value			(116,839)	(164,694)			-	-
Equity value of investment as at 31st March			111,040	63,185			227,879	227,879
Total equity value of investment of investments in associates - unquoted as at 31st March			111,040	63,185			256,160	256,160

*As the Group's share of losses arising from Amethyst Leisure Ltd has exceeded its interest in equity accounted investee, the carrying amount has been reduced to nil and the recognition of further losses was discontinued since 2023/2024.

**Impairment to the carrying value of investment in Amethyst Leisure Ltd was recognised based on discounted future cash flows to the extent of the non recoverability amount of the investment.

The effects of changes in economic conditions referring to macro economic factors have been taken into effect in the cashflow forecasts and the discount rate used for the calculation. There is a considerable degree of judgement involved in preparing forecasts and assumptions including discount rates.

The key assumptions used for the investment impairment of the Company are given below.

- Discount factor : 11.1% to 13.7%
- Inflation : Based on current inflation rate.
- Forecasted terminal growth rate for future period : 3%
- Margin : Based on past performance and budgeted expectations
- Business growth : Based on the long term average growth rate for each business unit. The volume growth has been budgeted on a reasonable and realistic basis for a period of five years.



20.2 Principle place of business and the group holding percentage of investment in associates

Name	Principle place of Business /Country of incorporation	Nature of relationship with the Group	Ownership interest % voting rights as at 31st March 2025	Fair Value of ownership interest (if listed) Rs.'000
Browns Beach Hotels PLC	Sri Lanka	Owens Negombo Beach Resorts (Pvt) Ltd	37.42%	914,190
Negombo Beach Resorts (Pvt) Ltd (100% subsidiary of Browns Beach Hotels PLC)	Sri Lanka	Owens and Operates Sentido Heritage Negombo	37.42%	-
Amethyst Leisure Ltd	Sri Lanka	Owens Paradise Resorts Passikudah (Pvt) Ltd	27.89%	-
Paradise Resorts Passikudah (Pvt) Ltd (100% subsidiary of Amethyst Leisure Ltd)	Sri Lanka	Owens and Operates Amethyst Resorts Passikudah	27.89%	-
Aitken Spence Hotel Managements (Pvt) Ltd	Sri Lanka	Provides Management Services to all Hotels in Sri Lanka	49.00%	-
Aitken Spence Resources (Pvt) Ltd (100% subsidiary of Aitken Spence Hotel Managements (Pvt) Ltd)	Sri Lanka	Provides Human Resources to overseas hotels	49.00%	-

20.3 Summarised financial information of investment in associates with material NCI

	Browns Beach Hotels PLC		Aitken Spence Hotel Managements (Pvt) Ltd	
For the year	(Consolidated with Negombo Beach Resorts (Pvt) Ltd)		(Consolidated with Aitken Spence Resources (Pvt) Ltd)	
	2024/2025	2023/2024	2024/2025	2023/2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Revenue	1,492,898	1,295,243	1,232,217	1,016,040
Profit/(loss) after tax	(153,909)	(466,967)	47,640	(32,457)
Other comprehensive income/(loss)	60,623	(780)	50,023	13,182
Total comprehensive income/(loss)	(93,286)	(467,747)	97,663	(19,275)
Attributable to NCI	(58,381)	(292,730)	49,808	(9,830)
Attributable to Investees Shareholders	(34,905)	(175,017)	47,855	(9,445)
Unrecognised losses due to negative net assets	34,905	175,017	-	-
Share of movement in equity value attributable to the Group	-	-	47,855	(9,445)
Current assets	623,597	715,040	419,971	363,034
Non - current assets	4,506,832	4,587,037	409,948	360,018
Current liabilities	(1,127,020)	(1,135,024)	(712,289)	(688,114)
Non- current liabilities	(4,753,139)	(4,823,497)	(53,812)	(40,230)
Net assets	(749,730)	(656,444)	63,818	(5,292)
Attributable to NCI	-	-	(47,222)	(68,477)
Attributable to investees shareholders	-	-	111,040	63,185
Groups interest in net assets of investee at the beginning of the year	-	-	63,185	72,630
Share of movement in equity value attributable to the Group	-	-	47,855	(9,445)
Group's interest in net assets of investee at the end of the year	-	-	111,040	63,185



21 OTHER FINANCIAL ASSETS - NON CURRENT

21.1 Unquoted equity securities, debt securities and unsecured loans

		Group		Company	
As at		31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial assets at fair value through OCI					
- Unquoted equity securities	21.1.1	246,822	250,254	-	-
Financial assets at amortised cost					
- Unquoted debt securities and unsecured loans	21.1.2	725,524	725,524	725,524	725,524
Non-current unquoted debt and equity securities		972,346	975,778	725,524	725,524

21.1.1 Unquoted equity securities

	Group			Company	
As at	No of shares as at	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	31.03.2025	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Investment in Floatels India (Pvt) Ltd					
Balance as at 01st April		250,254	272,494	-	-
Effect of movement in exchange rates		(3,432)	(22,240)	-	-
Balance as at 31st March	716,037	246,822	250,254	-	-

The balance reflects the recent sale price of remaining equity shares.

Valuation technique and significant unobservable inputs used for valuation are disclosed in Note No. 41.3.2.

The Group designated the investments in equity securities at FVOCI because these equity securities represent investments that the Group intended to hold for the long term for strategic purpose.

No Strategic investments were disposed of during 2024/2025, and there were no transfer of any cumulative gain or loss within equity relating to these investments.



21.1.2 Unquoted debt securities and unsecured loans

	Group		Company	
As at	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Unsecured loans				
Negombo Beach Resorts (Pvt) Ltd	725,524	725,524	725,524	725,524
Non-current unquoted debt securities and unsecured loans	725,524	725,524	725,524	725,524

Unsecured loan is receivable in 7 years with a grace period of 2 years. Interest linked to AWPLR. Date of loan disbursement was 24th July 2017.

22 DEFERRED TAX ASSETS

22.1 Movement in deferred tax assets

	Group		Company	
For the year	2024/2025	2023/2024	2024/2025	2023/2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance as at 01st April	359,966	486,592	-	-
Effect of movement in exchange rates	(5,990)	(41,463)	-	-
Reversal of temporary differences				
-Recognised in income statement	24,651	(85,163)	-	-
-Recognised in other comprehensive income	460	-	-	-
Balance as at 31st March	379,087	359,966	-	-

22.2 Composition of deferred tax assets

	Group		Company	
As at	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred tax assets attributable to;				
Defined benefit obligations	5,995	3,036	-	-
Tax losses carried forward	674,718	704,758	-	-
Expected credit loss	30,247	7,403	-	-
Obsolete stocks	222	-	-	-
Property, plant and equipment	(230,009)	(247,071)	-	-
Revaluation surplus on freehold land	(103,118)	(108,160)	-	-
Unrealised exchange gain	1,032	-	-	-
Net deferred tax assets	379,087	359,966	-	-



22.3 Movement in tax effect of temporary differences - Group - 2024/2025

	2024/2025				
	Balance as at 01.04.2024	Recognised in profit and (loss) comprehensive income	Recognised in other comprehensive income	Exchange differences	Balance as at 31.03.2025
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred tax assets					
Defined benefit obligations	3,036	3,138	(52)	(127)	5,995
Tax losses carried forward	704,758	(522)	-	(29,518)	674,718
Expected credit losses	7,403	22,854	-	(10)	30,247
Obsolete stocks	-	222	-	-	222
Unrealised exchange gain	-	1,032	-	-	1,032
	715,197	26,724	(52)	(29,655)	712,214
Deferred tax liabilities					
Property, plant and equipment	(247,071)	(2,073)	-	19,135	(230,009)
Revaluation surplus on freehold land	(108,160)	-	512	4,530	(103,118)
	(355,231)	(2,073)	512	23,665	(333,127)
Net deferred tax assets	359,966	24,651	460	(5,990)	379,087

22.4 Movement in tax effect of temporary differences - Group - 2023/2024

	2023/2024				
	Balance as at 01.04.2023	Recognised in profit and (loss) comprehensive income	Recognised in other comprehensive income	Exchange differences	Balance as at 31.03.2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred tax assets					
Defined benefit obligations	3,384	(26)	-	(322)	3,036
Tax losses carried forward	856,086	(71,755)	-	(79,573)	704,758
Expected credit losses	10,163	(2,099)	-	(661)	7,403
	869,633	(73,880)	-	(80,556)	715,197
Deferred tax liabilities					
Property, plant and equipment	(263,495)	(11,283)	-	27,707	(247,071)
Revaluation surplus on freehold land	(119,546)	-	-	11,386	(108,160)
	(383,041)	(11,283)	-	39,093	(355,231)
Net deferred tax assets	486,592	(85,163)	-	(41,463)	359,966



23 INVENTORIES

	Group		Company	
As at	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Food	385,983	344,435	18,503	15,898
Beverage	255,242	268,908	142	6,496
Maintenance	478,852	375,086	8,961	8,324
Stationery	26,639	34,855	1,013	1,071
House keeping	219,398	75,892	1,352	2,356
Ayurveda stocks	3,509	3,867	-	-
Fuel and others	139,228	323,067	5,804	6,263
	1,508,851	1,426,110	35,775	40,408
Provision of impairment of inventories	(14,722)	-	(1,954)	-
Total	1,494,129	1,426,110	33,821	40,408

None of the inventories are pledged as security for loan facilities obtained by the Group or Company from banks as at 31st March 2025.
(Group and Company 2023/2024 - nil)

24 TRADE AND OTHER RECEIVABLES

	Group		Company	
As at	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Trade receivables	3,367,313	3,156,294	136,327	132,907
Provision for impairment	(352,444)	(138,774)	(2,753)	(838)
Net trade receivables	3,014,869	3,017,520	133,574	132,069
Non trade receivables	210,395	130,905	209	3,058
Total recognised under financial instruments (Note No. 40.1)	3,225,264	3,148,425	133,783	135,127
Other taxes receivable	29,026	38,998	-	-
Other receivable	279,076	128,388	426	5,027
Total	3,533,366	3,315,811	134,209	140,154

No loans have been given to directors of the Company.

24.1 Credit and market risks, and impairment losses

Information about the Group's exposure to credit risk of trade receivables which discusses how the Group manages and measures credit quality of trade receivables, market risk and the impairment losses of trade receivables are disclosed in Note No.42.

25 AMOUNTS DUE FROM HOLDING COMPANY

	Group		Company	
As at	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Short term investments	1,547,373	1,068,116	-	-
Total	1,547,373	1,068,116	-	-

The above short term investments were made on normal market interest rates.



26 AMOUNTS DUE FROM PARENT'S GROUP ENTITIES

	Group		Company	
As at	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Aitken Spence Travels (Pvt) Ltd	429,800	610,180	69,166	109,862
Aitken Spence Hotel Managements (Pvt) Ltd	62,634	164,900	-	5,649
Aitken Spence Hotels International (Pvt) Ltd	-	-	-	207,016
Aitken Spence Exports (Pvt) Ltd	-	628	-	-
Aitken Spence Hotels Ltd	-	-	-	6
Negombo Beach Resorts (Pvt) Ltd	674,456	609,864	673,552	609,864
Turyaa (Pvt) Ltd	-	-	341,087	310,841
Meeraladuwa (Pvt) Ltd	-	-	618	518
Ahungalla Resorts Ltd	-	-	135,049	122,952
Aitken Spence Shipping Ltd	-	108	-	-
Hapag Lloyd Lanka (Pvt) Ltd	-	33	-	-
Elpitiya Plantations PLC	391	-	143	-
Aitken Spence Garments Ltd	81	268	-	132
Aitken Spence Cargo (Pvt) Ltd	25	-	-	-
Aitken Spence International Consulting (Pvt) Ltd	-	132	-	-
Paradise Resorts Passikudah (Pvt) Ltd	12,145	595	10,084	26
Total	1,179,532	1,386,708	1,229,699	1,366,866

27 OTHER FINANCIAL ASSETS

	Group		Company	
As at	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Bank deposits	5,462,605	4,029,660	256,191	260,371
Total	5,462,605	4,029,660	256,191	260,371

28 CASH AND CASH EQUIVALENTS

	Group		Company	
As at	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Short term deposits less than 90 days	814,883	449,224	-	-
Cash at bank and in hand	3,281,700	1,848,009	75,302	147,562
Cash and cash equivalents in the statement of financial position	4,096,583	2,297,233	75,302	147,562
Bank overdrafts and other short term borrowings	(5,956,558)	(5,618,695)	(381,536)	(337,053)
Cash and cash equivalents in the statement of cash flows	(1,859,975)	(3,321,462)	(306,234)	(189,491)



29 ASSETS CLASSIFIED AS HELD FOR SALE

	Group		Company	
As at	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Net assets of Group companies classified as held for sale	36,112	-	-	-
	36,112	-	-	-

The net assets value of Ace Resorts (Pvt) Ltd is treated under assets classified as held for sale upon the decision made to liquidate the Company. The Company has commenced the liquidation process. The liquidation of this Company is not yet concluded as at 31.03.2025.

The breakdown of the net assets held for sale is comprised of following assets and liabilities.

	Rs. '000
Other financial assets (Deposits more than 90 days)	34,580
Cash and cash equivalents	2,483
Other provisions and payables	(798)
Amount due to parent's group entities	(153)
	36,112

30 STATED CAPITAL

	Company		
As at	No of shares as at	31.03.2025	31.03.2024
	31.03.2025	Rs. '000	Rs. '000
Issued and fully paid ordinary share capital	336,290,010	3,389,587	3,389,587
Preference share capital - redeemable cumulative	16,500,000	165,000	165,000
Total		3,554,587	3,554,587

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per individual present at the meeting of shareholders or one vote per share in case of a poll.

Preference shares do not carry the right to vote. All shares rank equally with regard to residual assets, except that preference shareholder participate only to the extent of the face value of shares adjusted for dividends in arrears.

Preference Share capital is classified as equity as redeemable only at the Company's option. Dividends thereon are recognised as distributions within equity upon approval by the Company's shareholders.

Preference shareholder is entitled to dividends at 9% annually.(Cents 90 per share)



31 RESERVES

		Group		Company	
As at		31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Revaluation reserve	31.1	3,142,458	3,148,179	666,248	666,248
General reserve	31.2	22,929	22,929	22,929	22,929
Cashflow hedge reserve	31.3	(1,800,674)	(2,208,231)	-	-
Fair value reserve	31.4	97,572	73,525	-	-
Foreign currency translation reserve	31.5	8,170,840	8,479,077	-	-
Total		9,633,125	9,515,479	689,177	689,177
Transaction movement					
Balance brought forward		9,515,479	10,305,604	689,177	689,177
Transfers to / (from) foreign currency translation reserve during the year		(308,237)	(1,701,954)	-	-
Transfer to / (from) cashflow hedge reserve		407,557	900,930	-	-
Movement in fair value reserve		24,047	10,899	-	-
Movement in revaluation reserve		(5,721)	-	-	-
Balance carried forward		9,633,125	9,515,479	689,177	689,177

31.1 Revaluation reserves

The revaluation reserve relates to property, plant and equipment which has been revalued by the Group.

31.2 General reserves

The general reserve relates to retained earnings set aside by the Group.

31.3 Cashflow hedge reserve

This represents the reserve created to eliminate the exposure that arises from changes in cash flows of a financial liability due to exchange rate fluctuations.

31.4 Fair value reserve

This represents the cumulative net change in the fair value of equity securities designated at FVOCI until the investments are derecognised.

31.5 Foreign currency translation reserve

The foreign currency translation reserve comprise of all foreign exchange difference arising from the translation of the financial statements of foreign operations.



32 INTEREST BEARING LIABILITIES - BANKS

32.1 Movement in Interest bearing liabilities - banks

	Group		Company	
For the year	2024/2025	2023/2024	2024/2025	2023/2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Loan Capital				
Balance as at 01st April	34,141,619	42,542,435	535,331	712,486
Effect of movement in exchange rates	(458,022)	(3,098,828)	-	-
Loans received during the year	14,201,283	504,424	-	-
Transaction cost	3,667	5,395	-	-
Loan repayments during the year	(18,921,240)	(5,811,807)	(217,205)	(177,155)
	28,967,307	34,141,619	318,126	535,331
Loan Interest				
Balance as at 01st April	113,828	160,521	-	-
Effect of movement in exchange rates	63	(4,960)	-	-
Interest accrued during the period	2,833,305	3,787,762	51,403	115,480
Interest paid during the period	(2,828,196)	(3,829,495)	(51,403)	(115,480)
	119,000	113,828	-	-
Total balance as at 31st March	29,086,307	34,255,447	318,126	535,331
Current portion of interest bearing liabilities - banks	(9,517,857)	(5,693,006)	(318,126)	(217,205)
Non current portion of interest bearing liabilities - banks	19,568,450	28,562,441	-	318,126

32.2 Analysed by currency equivalent in Rupees

	Group		Company	
As at	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Equivalent	Equivalent	Equivalent	Equivalent
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Sri Lankan rupees	1,245,035	1,497,813	318,126	535,331
United States dollars	18,527,465	21,824,074	-	-
Euro	7,982,974	9,302,585	-	-
Oman rial	1,332,141	1,636,009	-	-
Transaction cost to be amortised	(1,308)	(5,034)	-	-
Total	29,086,307	34,255,447	318,126	535,331

32.3 Analysed by repayment period

	Group		Company	
As at	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Payable within one year	9,517,857	5,693,006	318,126	217,205
Payable between one and two years	5,938,505	13,507,432	-	318,126
Payable between two and five years	5,904,038	7,863,949	-	-
Payable after five years	7,725,907	7,191,060	-	-
Total	29,086,307	34,255,447	318,126	535,331



32.4 Analysed by interest rate

	Group		Company	
As at	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Fixed rate term loans	1,152,263	900,135	-	-
Term loans linked to AWPLR	1,245,035	1,497,813	318,126	535,331
Term loans linked to EURIBOR	7,982,974	9,302,585	-	-
Term loans linked to SOFR	17,375,202	20,922,939	-	-
Term loans linked to T-bill rate (Oman)	1,332,141	1,636,009	-	-
Transaction cost to be amortised	(1,308)	(5,034)	-	-
Total	29,086,307	34,254,447	318,126	535,331

32.5 Analysed by lending institution

	Group		Company	
As at	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Commercial Bank of Ceylon	9,588,935	-	-	-
Hongkong and Shanghai Banking Corporation	6,755,575	7,960,610	-	-
ABANCA Corporación Bancaria	3,989,433	4,423,674	-	-
National Development Bank	3,508,147	-	-	-
Hatton National Bank	1,711,345	10,805,221	-	-
People's Bank	1,587,516	2,944,190	-	-
DFCC Bank	926,909	7,591,455	-	-
Commercial Bank of Maldives	701,629	-	-	-
Habib Bank	318,126	535,331	318,126	535,331
Transaction cost to be amortised	(1,308)	(5,034)	-	-
Total	29,086,307	34,255,447	318,126	535,331



32.6 Analysed by lending institutions, credit terms and security details

32.6.1 Analysed by lending institutions, credit terms and security details - Group

Bank / financial institution	Loan No	Currency	Linked interest basis	Assets pledged and collaterals
Commercial Bank of Ceylon	Loan No. 1	USD	SOFR	Mortgage agreement over the head lease of the hotel property
Hongkong and Shanghai Banking Corporation	Loan No. 1	EUR	EURIBOR	Corporate Guarantee from Aitken Spence PLC and primary mortgage over the hotel property
	Loan No. 2	EUR	EURIBOR	Corporate Guarantee from Aitken Spence PLC
	Loan No. 3	USD	SOFR	Corporate Guarantee from Aitken Spence PLC and primary mortgage over the hotel property
	Loan No. 4	OMR	Central Bank of Oman T-Bill rate	Corporate Guarantee from Aitken Spence PLC and primary mortgage over the hotel property
ABANCA Corporación Bancaria	Loan No. 1	EUR	EURIBOR	Corporate Guarantee from Riusa II SA
National Development Bank	Loan No. 1	USD	SOFR	Mortgage agreement over the head lease of the hotel property
Hatton National Bank	Loan No. 1	USD	Fixed rate	Third party letter of set-off and lien over deposits owned by another Group's subsidiary
	Loan No. 2	USD	SOFR	Corporate Guarantee from Aitken Spence Hotels International (Pvt) Ltd and mortgage agreement over the head lease of the hotel property
	Loan No. 3	USD	SOFR	Mortgage agreement over the head lease of the hotel property
People's Bank	Loan No. 1	USD	SOFR	Corporate Guarantee from Aitken Spence Hotel Holdings PLC and negative pledge over the shares of Aitken Spence Hotels International (Pvt) Ltd
	Loan No. 2	USD	SOFR	Corporate Guarantee from Aitken Spence Hotel Holdings PLC and negative pledge over the shares of Aitken Spence Hotels International (Pvt) Ltd
	Loan No. 3	USD	Fixed rate	None
DFCC Bank	Loan No. 1	USD	SOFR	Corporate Guarantee from Aitken Spence Hotels International (Pvt) Ltd and mortgage agreement over the head lease of the hotel property
	Loan No. 2	LKR	AWPLR	Corporate Guarantee from Aitken Spence Hotel Holdings PLC



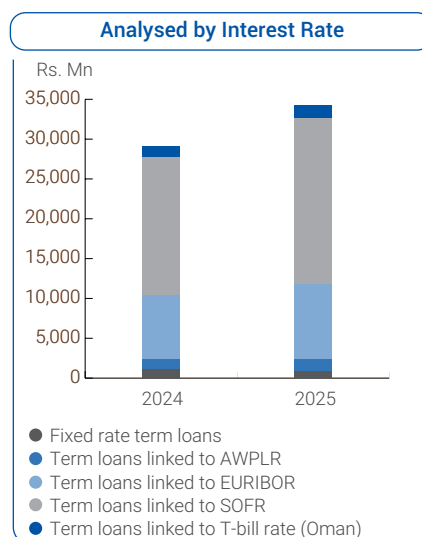
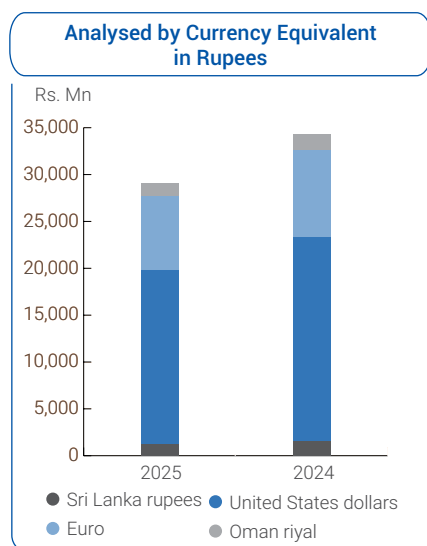
Repayment Terms	Maturity	31.03.2025	31.03.2024
		Rs. '000	Rs. '000
33 Quarterly instalments starting from June 2025.	Jun - 2033	9,588,935	-
		9,588,935	-
Repayment commenced. Monthly instalments and 75% final balloon payment.	Jun - 2025	3,993,541	4,631,180
Fully settled during the financial year.	Jul - 2024	-	247,731
Bullet repayment at maturity.	Jul - 2025	1,429,893	1,445,690
Repayment commenced. Quarterly instalments.	May - 2028	1,332,141	1,636,009
		6,755,575	7,960,610
Repayment commenced. Quarterly instalments and 72% final bullet repayment at maturity.	Jul - 2026	3,989,433	4,423,674
		3,989,433	4,423,674
33 Quarterly instalments starting from June 2025.	Jun - 2033	3,508,147	-
		3,508,147	-
84 Monthly instalments starting Aug-2025.	Jul - 2032	1,152,263	753,412
Repayment commenced. Monthly instalments.	Mar - 2026	559,082	1,037,795
Fully settled during the financial year.	Mar - 2025	-	9,014,014
		1,711,345	10,805,221
Repayment commenced. Quarterly instalments.	Oct - 2026	1,587,516	2,541,758
Fully settled during the financial year.	Nov - 2024	-	255,708
Fully settled during the financial year.	Nov - 2024	-	146,724
		1,587,516	2,944,190
Fully settled during the financial year.	Mar - 2025	-	6,628,974
Repayment commenced. Monthly instalments.	Oct - 2029	926,909	962,481
		926,909	7,591,455



Bank / financial institution	Loan No	Currency	Linked interest basis	Assets pledged and collaterals
Commercial Bank of Maldives	Loan No. 1	USD	SOFR	Mortgage agreement over the head lease of the hotel property
Habib Bank	Loan No. 1	USD	AWPLR	Corporate Guarantee from Aitken Spence PLC
Total				
Transaction cost to be amortised				

32.6.2 Analysed by lending institutions, credit terms and security details - Company

Bank / financial institution	Loan No	Currency	Linked interest basis	Assets pledged and collaterals
Habib Bank	Loan No. 1	LKR	AWPLR	Corporate Guarantee from Aitken Spence PLC

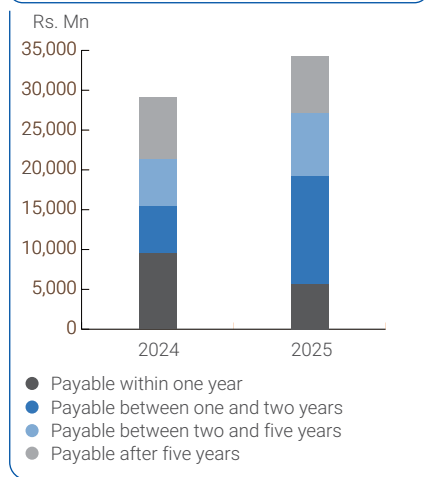




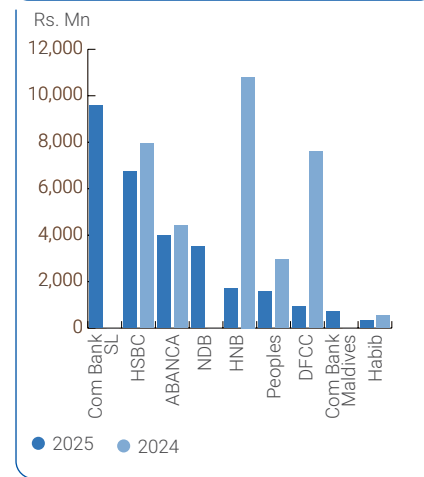
Repayment Terms	Maturity	31.03.2025	31.03.2024
		Rs. '000	Rs. '000
33 Quarterly instalments starting from June 2025.	Jun - 2033	701,629	-
		701,629	-
Repayment commenced. Quarterly instalments.	Mar - 2026	318,126	535,331
		318,126	535,331
		29,087,615	34,260,481
		(1,308)	(5,034)
		29,086,307	34,255,447

Repayment Terms	Maturity	31.03.2025	31.03.2024
		Rs' 000	Rs' 000
Repayment commenced. Quarterly instalments.	Mar - 2026	318,126	535,331
		318,126	535,331

Analysed by Repayment Period



Analysed by Lending Institution





33 INTEREST BEARING LIABILITIES - LEASES

33.1 Movement of lease liabilities

	Group		Company	
For the year	2024/2025	2023/2024	2024/2025	2023/2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance as at 01st April	12,483,509	15,010,510	-	-
Impact on exchange rate fluctuation	(162,111)	(1,156,419)	-	-
Additions	4,468	-	-	-
Interest expense charged to income statement	668,531	791,478	-	-
Payment of lease liabilities	(2,036,216)	(2,162,060)	-	-
Balance as at 31st March	10,958,181	12,483,509	-	-
Current portion of interest bearing liabilities - leases	(1,118,490)	(1,379,271)	-	-
Non current portion of interest bearing liabilities - leases	9,839,691	11,104,238	-	-

32.2 Analysed by capital repayment

	Group		Company	
As at	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Payable within one year	1,118,490	1,379,271	-	-
Payable between one and two years	178,689	1,130,149	-	-
Payable between two and five years	612,587	593,111	-	-
Payable after five years	9,048,415	9,380,978	-	-
Total	10,958,181	12,483,509	-	-

33.3 Analysed by currency equivalent in Rupees

	Group		Company	
As at	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
United States dollars	10,928,044	12,456,490	-	-
Sri Lankan rupees	30,137	27,019	-	-
	10,958,181	12,483,509	-	-

33.4 Details of lease liabilities recognised due to ROU assets

Company name	Nature of the leasing activities	Location of the leased property	Remaining lease period as at 31.03.2025 (No of years)
Aitken Spence Hotels Ltd	Lease Land	Moragalla -Sri Lanka	18
	Lease building for Neptune Ayurvedic centre	Moragalla -Sri Lanka	1
Hethersett Hotels Ltd	Lease Land	Nuwara Eliya -Sri Lanka	70
Kandalama Hotels (Pvt) Ltd	Lease Land	Dambulla -Sri Lanka	18
Unique Resorts (Pvt) Ltd	Lease Land	South Male' Atoll - Maldives	20
Jetan Travel Services Company (Pvt) Ltd	Lease Land	South Male' Atoll - Maldives	18
ADS Resorts (Pvt) Ltd	Lease Land	North Male' Atoll - Maldives	11
Cowrie Investments (Pvt) Ltd	Meedhupparu island - Lease Land	Raa Atoll - Maldives	23
	Heritance Aarah island - Lease Land	Raa Atoll - Maldives	40

All above lease contracts entered on lands and buildings are for the business purpose only.

The Group has not earned any income from sub leasing of right of use assets for the year ended 31st March 2025.

Further, Group has not entered in to any sale and lease back transaction as at 31st March 2025.

There were no any restrictions imposed by lease arrangements, any variable lease payments, extension options or any leases not yet commenced to which the lessee was committed as at 31st March 2025.



33.5 Amounts recognised in profit or loss

	Group	
For the year ended 31st March	2025	2024
	Rs. '000	Rs. '000
Amortisation charge of right-of-use assets (Note 17.1)	1,220,496	1,302,049
Interest on lease liabilities	668,531	791,478
Expenses relating to short term leases and low value assets	448,503	439,066

33.6 Amounts recognised in the statement of cash flows

	Group	
For the year ended 31st March	2025	2024
	Rs. '000	Rs. '000
Total cash out flow for leases	(2,036,216)	(2,162,060)

34 DEFERRED TAX LIABILITIES

34.1 Movement in deferred tax liabilities

	Group		Company	
For the year	2024/2025	2023/2024	2024/2025	2023/2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance as at 01st April	3,290,299	3,014,059	149,087	229,170
Effect of movement of exchange rates	(12,404)	(11,009)	-	-
Origination of temporary differences				
- recognised in income statement	192,337	293,654	34,589	(78,057)
- recognised in other comprehensive income	8,444	(6,405)	(3,473)	(2,026)
Balance as at 31st March	3,478,676	3,290,299	180,203	149,087

34.2 Composition of deferred tax liabilities

	Group		Company	
As at	2024/2025	2023/2024	2024/2025	2023/2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred tax liabilities attributable to;				
Property, plant and equipment	3,583,437	3,395,860	212,373	212,367
Revaluation surplus on freehold land	855,167	843,902	246,255	246,255
Unrealised exchange gain	16,131	(34,137)	(862)	(18,589)
Undistributed profits of consolidated entities	41,437	29,832	-	-
Right-of-use assets	9,483	9,331	-	-
Defined benefit obligations	(74,708)	(63,429)	(19,520)	(18,220)
Carried forward tax losses	(911,679)	(870,015)	(256,631)	(272,474)
Expected credit loss	(27,462)	(12,939)	(826)	(252)
Lease liability	(9,041)	(8,106)	-	-
Obsolete stocks	(4,089)	-	(586)	-
Net deferred tax liabilities	3,478,676	3,290,299	180,203	149,087



34.3 Movement in tax effect of temporary differences - Group - 2024/2025

	2024/2025				
	Balance as at 01st April 2024	Recognised in profit & (loss)	Recognised in Other Comprehensive Income	Exchange gain/(losses)	Balance as at 31st March 2025
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred tax liabilities					
Accelerated depreciation for tax purposes on property, plant and equipment	3,395,860	196,964	-	(9,387)	3,583,437
Revaluation surplus on freehold land	843,902	-	13,964	(2,699)	855,167
Unrealised exchange gain	(34,137)	50,268	-	-	16,131
Undistributed profits of consolidated entities	29,832	11,605	-	-	41,437
Right-of-use assets	9,331	152	-	-	9,483
Total liabilities	4,244,788	258,989	13,964	(12,086)	4,505,655
Deferred tax assets					
Defined benefit obligations	(63,429)	(5,759)	(5,520)	-	(74,708)
Tax losses carried forward	(870,015)	(41,499)	-	(165)	(911,679)
Expected credit loss	(12,939)	(14,370)	-	(153)	(27,462)
Lease liability	(8,106)	(935)	-	-	(9,041)
Obsolete stocks	-	(4,089)	-	-	(4,089)
Total assets	(954,489)	(66,652)	(5,520)	(318)	(1,026,979)
Net deferred tax liabilities	3,290,299	192,337	8,444	(12,404)	3,478,676

34.4 Movement in tax effect of temporary differences - Group - 2023/2024

	2023/2024				
	Balance as at 01st April 2023	Recognised in profit & (loss)	Recognised in Other Comprehensive Income	Exchange gain/(losses)	Balance as at 31st March 2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred tax liabilities					
Accelerated depreciation for tax purposes on property, plant and equipment	3,218,092	251,189	-	(73,421)	3,395,860
Revaluation surplus on freehold land	856,291	-	-	(12,389)	843,902
Unrealised exchange gain	16,672	(50,809)	-	-	(34,137)
Undistributed profits of consolidated entities	23,558	6,274	-	-	29,832
Right-of-use assets	10,462	(1,131)	-	-	9,331
Total liabilities	4,125,075	205,523	-	(85,810)	4,244,788
Deferred tax assets					
Defined benefit obligations	(49,843)	(7,181)	(6,405)	-	(63,429)
Tax losses carried forward	(1,035,750)	91,691	-	74,044	(870,015)
Expected credit loss	(16,872)	3,176	-	757	(12,939)
Lease liability	(8,551)	445	-	-	(8,106)
Total assets	(1,111,016)	88,131	(6,405)	74,801	(954,489)
Net deferred tax liabilities	3,014,059	293,654	(6,405)	(11,009)	3,290,299



34.5 Movement in tax effect of temporary differences - Company

	2024/2025				2023/2024		
	Balance as at 31st March 2025	Recognised in profit & (loss)	Recognised in Other Comprehensive Income	Balance as at 31st March 2024	Recognised in profit & (loss)	Recognised in Other Comprehensive Income	Balance as at 01st April 2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred tax liabilities							
Accelerated depreciation for tax purposes on property, plant and equipment	212,373	6	-	212,367	(302)	-	212,669
Revaluation surplus on freehold land	246,255	-	-	246,255	-	-	246,255
	458,628	6	-	458,622	(302)	-	458,924
Deferred tax assets							
Defined benefit obligations	(19,520)	2,173	(3,473)	(18,220)	(2,024)	(2,026)	(14,170)
Tax losses carried forward	(256,631)	15,843	-	(272,474)	(33,105)	-	(239,369)
Expected credit loss	(826)	(574)	-	(252)	(150)	-	(102)
Unrealised exchange gain	(862)	17,727	-	(18,589)	(42,476)	-	23,887
Obsolete stocks	(586)	(586)	-	-	-	-	-
	(278,425)	34,583	(3,473)	(309,535)	(77,755)	(2,026)	(229,754)
Net deferred tax liabilities	180,203	34,589	(3,473)	149,087	(78,057)	(2,026)	229,170

35 EMPLOYEE BENEFITS

35.1 Retirement benefit obligations

	Group		Company	
As at	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Retirement benefit obligations				
Present value of unfunded obligations	415,317	366,966	65,068	60,733
Recognised liability for defined benefit obligations	415,317	366,966	65,068	60,733

35.2 Movement in present value of the defined benefit obligations

	Group		Company	
For the year	2024/2025	2023/2024	2024/2025	2023/2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Defined benefit obligations as at 01st April	366,966	315,641	60,733	47,235
Charge for the year (Note 35.3)	65,184	83,970	11,014	12,275
Actuarial losses (Note 35.4)	25,051	19,927	11,578	6,752
Benefits paid	(39,190)	(39,140)	(18,257)	(5,529)
Effect of movement in exchange rates	(2,694)	(13,432)	-	-
Defined benefit obligations as at 31st March	415,317	366,966	65,068	60,733

**35.3 Expenses recognised in income statement**

	Group		Company	
For the year ended 31st March,	2025	2024	2025	2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
- Current service cost	37,518	48,669	3,726	9,210
- Interest cost	27,666	35,301	7,288	3,065
	65,184	83,970	11,014	12,275

35.4 Losses/(gains) recognised in other comprehensive income

	Group		Company	
For the year ended 31st March,	2025	2024	2025	2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Actuarial losses /(gains) on retirement benefit obligations;				
- Due to changes in financial assumptions	7,829	32,461	2,585	(1,523)
- Due to experience adjustment	17,267	(12,534)	9,164	8,275
- Due to changes in demographic assumptions	(45)	-	(171)	-
	25,051	19,927	11,578	6,752

- 35.5** The provision for retirement benefits obligations as at 31st March 2025 is based on the actuarial valuation carried out by professionally qualified actuaries, Messrs. Actuarial & Management Consultants (Pvt) Ltd, using "Projected Unit Credit" (PUC) method, the method recommended by the Sri Lanka Accounting Standard – LKAS 19 on "Employee Benefits".

The actuarial present value of the promised retirement benefits as at 31st March 2025 amounted to Rs. 415,316,752.
(Company - Rs. 65,068,232)

The liability is not externally funded.



35.6 The principal actuarial assumptions

The principal actuarial assumptions used in determining the cost are given below;

	2024/2025	2023/2024
Financial assumptions		
Discount rate *	11%	12%
Salary increment rate **		
- Executive staff	15% in July 2025 with 10% p.a from 2026	15% in July 2024 with 11% p.a from 2025
- Non - executive staff and other staff		

* A long term treasury bond rate 11% p.a. (2023/24 – 12.0% p.a.) has been used to discount future liabilities taking into consideration the remaining working life of eligible employees.

** Based on the actual salary increment rates of the Group over the past few years and the future economic outlook of the country, an increase in the long term salary increment rate is factored into the valuation for the current year.

It is also assumed that the company will continue in business as a going concern.

		2024/2025	2023/2024
Demographic assumptions			
- Mortality		A 1967/1970 mortality table,issued by the Institute of Actuaries, London	
- Disability		10% of mortality rates	
- Retirement age		60 years	
- Staff turnover rate	Executive staff	Non- Executive staff	Other Staff
* 18 - 24 years	14%	18%	36%
* 25 - 29 years	23%	20%	40%
* 30 - 34 years	20%	18%	33%
* 35 - 39 years	17%	17%	28%
* 40 - 44 years	15%	10%	24%
* 45 - 49 years	8%	9%	21%
* 50 - 54 years	8%	9%	17%
* 55 - 59 years	0%	0%	0%



35.7 Sensitivity analysis

The following table demonstrate the sensitivity to a reasonable possible change in the key assumptions employed with all other variables held constant in the employment benefit liability measurement, in respect of the year 2024/2025.

The sensitivity of the comprehensive income and statement of financial position is the effect of the assumed changes in discount rate and salary increment rate on the profit or loss for the year and employment benefit obligations as at 31st March 2025 is as follows.

	Group		Company	
	Effect on comprehensive income (reduction)/increase	Effect on employment benefit liability (reduction)/increase	Effect on comprehensive income (reduction)/increase	Effect on employment benefit liability (reduction)/increase
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Increase /(decrease) in discount rate				
-1%	(19,650)	19,650	(3,080)	3,080
+1%	18,070	(18,070)	2,835	(2,835)
Increase /(decrease) in salary escalation rate				
-1%	18,912	(18,912)	2,983	(2,983)
+1%	(20,229)	20,229	(3,190)	3,190

35.8 Maturity analysis of the payment

The following payment are expected on defined benefit obligations in future years.

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
As at				
Within next 12 months	65,665	82,280	8,864	11,076
Between 1-2 years	93,260	93,079	13,685	12,718
Between 2-5 years	116,493	86,092	22,216	20,510
Beyond five years	139,899	105,515	20,303	16,429
	415,317	366,966	65,068	60,733

35.9 Weighted average duration (years) of defined benefit obligation

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
As at				
Weighted average duration of defined benefit obligation (no of years)	5.0	4.3	5.0	4.2


36 OTHER PROVISIONS AND PAYABLES

	Group		Company	
As at	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Accrued payables	1,323,070	1,481,810	88,030	44,739
Contract liabilities	3,240,694	2,418,761	41,276	19,737
Total recognised under financial instruments (Note 40.1)	4,563,764	3,900,571	129,306	64,476
Unclaimed dividends	31,118	60,818	26,056	55,756
Taxes and other miscellaneous payables and provisions	2,166,456	1,813,425	34,724	51,643
Total	6,761,338	5,774,814	190,086	171,875

37 AMOUNTS DUE TO PARENT'S GROUP ENTITIES

	Group		Company	
As at	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Aitken Spence Exports (Pvt) Ltd	125	1,014	-	-
Elpitiya Plantations PLC	98	402	-	-
Aitken Spence Printing and Packaging (Pvt) Ltd	2	419	-	-
Aitken Spence Hotel Managements (Pvt) Ltd	119,244	70,683	7,666	-
Aitken Spence International Pte. Ltd	2,611	331	-	-
Aitken Spence Cargo (Pvt) Ltd	166	682	-	-
Ace Cargo (Pvt) Ltd	55	-	-	-
Negombo Beach Resorts (Pvt) Ltd	19	-	-	-
Aitken Spence Elevators (Pvt) Ltd	376	1,790	-	-
Aitken Spence Agriculture (Pvt) Ltd	-	34	-	-
Global Parcel Delivery (Pvt) Ltd	39	22	-	-
Total	122,735	75,377	7,666	-



38 FOREIGN CURRENCY TRANSLATION

The principle exchange rates used for translation of assets and liabilities as at the reporting date are as follows:

As at	31.03.2025	31.03.2024
US Dollar	296.32	300.44
Indian Rupee	3.46	3.61
UK Pound	383.78	380.52
Oman Riyal	769.78	782.30
Euro	319.86	326.03

39 CONTINGENT LIABILITIES

The contingent liability as at 31st March 2025 on guarantees given by Aitken Spence Hotel Holdings PLC to third parties on facilities obtained by subsidiaries amounted to Rs. 6,300,668,859 (as at 31.03.2024 - Rs. 11,351,669,533). Liability as at 31st March 2025 on guarantees given by subsidiaries to third parties amounted to Rs. 7,037,600,000 (as at 31.03.2024 - Rs. 13,829,253,200).

40 FINANCIAL INSTRUMENTS - ACCOUNTING CLASSIFICATIONS AND FAIR VALUES

The following tables shows the carrying amounts and fair values of financial assets and financial liabilities of the Group and the Company.

40.1 Accounting classifications of financial instruments

40.1.1 Accounting classifications of financial instruments - Group

As at 31st March 2025		Financial Assets at Fair value through OCI	Financial Assets at Amortised cost (a)	Financial Liabilities at Amortised cost (a)	Total Carrying amount
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial assets					
Other financial assets					
- Unquoted equity securities	21.1.1	246,822	-	-	246,822
- Unquoted debt securities and unsecured loans	21.1.2	-	725,524	-	725,524
- Bank deposits	27	-	5,462,605	-	5,462,605
Trade and other receivables	24	-	3,225,264	-	3,225,264
Amount due from holding company	25	-	1,547,373	-	1,547,373
Amount due from parent's group entities	26	-	1,179,532	-	1,179,532
Cash and cash equivalents	28	-	4,096,583	-	4,096,583
Total financial assets		246,822	16,236,881	-	16,483,703
Financial liabilities					
Interest bearing liabilities - banks	32	-	-	29,086,307	29,086,307
Interest bearing liabilities - leases	33	-	-	10,958,181	10,958,181
Trade payables		-	-	1,581,123	1,581,123
Other provisions and payables	36	-	-	4,563,764	4,563,764
Amount due to holding company		-	-	2,678,158	2,678,158
Amount due to parent's group entities	37	-	-	122,735	122,735
Bank overdrafts and other short term borrowings	28	-	-	5,956,558	5,956,558
Total financial liabilities		-	-	54,946,826	54,946,826



As at 31st March 2024		Financial Assets at Fair value through OCI	Financial Assets at Amortised cost (a)	Financial Liabilities at Amortised cost (a)	Total Carrying amount
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial assets					
Other financial assets					
- Unquoted equity securities	21.1.1	250,254	-	-	250,254
- Unquoted debt securities and unsecured loans	21.1.2	-	725,524	-	725,524
- Bank deposits	27	-	4,029,660	-	4,029,660
Trade and other receivables	24	-	3,148,425	-	3,148,425
Amount due from holding company	25	-	1,068,116	-	1,068,116
Amount due from parent's group entities	26	-	1,386,708	-	1,386,708
Cash and cash equivalents	28	-	2,297,233	-	2,297,233
Total financial assets		250,254	12,655,666	-	12,905,920
Financial liabilities					
Interest bearing liabilities - banks	32	-	-	34,255,447	34,255,447
Interest bearing liabilities - leases	33	-	-	12,483,509	12,483,509
Trade payables		-	-	1,503,995	1,503,995
Other provisions and payables	36	-	-	3,900,571	3,900,571
Amount due to holding company		-	-	2,531,875	2,531,875
Amount due to parent's group entities	37	-	-	75,377	75,377
Bank overdrafts and other short term borrowings	28	-	-	5,618,695	5,618,695
Total financial liabilities		-	-	60,369,469	60,369,469



40.1.2 Accounting classifications of financial instruments - Company

As at 31st March 2025,		Financial Assets at Fair value through OCI	Financial Assets at Amortised cost (a)	Financial Liabilities at Amortised cost (a)	Total Carrying amount
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial assets					
Other financial assets					
- Unquoted debt securities and unsecured loans	21.1.2	-	725,524	-	725,524
- Bank deposits	27	-	256,191	-	256,191
Trade and other receivables	24	-	133,783	-	133,783
Amount due from parent's group entities	26	-	1,229,699	-	1,229,699
Cash and cash equivalents	28	-	75,302	-	75,302
Total financial assets		-	2,420,499	-	2,420,499
Financial liabilities					
Interest bearing liabilities - banks	32	-	-	318,126	318,126
Trade payables		-	-	30,030	30,030
Other provisions and payables	36	-	-	129,306	129,306
Amount due to holding company		-	-	1,625,148	1,625,148
Bank overdrafts and other short term borrowings	28	-	-	381,536	381,536
Total financial liabilities		-	-	2,484,146	2,484,146

As at 31st March 2024		Financial Assets at Fair value through OCI	Financial Assets at Amortised cost (a)	Financial Liabilities at Amortised cost (a)	Total Carrying amount
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial assets					
Other financial assets					
- Unquoted debt securities and unsecured loans	21.1.2	-	725,524	-	725,524
- Bank deposits	27	-	260,371	-	260,371
Trade and other receivables	24	-	135,127	-	135,127
Amount due from parent's group entities	26	-	1,366,866	-	1,366,866
Cash and cash equivalents	28	-	147,562	-	147,562
Total financial assets		-	2,635,450	-	2,635,450
Financial liabilities					
Interest bearing liabilities - banks	32	-	-	535,331	535,331
Trade payables		-	-	42,572	42,572
Other provisions and payables	36	-	-	64,476	64,476
Amount due to holding company		-	-	1,609,944	1,609,944
Bank overdrafts and other short term borrowings	28	-	-	337,053	337,053
Total financial liabilities		-	-	2,589,376	2,589,376

(a) Carrying values of financial assets and financial liabilities are a reasonable approximation of their fair values.



40.2 Fair value of financial instruments

The fair value of financial assets and financial liabilities, together with the carrying amounts shown in the statement of financial position as at the reporting dates are as follows:

As at 31st March 2025	Group		Company	
	Carrying amount	Fair value	Carrying amount	Fair value
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial assets				
Other financial assets				
- Unquoted equity securities	246,822	246,822	-	-
- Unquoted debt securities and unsecured loans	725,524	725,524	725,524	725,524
- Bank deposits	5,462,605	5,462,605	256,191	256,191
Trade and other receivables	3,225,264	3,225,264	133,783	133,783
Amount due from holding company	1,547,373	1,547,373	-	-
Amount due from parent's group entities	1,179,532	1,179,532	1,229,699	1,229,699
Cash and cash equivalents	4,096,583	4,096,583	75,302	75,302
Total financial assets	16,483,703	16,483,703	2,420,499	2,420,499
Financial liabilities				
Interest bearing liabilities - banks	29,086,307	29,086,307	318,126	318,126
Interest bearing liabilities - leases	10,958,181	10,958,181	-	-
Trade payables	1,581,123	1,581,123	30,030	30,030
Other provisions and payables	4,563,764	4,563,764	129,306	129,306
Amount due to holding company	2,678,158	2,678,158	1,625,148	1,625,148
Amount due to parent's group entities	122,735	122,735	-	-
Bank overdrafts and other short term borrowings	5,956,558	5,956,558	381,536	381,536
Total financial liabilities	54,946,826	54,946,826	2,484,146	2,484,146

As at 31st March 2024	Group		Company	
	Carrying amount	Fair value	Carrying amount	Fair value
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial assets				
Other financial assets				
- Unquoted equity securities	250,254	250,254	-	-
- Unquoted debt securities and unsecured loans	725,524	725,524	725,524	725,524
- Bank deposits	4,029,660	4,029,660	260,371	260,371
Trade and other receivables	3,148,425	3,148,425	135,127	135,127
Amount due from holding company	1,068,116	1,068,116	-	-
Amount due from parent's group entities	1,386,708	1,386,708	1,366,866	1,366,866
Cash and cash equivalents	2,297,233	2,297,233	147,562	147,562
Total financial assets	12,905,920	12,905,920	2,635,450	2,635,450
Financial liabilities				
Interest bearing liabilities - banks	34,255,447	34,255,447	535,331	535,331
Interest bearing liabilities - leases	12,483,509	12,483,509	-	-
Trade payables	1,503,995	1,503,995	42,572	42,572
Other provisions and payables	3,900,571	3,900,571	64,476	64,476
Amount due to holding company	2,531,875	2,531,875	1,609,944	1,609,944
Amount due to parent's group entities	75,377	75,377	-	-
Bank overdrafts and other short term borrowings	5,618,695	5,618,695	337,053	337,053
Total financial liabilities	60,369,469	60,369,469	2,589,376	2,589,376



40.3 Methods and assumptions used to estimate the fair values

A number of Group's accounting policies and disclosures require the determination of fair value, for both financial and non financial assets and liabilities. Fair values have been determined for measurement and disclosure purposes based on the following valuation techniques.

Property plant and equipment

The fair value of freehold land is determined based on market values.

The market value of land is the estimated amount for which a property could be exchanged on the date of valuation between a willing buyer and a willing seller in an arm's length transaction after proper marketing wherein the parties had each acted knowledgeably and willingly. This involves evaluation of recent active market prices of similar assets, making appropriate adjustments for difference in size, nature and location of the property.

Financial Assets measured at fair value through other comprehensive income

- Investments in equity instruments - quoted and unquoted

The fair value of investments in quoted equity shares for which there is an active share market is determined using the closing market prices. Investments in non quoted shares are determined based on present value of future cash flows discounted at the market interest rates at the reporting date.

- Investments in debt instruments - unquoted

Investments in debt instrument- unquoted which consist of debentures is considered as a loan and impaired using Z score method. A template has been formulated for this purpose taking into consideration of probability of default based on last year audited accounts. However if a primary mortgage bond is being provided against the debentures, the loss given default (probability of default) would be considered as zero and impairment is made. For other forms of guarantees such as personal guarantees etc, the loss given default would vary between 45%-100%.

Trade and other receivables

Fair value of trade receivables is determined at amount estimated to be realised after making provision for impairment based on expected credit loss model.

For impairment purposes a loss rate has been established taking into consideration forward looking factors that affect customer default rates. Forward looking macro economic data such as GDP is incorporated in calculating the probability of default. The credit loss derived using the provision matrix is adjusted based on the future adjusted PD factors.

The Group uses an allowance matrix to measure ECLs of trade receivables, which comprise a very large number of small balances.

Fair value of other receivables are determined based on the amount estimated to be reasonably realised. If there are any receivables for more than one year, the balance over one year disclosed based on present value.

Bank Deposits

Fair value of bank deposits is determined at amount estimated to be realised after making provision for impairment based on the duration of the deposit and credit rating of the financial institution in which the deposit is held and the corresponding probability of default. Twelve months expected credit loss (ECL) basis is considered for impairment on bank deposits. External credit ratings of the counterparties and probability of default (PD) rates corresponding rating scale published by rating agencies are used in ECL calculation. PD rates are recalibrated using asset correlation formula and forward-looking adjustments are incorporated in arriving at final loss rates. Loss given default (LGD) of 45% is assumed for bank deposits. Credit ratings of counterparties are carefully monitored and subsequent deterioration of the credit quality would trigger remeasurement of loss allowances using Lifetime ECL method.

Financial liabilities at amortised cost

Fair value of interest bearing borrowings, trade and other payable and short term bank borrowings are determined based on the amount estimated to be reasonably incurred in the foreseeable future less impairment.



41 FAIR VALUE MEASUREMENT

41.1 Determination of fair value hierarchy

The Group and the Company use the following hierarchy for determining and disclosing the fair value of assets and liabilities by valuation techniques: The different levels have been defined as follows:

- (i) Quoted prices (unadjusted) in active markets for identical assets or liabilities (Level 1)
- (ii) Inputs other than quoted prices included within level 1 that are observable for the assets or liabilities, either directly or indirectly (Level 2)
- (iii) Techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data [Inputs that are unobservable that reflect management own assumptions] (Level 3)

The following table provides the fair value measurement hierarchy of the Group's and Company's assets and liabilities.

41.1.1 Fair value measurement hierarchy -2024/2025

		Group				Company			
		Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Recurring fair value measurements									
Assets measured at fair value:									
Property, plant and equipment									
- Freehold land	16.3.2/ 16.2	-	-	11,305,715	11,305,715	-	-	843,500	843,500
Other financial assets									
- Unquoted equity securities	21.1.1	-	-	246,822	246,822	-	-	-	-
		-	-	11,552,537	11,552,537	-	-	843,500	843,500
Assets for which fair values are disclosed									
Investment in equity accounted investees - quoted	20.1.1	914,190	-	-	914,190	892,168	-	-	892,168
		914,190	-	-	914,190	892,168	-	-	892,168



41.1.2 Fair value measurement hierarchy -2023/2024

		Group				Company			
		Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Assets measured at fair value									
Property, plant and equipment									
- Freehold land	16.3.2/ 16.2	-	-	11,486,928	11,486,928	-	-	843,500	843,500
Other financial assets									
- Unquoted equity securities	21.1.1	-	-	250,254	250,254	-	-	-	-
		-	-	11,737,182	11,737,182	-	-	843,500	843,500
Assets for which fair values are disclosed									
Investment in equity accounted investees - quoted									
	20.1.1	632,152	-	-	632,152	616,925	-	-	616,925
		632,152	-	-	632,152	616,925	-	-	616,925

41.2 Reconciliation of fair value measurement of "Level 3" Financial Instruments

Freehold land

The reconciliation of property, plant and equipment (land) is given in Note 16.1 and 16.2 to the financial statements.

Unquoted equity securities (Note 21.1.1)

	Group		Company	
	2024/2025 Rs. '000	2023/2024 Rs. '000	2024/2025 Rs. '000	2023/2024 Rs. '000
Balance as at 01st April	250,254	272,494	-	-
Effect of movement in exchange rates	(3,432)	(22,240)	-	-
Balance as at 31st March	246,822	250,254	-	-

41.2.1 Transfers between levels of fair value hierarchy

There were no transfers between Level 1, Level 2 and Level 3 during the year.



41.3 Valuation techniques and significant unobservable inputs

41.3.1 Assets and liabilities measured at fair value - Recurring

Assets	Valuation Technique	Significant unobservable inputs	Sensitivity of the input to the fair value
Property plant and equipment			
- Freehold land	Market comparable method - This method considers the selling price of a similar property within a reasonably recent period of time in determining the fair value of property being revalued. This involves evaluation of recent active market price of similar assists making appropriate adjustments for difference in size, nature and location of the property.	Price per perch of land (Note 16.3.2)	Estimated fair value would increase (decrease) if price per perch increases / (decreases)
Other financial assets			
- Unquoted equity securities	Market return on a comparable investment	Valuation based on the recent and agreed sale price of shares (of INR 55 per share)	Not applicable



42 FINANCIAL RISK MANAGEMENT

42.1 Overview

Please refer the comprehensive risk management report on pages 260 to 271 of the annual report for a detailed description of the Group's risk management structure, process and procedures.

The Group has exposure to the following risks from its use of financial instruments.

- Credit risk
- Liquidity risk
- Market risk

Financial instruments used by the Group in its business activities contain multiple variables that are affected by various market and environmental conditions. Such variations are generally not within the control of the users, and therefore cause fluctuations in the values of financial instruments. Fluctuations in value could result in a situation undesirable to the Group and expose it to risk. These risks need to be managed, as unmanaged risks can lead to unplanned outcomes where the Group could fall short of its financial and budgetary objectives. The Group has adopted a financial risk management strategy aimed at minimising the risks associated with the use of financial instruments by establishing several policies and guidelines that are followed by the companies in the Group. These policies and guidelines are reviewed from time to time and updated to reflect current requirements in accordance with the developments in the operating environment.

This part of the report covers the financial impact that could arise from market risk, credit risk and liquidity risk, the most important elements of the financial risk that the Group is subject to.

42.2 Risk management framework

The Board of Directors have overall responsibility for the establishment and oversight of the Group's risk management framework. The Board is supported by the Board of management and the Audit and Risk committee in managing all risks affecting the Group. The Group Audit and Risk committee is assisted in its oversight role by Group's internal audit. Internal audit undertakes both regular and ad hoc reviews of risk management controls and procedures the results of which is reported to the Audit and Risk committee. Central Treasury Department of the Holding Company also implement and carries out specific risk management policies laid down and approved by the management. Central Treasury in close co-operation with the Group's operating units identifies, evaluates and formulates principle for risk management covering specific areas such as foreign exchange risk and interest rate risk.

42.3 Credit risk

Credit risk is the risk that a counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss. The Group is exposed to credit risk from its operating activities (primarily trade receivables) and from its financing activities, including deposits with banks, foreign exchange transactions and through the use of other financial instruments.

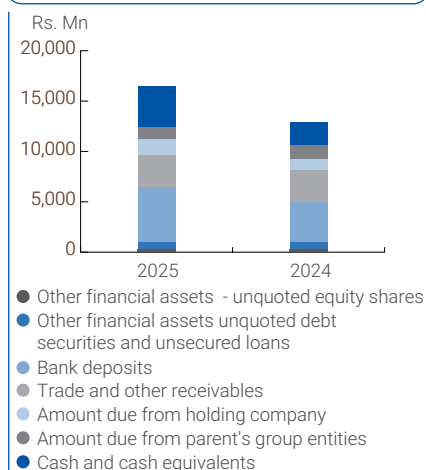
Credit risk exposure

The Group's maximum exposure to credit risk as at the year end based on the carrying value of financial assets in the statement of financial position is given below. The maximum credit risk of the Group and the Company is limited to the carrying value of these financial assets as at the reporting date.

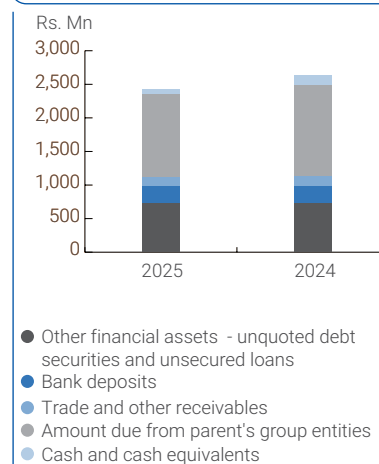


	Group				Company			
As at	31.03.2025		31.03.2024		31.03.2025		31.03.2024	
	Rs. '000	Concentration %	Rs. '000	Concentration %	Rs. '000	Concentration %	Rs. '000	Concentration %
Financial assets								
Financial assets at fair value through OCI								
Other financial assets - unquoted equity shares	246,822	1%	250,254	2%	-	-	-	-
Financial assets at amortised cost								
Other financial assets - unquoted debt securities and unsecured loans	725,524	4%	725,524	6%	725,524	30%	725,524	28%
Bank deposits	5,462,605	33%	4,029,660	31%	256,191	10%	260,371	9%
Trade and other receivables	3,225,264	20%	3,148,425	24%	133,783	6%	135,127	5%
Amount due from holding company	1,547,373	10%	1,068,116	8%	-	-	-	-
Amount due from parent's group entities	1,179,532	7%	1,386,708	11%	1,229,699	51%	1,366,866	52%
Cash and cash equivalents	4,096,583	25%	2,297,233	18%	75,302	3%	147,562	6%
Total credit exposure	16,483,703	100%	12,905,920	100%	2,420,499	100%	2,635,450	100%

Credit Risk Exposure - Group



Credit Risk Exposure - Company



The Board of Directors has provided the policy direction for the Central Treasury Department of the Holding Company to manage the risk arising from investments made in financial institutions. The Group's transactions are carried out only with a limited number of institutions all of which have stable credit ratings from internationally recognised rating providers. The Group's exposures and credit ratings of counterparties are continuously monitored and the investment portfolio is diversified amongst several institutions to minimise the unsystematic risk.



Credit Exposure on receivables

- Trade receivables

The Group's maximum exposure to credit risk on trade receivables as at the year end based on the carrying value in the statement of financial position is given below:

As at	Note	Group		Company	
		31.03.2025 Rs.'000	31.03.2024 Rs.'000	31.03.2025 Rs.'000	31.03.2024 Rs.'000
Trade receivables	24	3,367,313	3,156,294	136,327	132,907
Provision of impairment		(352,444)	(138,774)	(2,753)	(838)
Total		3,014,869	3,017,520	133,574	132,069

The Group's exposure to credit risk is influenced mainly by the individual characteristics of each customer. However, management also considers various statistics of the Group's customer base, including the default risk, business relationships with due attention given to past performances, stability in the industry and creditworthiness, as these factors may have an influence on credit risk.

In monitoring customer credit risk customers are grouped according to their business volumes and consider separately for granting credit limits. Some customers are graded as "high risk" based on the credit worthiness established through past experience. Such customers are monitored carefully and future sales are made on a prepayment basis.

The Group has established a credit policy under which each new customer is analysed individually for creditworthiness. The Group's review includes obtaining bank guarantees (collaterals) and references. As at the reporting date value of collaterals obtained from customers amounted to Rs. 5 Mn. Credit limits are established for each customer and these limits are reviewed frequently. Customers that fail to meet the Group's benchmark creditworthiness may transact with the Group only on a prepayment basis.

Impairment losses

Impairment for trade receivables is established based on expected credit loss method. The main component of this allowance is a specific loss component that relates to individually significant exposures based on aging of the outstanding's. The loss rate calculated based on the historical provision matrix is adjusted based on the future calibrated probability of default and the loss given default. Forward looking factors that affect customer default rates and macro economic data such as GDP are considered in calculating the probability of default.

The aging of trade receivables of the Group as at the reporting date was:

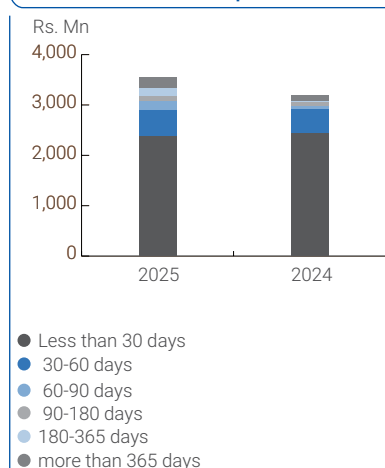
As at	Group		Company	
	31.03.2025 Rs.'000	31.03.2024 Rs.'000	31.03.2025 Rs.'000	31.03.2024 Rs.'000
Less than 30 days	2,380,973	2,428,090	129,842	87,449
30-60 days	520,470	477,916	60,697	30,660
60-90 days	172,639	76,044	43,445	11,654
90-180 days	99,307	73,884	6,886	9,301
180-365 days	154,656	12,021	989	971
more than 365 days	230,711	124,466	2,747	895
Advances received	(191,443)	(36,127)	(108,279)	(8,023)
Total gross trade receivables	3,367,313	3,156,294	136,327	132,907
Impairment provision on trade receivables				
- Life time ECL - credit impaired	(230,711)	(124,466)	(2,747)	(895)
- Life time ECL - not credit impaired	(121,733)	(14,308)	(6)	57
Carrying value of net trade receivables	3,014,869	3,017,520	133,574	132,069



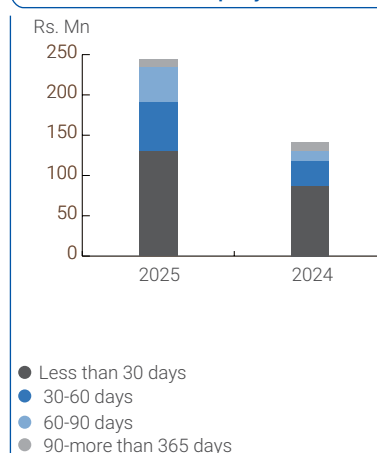
The movement in the allowance for impairment in respect of trade receivables during the year was:

	Group		Company	
	2024/2025 Rs.'000	2023/2024 Rs.'000	2024/2025 Rs.'000	2023/2024 Rs.'000
Balance as at 01st April	138,774	144,930	838	330
Impairment provision - recognised for the year	218,704	6,709	1,915	508
Effect of movement in exchange rate	(5,034)	(12,865)	-	-
Balance as at 31st March	352,444	138,774	2,753	838

Trade Receivables - Settlement Profile - Group



Trade Receivables - Settlement Profile - Company



- Short term bank deposits

The Group has a number of bank deposits in Sri Lankan rupees and other currencies. These deposits have been placed in several banks in order to minimise the credit risk in accordance with the policy directions provided by the Board. In order to further minimise the credit risk, the Group's exposure and credit ratings of banks are regularly monitored and a diversified investment portfolio is maintained. In the event of any weakening of credit metrics of a bank the Group may decide to liquidate its investments and move to an institution with a higher credit rating.

The Group's maximum exposure to credit risk on term deposits as at the year end based on the carrying value in the statement of financial position is given below.

As at	Group				Company			
	31.03.2025		31.03.2024		31.03.2025		31.03.2024	
	Rs. '000	Allocation %	Rs. '000	Allocation %	Rs. '000	Allocation %	Rs. '000	Allocation %
Government owned banking institutions	3,730,094	68%	1,637,722	41%	-	-	-	-
Commercial banks *	1,732,511	32%	2,391,938	59%	256,191	100%	260,371	100%
Total	5,462,605	100%	4,029,660	100%	256,191	100%	260,371	100%

* Commercial banks - Investments made with other commercial banks consist of fixed deposits and term deposits held with private commercial banks.



Short term bank deposits and credit ratings of the banks

As at	Group				Company			
	31.03.2025		31.03.2024		31.03.2025		31.03.2024	
	Rs. '000	Allocation %	Rs. '000	Allocation %	Rs. '000	Allocation %	Rs. '000	Allocation %
Fitch ratings								
AAA	210,658	4%	879,683	22%	-	-	-	-
AA-	5,251,947	96%	-	0%	256,191	100%	-	-
A	-	-	3,149,977	78%	-	-	260,371	100%
	5,462,605	100%	4,029,660	100%	256,191	100%	260,371	100%

Short Term Bank Deposits Analysed by Credit Ratings- Group



- Cash and cash equivalents

The Group limits its exposure to credit risk by investing only in liquid instruments with reputed banking Institutions. The Group also use broad investment portfolio and limit investments with a single counterparty.

As at	Group				Company			
	31.03.2025		31.03.2024		31.03.2025		31.03.2024	
	Rs. '000	Allocation %	Rs. '000	Allocation %	Rs. '000	Allocation %	Rs. '000	Allocation %
Fitch ratings								
AAA	621,624	18%	981,758	44%	7,626	11%	2,130	1%
AA	-	-	103,328	5%	-	-	-	-
AA-	2,729,844	77%	-	-	64,980	89%	-	-
A+	1	-	-	-	-	-	-	-
A	17,366	0%	1,138,892	51%	-	-	144,242	99%
A-	-	-	5,347	0%	-	-	-	-
CCC	175,084	5%	-	-	-	-	-	-
Cash and short term deposits (less than 90 days) at bank	3,543,919	100%	2,229,325	100%	72,606	100%	146,372	100%
Cash in hand and funds in transit adjustment	552,664		67,908		2,696		1,190	
Total cash and cash equivalents	4,096,583		2,297,233		75,302		147,562	



42.4 Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

Liquid assets of a Company consist of cash and assets which can be converted to cash in a short period of time to settle liabilities as they arise. Liquidity is an important factor in the operations of a business as it is an essential requirement for the successful operation of an entity.

A shortage of liquidity would have a negative impact on stakeholder confidence in a business entity and hampers its operations. The Group has ensured that it maintains sufficient liquidity reserves to meet all its operational and investment requirements by closely monitoring and forecasting future funding needs and securing funding sources for both regular and emergency requirements. Shortening the working capital cycle is one of the main practises preferred in ensuring that there is sufficient liquidity at a given time. Adequate short-term working capital facilities provided by banks are available to all the Group companies which are utilised in the event of a requirement. These facilities are available at favourable rates and have been mostly provided without collateral. The Group maintains a constant dialogue with the banking sector institutions to ensure that there are sufficient working capital facilities available whenever required and closely monitors their utilisation.

The Group has implemented procurement and vendor evaluation policies to prevent payment of excessive prices to suppliers and to obtain favourable credit periods in order to ensure a strong working capital position.

The Group continuously prepares and monitors rolling cash flow forecasts and access the liquidity requirements of each operating unit to ensure it has sufficient cash to meet operational needs. Regular reviews are also carried out to check actual performance against budgeted targets.

Surplus cash held by the operating units over and above balance required for working capital management are invested in interest bearing time deposits or with treasury department of the parent company. At the reporting date, the Group held term deposits that are expected to readily generate cash inflows for managing liquidity risk of liabilities as at the reporting date.

The Group considered that Cash flow scrutiny is paramount in the days and months ahead and has adopted a disciplined approach across the Group for preserving and increasing liquidity, particularly on account of the impact of prevailing macro economic conditions.

Maturity analysis - Group

The table below summarises the maturity profile of the Group's financial liabilities at 31st March 2025 based on contractual undiscounted payments.

As at 31st March 2025	Contractual undiscounted cash flows							Total
	Carrying Amount	On demand	Less than 3 months	3 to 12 months	1 to 2 years	2 to 5 years	More than 5 years	
	Rs.'000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial liabilities								
Interest bearing liabilities- banks	29,086,307	-	2,861,612	8,334,556	7,166,331	8,258,170	8,125,096	34,745,765
Interest bearing liabilities- leases	10,958,181	-	504,680	1,197,114	732,764	2,199,273	17,004,099	21,637,930
Trade payables	1,581,123	1,581,123	-	-	-	-	-	1,581,123
Other provisions and payables	4,563,764	4,563,764	-	-	-	-	-	4,563,764
Amount due to holding company	2,678,158	2,678,158	-	-	-	-	-	2,678,158
Amount due to parent's group entities	122,735	122,735	-	-	-	-	-	122,735
Bank overdrafts and other short term borrowings	5,956,558	5,956,558	-	-	-	-	-	5,956,558
	54,946,826	14,902,338	3,366,292	9,531,670	7,899,095	10,457,443	25,129,195	71,286,033



The table below summarises the maturity profile of the Group's financial liabilities at 31st March 2024 based on contractual undiscounted payments.

As at 31st March 2024		Contractual undiscounted cash flows						
	Carrying Amount	On demand	Less than 3 months	3 to 12 months	1 to 2 years	2 to 5 years	More than 5 years	Total
	Rs.'000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial liabilities								
Interest bearing liabilities- banks	34,255,447	-	2,154,342	6,554,200	12,479,639	14,839,658	7,589,051	43,616,890
Interest bearing liabilities- leases	12,483,509	-	514,272	1,537,485	1,722,956	2,229,204	17,983,026	23,986,943
Trade payables	1,503,995	1,503,995	-	-	-	-	-	1,503,995
Other provisions and payables	3,900,571	3,900,571	-	-	-	-	-	3,900,571
Amount due to holding company	2,531,875	2,531,875	-	-	-	-	-	2,531,875
Amount due to parent's group entities	75,377	75,377	-	-	-	-	-	75,377
Bank overdrafts and other short term borrowings	5,618,695	5,618,695	-	-	-	-	-	5,618,695
	60,369,469	13,630,513	2,668,614	8,091,685	14,202,595	17,068,862	25,572,077	81,234,346

Maturity analysis - Company

The table below summarises the maturity profile of the Company's financial liabilities at 31st March 2025 based on contractual undiscounted payments.

As at 31st March 2025		Contractual undiscounted cash flows						
	Carrying Amount	On demand	Less than 3 months	3 to 12 months	1 to 2 years	2 to 5 years	More than 5 years	Total
	Rs.'000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial liabilities								
Interest bearing liabilities- banks	318,126	-	84,828	245,881	-	-	-	330,709
Trade payables	30,030	30,030	-	-	-	-	-	30,030
Other provisions and payables	129,306	129,306	-	-	-	-	-	129,306
Amount due to holding company	1,625,148	1,625,148	-	-	-	-	-	1,625,148
Bank overdrafts and other short term borrowings	381,536	381,536	-	-	-	-	-	381,536
	2,484,146	2,166,020	84,828	245,881	-	-	-	2,496,729

The table below summarises the maturity profile of the Company's financial liabilities at 31st March 2024 based on contractual undiscounted payments.

As at 31st March 2024		Contractual undiscounted cash flows						
	Carrying Amount	On demand	Less than 3 months	3 to 12 months	1 to 2 years	2 to 5 years	More than 5 years	Total
	Rs.'000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial liabilities								
Interest bearing liabilities- banks	535,331	-	62,609	213,750	342,225	-	-	618,584
Trade payables	42,572	42,572	-	-	-	-	-	42,572
Other provisions and payables	64,476	64,476	-	-	-	-	-	64,476
Amount due to holding company	1,609,944	1,609,944	-	-	-	-	-	1,609,944
Bank overdrafts and other short term borrowings	337,053	337,053	-	-	-	-	-	337,053
	2,589,376	2,054,045	62,609	213,750	342,225	-	-	2,672,629



42.5 Market risk

Fluctuations of those market driven variables that affect cashflows arising from financial instruments can result in the actual outcome being different to expected cashflows thereby creating the market risk. Variables such as interest rates and exchange rates can move in directions different to those originally expected and the consequent cashflows could be different to the originally anticipated cashflows.

Market risk could result in the revenues and expenses of the Group being adversely affected and impacting the profit attributable to shareholders. In order to identify, manage and minimise the market risk, the Group has put into practice a number of policies and procedures.

Market prices comprise of the following risks:

- Currency risk (foreign exchange risk)
- Interest rate risk
- Equity price risk

42.5.1 Currency risk

The currency risk arises when a financial transaction is denominated in a currency other than that of the reporting currency of an entity. The Group has exposure to foreign currency risk where it has cash flows in overseas operations and foreign currency transactions which are affected by foreign exchange movements.

Transaction exposure arises where there are contracted cashflows (receivables and payables) of which the values are subject to unanticipated changes in exchange rates due to contracts being denominated in a foreign currency. Translation exposure occurs due to the fluctuations in foreign exchange rates and arises to the extent to which financial reporting is affected by exchange rate movements when the reporting currency is different to those currencies in which revenues, expenses, assets and liabilities are denominated.

Foreign currency sensitivity

As the Group transacts in many foreign currencies other than the Sri Lankan rupee which is the reporting currency, it is exposed to currency risk on revenue generation, expenses, investments and borrowings. The Group has significant investments in the Maldives, India, Oman where the net assets are exposed to foreign currency translation risk. Revenue generations and expenses incurred in foreign currency are exposed to foreign currency transaction risk.

The Group has investment in foreign operations, whose net assets are exposed to foreign currency translation risk. Currency exposure arising from the net assets of the Group's foreign operations is managed, primarily through borrowings denominated in the relevant foreign currencies. The total interest bearing borrowings of the Group denominated in USD amounted to Rs. 18,527 Mn. (as at 31.03.2024 - Rs. 21,824 Mn) The total interest bearing borrowings of the Group denominated in EURO amounted to Rs. 7,982.9 Mn. (as at 31.03.2024 - Rs. 9,302.5 Mn) All overseas investments is mostly financed through USD denominated borrowings. The translation exposure resulting from USD borrowings has been minimised to a high degree through these investments. However for purposes of disclosure the exposure for currency risk is only provided on Group's foreign currency denominated financial instruments.

The Group actively evaluates the possibility of employing hedge accounting to mitigate the exposure to currency risk by designating an effective relationship between foreign currency denominated transaction with assets or liabilities. Hedge accounting enables to minimise the timing differences in recognising foreign currency translation impact to the income statement or other comprehensive income statement and to effectively capture the economic substance of the transaction. Group's significant portion of the foreign currency borrowings (EURO denominated borrowings) have been made by the Group companies with incomes in foreign currencies.

During the financial year 2024/2025, the Sri Lankan Rupee's value against the US Dollar reached its weakest point at 306.01 in early July 2024. Following this, the LKR began a period of gradual appreciation against the USD, strengthening considerably until mid-December 2024, when it reached its strongest point at 290.21. A modest weakening of the LKR occurred in early 2025 before its value against the USD stabilised in the approximate range of 295-297 by March 2025. Overall, this period reflects a continued net appreciation of the Sri Lankan Rupee against the US Dollar, extending the trend observed in the previous year. When compared to the previous year, the LKR's value against the USD exhibited reduced volatility during the year under review, showing signs of stability in the exchange rate market.



Significant movement in exchange rates during the year ended 31st March 2025

	Lowest Level		Highest Level		Spread	Year end rate
	Rate	Date	Rate	Date		
USD/LKR	290.21	13.12.2024	306.01	01.07.2024	15.80	296.32
EUR/LKR	301.62	03.01.2025	340.21	23.09.2024	38.59	319.86

Reflecting the exchange rate volatility experienced during the financial year, a 5% threshold is applied in the current year's sensitivity analysis. In contrast, the higher exchange rate volatility of the previous financial year required the use of a 10% fluctuation rate for its sensitivity analysis.

The sensitivity analysis relates only to assets and liabilities depicted in Financial Statements as at the end of the financial year.

42.5.1.1 Effect on profit before tax

	Group			Company		
	USD denominated net financial assets/ (liabilities) in USD '000	EURO denominated net financial assets/ (liabilities) in EURO '000	GBP denominated net financial assets/ (liabilities) in GBP '000	USD denominated net financial assets/ (liabilities) in USD '000	EURO denominated net financial assets/ (liabilities) in EURO '000	GBP denominated net financial assets/ (liabilities) in GBP '000
As at 31st March 2025						
Foreign currency exposure	8,730	(23,139)	101	1,397	190	57
LKR depreciated by 5% (Rs. ' 000)	129,342	(342,830)	1,492	20,703	2,822	847
LKR appreciated by 5% (Rs. ' 000)	(129,342)	342,830	(1,492)	(20,703)	(2,822)	(847)
As at 31st March 2024						
Foreign currency exposure	6,213	(27,440)	121	1,194	112	61
LKR depreciated by 10% (Rs. ' 000)	186,650	(894,612)	4,614	35,867	3,643	2,319
LKR appreciated by 10% (Rs. ' 000)	(186,650)	894,612	(4,614)	(35,867)	(3,643)	(2,319)

42.5.1.2 Effect on equity

	Group	Company
As at 31st March 2025		
Foreign currency exposure (in USD '000)	146,179	-
LKR depreciated by 5% (In Rs. '000)	2,165,339	-
LKR appreciated by 5% (In Rs. '000)	(2,165,339)	-
As at 31st March 2024		
Foreign currency exposure (in USD '000)	136,576	-
LKR depreciated by 10% (In Rs. '000)	4,103,293	-
LKR appreciated by 10% (In Rs. '000)	(4,103,293)	-



42.5.1.3 Cash Flow Hedge

A subsidiary company in the Group designated a hedge relationship between its highly probable EURO denominated sales and its foreign currency denominated borrowings.

The risk management objective of the cash flow hedge is to hedge the risk of variation in the foreign currency exchange rates associated with EURO currency denominated forecast sales. The risk management strategy is to use the foreign currency variability (gains /losses) arising from revaluation of the foreign currency borrowing attributable to change in the spot foreign exchange rates to off-set the variability, due to foreign exchange rate movements, on LKR conversion of EURO denominated forecast sales.

The effective portion of the gain or loss on the hedging instrument is recognised in the Other Comprehensive Income Statement (OCI) and any ineffective portion is recognised immediately in the Income Statement.

The amount recognised in Other Comprehensive Income is transferred to the Income Statement when the hedge transaction occurs (when the forecasted revenue is realised). If the forecast transaction is no longer expected to occur, the cumulative gain or loss previously recognised in Other Comprehensive Income is transferred to the Income Statement.

Cash flow hedge reserve reflects the effective portion of the gain or loss on the hedging instrument. The cash flow hedging reserve as at 31 March 2025 represents the foreign currency variability arising from revaluation of the foreign currency borrowings attributable to change in the spot LKR/EUR rate that is expected be set of from the variability of exchange rates form highly probable EURO denominated sales (Named "All Inclusive" apartment revenue) expected to occur from 1st quarter of 2017/18 upto the tenor of refinanced borrowings.

Hedging instrument - Foreign currency borrowing of EURO 40 Mn in January 2017 out of which EURO 34.1 Mn has been designated for the hedge from April 2017.

Further, outstanding balance of EURO 32.6 Mn as at 31 March 2018 has been refinanced effective from the 1st quarter of 2018/19 for an extended tenor.

Hedged item – Highly probable EURO denominated sales (Named "All Inclusive" apartment revenue) expected to occur from April 2017 to March 2029.

During the year, the effective portion of the hedging instrument being a gain of Rs. 679 Mn (2023/2024 - Rs. 1,501.5 Mn) was recognised in the other comprehensive income statement (OCI) and the ineffective portion of the current financial year was Nil (2023/2024 - Loss Rs. 15.2 Mn). In the prior year, the in-effective portion was recognised in the income statement under net foreign exchange gain/ (loss) in other operating income of the subsidiary financial statements.

In respect of the cash flow hedge instrument, Group recognised Rs. 1,800.67 Mn (2023/2024- Rs. 2,208.23 Mn) under cash flow hedge reserve being the Group's portion of the fair value loss recognised by the subsidiary.

Cash flow hedge reserve

	Group		Company	
For the year	2024/2025	2023/2024	2024/2025	2023/2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance as at 01st April	(2,208,231)	(3,109,161)	-	-
Net movement in cash flow hedge reserve	407,557	900,930	-	-
Balance as at 31st March	(1,800,674)	(2,208,231)	-	-



42.5.2 Interest rate risks

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group's exposure to the risk of changes in market interest rates relates primarily to the Group's long-term debt obligations with floating interest rates.

The Group's investment portfolio consists of a range of financial instruments with both fixed and variable interest rates such as treasury bills and treasury bonds which are subject to interest rate risk. Liabilities with variable interest rates such as AWPLR, LIBOR, SOFR and EURIBOR linked borrowings would expose the Group to cashflow risk as the amount of interest paid would change depending on the changes in market interest rates. Investments with fixed interest rates would expose the Group to variations in fair values during the marking to market of portfolios. Suitable strategies are used by the Central Treasury Department of the Holding Company to manage the interest rate risks in portfolio investments. The use of long-term interest rate forecasts to determine the most suitable duration of investments with the objective of overcoming the re-investment risk as well as to minimise any adverse impact in marking to market of the portfolio is one of the often used strategies. Interest rate swaps could be used when there is a need to hedge the risks on debt instruments with variable rates. Close monitoring of market trends is carried out to improve the accuracy of such decisions.

The Group treasury department of the parent company monitors the interest rate environment on a continuous basis to advise the sector finance managers on the most suitable strategy with regard to borrowings. The Group usually negotiates long term borrowings during the periods in which interest rates are low in order to extend the favourable impact to future reporting periods.

Significant movement in interest rates during the year ended 31st March 2025

	Lowest Level		Highest Level		Basis points	%
	Rate %	Period	Rate %	Period		
LKR Interest rate - AWPLR (Weekly)	8.33	Mar-25	10.63	Apr-24	230	8.43
USD Interest rate - Term SOFR (3 Month)	4.285	Jan-25	5.347	Jun-24	106	4.298

Throughout the financial year, the Average Weighted Prime Lending Rate (AWPLR) continued its downward trajectory, albeit with a narrower range of fluctuation compared to the previous year, suggesting a more stable interest rate environment.

The 3-month Term Secured Overnight Financing Rate (SOFR) experienced a sharp and sustained decline during the financial year, diverging from the moderate fluctuations and overall upward trend observed in 2023/2024.

Interest rate sensitivity

At the reporting date, the interest rate sensitivity analysis for the Group and Company's interest-bearing financial instruments is presented below. This analysis illustrates the potential impact on profit due to probable interest rate movements, assuming all other variables remain constant. To assess interest rate risk on financial instruments, a reasonable movement in interest rates is estimated based on observable market trends. Given the interest rate volatility observed during the financial year, a fluctuation of 250 basis points has been considered for the sensitivity analysis of LKR financial liabilities as at the reporting date. This is a significant decrease from the previous financial year, where higher interest rate volatility necessitated a larger fluctuation of 1,000 basis points. Conversely, the sensitivity threshold for USD financial liabilities has been increased to 100 basis points from 25 basis points in the prior year, reflecting higher interest rate volatility in USD interest rate.



Financial year 2024/2025	Group			Company		
	Exposure (Rs.'000)	Increase/ decrease in basis points	Effect on Profit before Tax	Exposure (Rs.'000)	Increase/ decrease in basis points	Effect on Profit before Tax
Sri Lanka rupee borrowings (Interest linked to AWPLR)	1,245,035	+250	31,126	318,126	+250	7,953
USD loans (SOFR)	17,375,202	+100	173,752	-	+100	-
Sri Lanka rupee borrowings	1,245,035	-250	(31,126)	318,126	-250	(7,953)
USD loans (SOFR)	17,375,202	-100	(173,752)	-	-100	-

Financial year 2023/2024	Group			Company		
	Exposure (Rs.'000)	Increase/ decrease in basis points	Effect on Profit before Tax	Exposure (Rs.'000)	Increase/ decrease in basis points	Effect on Profit before Tax
Sri Lanka rupee borrowings (Interest linked to AWPLR)	1,497,813	+1000	149,781	535,331	+1000	53,533
USD loans (SOFR)	20,922,939	+250	52,307	-	+250	-
Sri Lanka rupee borrowings	1,497,813	-1000	(149,781)	535,331	-1000	(53,533)
USD loans (SOFR)	20,922,939	-250	(52,307)	-	-250	-

Constant monitoring of market interest rates is carried out to ensure appropriate steps are taken to maximise the return on financial management and to minimise the cost of borrowings. Group very strongly negotiates with banks and obtains best possible interest rates for the Group's borrowings. Listed below are steps adopted by the Group to minimise the effect of interest rate risks:

- 1 Entering into loans with interest rate caps and fixed rates.
- 2 Re - negotiating with banks on interest rates when ever there are favourable fluctuations in the market rates.

42.5.3 Equity prices

The Group has adopted the policy that its investment in subsidiaries, joint ventures and associate companies are recorded at cost as per LKAS 27 and 28 standards and therefore are scoped out from the Sri Lanka Accounting Standards, SLFRS 9 - Financial Instruments. Equity investments non quoted are carried in the Consolidated Statement of Financial Position as financial assets at fair value through OCI. Both quoted and non quoted investments are fair valued as at each reporting date.

At the reporting date the carrying values of equity investments are as follows;

- Unquoted equity securities: Rs. 246.82 Mn (as at 31.03.2024; Rs. 250.25 Mn).

A sensitivity analysis of the above has not been carried out as the Group's exposure to such is not material.



43 FINANCIAL CAPITAL MANAGEMENT

The Group's objectives when managing capital are to safeguard the Group's ability to continue as a going concern in order to provide returns for shareholders and benefits for other stakeholders and to maintain an optimal capital structure to reduce the cost of the capital. The capital of the company consist of the following:

Equity Capital

- Ordinary share capital
- Preference share capital

Debt

- Long term borrowings

	Group		Company	
As at,	31.03.2025	31.03.2024	31.03.2025	31.03.2024
Debt to Equity ratio (times)	0.58	0.94	0.02	0.05

The Group monitors capital on the basis of the debt to equity ratio. This ratio is calculated based on the long term interest bearing debt and preference shares divided by total equity capital. Total debt consist of total non current borrowings and preference share capital excluding lease liabilities and total equity consist of total equity including minority interest excluding preference shares capital. The following factors are also objectively taken into consideration in managing capital of the Group.

1. Maintain sufficient capital to meet minimum regulatory requirements. (Companies Act)
2. Maintain strong equity base as opposed to debt capital
3. Group's future developments, investments and business strategies
4. Sustaining the financial health of the Group to withstand economic cycles
5. Maintaining stakeholder confidence in the Group and ability to pay higher returns to shareholders

When capital is not available in adequate quantities or at a reasonable cost, it can have an adverse impact on the performance of the Group. The management being conscious of these factors, has implemented the capital management policy to ensure the long-term sustainability and competitiveness of the Group. Ensuring that there is no idle capital which will act as a drag on the returns generated is another factor that is considered. Excessive capital invested in a business will have a dampening impact on the performance while insufficient level of capital will prevent an organisation from achieving its long-term objectives.

Sourcing of debt is carried out after careful and detailed analysis of lender proposals. Important factors such as the tenure of the loans, interest rates, capital repayment terms including grace periods and repayment amounts and other terms and conditions including covenants are taken into consideration when deciding. Minimising the weighted average cost of capital is one of the key considerations in determining sourcing options. The Group's debt is denominated in Sri Lankan rupees as well as foreign currencies such as US dollar, Euro, and Oman Riyal. Foreign currency denominated loans have been taken mainly by the companies with foreign exchange earnings in order to take advantage of the relatively low interest rates.

The Group treasury department of the parent company plays an active role in ensuring that the cost of capital is maintained at the optimum level and the financial and other covenants linked to the sourcing arrangements are acceptable.

Adequate financial reserves

The long-term financial health of the Group has been ensured by maintaining sufficient reserves of financial capital which can be drawn upon when there is a requirement. Probable future risks that could result in negative financial outcomes are identified and required mitigation measures are taken. The Group has implemented sound cashflow planning procedures ensuring that the receivables are collected in an efficient manner thereby shortening the cash cycle. A special emphasis is placed on minimising operating costs through critical evaluation and justification of all cost elements.



Financial capital management policy

The fundamental objective of the financial capital management policy of the Group is maximising the return on limited available capital whilst safeguarding the investments that have already been made. Ensuring that there is adequate financial capital for the Group to expand its operations while continuing with its regular business operations, requires the management to consider multiple facets of the operation and take into account the behaviour of a number of parameters, both internal and external, that affect the operating conditions. The rapid pace of change in the operating environment has a profound influence on many factors affecting the use of financial capital. A thorough understanding derived from years of experience in a business sector is vital to ensure successful management of capital.

The Group's financial capital management policy fundamentally stems from various decisions the Board has taken regarding capital investments and the optimum utilisation of cash resources. This policy reflects the current thinking of the Board on present and future industry, market and economic risks and conditions. Potential investments and divestments are discussed at length by the Group directors and various aspects of risk and return parameters are considered prior to making capital investment decisions. A vital role in the implementation of the financial capital management policy is played by the Group treasury and the corporate finance division.

The management information necessary to base policy decisions such as key performance indicators and value drivers of the sectors highlighting financial performances are generated by the corporate finance division. Some of the important parameters which guide the capital management policy include the tolerance for gearing, interest risk appetite and the view on the exchange rate movement. The underlying variables such as the market borrowing and lending rates, exchange rates, inflation and other macroeconomic indicators are constantly monitored by the Group treasury department of the parent company and recommendations regarding the appropriate policy changes are made to the management.

It is vital for the Group's long-term survival and growth to have a sound financial capital management policy as decisions taken at the present time will have implications for the future. The Group's financial capital management policy, therefore, is constantly evolving and attempts to link its future strategy to present day financing decisions while being based on a solid foundation of optimisation of resources.

44 DIRECTOR'S FEES

The Directors of the Group for the year ended 31st March 2025 is nil. (2023/2024 - Rs. nil)

45 RELATED PARTY TRANSACTIONS

Aitken Spence Hotels Holdings Group carries out transactions in the ordinary course of business with parties who are defined as related parties as per Sri Lanka Accounting Standard LKAS 24 - Related Party Disclosures, which are transacted at normal business terms. The pricing policy applicable to such transactions are comparable with those that would have been charged from unrelated companies.

Relationships with subsidiaries and equity accounted investees are explained in Note 19 and Note 20 and also under Group Companies is mentioned under "Group Companies and Directorate" in pages 298 to 300.

Companies within the Group engage in trading transactions under relevant commercial terms and condition.

Details of transactions carried out by the Group with related parties and outstanding balances with the related parties are given in Note No. 45.1.1 to 45.1.5.

45.1 Details of transactions carried out with related companies

Name of the Related Party	Relationship	Nature of transaction	Terms of the transaction	Group		Company	
				Transaction Value	Outstanding As at 31.03.2025	Transaction Value	Outstanding As at 31.03.2025
				Rs. '000	Rs. '000	Rs. '000	Rs. '000
44.1.1 Transactions with parent company							
Aitken Spence PLC	Parent Company	Interest income earned	Market terms	71,594	-	-	-
		Interest expense paid	Market terms	234,596	-	164,436	-
		Lease rent paid	Contractual payment	3,631	-	-	-
		Corporate guarantee fees paid	Market terms	70,129	-	70,129	-
		Royalty paid	Percentage of revenue	34,757	-	-	-
		Fees paid for services	Market terms	279,894	(2,678,635)	44,408	(42,192)
		Payment made on allocation of expenses	Market terms	2,956	-	806	-
		Sale of goods and services	Market terms	3,457	477	2,394	170
		Net borrowings/withdrawals of short term funds	Market terms	479,257	1,547,373	19,398	(1,583,126)
45.1.2 Transactions with subsidiaries							
Aitken Spence Hotels International (Pvt) Ltd	Subsidiary	Settlements of short term advances	Market terms	-	-	207	-
Turyaa (Pvt) Ltd	Subsidiary	Interest on advances	Market terms	-	-	1,055	-
		Purchase of goods and services and reimbursement of expenses	Market terms	-	-	2,232	-
		Sale of goods and services	Market terms	-	-	246	246
		Net investments of short term funds	Market terms	-	-	-	340,841
		Interest received	Market terms	-	-	30,036	-
Ahungalla Resorts Ltd	Subsidiary	Interest income received on investment in short term funds	Market terms	-	-	12,098	135,049
Kandalama Hotels (Pvt) Ltd	Subsidiary	Purchase of goods and services	Market terms	-	-	3,032	-
Hethersett Hotels Ltd	Subsidiary	Purchase of goods and services	Market terms	-	-	45	-
		Sale of goods and services and reimbursement of expenses	Market terms	-	-	16	-
Meeraladuwa (Pvt) Ltd	Subsidiary	Short term advances	Short term	-	-	100	618



Name of the Related Party			Relationship	Nature of transaction	Terms of the transaction	Group		Company	
						Transaction Value	Outstanding As at	Transaction Value	Outstanding As at
						Rs. '000	31.03.2025	Rs. '000	31.03.2025
Transactions with equity accounted investees									
Paradise Resorts Passikudah (Pvt) Ltd			Associate	Sale of goods and services and reimbursement of expenses	Market terms	5,392	-	8	-
				Purchase of goods and services	Market terms	122	-	-	-
				Net investments of short term funds	Market terms	10,000	-	10,000	-
				Interest income received on investment in short term funds	Market terms	901	12,145	901	10,084
Negombo Beach Resorts (Pvt) Ltd			Associate	Interest income	Market terms	67,669	-	67,669	-
				Net investments of short term funds	Market terms	-	673,552	-	673,552
				Net investments of shareholder loan	Market terms	-	725,524	-	725,524
				Sale of goods and services	Market terms	2,559	904	-	-
				Purchase of goods and services	Market terms	10	(19)	-	-
Aitken Spence Hotel Managements (Pvt) Ltd			Associate	Management fees paid for managing Sri Lankan hotels	Percentage of revenue and profits	471,663	-	63,201	-
				Central purchasing and merchandising unit handling charges	Market terms	116,476	-	22,574	-
				Online reservations handling charges	Market terms	61,574	-	5,557	-
				Allocation of expenses	Market terms	139,117	(119,244)	37,545	(7,666)
				Rent income	Contractual payment	1,815	-	-	-
				Provision of restaurant services	Market terms	150	-	54	-
				Purchase of hotel supplies to Maldivian hotels	Market terms	471,801	62,634	-	-
				Sale of goods and services	Market terms	17,693	-	4,167	-



Name of the Related Party	Relationship	Nature of transaction	Terms of the transaction	Group		Company	
				Transaction Value	Outstanding As at 31.03.2025	Transaction Value	Outstanding As at 31.03.2025
				Rs. '000	Rs. '000	Rs. '000	Rs. '000
45.1.4 Transactions with parent's group entities							
Aitken Spence Travels (Pvt) Ltd	Subsidiary of the Parent Company	Sale of Hotel rooms in the ordinary course of business	Market terms	2,570,141	429,800	465,053	69,166
		Purchase of air tickets for overseas travel	Market terms	35,235	-	38	-
Aitken Spence Overseas Travel Services (Pvt) Ltd	Subsidiary of the Parent Company	Purchase of air tickets for overseas travel	Market terms	183	-	-	-
Aitken Spence Exports (Pvt) Ltd	Subsidiary of the Parent Company	Purchase of mineral water	Market terms	25,588	(125)	8,652	-
		Reimbursement of expenses received	Market terms	6,686	-	-	-
Aitken Spence Printing and Packaging (Pvt) Ltd	Subsidiary of the Parent Company	Printing and typesetting hotel promotional literature and annual reports	Market terms	1,778	(2)	1,343	-
Aitken Spence Elevators (Pvt) Ltd	Subsidiary of the Parent Company	Repairs and maintenance of hotel elevators	Market terms	17,962	(376)	1,716	-
Aitken Spence Industrial Solutions (Pvt) Ltd	Subsidiary of the Parent Company	Repairs and maintenance of hotel elevators	Market terms	89	-	-	-
Global Parcel Delivery (Pvt) Ltd	Subsidiary of the Parent Company	Courier services	Market terms	2,095	(39)	160	-



Name of the Related Party	Relationship	Nature of transaction	Terms of the transaction	Group		Company	
				Transaction Value	Outstanding As at 31.03.2025	Transaction Value	Outstanding As at 31.03.2025
				Rs. '000	Rs. '000	Rs. '000	Rs. '000
Hapag Lloyd Lanka (Pvt) Ltd	Subsidiary of the Parent Company	Sale of goods and services	Market terms	91	-	91	-
Aitken Spence Insurance Brokers (Pvt) Ltd	Subsidiary of the Parent Company	Provision of insurance services	Market terms	23,378	-	-	-
Aitken Spence International Pte. Ltd	Subsidiary of the Parent Company	Purchase of goods and services	Market terms	14,911	(2,611)	-	-
Aitken Spence Garments Ltd	Subsidiary of the Parent Company	Sale of goods and services	Market terms	484	81	-	-
Ace Cargo (Pvt) Ltd	Subsidiary of the Parent Company	Sale of goods and services	Market terms	33	-	-	-
		Purchase of goods and services	Market terms	1,691	(55)	-	-
Ace Distriparks (Pvt) Ltd	Subsidiary of the Parent Company	Sale of goods and services	Market terms	2,141	-	-	-
Aitken Spence Property Developments (Pvt) Ltd	Subsidiary of the Parent Company	Purchase of services	Market terms	3,952	-	-	-



Name of the Related Party	Relationship	Nature of transaction	Terms of the transaction	Group		Company	
				Transaction Value	Outstanding As at 31.03.2025	Transaction Value	Outstanding As at 31.03.2025
				Rs. '000	Rs. '000	Rs. '000	Rs. '000
Aitken Spence Shipping Ltd	Subsidiary of the Parent Company	Sale of goods and services	Market terms	2,425	-	1,631	-
MMBL Money Transfer (Pvt) Ltd	Subsidiary of the Parent Company	Sale of goods and services	Market terms	1,190	-	891	-
Spence Maldives (Pvt) Ltd	Subsidiary of the Parent Company	Purchase of goods and services	Market terms	4,468	-	-	-
Aitken Spence Cargo (Pvt) Ltd	Subsidiary of the Parent Company	Clearing of imported items	Market terms	75,945	(166)	-	-
		Sale of goods and services	Market terms	1,324	25	-	-
Aitken Spence Ports International (Pvt) Ltd	Subsidiary of the Parent Company	Sale of goods and services	Market terms	526	-	-	-
Aitken Spence International Consulting (Pvt) Ltd	Subsidiary of the Parent Company	Sale of goods and services	Market terms	67	-	-	-
Aitken Spence Aviation (Pvt) Ltd	Subsidiary of the Parent Company	Sale of goods and services	Market terms	166	-	-	-



Name of the Related Party	Relationship	Nature of transaction	Terms of the transaction	Group		Company	
				Transaction Value	Outstanding As at 31.03.2025	Transaction Value	Outstanding As at 31.03.2025
				Rs. '000	Rs. '000	Rs. '000	Rs. '000
Aitken Spence Agriculture (Pvt) Ltd	Subsidiary of the Parent Company	Purchase of vegetables	Market terms	458	-	-	-
Elpitiya Plantations PLC	Associate of the Parent Company	Purchase of tea leaves	Market terms	12,819	(98)	2,669	-
		Sale of goods and services	Market terms	452	391	143	143
45.1.5 Transactions with other related companies							
Distilleries Company of Sri Lanka PLC	Other related company	Purchase of beverages	Market terms	46,854	(2,120)	8,430	(273)
DCSL Breweries Lanka Limited	Other related company	Purchase of beverages	Market terms	1,635	-	600	-
		Sale of goods and services	Market terms	139	-	139	-
Stassen Exports (Pvt) Limited	Other related company	Purchase of food items	Market terms	295	(55)	-	-
		Sale of goods and services	Market terms	938	-	356	-
Lanka Milk Foods (CWE) PLC	Other related company	Purchase of milk powder	Market terms	29,337	(362)	6,489	-
Lanka Diaries (Pvt) Ltd	Other related company	Purchase of food items	Market terms	1,381	(250)	-	-
Lanka Bell (Pvt) Ltd	Other related company	Provision of telecommunication services	Market terms	428	(6)	5	-



Name of the Related Party	Relationship	Nature of transaction	Terms of the transaction	Group		Company	
				Transaction Value	Outstanding As at 31.03.2025	Transaction Value	Outstanding As at 31.03.2025
				Rs. '000	Rs. '000	Rs. '000	Rs. '000
Periceyl (Pvt) Ltd	Other related company	Purchase of beverages	Market terms	44,725	(5,549)	18,649	(1,966)
Pattipola Livestock Company Ltd	Other related company	Purchase of food items	Market terms	5,147	(178)	-	-
Continental Insurance Lanka Limited	Other related company	Provision of insurance services	Market terms	165,390	-	19,298	-
Stassen Foods (Pvt) Limited	Other related company	Purchase of food items	Market terms	983,144	(32,911)	42,558	(2,958)
		Sale of goods and services	Market terms	118	-	-	-
Ambewela Products (Pvt) Ltd	Other related company	Purchase of milk products	Market terms	6,757	(186)	3,270	(31)
Formula World (Pvt) Ltd	Other related company	Provision of vehicle maintenance services	Market terms	986	-	-	-
Melista Laboratories (Pvt) Ltd	Other related company	Purchase of services	Market terms	1,305	(206)	-	-
Melista Hospitals (Pvt) Ltd	Other related company	Purchase of services	Market terms	4	-	-	-
Bairaha Farms PLC	Other related company	Purchase of food items	Market terms	4,934	-	2,710	-



45.1.6 The Company and the subsidiaries in the ordinary course of business have for the sale of hotel rooms, contracted with certain tour operators, for whom Aitken Spence Travels (Pvt) Ltd, has contracted with for provision of hotel services. The total revenue generated by such company and the balance outstanding as at 31st March 2025 is disclosed above.

45.1.7 The Company and the Subsidiaries in the ordinary course of business have generated revenues amounting to Rs. 39,078,116 (Company- Rs. 12,105,229) from sale of hotel packages to Aitken Spence PLC and its Subsidiaries (excluding Hotel Companies). Balances outstanding from these companies as at 31st March 2025 is reflected in Note No. 26 - Amounts due from parent's group entities.

45.2 Non recurrent transactions with related Parties

There were no non recurrent transactions carried out with related parties during the year where the aggregate value of transaction exceeds 10% of equity or 5% of total assets which ever is lower.

45.3 Recurrent transactions with related parties

Name of the Related Party	Relationship	The rationale for entering into the transaction	Value of the related party transactions entered into during the financial year ending 31st March 2025	Value of the related party transactions as a % of revenue	Terms and conditions of the related party transaction
Rs. '000					
Aitken Spence Travels (Pvt) Ltd	Subsidiary of Parent Company	Sale of Hotel rooms in the ordinary course of business	2,570,141	5.27%	Market Terms
Stasson Foods (Pvt) Ltd	Other related Company	Purchase of goods in the ordinary course of business	983,144	2.02%	Market Terms
Aitken Spence Hotel Managements (Pvt) Ltd	Associate	Management fees paid for managing Sri Lankan hotels	471,663	0.97%	Percentage of revenue and profits
		Purchase of hotel supplies to maldivian hotels	471,801	0.97%	Market Terms

There were no recurrent transactions carried out with related parties during the year where the aggregate value of transaction exceeds 10% of consolidated gross revenue of the Group.

45.4 Transactions with Key Management Personnel (KMP)

Aitken Spence Hotel Holdings PLC, considers its Board of Directors as the key management personnel of the Company. The Board of Directors, Vice Presidents and Assistant Vice Presidents of subsidiary companies are considered as key management personnel of Group Companies.

There were no transactions other than employment benefits disclosed below carried out during the year with Key management personnel and their close family members which require disclosure per LKAS - 24 - Related Party Disclosures .

	Group		Company	
For the year ended 31st March	2025	2024	2025	2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Short term employment benefits	57,870	42,989	-	-
Post employment benefits	10,391	-	10,391	-
Total	68,261	42,989	10,391	-



46 ACQUISITION OF NON CONTROLLING SHARES

Aitken Spence Hotel Holdings PLC made an offer to the minority shareholders of Aitken Spence Hotels Ltd on 8th June 1999, to purchase their shares at Rs. 31 per share.(subsequently revised to Rs. 20/- per share). The Company as at 31st March 2025 held 98.01% of the equity share capital of Aitken Spence Hotels Ltd.

47 EVENTS AFTER REPORTING DATE

The board declared a preference dividend of cents 90 per share on the cumulative preference shares for the financial year ended 31st March 2025. There has been no other material events occurring after the reporting date that requires adjustment to or disclosure in the financial statements.

48 CAPITAL EXPENDITURE COMMITMENTS

The following commitments for capital expenditure approved by the Directors as at 31st March have not been provided for in the financial statements.

	Group		Company	
For the year ended 31st March	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Approximate amount approved but not contracted for	5,740,886	4,192,798	285,331	397,689
Approximate amount contracted for but not accounted	219,944	373,893	9,542	266,666
Total	5,960,830	4,566,691	294,873	664,355

The above includes Rs. 5,863 Mn (2023/2024 - Rs. 4,398 Mn) for the acquisition of property, plant and equipment, Rs. 98 Mn (2023/2024 - Rs. 168 Mn) for the acquisition of intangible assets for the Group and Rs. 293 Mn (2023/2024 - Rs. 650 Mn) for the acquisition of property, plant and equipment, Rs. 2 Mn (2023/2024 - Rs. 14 Mn) for the acquisition of intangible assets for the Company.

49 AVERAGE NUMBER OF EMPLOYEES

The average number of employees of the Group (excluding equity-accounted investees) as at 31st March 2025 was 3,485 (as at 31.03.2024 - 2,823).

The number of employees of the Company as at 31st March 2025 was 249 (as at 31.03.2024 - 252).

50 DIRECTORS RESPONSIBILITY

The Board of Directors of the Company are responsible for the preparation of financial statements.

QUARTERLY STATISTICS



Consolidated Statement of Profit or Loss and Other Comprehensive Income

For the three months ended	30th June	30th September	31st December	31st March
	2024	2024	2024	2025
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Net revenue	9,012,951	9,486,795	12,787,636	16,217,156
Other income/(expense)	52,889	(134,202)	239,650	(84,928)
Staff costs	(1,891,829)	(1,880,384)	(1,892,692)	(2,011,739)
Depreciation	(1,012,988)	(1,015,526)	(943,005)	(956,603)
Amortisation and impairment	(333,890)	(335,719)	(321,648)	(344,357)
Other operating expenses - direct	(2,562,358)	(2,787,123)	(3,204,569)	(3,257,367)
Other operating expenses - indirect	(3,197,657)	(3,275,625)	(3,637,410)	(3,888,233)
Profit from operations	67,118	58,216	3,027,962	5,673,929
Finance income	94,332	94,437	96,599	116,753
Finance expenses	(1,180,122)	(1,150,402)	(1,069,768)	(922,838)
Share of profit/(loss) of equity accounted investees net of tax	(19,415)	(3,812)	5,793	40,778
Income tax expense	(115,885)	(118,384)	(328,747)	(778,082)
Net Profit /(loss) for the period	(1,153,972)	(1,119,945)	1,731,839	4,130,540
Profit attributable equity holders of the parent company	(738,656)	(702,478)	1,060,696	2,670,799
Non - controlling interests	(415,316)	(417,467)	671,143	1,459,741
Net Profit /(loss) for the period	(1,153,972)	(1,119,945)	1,731,839	4,130,540

Consolidated Statement of Financial Position

As at	30th June	30th September	31st December	31st March
	2024	2024	2024	2025
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Assets				
Non current assets	82,718,978	80,414,547	78,035,557	77,998,272
Current assets	12,369,040	13,491,843	16,909,107	18,101,329
Assets classified as held for sale	-	-	-	36,112
Total assets	95,088,018	93,906,390	94,944,664	96,135,713
Equity and liabilities				
Equity	20,989,168	19,880,333	20,961,109	23,737,624
Non - controlling interest	9,141,266	8,513,835	9,230,064	10,725,685
Total equity	30,130,434	28,394,168	30,191,173	34,463,309
Non current liabilities	42,704,912	39,181,790	36,491,480	33,302,134
Current liabilities	22,252,672	26,330,432	28,262,011	28,370,270
Total liabilities	64,957,584	65,512,222	64,753,491	61,672,404
Total equity & liabilities	95,088,018	93,906,390	94,944,664	96,135,713



Share Information - Group

As at		30th June 2024	30th September 2024	31st December 2024	31st March 2025
Earnings / (loss) per ordinary share	(Rs.)	(2.20)	(2.09)	3.15	7.90
Net asset value per share	(Rs.)	61.92	58.63	61.84	70.10
Market price per share					
- Highest	(Rs.)	69.40	66.50	87.50	92.00
- Lowest	(Rs.)	64.10	53.00	58.50	76.00
- Last traded price	(Rs.)	66.00	64.00	84.10	80.50
- Closing price	(Rs.)	66.00	64.00	84.70	80.10
Percentage of shares held by public		25.44%	25.45%	25.44%	25.45%
Number of public shareholders		3,852	3,926	4,173	4,449
Float adjusted market capitalisation	(Rs.)	5,646,196,380	5,476,486,720	7,245,952,021	6,854,165,411

INDICATIVE US DOLLAR FINANCIAL STATEMENTS

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME IN USD

For the year ended 31st March	2025	2024
	USD '000	USD '000
Revenue	164,488	157,298
Revenue tax	(4,173)	(3,514)
Net revenue	160,315	153,784
Other income	248	64
Staff costs	(25,907)	(24,857)
Depreciation	(13,256)	(12,639)
Amortisation and impairment	(4,507)	(4,422)
Other operating expenses - direct	(39,860)	(39,379)
Other operating expenses - indirect	(47,243)	(44,890)
Profit from operations	29,790	27,661
Finance income	1,357	1,328
Finance expenses	(14,589)	(18,861)
Net finance expense	(13,232)	(17,533)
Share of profit/(loss) of equity accounted investees (net of tax)	79	(121)
Profit before income tax	16,637	10,007
Income tax expense	(4,526)	(3,799)
Profit for the year	12,111	6,208
Attributable to:		
Equity holders of the parent	7,729	3,795
Non - controlling interest	4,382	2,413
Profit for the year	12,111	6,208
Earnings/(loss) per ordinary share - Basic/Diluted (USD)	0.02	0.01
Exchange rate used for translation	296.32	300.44



For the year ended 31st March	2025	2024
	USD '000	USD '000
Profit for the year	12,111	6,208
Other comprehensive income/(loss)		
Items that will never be reclassified to profit or loss		
Share of other comprehensive income of equity accounted investees (net of tax)	83	21
Actuarial losses on defined benefit obligations	(85)	(66)
Income tax on other comprehensive income	(27)	21
	(29)	(24)
Items that are or may be reclassified to profit or loss		
Foreign currency translation differences of foreign operations	(1,668)	(8,741)
Net movement in cashflow hedge	2,292	4,998
	624	(3,743)
Other comprehensive income/(loss) for the year net of tax	595	(3,767)
Total comprehensive income for the period (net of tax)	12,706	2,441
Attributable to:		
Equity holders of the parent company	8,074	1,110
Non - controlling interests	4,632	1,331
Total comprehensive income for the period (net of tax)	12,706	2,441
Exchange rate used for translation	296.32	300.44



CONSOLIDATED STATEMENT OF FINANCIAL POSITION IN USD

As at	31.03.2025	31.03.2024
	USD '000	USD '000
ASSETS		
Non-current assets		
Property, plant and equipment	212,436	220,288
Right -of-use assets	43,459	47,539
Intangible assets	2,393	2,678
Investment in equity accounted investees	375	210
Other financial assets	3,281	3,248
Deferred tax assets	1,279	1,198
	263,223	275,161
Current assets		
Inventories	5,042	4,747
Trade and other receivables	11,924	11,037
Amounts due from holding company	5,222	3,555
Amount due from parent's group entities	3,981	4,616
Deposits and prepayments	2,608	2,934
Current tax receivable	50	50
Other financial assets	18,435	13,412
Cash and cash equivalents	13,825	7,646
	61,087	47,997
Assets classified as held for sale	122	-
Total assets	324,432	323,158
EQUITY AND LIABILITIES		
Equity attributable to equity holders of the company		
Stated capital	11,996	11,831
Reserves	32,509	31,672
Retained earnings	35,603	27,593
	80,108	71,096
Non -controlling interests	36,196	31,636
Total Equity	116,304	102,732



As at	31.03.2025	31.03.2024
	USD '000	USD '000
Non-current liabilities		
Interest - bearing liabilities - banks	66,038	95,069
Interest - bearing liabilities - leases	33,206	36,960
Deferred tax liabilities	11,740	10,952
Employee benefits	1,402	1,221
	112,386	144,202
Current liabilities		
Trade payables	5,336	5,006
Other provisions and payables	22,818	19,220
Amounts due to holding company	9,038	8,427
Amounts due to parent's group entities	414	251
Interest - bearing liabilities - banks	32,120	18,949
Interest - bearing liabilities - leases	3,775	4,591
Current tax payable	2,140	1,078
Bank overdrafts and other short term borrowings	20,101	18,702
	95,742	76,224
Total liabilities	208,128	220,426
Total equity and liabilities	324,432	323,158
Exchange rate used for translation	296.32	300.44

SUPPLEMENTARY INFORMATION



AN UNENDING STORY

As we close another chapter of our storied and timeless legacy, we look to the future with hope and with anticipation, prepared to create memories of home and to deliver experiences unlike any other, for our stakeholders in the years to come.



1. STOCK EXCHANGE LISTING

Aitken Spence Hotel Holdings PLC is a public quoted company, the issued ordinary shares of which have been listed with the Colombo Stock Exchange.

Company Name	Aitken Spence Hotel Holdings PLC
Stock Symbol	AHUN.N0000
ISIN	LK0003N00000
Security Type in Issue	Quoted Ordinary Shares
Listed Exchange	The Colombo Stock Exchange (CSE)
Market Sector	Consumer Services Sector

2. DISTRIBUTION OF SHAREHOLDERS

There were 4,459 registered ordinary shareholders as at 31st March 2025 distributed as follows:

	31.03.2025			31.03.2024		
Range	No. of Shareholders	No. of Shareholding	%	No. of Shareholders	No. of Shareholding	%
1 to 1,000 shares	2,868	807,926	0.24	2,349	667,343	0.20
1,001 to 10,000 shares	1,166	3,999,512	1.19	987	3,361,207	1.00
10,001 to 100,000 shares	329	10,052,458	2.99	303	8,922,666	2.65
100,001 to 1,000,000 shares	82	22,188,982	6.60	78	20,225,067	6.01
1,000,001 and above	14	299,241,132	88.98	15	303,113,727	90.14
	4,459	336,290,010	100.00	3,732	336,290,010	100.00

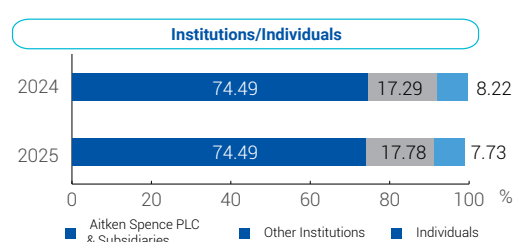
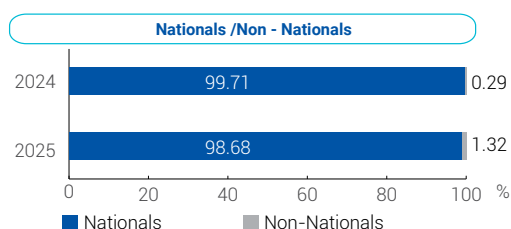
2.1 Nationals /Non - Nationals

	31.03.2025		31.03.2024	
Category	Shareholding	%	Shareholding	%
Nationals	331,864,011	98.68	335,325,852	99.71
Non - Nationals	4,425,999	1.32	964,158	0.29
	336,290,010	100.0	336,290,010	100.00

2.2 Institutions/Individuals

Category	Shareholding	%	Shareholding	%
Aitken Spence PLC & Subsidiaries	250,507,418	74.49	250,507,418	74.49
Other Institutions	59,783,607	17.78	58,137,030	17.29
Individuals	25,998,985	7.73	27,645,562	8.22
	336,290,010	100.00	336,290,010	100.00

* Percentage of shares held by the public as at 31st March 2025 was 25.45% and Number of public shareholders as at 31st March 2025 were 4,449.





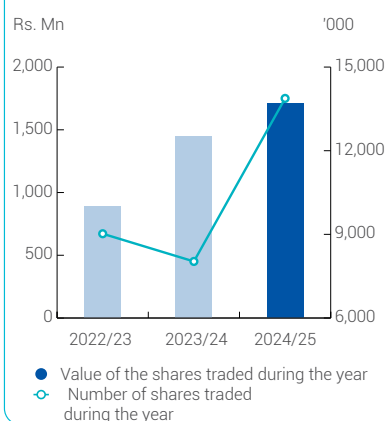
3. SHARE TRADING

	2024/25	2023/24	2022/23	2021/22	2020/21
Value of the shares traded during the year (Rs. Mn)	1,711	1,448	892	558	381
Number of shares traded during the year ('000)	22,510	22,082	16,557	14,096	14,456
Number of Transactions	13,876	8,028	9,022	9,983	8,216

The float adjusted market capitalisation as at 31st March 2025 was Rs. 6,854,165,411 as per Rule No.7.6 (iv) of the Listing Rules of the Colombo Stock Exchange.

As the float adjusted market capitalisation is more than Rs. 5 Bn, Aitken Spence Hotel Holdings PLC complies under option 3 with the minimum public holding requirement.

Value of Shares Traded vs Volume
For the year ended 31st March



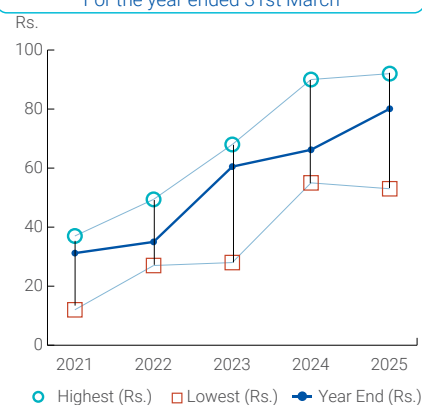
4. MARKET VALUE PER SHARE

	2024/25	2023/24	2022/23	2021/22	2020/21
Highest (Rs.)	92.00	90.00	68.00	49.40	37.00
Lowest (Rs.)	53.00	55.00	28.00	27.00	12.00
Year End (Rs.)	80.10	66.20	60.50	35.00	31.20
Closing Price as at 31st March (Rs.)	80.10	66.20	59.90	35.50	30.20

5. DIVIDENDS

There was no dividend paid to ordinary shareholders of the Company for the year 2024/25. (The last dividend was paid in financial year 2018/19)

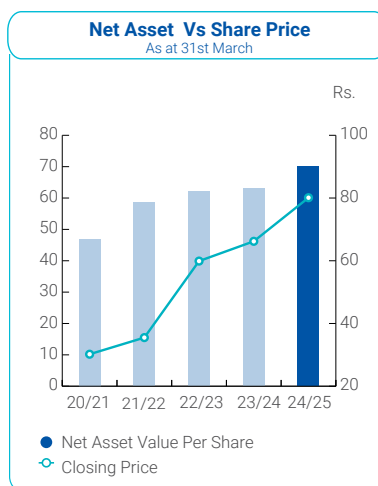
Market Value per share
For the year ended 31st March





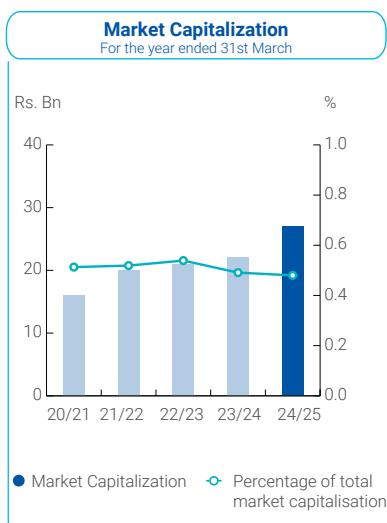
6. RATIOS

	2024/25	2023/24	2022/23	2021/22	2020/21
Earnings / (Loss) Per Share (Rs.)	6.77	3.35	(0.94)	1.85	(13.93)
Price Earnings Ratio (Times)	11.83	19.76	(63.72)	19.19	(2.17)
Net Asset Value per Share as at 31st March (Rs.)	70.10	63.03	62.08	58.60	46.96



7. MARKET CAPITALISATION

	2024/25	2023/24	2022/23	2021/22	2020/21
Market Capitalisation (Rs. Bn)	26.94	22.26	20.04	11.94	10.16
Stated Capital & Reserves (Rs. Bn)	23.74	21.36	21.04	19.87	15.96
Total Market Capitalisation of CSE (Rs. Bn)	5,606	4,535	3,904	3,827	3,111
Percentage of total market capitalisation (%)	0.48	0.49	0.54	0.52	0.51





8. GROUP EFFECTIVE HOLDING IN SUBSIDIARIES AND ASSOCIATE COMPANIES

Company	As at 31.03.2025	As at 31.03.2024
Crest Star (B.V.I) Limited (British Virgin Islands)	100.00%	100.00%
Turyaa (Private) Limited	100.00%	100.00%
Neptune Ayurvedic Village (Private) Limited	100.00%	100.00%
Nilaveli Holidays (Private) Limited	100.00%	100.00%
Nilaveli Resorts (Private) Limited	100.00%	100.00%
The Galle Heritage (Private) Limited	100.00%	100.00%
Meeraladuwa (Private) Limited	100.00%	100.00%
Aitken Spence Hotels Limited	98.01%	98.01%
Heritance (Private) Limited	98.01%	98.01%
Jetan Travel Services Company Private Limited (Maldives)	95.00%	95.00%
Hethersett Hotels Limited	94.44%	94.44%
Kandalama Hotels (Private) Limited	61.74%	61.74%
Cowrie Investment Private Limited (Maldives)	60.00%	60.00%
Ahungalla Resorts Limited	60.00%	60.00%
Aitken Spence Hotel Management (South India) (Private) Limited (India)	59.13%	59.13%
Aitken Spence Hotel Managements Asia (Private) Limited	51.00%	51.00%
Aitken Spence Hotels International (Private) Limited	51.00%	51.00%
Ace Resorts Private Limited (Maldives)	51.00%	51.00%
A.D.S Resorts Private Limited (Maldives)	51.00%	51.00%
Unique Resorts Private Limited (Maldives)	51.00%	51.00%
Aitken Spence Hotel Services Private Limited (India)	51.00%	51.00%
Aitken Spence Resorts (Middle East) LLC (Oman)	51.00%	51.00%
Aitken Spence Hotel Managements (Private) Limited	49.00%	49.00%
Aitken Spence Resources (Private) Limited	49.00%	49.00%
PR Holiday Homes Private Limited (India)	43.13%	43.13%
Perumbalam Resorts Private Limited (India)	43.12%	43.12%
Browns Beach Hotels PLC	37.42%	37.42%
Negombo Beach Resorts (Private) Limited	37.42%	37.42%
Amethyst Leisure Limited	27.89%	27.89%
Paradise Resorts Passikudah (Private) Limited	27.89%	27.89%



9. SHAREHOLDING OF DIRECTORS TOGETHER WITH THEIR SPOUSES IN AITKEN SPENCE HOTEL HOLDINGS PLC

Name of the Director	No. of Shares	
	As at 31.03.2025	As at 31.03.2024
Deshamanya D.H.S. Jayawardena *	-	-
Ms. D.S.T. Jayawardena	16,000	16,000
Dr. M.P. Dissanayake	-	-
Mr. C.M.S. Jayawickrama	-	-
Mr. J.M.S. Brito	172,387	194,062
Mr. R.N. Asirwatham	1,000	1,000
Mr. N.J. de Silva Deva Aditya	-	-
Dr. R.A. Fernando	-	-
Mr. M.R. Mihular	-	-
Mr. P. Englisch	-	-
Mr. C. H. Gomez**	-	-
Total	189,387	211,062

* Demised on 03.02.2025

** Resigned w.e.f 30.12.2024 and appointed w.e.f 01.04.2025

10. TWENTY LARGEST SHAREHOLDERS

Shareholder	As at 31.03.2025	
	No. of Shares	%
1 Aitken Spence PLC- A/C No. 1	239,472,667	71.21
2 Employee's Provident Fund	31,501,601	9.37
3 Ace Cargo (Private) Limited	4,423,601	1.32
4 Hatton National Bank PLC - Capital Alliance Quantitative Equity Fund	4,325,715	1.29
5 Aitken Spence Hotel Managements (Private) Limited	3,530,639	1.05
6 Aitken Spence Aviation (Private) Limited	2,604,140	0.77
7 Employees Trust Fund Board	2,370,705	0.71
8 Bank of Ceylon - No. 1 Account	2,177,424	0.65
9 Mr. K. Balendra & Mrs. S. Balendra	2,062,732	0.61
10 Mrs. K. Fernando	1,685,230	0.50
11 Citibank Hong Kong S/A Hostplus Pooled Superannuation Trust	1,529,408	0.46
12 SSBT- Sunsuper PTY Ltd as Trustee for Sunsuper Superannuation Fund	1,294,120	0.39
13 Invenco Capital Private Limited	1,239,484	0.37
14 Ceylon Guardian Investment Trust PLC A/C No. 02	1,023,666	0.30
15 Mr. S.R. Perera	1,000,000	0.30
16 Est.of Late M.J. Fernando	1,000,000	0.30
17 Ceylon Investment PLC - A/C No. 02	946,989	0.28
18 Miss N.T.M.S. Cooray	775,080	0.23
19 Cargo Boat Development Company PLC	733,193	0.22
20 Bansei Securities Capital (Private) Limited /I.S.P. Perera	723,517	0.22
Total	304,419,911	90.52



11. HISTORY OF MOVEMENT IN ORDINARY SHARE CAPITAL

Year	Issue	Number of Shares
	Shares in issue at the time of listing	1,281,612
1979/80	Initial Public Offer	500,000
1980/81	Private Placement	300,000
1980/81	Rights Issue	368,743
1981/82	Rights Issue	1,839,063
1982/83	Rights Issue	1,429,806
1983/84	Rights Issue	791,792
1984/85	Rights Issue	822,790
1994/95	Bonus Issue	2,444,602
1994/95	Share swap to acquire Aitken Spence Hotels Ltd	9,699,199
1994/95	Share swap to acquire Brown's Beach Hotels Ltd	638,020
1994/95	Share swap to acquire M. P. S. Hotels Ltd	473,557
1999/00	Bonus Issue	3,431,531
1999/00	Rights Issue	14,412,429
2010/11	Rights Issue (1 for 4)	9,608,286
	Share Split (7 for 1)	288,248,580
Total as at 31st March 2025		336,290,010

12. HISTORY OF MOVEMENT IN PREFERENCE SHARE CAPITAL

Year	Issue	Number of Shares
1981/82	12% Cum. Redeemable Preference Shares	200,000
1982/83	Redemption	(40,000)
1983/84	Redemption	(40,000)
1984/85	Redemption	(40,000)
1985/86	Redemption	(40,000)
1990/91	Redemption	(40,000)
1996/97	9% Cum Redeemable Preference Shares	16,500,000
Total as at 31st March 2025		16,500,000



Year ended 31st March	2025 Rs'000	2024 Rs'000	2023 Rs'000	2022 Rs'000	2021 Rs'000	2020 Rs'000	2019 Rs'000	2018 Rs'000	2017 Rs'000	2016 Rs'000
OPERATING RESULTS										
Revenue	48,741,023	47,258,528	46,059,884	24,570,780	5,728,379	19,019,241	19,570,589	18,250,581	16,055,386	13,378,071
Profit/(loss) from operations	8,827,225	8,310,261	7,310,886	4,280,099	(5,188,495)	1,563,667	2,734,959	3,013,834	2,298,164	2,883,023
Profit/(loss) before taxation	4,929,560	3,006,151	1,644,950	1,946,659	(7,606,620)	(433,023)	1,904,325	2,189,891	1,549,562	2,520,651
Taxation	(1,341,098)	(1,141,464)	(1,598,141)	(912,354)	353,405	(462,701)	(707,161)	(606,496)	(535,823)	(432,889)
Profit/(loss) after taxation	3,588,462	1,864,687	46,809	1,034,305	(7,253,215)	(895,724)	1,197,164	1,583,395	1,013,739	2,087,762
Profit/(loss) attributable to equity holders of the Parent Company	2,290,361	1,140,112	(287,893)	623,542	(4,669,045)	(624,953)	810,581	1,169,314	675,873	1,403,766
SHAREHOLDERS' FUNDS										
Stated capital	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587
Reserves and retained earnings	20,183,037	17,805,495	17,486,669	16,316,664	12,401,869	17,008,313	17,784,234	16,216,628	15,607,239	14,851,205
Shareholders' funds	23,737,624	21,360,082	21,041,256	19,871,251	15,956,456	20,562,900	21,338,821	19,771,215	19,161,826	18,405,792
LIABILITIES										
Non-current interest bearing liabilities	29,408,141	39,666,679	50,176,589	52,079,329	38,138,710	33,500,094	23,405,292	18,154,051	14,450,707	8,186,477
Amount due to holding company	2,678,158	2,531,875	1,313,017	1,201,857	168,765	134,293	110,020	834,985	348,329	155,804
Current liabilities	25,692,112	20,369,066	22,951,987	18,587,850	12,630,068	10,364,198	8,329,080	9,987,503	8,801,945	5,859,232
Other non current liabilities	3,893,993	3,657,265	3,329,700	1,629,636	1,267,974	1,201,019	2,462,557	1,722,855	1,144,318	411,798
Total Liabilities	61,672,404	66,224,885	77,771,293	73,498,672	52,205,517	45,199,604	34,306,949	30,699,394	24,745,299	14,613,311
NON-CONTROLLING INTEREST										
	10,725,685	9,504,610	9,139,015	8,269,807	6,006,264	8,587,530	9,256,614	8,122,788	8,270,862	5,429,111
TOTAL EQUITY AND LIABILITIES										
	96,135,713	97,089,577	107,951,564	101,639,730	74,168,237	74,350,034	64,902,384	58,593,397	52,177,987	38,448,214
ASSETS										
Property, plant and equipment	62,949,004	66,183,428	72,644,868	67,363,789	52,766,644	52,554,379	49,918,218	41,404,788	37,687,160	23,101,360
Right-of-use assets	12,877,703	14,282,682	16,888,712	16,379,328	11,964,320	11,172,389	-	-	-	-
Leasehold property	-	-	-	-	-	-	2,214,518	2,023,903	2,042,460	2,006,728
Prepaid operating leases	-	-	-	-	-	-	1,924,329	1,772,172	1,791,169	1,811,071
Intangible assets	709,092	804,588	889,049	821,411	581,137	580,627	472,879	416,053	404,612	380,166
Investments in equity accounted investees	111,040	63,185	93,040	461,073	631,527	910,478	1,249,902	1,158,581	1,294,427	4,982,212
Other financial assets	972,346	975,778	998,018	283,123	772,508	764,245	778,986	763,780	126,650	202,395
Deferred tax assets	379,087	359,966	486,592	648,820	717,802	295,849	160,942	143,906	157,760	147,969
Current assets	18,101,329	14,419,950	15,951,285	14,095,217	5,655,205	7,046,542	8,182,610	10,910,214	8,673,749	5,816,313
Assets classified as held for sale	36,112	-	-	1,586,969	1,079,094	1,025,525	-	-	-	-
Total Assets	96,135,713	97,089,577	107,951,564	101,639,730	74,168,237	74,350,034	64,902,384	58,593,397	52,177,987	38,448,214
CASH FLOW										
From operating activities	10,743,403	7,772,452	8,494,454	6,793,956	(807,340)	3,303,771	2,858,941	2,801,992	2,587,485	3,479,769
From investing activities	(2,693,778)	(960,863)	(435,840)	(3,736,595)	(1,287,929)	(3,214,760)	(6,272,236)	(3,050,809)	(2,279,588)	(6,507,608)
From financing activities	(6,922,466)	(7,518,264)	(9,333,868)	(2,516,246)	(414,643)	(1,437,348)	767,316	3,266,138	120,782	1,409,694
Net cash inflow/(outflow)	1,127,159	(706,596)	(1,275,254)	541,115	(2,509,912)	(1,348,337)	(2,645,979)	3,017,321	428,679	(1,618,145)
KEY INDICATORS										
Earnings/(loss) per ordinary share (Rs.)	6.77	3.35	(0.94)	1.85	(13.93)	(1.90)	2.37	3.43	1.97	4.13
Net Assets value per ordinary share (Rs.)	70.10	63.03	62.08	58.60	46.96	60.66	62.96	58.30	56.49	54.24
Closing price per share (Rs.)	80.10	66.20	59.90	35.50	30.20	15.10	23.70	33.50	35.20	53.00
Dividend per share (Rs.)	-	-	-	-	-	-	1.00	1.25	0.75	1.25
Dividend cover (Times)	-	-	-	-	-	-	2.37	2.75	2.62	3.30
Price to earnings ratio (Times)	11.83	19.76	(63.72)	19.19	(2.17)	(7.94)	10.02	9.76	17.91	12.83
Gearing (debt/(debt+equity)) %	46.30	56.47	62.65	65.13	63.73	53.73	43.65	39.78	34.90	26.08
Interest cover (Times)	2.13	1.54	1.35	1.95	(2.32)	0.94	3.18	3.45	3.31	8.73
Return on average shareholders' funds (%)	10.23	5.42	1.81	3.51	(25.89)	(3.08)	3.90	5.98	3.55	7.87

REAL ESTATE HOLDINGS OF THE GROUP



Description of the Property	No of Rooms	Location	Building in Sq.Ft	No of Buildings	Land Extent Acres		Net Book Value as at 31.03.2025 (Rs.'000)	
					Freehold	Leasehold	Land	Buildings
Aitken Spence Hotel Holdings PLC Heritage Ahungalla	152	Ahungalla	253,590	3	12.21	-	843,500	995,915
Meeraladuwa (Pvt) Ltd Meeraladuwa Island	-	Balapitiya	-	-	29.56	-	226,350	-
Kandalama Hotels (Pvt) Ltd Heritage Kandalama	152	Dambulla	470,438	3	183.61	50.00	58,122	508,637
Hethersett Hotels Ltd Heritage Tea Factory	50	Nuwara Eliya	66,120	4	-	25.00	-	124,430
Aitken Spence Hotels Ltd Heritage Ayurveda	64	Beruwala	135,372	3	-	6.44	-	352,015
Heritage (Pvt) Ltd	-	Beruwala	-	-	5.79	-	347,500	-
Neptune Ayurvedic Village (Pvt) Ltd	-	Beruwala	12,500	-	0.12	-	4,860	40,693
Turyaa (Pvt) Ltd Turyaa Kalutara	199	Kalutara	305,746	23	8.35	-	691,775	1,522,608
Ahungalla Resorts Ltd Hotel RIU Sri Lanka	501	Ahungalla	601,751	11	12.97	-	1,113,500	6,896,691
Jetan Travel Services Company Pvt Ltd Adaaran Club Rannalhi	122	Maldives	98,043	43	-	11.69	-	800,021
Cowrie Investment Pvt Ltd Adaaran Select Meedhuparu	238	Maldives	296,683	122	-	44.45	-	3,600,116
Heritage Aarah	150	Maldives	257,642	244	-	26.90	-	19,879,255
ADS Resorts Pvt Ltd Adaaran Select Hudhuranfushi	202	Maldives	310,509	211	-	78.00	-	128,680
Unique Resorts Pvt Ltd Adaaran Prestige Vadoo	50	Maldives	56,643	53	-	4.48	-	2,220,597
Aitken Spence Hotel Managements (South India) Pvt Ltd Turyaa Chennai	140	Chennai/India	126,825	1	0.84	-	1,636,358	3,511,130
Perumbalam Resorts Pvt Ltd	-	Chennai/India	-	-	4.06	-	98,259	-
P.R Holiday Homes Pvt Ltd	-	Chennai/India	-	-	14.05	-	367,770	195
Aitken Spence Resorts (Middle East) LLC Al Falaj Hotel	150	Oman	176,550	3	5.05	-	5,965,843	5,125,447



SUBSIDIARIES

Ace Resorts Private Limited *

The Company has commenced the liquidation process.

Directors:

Ms. D.S.T. Jayawardena,
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama (Managing Director),
M. Mahdy.

A.D.S Resorts Private Limited *

Owns the Adaaran Select Hudhuran Fushi resort in the Republic of Maldives.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
C.M.S. Jayawickrama (Managing Director),
M. Mahdy,
Ms. D.R. Alexander (Appointed w.e.f. 01.04.2025),
M.D.B.J. Gunatilake (Appointed w.e.f. 01.04.2025).

Aitken Spence Hotel Managements (South India) Private Limited

Owns the 140 roomed hotel property "Turyaa" in Chennai in the Republic of India.

Directors:

Dr. M.P. Dissanayake,
C.M.S. Jayawickrama,
Ashis Miglani,
K.A. Kodippilige.

Aitken Spence Hotel Managements Asia (Private) Limited *

Manages resorts in the Sultanate of Oman and in the Republic of Maldives.

Directors:

Ms. D.S.T. Jayawardena,
Dr. M.P. Dissanayake (Appointed w.e.f. 01.04.2025),
Dr. R.M. Fernando,
Ms. N. Sivapragasam,
Deshamanya D.H.S. Jayawardena (Deceased on 03.02.2025).

Aitken Spence Hotels International (Private) Limited *

Overseas investment company of the Hotels sector and provides international marketing services to the resorts in the Sultanate of Oman and in the Republic of Maldives.

Directors:

Ms. D.S.T. Jayawardena,
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama,
Ms. D.R. Alexander (Appointed w.e.f. 01.04.2025).

Aitken Spence Hotel Services Private Limited

Incorporated to operate as the local marketing company of hotels in the Republic of India. The Company did not carry out any operations during the year.

Directors:

C.M.S. Jayawickrama,
K.A. Kodippilige.

Aitken Spence Hotels Limited *

Holding company of Kandalama Hotels (Private) Limited and Heritance (Private) Limited. Owns the Heritance Ayurveda resort in Beruwela.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama,
Ms. D.R. Alexander,
B.G.D.L.P. Wijerathne.

Aitken Spence Resorts (Middle East) LLC

Owning Company of the Al Falaj hotel in Muscat, Sultanate of Oman.

Authorised Managers:

Ms. D.S.T. Jayawardena,
Dr. M.P. Dissanayake,
Dr. R.M. Fernando,
C.M.S. Jayawickrama,
A. Perera,
S.N. de Silva,
Ms. N. Sivapragasam.

Ahungalla Resorts Limited *

A joint venture company between Aitken Spence Hotel Holdings PLC and RIUSA II SA and owns the RIU Hotel in Sri Lanka in Ahungalla.

Directors:

Ms. D.S.T. Jayawardena,
Dr. M.P. Dissanayake,
J.T. Riu (Managing Director),
L. Riu Guell,
C.M.S. Jayawickrama.

Cowrie Investment Private Limited *

Owns the Heritance Aarah and Adaaran Select Meedhupparu Resorts in the Republic of Maldives.

Directors:

Dr. M.P. Dissanayake (Chairman and Managing Director),
Ms. D.S.T. Jayawardena,
I.M. Didi,
M. Salih,
C.M.S. Jayawickrama.



Crest Star (B.V.I.) Limited

The holding company of Jetan Travel Services Company Private Limited.

Directors:

Ms. D.S.T. Jayawardena,
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

Heritage (Private) Limited *

Owens a land in Beruwela for a proposed hotel project.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

Hethersett Hotels Limited *

Owens the Heritage Tea Factory hotel in Kandapola.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama,
Ms. D.R. Alexander,
B.G.D.L.P. Wijerathne.

Jetan Travel Services Company Pvt Ltd

Owens the Adaaran Club Rannalhi resort in the Republic of Maldives.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
C.M.S. Jayawickrama (Managing Director),
H. Mohamed,
M. Mahdy.

Kandalama Hotels (Private) Limited *

Owens the Heritage Kandalama hotel.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama,
Ms. D.R. Alexander (Appointed w.e.f. 01.04.2025).

Meeraladuwa (Private) Limited *

Owens land in the island of Meeraladuwa in Balapitiya

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama,
Ms. D.R. Alexander (Appointed w.e.f. 01.04.2025).

Neptune Ayurvedic Village (Private) Limited *

Leases the company owned land and building to Aitken Spence Hotels Limited.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

Nilaveli Holidays (Private) Limited *

To operate a future hotel project.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama,
Ms. D.R. Alexander (Appointed w.e.f. 01.04.2025).

Nilaveli Resorts (Private) Limited *

To operate a future hotel project.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama,
Ms. D.R. Alexander (Appointed w.e.f. 01.04.2025).

Perumbalam Resorts Private Limited

A fully owned subsidiary of PR Holiday Homes Private Limited in the Republic of India.

Directors:

Dr. M.P. Dissanayake,
C.M.S. Jayawickrama,
K.K.M. Rawther,
K.K. Kabeer,
K.A. Kodippilige (Appointed w.e.f. 20.05.2024).

PR Holiday Homes Private Limited

Owens a land in Cochin, in the Republic of India for a future hotel project.

Directors:

Dr. M.P. Dissanayake,
C.M.S. Jayawickrama,
K.K.M. Rawther,
K.K. Kabeer,
K.A. Kodippilige.

The Galle Heritage (Private) Limited *

The Company is in the process of being struck off.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

Turyaa (Private) Limited *

Owens the 199 roomed hotel property Turyaa in Kalutara.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

Unique Resorts Private Limited *

Owens the Adaaran Prestige Vadoo resort in the Republic of Maldives.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
C.M.S. Jayawickrama (Managing Director),
M.D.B.J. Gunatilake,
Ms. D.R. Alexander (Appointed w.e.f. 01.04.2025).



ASSOCIATES

Aitken Spence Hotel Managements (Private) Limited *

Manages resorts in Sri Lanka.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama (Managing Director),
Ms. D.R. Alexander (Appointed w.e.f. 01.04.2025).

Aitken Spence Resources (Private) Limited *

The Company did not carry out any operations during the year.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
C.M.S. Jayawickrama,
Ms. D.R. Alexander (Appointed w.e.f. 24.07.2024).

Amethyst Leisure Limited *

The holding Company of Paradise Resort Pasikudah (Private) Limited.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
M.A.N.S. Perera,
C.M.S. Jayawickrama,
Ms. V.J. Senaratne,
B.G.D.L.P. Wijerathne.

Browns Beach Hotels PLC *

Owns the property leased out to Negombo Beach Resorts (Private) Limited.

Directors:

Ms. D.S.T. Jayawardena (Appointed as Executive Chairperson w.e.f. 06.02.2025),
Dr. M.P. Dissanayake,
C.R. Stanislaus,
R.N. Asirwatham,
N.J. de Silva Deva Aditya,
M.R. Mihular (Appointed w.e.f. 30.09.2024),
Dr. R.A. Fernando (Appointed w.e.f. 30.09.2024),
P. Englisch (Appointed w.e.f. 30.12.2024),
C.M.S. Jayawickrama (Appointed w.e.f. 01.04.2025),
M.A.N.S. Perera (Resigned w.e.f. 23.12.2024),
Deshamanya D.H.S. Jayawardena (Chairman) (Deceased on 03.02.2025),
Mr. J.M.S. Brito (Appointed w.e.f. 09.05.2025)

Negombo Beach Resorts (Private) Limited *

Owns the Sentido Heritage Negombo Hotel.

Directors:

Ms. D.S.T. Jayawardena,
C.M.S. Jayawickrama,
C.R. Stanislaus,
Deshamanya D.H.S. Jayawardena (Chairman) (Deceased on 03.02.2025).

Paradise Resort Pasikudah (Private) Limited *

Owning Company of Amethyst resort, Pasikudah.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
M.A.N.S. Perera,
Ms. V.J. Senaratne,
C.M.S. Jayawickrama,
B.G.D.L.P. Wijerathne.

* The companies' financial statements are audited by KPMG

CORPORATE INFORMATION



GRI 2-1

NAME

Aitken Spence Hotel Holdings PLC

LEGAL FORM

A Public Quoted Company with limited liability, incorporated in Sri Lanka on March 14, 1978

COMPANY REGISTRATION NUMBER

PQ 97

REGISTERED OFFICE

No. 315, Vauxhall Street Colombo 2, Sri Lanka

DIRECTORS

Ms. D.S.T. Jayawardena

Chairperson (Appointed as Executive Chairperson w.e.f. 06.02.2025)

Dr. M.P. Dissanayake - *Managing Director*

Mr. C.M.S. Jayawickrama

Mr. J.M.S. Brito

Mr. R.N. Asirwatham

Mr. N.J. de Silva Deva Aditya

Dr. R.A. Fernando

Mr. M.R. Mihular (*Appointed w.e.f. 02.12.2024*)

Mr. P. Englisch (*Appointed w.e.f. 30.12.2024*)

Mr. C.H. Gomez (*Resigned w.e.f. 30.12.2024 and Appointed w.e.f. 01.04.2025*)

Deshamanya D.H.S. Jayawardena (*Deceased on 03.02.2025*)

Mr. M.A.N.S. Perera (*Resigned w.e.f. 25.11.2024*)

AUDIT AND RISK COMMITTEE

Mr. M.R. Mihular

Dr. R.A. Fernando

Mr. P. Englisch

Mr. R.N. Asirwatham

Mr. J.M.S. Brito

REMUNERATION COMMITTEE

Mr. P. Englisch

Dr. R.A. Fernando

Mr. J.M.S. Brito

NOMINATION AND GOVERNANCE COMMITTEE

Mr. P. Englisch

Dr. R.A. Fernando

Mr. J.M.S. Brito

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

Mr. M.R. Mihular

Dr. R.A. Fernando

Mr. P. Englisch

Mr. R.N. Asirwatham

Mr. J.M.S. Brito

SECRETARIES

Aitken Spence Corporate Services (Private) Limited

No. 315, Vauxhall Street, Colombo 02, Sri Lanka.

T: (+94 11) 2308308

F: (+94 11) 2445406

E: benji@aitkenspence.lk, comsec@aitkenspence.lk

REGISTRARS

Central Depository Systems (Private) Limited

Ground Floor, M&M Center, No. 341/5, Kotte Road, Rajagiriya.

T: (+94 11) 2356456

F: (+94 11) 2440396

E: registrars@cse.lk

Web: www.cds.lk

AUDITORS

KPMG

Chartered Accountants

32A, Sir Mohamed Macan Markar Mawatha, P.O Box 186, Colombo 03, Sri Lanka

BANKERS

Hatton National Bank PLC

People's Bank

Bank of Ceylon

Hongkong and Shanghai Banking Corporation Ltd

Union Bank of Colombo PLC

Nations Trust Bank PLC

DFCC Bank PLC

Deutsche Bank AG

Commercial Bank of Ceylon PLC

Sampath Bank PLC

Seylan Bank PLC

Habib Bank Limited

ABANCA Corporación Bancaria, S.A.

Bank of Maldives

Sohar International Bank SAOG

Commercial Bank of Maldives Private Limited

National Development Bank PLC

Bank Muscat SAOG

HOLDING COMPANY

Aitken Spence PLC

CONTACT DETAILS

No. 315, Vauxhall Street, Colombo 02, Sri Lanka.

T: (+94 11) 2308308

F: (+94 11) 2445406

Web: www.aitkenspencehotels.com



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Email: eysl@lk.ey.com
ey.com

Independent practitioner's assurance report to the Board of Directors of Aitken Spence Hotel Holdings PLC on the Sustainability reporting criteria presented in the Integrated Annual Report FY2024/25

SCOPE

We have been engaged by **Aitken Spence Hotel Holdings PLC** to perform a 'limited assurance engagement,' as defined by Sri Lanka Standard on Assurance Engagements, here after referred to as the engagement, to report on **Aitken Spence Hotel Holdings PLC's Economic, Environment, Social and Governance (EESG) indicators** (the "Subject Matter") contained in **Aitken Spence Hotel Holdings PLC's** (the "Entity's") **Integrated Annual Report for the year ended 31 March 2025** (the "Report").

Other than as described in the preceding paragraph, which sets out the scope of our engagement, we did not perform assurance procedures on the remaining information included in the Report, and accordingly, we do not express a conclusion on this information.

CRITERIA APPLIED BY AITKEN SPENCE HOTEL HOLDINGS PLC

In preparing the Subject Matter, **Aitken Spence Hotel Holdings PLC** applied the following criteria ("Criteria"):

- The Global Reporting Initiative's (GRI) Sustainability Reporting Guidelines, publicly available at <https://www.globalreporting.org>
- The Sustainability Accounting Standards Board (SASB) Standards, publicly available at <https://sasb.org/standards/> (Hotels & Lodging Standard)

Such Criteria were specifically designed for **the purpose of assisting you in determining whether Entity's Economic, Environment, Social and Governance (EESG) indicators contained in the Entity's Report is presented in accordance with the relevant criteria**; As a result, the subject matter information may not be suitable for another purpose.

AITKEN SPENCE HOTEL HOLDINGS PLC'S RESPONSIBILITIES

Aitken Spence Hotel Holdings PLC management is responsible for selecting the Criteria, and for presenting the Subject Matter in accordance with that Criteria, in all material respects. This responsibility includes establishing and maintaining internal controls, maintaining adequate records and making estimates that are relevant to the preparation of the subject matter, such that it is free from material misstatement, whether due to fraud or error.

ERNST & YOUNG'S RESPONSIBILITIES

Our responsibility is to express a conclusion on the presentation of the Subject Matter based on the evidence we have obtained.

We conducted our engagement in accordance with the **Sri Lanka Standard for Assurance Engagements Other Than Audits or Reviews of Historical Financial Information (SLSAE 3000 (Revised))**, and the terms of reference for this engagement as agreed with the **Aitken Spence Hotel Holdings PLC** on 29th May 2025. Those standards require that we plan and perform our engagement to express a conclusion on whether we are aware of any material modifications that need to be made to the Subject Matter in order for it to be in accordance with the Criteria, and to issue a report. The nature, timing, and extent of the procedures selected depend on our judgment, including an assessment of the risk of material misstatement, whether due to fraud or error.

We believe that the evidence obtained is sufficient and appropriate to provide a basis for our limited assurance conclusions.

Partners: D K Hulangamuwa FCA FCMA LLB (London), A P A Gunasekera FCA FCMA, Ms. Y A De Silva FCA, Ms. G G S Manatunga FCA, W K B S P Fernando FCA FCMA FCCA, B E Wijesuriya FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, N M Sulaiman FCA FCMA, Ms. L K H L Fonseka FCA, Ms. P V K N Sajewani FCA, A A J R Perera FCA ACMA, N Y R L Fernando ACA, D N Gamage ACA ACMA, C A Yalagala ACA ACMA, Ms. P S Paranavitane ACA ACMA LLB (Colombo), B Vasanthan ACA ACMA, W D P L Perera ACA

Principals: T P M Ruberu FCMA FCCA MBA (US-J-SL), G B Goudian ACMA, D L B Karunathilaka ACMA, W S J De Silva Bsc (Hons) - MIS Msc - IT, V Shakthivel B.Com (Sp)

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OUR INDEPENDENCE AND QUALITY MANAGEMENT

We have maintained our independence and confirm that we have met the requirements of the Code of Ethics for Professional Accountants issued by the **Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka)** and have the required competencies and experience to conduct this assurance engagement.

EY also applies quality management standards, which requires that we design, implement and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

DESCRIPTION OF PROCEDURES PERFORMED

Procedures performed in a limited assurance engagement vary in nature and timing from, and are less in extent than for a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed. Our procedures were designed to obtain a limited level of assurance on which to base our conclusion and do not provide all the evidence that would be required to provide a reasonable level of assurance.

Although we considered the effectiveness of management's internal controls when determining the nature and extent of our

procedures, our assurance engagement was not designed to provide assurance on internal controls. Our procedures did not include testing controls or performing procedures relating to checking aggregation or calculation of data within IT systems.

A limited assurance engagement consists of making enquiries, primarily of persons responsible for preparing the subject matter and related information and applying analytical and other appropriate procedures.

Our procedures included:

- Validated the information presented and checked the calculations performed by the organisation through recalculation.
- Performed a comparison of the content given in the Report against the criteria given in the selected sustainability standards/frameworks.
- Conducted interviews with relevant organisation's personnel to understand the process for collection, analysis, aggregation and presentation of data. Interviews included selected key management personnel and relevant staff.
- Read the content presented in the Report for consistency with our overall knowledge obtained during the course of our assurance engagement and requested changes wherever required.
- Provided guidance, recommendations and feedback on the improvement of

the sustainability reporting indicators to improve the presentation standard.

We also performed such other procedures as we considered necessary in the circumstances.

EMPHASIS OF MATTER

Economic, Environment, Social management data/information are subject to inherent limitations given their nature and the methods used for determining, calculating and estimating such data. Such inherent limitations are common in Sri Lanka.

We also do not provide any assurance on the assumptions and achievability of prospective information presented in the Entity's Report.

CONCLUSION

Based on our procedures and the evidence obtained, we are not aware of any material modifications that should be made to **the information on the Economic, Environment, Social and Governance (EESG) contained in the Integrated Annual Report of Aitken Spence Hotel Holdings PLC for the year ended 31 March 2025**, in order for it to be in accordance with the Criteria.

12th June 2025
Colombo



Ernst & Young
Chartered Accountants
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No. 109, Galle Road
P.O. Box 101
Colombo 03, Sri Lanka

Tel: +94 11 246 3500
Fax: +94 11 768 7869
Email: eysl@lk.ey.com
ey.com

Independent practitioner's assurance report to the Board of Directors of Aitken Spence Hotel Holdings PLC on the Integrated Annual Report 2024/25

SCOPE

We have been engaged by **Aitken Spence Hotel Holdings PLC** to perform a 'limited assurance engagement,' as defined by Sri Lanka Standard on Assurance Engagements, here after referred to as the engagement, to report on **Aitken Spence Hotel Holdings PLC's Information on how it's strategy, governance, performance and prospects, in the context of its external environment, lead to the creation, preservation or erosion of value over the short, medium and long term** (the "Subject Matter") contained in **Aitken Spence Hotel Holdings PLC's** (the "Entity's") **Integrated Annual Report** for the year ended **31 March 2025** (the "Report").

Other than as described in the preceding paragraph, which sets out the scope of our engagement, we did not perform assurance procedures on the remaining information included in the Report, and accordingly, we do not express a conclusion on this information.

CRITERIA APPLIED BY AITKEN SPENCE HOTEL HOLDINGS PLC

In preparing the Subject Matter, **Aitken Spence Hotel Holdings PLC** applied the **Integrated Reporting Framework (<IR> Framework)** issued by the **International Integrated Reporting Council (IIRC)** ("Criteria"):

Such Criteria were specifically designed for the purpose of assisting in determining whether the capital management, stakeholder engagement, business model, strategy, organisational overview & external environment outlook presented in the **Integrated Annual Report is presented in accordance with the relevant criteria**; As a result, the subject matter information may not be suitable for another purpose.

AITKEN SPENCE HOTEL HOLDINGS PLC'S RESPONSIBILITIES

Aitken Spence Hotel Holdings PLC management is responsible for selecting the Criteria, and for presenting the Subject Matter in accordance with that Criteria, in all material respects. This responsibility includes establishing and maintaining internal controls, maintaining adequate records and making estimates that are relevant to the preparation of the subject matter, such that it is free from material misstatement, whether due to fraud or error.

ERNST & YOUNG'S RESPONSIBILITIES

Our responsibility is to express a conclusion on the presentation of the Subject Matter based on the evidence we have obtained.

We conducted our engagement in accordance with the **Sri Lanka Standard for Assurance Engagements Other Than Audits or Reviews of Historical Financial**

Information (SLSAE 3000 (Revised)), and the terms of reference for this engagement as agreed with **Aitken Spence Hotel Holdings PLC** on **29 May 2025**. Those standards require that we plan and perform our engagement to express a conclusion on whether we are aware of any material modifications that need to be made to the Subject Matter in order for it to be in accordance with the Criteria, and to issue a report. The nature, timing, and extent of the procedures selected depend on our judgment, including an assessment of the risk of material misstatement, whether due to fraud or error.

We believe that the evidence obtained is sufficient and appropriate to provide a basis for our limited assurance conclusions.

OUR INDEPENDENCE AND QUALITY MANAGEMENT

We have maintained our independence and confirm that we have met the requirements of the Code of Ethics for Professional Accountants issued by the **Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka)** and have the required competencies and experience to conduct this assurance engagement.

EY also applies quality management standards, which requires that we design, implement and operate a system of

Partners: D K Hulangamuwa FCA FCMA LLB (London), A P A Gunasekera FCA FCMA, Ms. Y A De Silva FCA, Ms. G G S Manatunga FCA, W K B S P Fernando FCA FCMA FCCA, B E Wijesuriya FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, N M Sulaiman FCA FCMA, Ms. L K H L Fonseka FCA, Ms. P V K N Sajewani FCA, A A J R Perera FCA ACMA, N Y R L Fernando ACA, D N Gamage ACA ACMA, C A Yalagala ACA ACMA, Ms. P S Paranavitane ACA ACMA LLB (Colombo), B Vasanthan ACA ACMA, W D P L Perera ACA

Principals: T P M Ruberu FCMA FCCA MBA (US-J-SL), G B Goudian ACMA, D L B Karunathilaka ACMA, W S J De Silva Bsc (Hons) - MIS Msc - IT, V Shakhthivel B.Com (Sp)

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quality management including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

DESCRIPTION OF PROCEDURES PERFORMED

Procedures performed in a limited assurance engagement vary in nature and timing from and are less in extent than for a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed. Our procedures were designed to obtain a limited level of assurance on which to base our conclusion and do not provide all the evidence that would be required to provide a reasonable level of assurance.

Although we considered the effectiveness of management's internal controls when determining the nature and extent of our procedures, our assurance engagement was not designed to provide assurance on internal controls. Our procedures did not include testing controls or performing procedures relating to checking aggregation or calculation of data within IT systems.

A limited assurance engagement consists of making enquiries, primarily of persons responsible for preparing the subject matter and related information and applying analytical and other appropriate procedures.

Our procedures included:

- Performed a comparison of the content of the Integrated Annual Report against the Guiding Principles and Content Elements given in the Integrated Reporting Framework (<IR> Framework).
- Checked whether the information contained in the Integrated Annual Report – Financial Capital element information has been properly derived from the audited financial statements.
- Conducted interviews with the selected key management personnel and relevant staff and obtained an understanding of the internal controls, governance structure and reporting process relevant to the Integrated Report.
- Obtained an understanding of the relevant internal policies and procedures developed, including those relevant to determining what matters most to the stakeholders, how the organisation creates value, the external environment, strategy, approaches to putting members first, governance and reporting.
- Obtained an understanding of the description of the organisation's strategy and how the organisation creates value, what matters most to the stakeholders and enquiring the management as to whether the description in the Integrated Report accurately reflects their understanding.
- Checked the Board of Directors meeting minutes during the financial year to ensure consistency with the content of the Integrated Report.

- Tested the relevant supporting evidence related to qualitative & quantitative disclosures within the Integrated Report against identified material aspects.
- Read the Integrated Report in its entirety for consistency with our overall knowledge obtained during the assurance engagement.

We also performed such other procedures as we considered necessary in the circumstances.

EMPHASIS OF MATTER

Economic, Environment, Social and Intellectual capital management data/information are subject to inherent limitations given their nature and the methods used for determining, calculating and estimating such data. Such inherent limitations are common in Sri Lanka.

We also do not provide any assurance on the assumptions and achievability of prospective information presented in the Entity's Annual Report.

CONCLUSION

Based on our procedures and the evidence obtained, we are not aware of any material modifications that should be made to **the information contained in the Integrated Annual Report of Aitken Spence Hotel Holdings PLC for the year ended 31 March 2025**, in order for it to be in accordance with the Criteria.

12th June 2025
Colombo



GRI Standard / Other Source	Disclosure	Location	Omission		
			Requirement Omitted	Reason	Explanation
General disclosures					
GRI 2: General Disclosures 2021	2-1 Organisational details	Pages 188,301			
	2-2 Entities included in the organisation's sustainability reporting	Page 6			
	2-3 Reporting period, frequency and contact point	Pages 6, 8			
	2-4 Restatements of information	Page 6			
	2-5 External assurance	Pages 7, 302			
	2-6 Activities, value chain and other business relationships	Pages 10,42,82,113			
	2-7 Employees	Pages 91			
	2-8 Workers who are not employees	Page 91			
	2-9 Governance structure and composition	Pages 30,67,127			
	2-10 Nomination and selection of the highest governance body	Pages 131, 162			
	2-11 Chair of the highest governance body	Page 128			
	2-12 Role of the highest governance body in overseeing the management of impacts	Pages 67,128			
	2-13 Delegation of responsibility for managing impacts	Page 67			
	2-14 Role of the highest governance body in sustainability reporting	Page 138			
	2-15 Conflicts of interest	Pages 135,158			
	2-16 Communication of critical concerns	Page 126			
	2-17 Collective knowledge of the highest governance body	Page 132			
	2-18 Evaluation of the performance of the highest governance body	Page 136			
	2-19 Remuneration policies	Pages 136,160			
	2-20 Process to determine remuneration	Pages 136,160			
	2-21 Annual total compensation ratio		2-21	Confidentiality constraints	Compensation related information is considered confidential within the organisation
	2-22 Statement on sustainable development strategy	Page 20			
	2-23 Policy commitments	Pages 67,141			
	2-24 Embedding policy commitments	Pages 67,128,141			
	2-25 Processes to remediate negative impacts	Page 97			
	2-26 Mechanisms for seeking advice and raising concerns	Pages 97,171			
	2-27 Compliance with laws and regulations	Page 42			
	2-28 Membership associations	Page 106			
	2-29 Approach to stakeholder engagement	Page 44			
	2-30 Collective bargaining agreements	Page 97			



GRI Standard / Other Source	Disclosure	Location	Omission		
			Requirement Omitted	Reason	Explanation
Material topics					
GRI 3: Material Topics 2021	3-1 Process to determine material topics	Page 52			
	3-2 List of material topics	Page 52			
Economic performance					
GRI 3: Material Topics 2021	3-3 Management of material topics	Pages 52, 53			
GRI 201: Economic Performance 2016	201-1 Direct economic value generated and distributed	Page 19			
	201-2 Financial implications and other risks and opportunities due to climate change		201-2	Information unavailable/incomplete	Insignificant information
	201-3 Defined benefit plan obligations and other retirement plans	Page 201			
	201-4 Financial assistance received from government	Page 78			
Market presence					
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 53			
GRI 202: Market Presence 2016	202-1 Ratios of standard entry level wage by gender compared to local minimum wage	Page 94			
	202-2 Proportion of senior management hired from the local community	Pages 91			
Indirect economic impacts					
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 53			
GRI 203: Indirect Economic Impacts 2016	203-1 Infrastructure investments and services supported	Pages 68,88,114			
	203-2 Significant indirect economic impacts	Pages 68,88,114			
Procurement practices					
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 53			
GRI 204: Procurement Practices 2016	204-1 Proportion of spending on local suppliers	Pages 113,114			
Anti-corruption					
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 53			
GRI 205: Anti-corruption 2016	205-1 Operations assessed for risks related to corruption	Page 137			
	205-2 Communication and training about anti-corruption policies and procedures	Page 137			
	205-3 Confirmed incidents of corruption and actions taken	Page 137			



GRI Standard / Other Source	Disclosure	Location	Omission		
			Requirement Omitted	Reason	Explanation
Anti-competitive behaviour					
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 53			
GRI 206: Anti-competitive Behaviour 2016	206-1 Legal actions for anti-competitive behaviour, anti-trust, and monopoly practices	Page 137			
Tax					
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 52			
GRI 207: Tax 2019	207-1 Approach to tax	Page 203			
	207-2 Tax governance, control, and risk management	Page 203			
	207-3 Stakeholder engagement and management of concerns related to tax	Page 45			
	207-4 Country-by-country reporting		207-4,b	Not applicable	We provide consolidated financial disclosures for locations outside Sri Lanka keeping with the accounting standards followed by the Company.
Energy					
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 53			
GRI 302: Energy 2016	302-1 Energy consumption within the organisation	Page 117			
	302-2 Energy consumption outside of the organisation		302-2	Information unavailable/incomplete	Too many variables to standardise
	302-3 Energy intensity	Page 117			
	302-4 Reduction of energy consumption	Page 117			
	302-5 Reductions in energy requirements of products and services	Page 117			
Water and Effluents					
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 53			
GRI 303: Water and Effluents 2018	303-1 Interactions with water as a shared resource	Page 119			
	303-2 Management of water discharge-related impacts	Page 119			
	303-3 Water withdrawal	Page 119			
	303-4 Water discharge	Page 119			
	303-5 Water consumption	Page 119			



GRI Standard / Other Source	Disclosure	Location	Omission		
			Requirement Omitted	Reason	Explanation
Biodiversity					
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 53			
GRI 304: Biodiversity 2016	304-1 Operational sites owned, leased, managed in, or adjacent to, protected areas and areas of high biodiversity value outside protected areas	Page 123			
	304-2 Significant impacts of activities, products and services on biodiversity	Page 123			
	304-3 Habitats protected or restored	Page 123			
	304-4 IUCN Red List species and national conservation list species with habitats in areas affected by operations	Page 123			
Emissions					
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 53			
GRI 305: Emissions 2016	305-1 Direct (Scope 1) GHG emissions	Page 118			
	305-2 Energy indirect (Scope 2) GHG emissions	Page 118			
	305-3 Other indirect (Scope 3) GHG emissions		305-3	Information unavailable/incomplete	Too many variables to standardise
	305-4 GHG emissions intensity	Page 118			
	305-5 Reduction of GHG emissions	Page 118			
	305-6 Emissions of ozone-depleting substances (ODS)		305-6	Information unavailable/incomplete	Too many variables to standardise
	305-7 Nitrogen oxides (NOx), sulfur oxides (SOx), and other significant air emissions		305-7	Information unavailable/incomplete	Too many variables to standardise
Waste					
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 53			
GRI 306: Waste 2020	306-1 Waste generation and significant waste-related impacts	Page 121			
	306-2 Management of significant waste-related impacts	Page 121			
	306-3 Waste generated	Page 121			
	306-4 Waste diverted from disposal	Page 121			
	306-5 Waste directed to disposal	Page 121			
Supplier environmental assessment					
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 53			
GRI 308: Supplier Environmental Assessment 2016	308-1 New suppliers that were screened using environmental criteria	Page 113			
	308-2 Negative environmental impacts in the supply chain and actions taken	Page 113			



GRI Standard / Other Source	Disclosure	Location	Omission		
			Requirement Omitted	Reason	Explanation
Employment					
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 53			
GRI 401: Employment 2016	401-1 New employee hires and employee turnover	Page 93			
	401-2 Benefits provided to full-time employees that are not provided to temporary or part-time employees	Page 94			
	401-3 Parental leave	Page 99			
Labour/management relations					
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 53			
GRI 402: Labour/ Management Relations 2016	402-1 Minimum notice periods regarding operational changes	Page 97			
Occupational health and safety					
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 52			
GRI 403: Occupational Health and Safety 2018	403-1 Occupational health and safety management system	Page 98			
	403-2 Hazard identification, risk assessment, and incident investigation	Page 98			
	403-3 Occupational health services	Page 98			
	403-4 Worker participation, consultation, and communication on occupational health and safety	Page 98			
	403-5 Worker training on occupational health and safety	Page 98			
	403-6 Promotion of worker health	Page 98			
	403-7 Prevention and mitigation of occupational health and safety impacts directly linked by business relationships	Page 87, 98			
	403-8 Workers covered by an occupational health and safety management system	Page 98			
	403-9 Work-related injuries	Page 98			
	403-10 Work-related ill health	Page 98			
Training and education					
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 53			
GRI 404: Training and Education 2016	404-1 Average hours of training per year per employee	Pages 95,100	404-1, a	Information unavailable/ incomplete	granular data not recorded
	404-2 Programs for upgrading employee skills and transition assistance programs	Page 95			
	404-3 Percentage of employees receiving regular performance and career development reviews	Page 94			



GRI Standard / Other Source	Disclosure	Location	Omission		
			Requirement Omitted	Reason	Explanation
Diversity and equal opportunity					
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 53			
GRI 405: Diversity and Equal Opportunity 2016	405-1 Diversity of governance bodies and employees	Page 127			
	405-2 Ratio of basic salary and remuneration of women to men	Page 99			
Non-discrimination					
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 53			
GRI 406: Non-discrimination 2016	406-1 Incidents of discrimination and corrective actions taken	Page 99			
Freedom of association and collective bargaining					
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 53			
GRI 407: Freedom of Association and Collective Bargaining 2016	407-1 Operations and suppliers in which the right to freedom of association and collective bargaining may be at risk	Page 97			
Child labour					
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 53			
GRI 408: Child Labour 2016	408-1 Operations and suppliers at significant risk for incidents of child labour	Pages 91,113			
Forced or compulsory labour					
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 53			
GRI 409: Forced or Compulsory Labour 2016	409-1 Operations and suppliers at significant risk for incidents of forced or compulsory labour	Pages 91,113			
Security practices					
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 52			
GRI 410: Security Practices 2016	410-1 Security personnel trained in human rights policies or procedures	Pages 91			
Local communities					
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 53			
GRI 413: Local Communities 2016	413-1 Operations with local community engagement, impact assessments, and development programs	Page 114			
	413-2 Operations with significant actual and potential negative impacts on local communities	Page 114			



GRI Standard / Other Source	Disclosure	Location	Omission		
			Requirement Omitted	Reason	Explanation
Supplier social assessment					
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 53			
GRI 414: Supplier Social Assessment 2016	414-1 New suppliers that were screened using social criteria	Page 113			
	414-2 Negative social impacts in the supply chain and actions taken	Page 113			
Public policy					
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 53			
GRI 415: Public Policy 2016	415-1 Political contributions	Page 165			
Customer health and safety					
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 52			
GRI 416: Customer Health and Safety 2016	416-1 Assessment of the health and safety impacts of product and service categories	Page 112			
	416-2 Incidents of non-compliance concerning the health and safety impacts of products and services	Page 112			
Customer privacy					
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 53			
GRI 418: Customer Privacy 2016	418-1 Substantiated complaints concerning breaches of customer privacy and losses of customer data	Page 113			

SUSTAINABILITY ACCOUNTING STANDARDS BOARD (SASB) DISCLOSURES



Topic	Accounting Metric	Unit of measure	Code	
1. Energy Management	Total energy consumed			466,804
	Total energy consumed - Non-renewable sources;			-
	Petrol			
	Diesel			318,018
	Furnace Oil			-
	LPG	Gigajoules (GJ)	SV-HL-130a.1	24,793
	Kerosene			-
	Total energy consumed - Renewable sources;			
	Biomass/fuel wood			11,312
	Solar energy			2,032
	Wind energy			6,251
	Percentage grid electricity	Percentage (%)		22%
	Percentage renewable			4%
2. Water Management	Total water withdrawn			1,009,234
	Total water consumed	Thousand cubic metres (m³), Percentage (%)	SV-HL-140a.1	Sri Lanka, Oman and India - 100% (619,334m³) Maldives - An estimated 60% of the surface water withdrawn (389,540m³) is released back into the ocean. Since this quantity is estimated, we consider all water withdrawn is consumed in our data consolidation.
3. Ecological Impacts	Number of lodging facilities located in or near areas of protected conservation status or endangered species habitat	Number	SV-HL-160a.1	0
	Description of environmental management policies and practices to preserve ecosystem services	N/A	SV-HL-160a.2	Please refer to the Natural Capital report for details (GRI 3-3) pages 115-123
4. Labour Practices	(1) Voluntary turnover rate for lodging facility employees	Rate	SV-HL-310a.1	39
	(2) Involuntary turnover rate for lodging facility employees			0
	Total amount of monetary losses as a result of legal proceedings associated with labour law violations	Presentation currency	SV-HL-310a.2	None
	(1) Average hourly wage	Presentation currency	SV-HL-310a.3	Not reported due to reasons of confidentiality
	(2) Percentage of lodging facility employees earning minimum wage, by region	Percentage (%)		100% of employees earned above the local stipulated minimum wage in regions of operation
	Description of policies and programmes to prevent worker harassment	N/A	SV-HL-310a.4	Please refer to the Human Capital report for details pages 89-100
5. Climate Change Adaptation	Number of lodging facilities located in 100-year flood zones	Number	SV-HL-450a.1	2
ACTIVITY METRICS				
	Number of available room-nights	Number	SV-HL-000.A	845,340
	Average occupancy rate	Rate	SV-HL-000.B	71%
	Total area of lodging facilities	Square metres (m²)	SV-HL-000.C	316,423
	Number of lodging facilities and the percentage that are: Managed			18, of which 94% are managed
	Number of lodging facilities and the percentage that are: Owned and leased	Number, Percentage (%)	SV-HL-000.D	0
	Number of lodging facilities and the percentage that are: Franchised			0



A

Accounting Policies - The specific principles, bases, conventions, rules and practices adopted by an enterprise in preparing and presenting Financial Statements.

Accrual Basis - Recording Revenues and Expenses in the period in which they are earned or incurred regardless of whether cash is received or disbursed in that period.

Actuarial Gains and Losses - Gain or loss arising from the difference between estimates and actual experience in a company's pension plan

Amortisation - The systematic allocation of the depreciable amount of an intangible asset over its useful life.

Asset Held for Sale - The carrying amount of the asset value which will be recovered through a sale transaction rather than through continuing use.

Average Weighted Prime Lending Rate (AWPLR) - Reflects rates applicable on loans and advances granted by commercial banks to their most creditworthy customers.

B

Basis Point - One hundredth of a percentage point. i.e. 1/100

C

Capital Employed - Total shareholders' funds plus debt.

Capital Reserves - Reserves identified for specific purposes and considered not of the entity, directly or indirectly, including any director (whether executive or otherwise) of the entity available for distribution.

Cash Equivalents - High liquid investments that are readily convertible to know amounts of cash and which are subject to an insignificant risk of change in value.

Collateral - Monetary or non-monetary asset pledged or received as security in lieu of a loan or credit terms obtained or provided

Contingent Liabilities - A possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity

Contract Liability - An entity's obligation to transfer goods or services to a customer for which the entity has received consideration (or the amounts due) from the customer.

Credit Risk - Risk that the counterparty to a transaction fails to meet its contractual obligations in accordance to the agreed terms and conditions.

Current Ratio - Current assets divided by current liabilities.

Current Service Cost - Is the increase in the present value of the defined benefit obligation resulting from employee service in the current period.

D

Debt/Equity Ratio - Ratio between long-term interest-bearing liabilities and total equity. It shows the extent to which the firm is financed by debt.

Deferred Income Tax - The net tax effect on items which have been included in the Income Statement, which would only qualify for inclusion on a tax return at a future date.

Derivatives - Financial contracts whose values are derived from the values of underlying assets.

Dividend Cover - Net profit attributable to the ordinary shareholders divided by the total dividend.

Dividend Pay Out Ratio - The percentage of earnings paid to shareholders in dividends.

Dividend Yield Ratio - Dividend per share as a percentage of the market price. A measure of return on investment.

Dividends per Share (DPS) - Dividends paid and proposed, divided by the number of issued shares, which ranked for those dividends.

E

Earnings Per Share (EPS) - Net profit for the period attributable to ordinary shareholders divided by the weighted average number of ordinary shares in issue during the period.

EBIT - Earnings before interest and tax.

EBITDA - Earnings before interest, taxes, depreciation and amortisation.

Effective Rate of Taxation - Income tax over profit before tax.

Enterprise Value (EV) - Market capitalisation plus net debt/(net cash)

EPS Growth - Percentage of increase in the EPS over the previous year.

Equity - The value of an asset after all the liabilities or debts have been paid.

EURIBOR - The Euro Interbank Offered Rate (EURIBOR) is a daily reference rate. It is the average interest rates at which Eurozone banks borrow unsecured funds from counterparties in the Euro interbank market.

F

Fair Value - The price that would be received to sell an asset or transfer a liability in an orderly transaction between market participants at the measurement date.

Fair Value Through OCI (FVOCI) - Financial instruments that are held for trading and measured at fair value through other comprehensive income.

Fair Value Through Profit and Loss - A financial asset/liability acquired/incurred principally for the purpose selling or repurchasing it in the near term.

Financial Assets - Any asset that is cash, an equity instrument of another entity or a contractual right to receive cash or another financial asset from another entity.

Financial Instruments - Any contract that gives rise to financial assets of one entity and financial liability or equity instrument of another entity.



Financial Liability - Any liability that is a contractual obligation to deliver cash or another financial asset to another entity.

G

Gearing - Proportion of total interest-bearing liabilities to capital employed. Refer Debt to equity.

I

Impairment - This occurs when recoverable amount of an asset is less than it is carrying amount.

Intangible Assets - An identifiable non-monetary asset without physical substance held for use in the production or supply of goods or services for rental to others or for administrative purposes.

Interest Cover - This indicates the ability of an entity to cover long term and short-term interest expenses with EBIT. (Profit before Interest & Taxation + Share of Equity Accounted investees divided by total Interest charged for the year).

K

Key Management Personnel (KMP) - KMP are those persons having authority and responsibility for planning directing and controlling the activities of the entity, directly or indirectly, including any Director (whether executive or otherwise) of that entity.

L

LIBOR - The London Inter Bank Offer Rate is an interest rate at which banks can borrow funds, in marketable size, from other banks in the London interbank market.

Liquidity Risk - The risk of an entity having constraints to settle its financial liabilities.

Market Capitalisation - The number of ordinary shares in issue multiplied by the market price per share.

M

Materiality - The relative significance of a transaction or an event, the omission or misstatement of which could influence the decisions of users of Financial Statements

N

Net Assets Per Share - Shareholders' funds divided by the number of ordinary shares in issue as at the Reporting date.

Non-Controlling Interest - Part of the net results of operations and of net assets of a subsidiary attributable to interests which are not owned, directly or indirectly, through Subsidiaries, by the Parent company.

O

Other Comprehensive Income - An entry that is generally found in the shareholders' equity section of the Statement of Financial Position.

P

Price Earnings Ratio (PER) - Market price per share divided by the earnings per share.

Price to Book Value Ratio (PBV) - Market price per share divided by net assets per share.

Probability of Default (PD) - Estimate of likelihood that a borrower will be unable to meet debt obligations.

R

Related Parties - A person or entity that is related to the entity that is preparing its Financial Statements.

Return on Capital Employed (ROCE) - Profit before finance expense and tax as a percentage of average capital employee

Return on Equity - Profit attributable to shareholders as a percentage of average shareholders' funds.

Revenue Reserves - Reserves considered as being available for distributions and investments.

Right-of-use Asset (ROU) - ROU asset is an asset that represents a lessee's right to use an underlying asset over the lease term.

S

Segmental Analysis - Analysis of financial information by segments of an entity specifically, the different geographical areas in which it operates.

Shareholder's Funds - The sum of Share capital, Capital Reserves and Revenue Reserves.

SOFR - The Secured Overnight Financing Rate (SOFR) is a reference rate that has been established as the preferred alternative rate for the USD London Interbank Offered Rate (LIBOR). SOFR is commonly used for US dollar denominated derivatives, loans, and other financial transactions in place of LIBOR. SOFR is calculated by the New York Federal Reserve based on transaction data from the overnight repurchase (repo) market.

T

Total Equity - Total of share capital, reserves, retained earnings and non-controlling interest.

V

Value Added - The wealth created by the operation of the company. The value is distributed among the stakeholders and the balance retained within the business.

W

Working Capital - Capital required to finance day-to-day operations, computed as the excess of current assets cover current liabilities.



Notice is hereby given that the Forty Eighth (48th) Annual General Meeting of Aitken Spence Hotel Holdings PLC will be held at No. 315, Vauxhall Street, Colombo 02 on Friday, 04th July 2025 at 10.45 a.m., as a virtual meeting using a digital platform for the following purposes:--

1. To receive and consider the Annual Report of the Board of Directors together with the Financial Statements for the year ended 31st March 2025 and the Report of the Auditors thereon.
2. To re-appoint Mr. R.N. Asirwatham who is over the age of 70 years, as a Director by passing the following Resolution as an Ordinary Resolution:

IT IS HEREBY RESOLVED that the age limit stipulated in Section 210 of the Companies Act No. 7 of 2007 shall not apply to Mr. R.N. Asirwatham who is 82 years of age and that he be re-appointed a Director of the Company."
3. To re-appoint Mr. J.M.S. Brito who is over the age of 70 years, as a Director by passing the following Resolution as an Ordinary Resolution:

IT IS HEREBY RESOLVED that the age limit stipulated in Section 210 of the Companies Act No. 7 of 2007 shall not apply to Mr. J.M.S. Brito who is 78 years of age and that he be re-appointed a Director of the Company.
4. To re-appoint Mr. N.J. de Silva Deva Aditya who is over the age of 70 years, as a Director by passing the following Resolution as an Ordinary Resolution:

IT IS HEREBY RESOLVED that the age limit stipulated in Section 210 of the Companies Act No. 7 of 2007 shall not apply to Mr. N.J. de Silva Deva Aditya who is 77 years of age and that he be re-appointed a Director of the Company.
5. To re-elect Dr. R. A. Fernando who retires in terms of Article 83 and 84 of the Articles of Association, as a Director.
6. To elect Mr. M. R. Mihular who retires in terms of Article 90 of the Articles of Association, as a Director.
7. To elect Mr. P. Englisch who retires in terms of Article 90 of the Articles of Association, as a Director.
8. To elect Mr. C.H. Gomez who retires in terms of Article 90 of the Articles of Association, as a Director.
9. To authorise the Directors to determine contributions to charities.
10. To re-appoint the retiring External Auditors, Messrs. KPMG, Chartered Accountants and authorise the Directors to determine their remuneration.
11. To consider any other business of which due notice has been given.

By Order of the Board
Aitken Spence Hotel Holdings PLC

**Aitken Spence Corporate Services
(Private) Limited**
Secretaries

12th June 2025
Colombo

**Note:**

1. The Board of Directors has decided that this year too the Annual General Meeting of Aitken Spence Hotel Holdings PLC will be held as a virtual meeting by participants joining in person or by proxy, through audio or audio visual means in the manner specified below:

i. Shareholder participation

- a) The shareholders are encouraged to appoint a Director of the Company as their proxy to represent them at the meeting.
- b) The shareholders may also appoint any other persons other than a Director of the Company as their proxy and the proxy so appointed shall participate at the meeting through audio or audio visual means only.
- c) The shareholders who wish to participate at the meeting will be able to join the meeting through audio or audio visual means only. To facilitate this process, the shareholders are required to furnish their details by perfecting Annexure II to the circular to shareholders and forward same to reach the Company Secretaries via e-mail to dilshani.yapa@aitkenspence.lk or facsimile on +94 11 2445406 or by post to the registered address of the Company No. 315, Vauxhall Street, Colombo 02 not less than five (05) days before the date of the meeting so that the meeting login information could be forwarded to the e-mail addresses so provided. The circular to the shareholders will be posted to all the shareholders along with the Notice of Meeting and the Form of Proxy.
- d) To facilitate the appointment of proxies, the Form of Proxy is attached hereto and the duly filled Forms of Proxy should be sent to reach the Company Secretaries via e-mail to

dilshani.yapa@aitkenspence.lk or facsimile on +94 11 2445406 or by post to the registered address of the Company No. 315, Vauxhall Street, Colombo 02, not less than forty eight (48) hours before the time fixed for the meeting.

ii. Shareholders' queries

The shareholders are hereby advised that if they wish to raise any queries, such queries should be sent to reach the Company Secretaries, via e-mail to dilshani.yapa@aitkenspence.lk or facsimile on +94 11 2445406 or by post to the registered address of the Company No. 315, Vauxhall Street, Colombo 2, not less than five (5) days before the date of the meeting. This is in order to enable the Company Secretaries to compile the queries and forward same to the attention of the Board of Directors so that such queries could be addressed at the meeting.

2. The Annual Report of the Company for the year 2024/2025 will be available for perusal on the website on www.aitkenspencehotels.com and on the Colombo Stock Exchange website on www.cse.lk.



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FORM OF PROXY



We
 of
being a member/members of Aitken Spence Hotel Holdings PLC hereby appoint
 of
(whom failing),

Don Stasshani Therese Jayawardena	(whom failing),
Mahinda Parakrama Dissanayake	(whom failing),
Chrisanthus Mohan Susith Jayawickrama	(whom failing),
Joseph Michael Suresh Brito	(whom failing),
Rajanayagam Nalliah Asirwatham	(whom failing),
Niranjan Joseph de Silva Deva Aditya	(whom failing),
Ravindra Ajith Fernando,	(whom failing),
Mohamed Reyaz Mihular	(whom failing),
Peter Englisch	(whom failing),
Charles Humbert Gomez	(whom failing),

as my/our proxy to represent me/us, to speak and to vote on my/our behalf at the Annual General Meeting of the Company to be held on the 04th July 2025, at 10.45 a.m., and at any adjournment thereof and at every poll which may be taken in consequence thereof.

I/We the undersigned hereby authorise my/our proxy to vote on my/our behalf in accordance with the preference indicated below:

No.	Resolution	For	Against
1	To re-appoint Mr. R.N. Asirwatham who is over the age of 70 years		
2	To re-appoint Mr. J.M.S. Brito who is over the age of 70 years		
3	To re-appoint Mr. N.J. de Silva Deva Aditya who is over the age of 70 years		
4	To re-elect Dr. R.A. Fernando who retires in terms of Article 83 and 84 of the Articles of Association		
5	To elect Mr. M.R. Mihular who retires in terms of Article 90 of the Articles of Association		
6	To elect Mr. P. Englisch who retires in terms of Article 90 of the Articles of Association		
7	To elect Mr. C.H. Gomez who retires in terms of Article 90 of the Articles of Association		
8	To authorise the Directors to determine contributions to charities		
9	To re-appoint the retiring External Auditors, Messrs. KPMG, Chartered Accountants and authorise the Directors to determine their remuneration		

Signed this day of Two Thousand and Twenty Five.

.....
 Shareholder's Signature/(s)

.....
 Shareholder's NIC / Folio No.

.....
 Proxyholder's NIC No.

Note: Instructions as to completion are noted on the reverse hereof.



INSTRUCTIONS AS TO COMPLETION

1. Kindly perfect the Form of Proxy by filling in the mandatory details required above, signing in the space provided and filling in the date of signature.
2. If the Form of Proxy is signed by an Attorney, the relative power of attorney should also accompany the proxy form for registration, if such power of attorney has not already been registered with the Company.
3. In the case of a Company/Corporation, the Form of Proxy shall be executed in the manner specified in its Articles of Association/ Constitutional documents (as applicable).
4. In the absence of any specific instructions as to voting, the proxy may use his/her discretion in exercising the vote on behalf of his/ her appointor.
5. Duly filled Forms of Proxy should be sent to reach the Company Secretaries via e-mail to dilshani.yapa@aitkenspence.lk or facsimile on +94 11 2445406 or by post to the registered address of the Company No. 315, Vauxhall Street, Colombo 2, , not less than forty eight (48) hours before the time fixed for the meeting.

Please provide the following details (mandatory):

NIC/PP/Company Registration No. of the Shareholder/s:

Folio No. :

E-mail address of the Shareholder/(s) or proxy holder (other than a Director appointed as proxy):

Mobile No. :

Fixed Line :

INVESTOR FEEDBACK FORM



Name (Optional) :

Address (Optional) :

Number of shares held (Optional) :

Please rate the following areas (where applicable) on a scale of 1 to 5 where 1 is the lowest to 5 being the highest

	Lowest			Highest	
	1	2	3	4	5
1. Business Development					
a) Quality and presentation of the Annual Report	☐	☐	☐	☐	☐
b) Usefulness of the information in the interim Financial Statements	☐	☐	☐	☐	☐
c) Likelihood of the financial information in the Annual Report to influence investment decisions	☐	☐	☐	☐	☐
d) Likelihood of the environmental information in the Annual Report to influence investment decisions	☐	☐	☐	☐	☐
e) Likelihood of the social information in the Annual Report to influence investment decisions	☐	☐	☐	☐	☐
f) Satisfaction with the risk management strategies of the Company	☐	☐	☐	☐	☐
2. Corporate Communication					
a) Quality of Group communications appearing in traditional media (newspapers, radio, television)	☐	☐	☐	☐	☐
b) Quality of Group communications appearing in emerging and new media (social media, web).	☐	☐	☐	☐	☐
c) Satisfaction with the frequency and volume of Group communications appearing in mass media channels (newspapers, radio, television)	☐	☐	☐	☐	☐
d) Accessibility and availability of information related to the Group in mass media channels	☐	☐	☐	☐	☐
e) Quality of service and information provided at stakeholder contact channels (web, general line, front office/ reception)	☐	☐	☐	☐	☐
f) Satisfaction with the contact channels available for queries and feedback	☐	☐	☐	☐	☐
3. Human Resources					
a) Satisfaction with the conduct of employees	☐	☐	☐	☐	☐
b) Competency of employees based on your recent interactions	☐	☐	☐	☐	☐
c) Access to HR related information	☐	☐	☐	☐	☐
4. Sustainability					
a) Satisfaction with the strategies developed for economic sustainability	☐	☐	☐	☐	☐
b) Satisfaction with the commitment of the Group towards environmental conservation	☐	☐	☐	☐	☐
c) Satisfaction with the commitment of the Group towards social empowerment and community development	☐	☐	☐	☐	☐
d) Ethical conduct of the Group in business activities	☐	☐	☐	☐	☐



Please tick more than one where applicable:

5. What areas of the following business activities are you interested in receiving more information regarding via Group communications?

- | | |
|-------------------------------|--------------------------|
| a) Sustainability initiatives | ☐ |
| b) Reporting processes | ☐ |
| c) Internal operations | ☐ |
| d) New business initiatives | ☐ |

6. What channels of communication are preferred when receiving Group related information?

- | | |
|---------------------|--------------------------|
| a) Web | ☐ |
| b) Newspapers | ☐ |
| c) Electronic media | ☐ |
| d) Social media | ☐ |
| e) Mobile | ☐ |

7. Out of the following, what areas of sustainability do you feel Aitken Spence Hotels should focus more on?

- | | |
|-------------------------------|--------------------------|
| a) Energy | ☐ |
| b) Water | ☐ |
| c) Biodiversity | ☐ |
| d) Waste management | ☐ |
| e) Resource efficiency | ☐ |
| f) GHG emission reduction | ☐ |
| g) Social empowerment | ☐ |
| h) Infrastructure development | ☐ |
| i) Education | ☐ |

The completed Feedback Form could be e-mailed to info@aitkenspence.lk or posted to the registered address of the Company at No. 315, Vauxhall Street, Colombo 02, Sri Lanka.

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